Indian Hotels Co. Ltd. (INDHOTEL)

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Dalal Street, Fort, Mumbai 400 051
Mumbai – 400 001. Scrip Code: INDHOTEL
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Sub: Transcript of the IHCL Earnings Call for the quarter and year ended March 31, 2023
Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the IHCL Earnings Call for the quarter and year ended March 31, 2023 held on April 28 , 2023.
The above information is also available on the website of the Company at:
https://www.ihcltata.com/AnalystCall/2023/AnalystCallTranscript -Q4FY2022- 23/

You are requested to kindly take the same on record.
Yours sincerely,

BEEJAL DESAI
Senior Vice President
Corporate Affairs & Company Secretary (Group)
Encl: a/a

The Indian Hotels Company Limited
IHCL Earnings call - Q4 FY2022/ 23 Results

Friday, 28th April , 202 3, 08:30 AM Mumbai

Management :

Mr. Puneet Chhatwal, Managing Director & CEO

Mr. Giridhar Sanjeevi, Executive Vice President & CFO

Moderator : Ladies and gentlemen, good day, and welcome to the Indian Hotels Company Limited Earnings Conference Call for Q4 FY2022/2023. On the call we have with us Mr. Puneet

Chhatwal - Managing Director and CEO, IHCL; and Mr. Giridhar Sanjeevi - EVP and CFO, IHCL.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

At this time, I would like to hand over the conference call to Mr. Puneet Chhatwal . Thank you, and over to you , sir.

Puneet Chhatwal : Good morning everyone and thank you for joining this call. Let me give you basically two directions on this call. The first one being, what the year meant for Indian Hotels the year gone by and what is the outlo ok and what we can expect in this year to come and in the short term til l 2025.

On the year gone by, we have four pillars: Performance, Growth, Brandscape , and our ESG Initiatives . And on Performance, we have had a record year of performance. If we take the three best consecutive years in the history of Indian Hotels which was 2006 to 2008 followed by 2017 to 2020 the combined performance of the three years is less than the financial perform ance of this year. And that is really driven by Growth which is industry leading . We have the highest pipeline of projects by our Brandscape which we re -imagined almost five years ago and w ere derailed for a bit because of COVID. And during COVID also, we added a few other brands and services and also you know adding brands, which were adding high margins. So, that resulted in an enterprise revenue of over Rs. 10,000 crore, close to Rs. 11,000 crore. Our reported revenue as you know is around Rs. 5,950 crore, but because we add asset -light business to our model, it's important to start articulating what the system -wide revenue or the enterprise -level revenue is , the PAT of Rs. 1,000 crore and a free cash flow exceeding Rs. 1,000 crore also.

And very importan tly, each of the quarters were the best quarters in history. The Q1, the Q2, the Q3 which was absolute highlight and also the Q4, exactly the same trend as is evident for last three decades the only difference being Q1 and Q2 were also very profitable. And Q3 beat all possible estimates fo llowed by a Q4 which was very good following in the footsteps of Q3.

Our industry -leading margins of 32.7% on consolidated level, because on standalone we come to almost 40% , is almost doubling of margins where we are coming from historically, and this is here to stay as we have guided under our Ahvaan 2025 strategy.

An important milestone was Taj as one off the exceptional luxury hotel brands in the world. Its 100 hotels in operation or in development, where five years ago, we had 31 hotels in operation an d another seven or eight in development which shows this is a 2.5x growth despite two years of COVID in the backbone of the company , in the crown jewel of not just Indian Hotels but of the nation.

Last year, we signed 36 new contracts were added to our pip eline and we have opened 16 hotels. So, despite opening of 16 hotels, we still stay at a pipeline of almost 73 hotels which will open even if we stopped signing anything going forward which we are not going to do . But just as an example that we have a very robust pipeline , we have an industry -leading pipeline on the Indian subcontinent . And we expect to open more hotels than 16 and I will come to that when we go to the outlook part of it.

I think also we started making small moves on the international e xpansion again because our focus for the

last five years was India. Our 250th hotel was in Riyadh and recently, we signed a twin of Taj and Vivanta in Dhaka. And we will be doing more on an asset -light basis, on an operating lease or a management contract , we are not into acquisition of assets. That brings us to our portfolio of 263 hotels and with Taj already having hit 100 and Ginger getting close to 100, we have been able to create critical mass in our key brands and it will be nice to watch how Vivanta, SeleQtions, and amã evolve over the next years .

And also, the balanced portfolio guidance that we have given so if we include hotels in development then we are already at 50 -50 and within the next 18 months, we expect that in operation also to come to a 5 0-50, a balanced portfolio, a right mix of asset -heavy where we have owned and leased portfolio coupled with fee -driven business. This is important because the owned and leased portfolio is giving us the right operating leverage so that when we are witness ing an uptick in the cycle, these hotels add on the absolute amount and the management fee business is helping us drive margins in a very strong way. And our management fee business has almost doubled in the last year. So, almost Rs. 400 crore of managemen t fee and this is only going up.

And also in terms of unlocking the potential of most of our brands, besides Taj being rated as the world's strongest hotel brand for two years in a row, other brands are really picking up and are getting to where they right fully belong within their competitive set. So, also Vivanta and SeleQtions together are almost 78 hotels and very soon we should get there also to a number of 100.

We are very proud of the guidance that we have given under Ginger and we embarked on this journey of reimagining Ginger four five years ago. The management there did a great job. And in the last year Ginger reported a revenue of Rs. 300 crore and an EBITDA o f Rs. 120 crore, a margin of 39%. We expect this to increase. It increased by 13 % points. So, coming from 26, it went to 39, but the best here also is yet to come and we eagerly await

the opening of Ginger in Santacruz in Mumbai as of 1st October. And I th ink this brand has the potential or brand s in this category, in this segment have the potential to deliver a minimum of 50% margin. So, that's something we are very pleased about .

And so are we pleased also about our Flight Kitchen business, which we have a joint venture with SATS from Singapore. For the first time in history, it did a margin of 20% , our revenue which exceeded Rs. 600 crore and an EBITDA of Rs. 127 crore.

Since the opening of Qmin or since the launch of Qmin, it has done a GMV of Rs. 150 crore. Today, we have almost 34 outlets, of which 50% are in Ginger Hotels, which we very affectionately call the qminization of Ginger, which means the all -day dining of all Ginger Hotels will slowly but steadily get rebranded into Qmin . And amã is someth ing which we will start working on together with Qmin to scale up in the next years to come.

A very important part that we would like to share with you, that Taj Mahal Palace, our temple of hospitality, is 100% green , 65% through renewable energy from Ta ta Power and the 35%, we had to buy the certificates for renewable energy so that we became 100% green. Our six pillars of Paathya the 100% waste elimination, 100% of the hotels to have organic waste management system, 100% recycling of water ; all hotels to have EV charging system, and all hotels to have Green Meetings which is being launched in June and 50% of our energy from renewable is the targets that we have given for 2030. Very pleased to say that we are not only on target, we are ahead of our guidance and ahead of our target on ESG which remains a key pillar not just for Indian Hotels but for the entire Tata Group Companies.

Also, we were

given awards on corporate governance, the Golden Peacock, the ICSI National Award for Governance also, as well as very recently the Risk Management Award for Business Model Adaptability from ICICI in collaboration with CNBC.

So, I think in all since the last five years from an aspiration 2022 of a turnaround of a business model in between derailed but helping with the reset in 2020 and a further guidance of Ahvaan under 2025 the company is very well positioned to achieve a 33% EBITDA margin over the business cycle by '25. We are remaining zero net debt company with a 300 -hotel -plus portfolio . And a balanced por tfolio built on the bedrock of the culture and values of both Tata Group as well as Taj, which stands for Trust Awareness, and Joy, leveraging our enablers and our initiatives , which keep going on, on re -imagining our brandscape, reengineering our margins, restructuring our portfolio and the journey of most iconic and most profitable hospitality company continues.

With that, I would like to get to the outlook. I think this is what has happened. We said in the short term, this is what we will do , we got dera iled. But where do we see the sector today? I think very important to note is one key factor which is helping the sector as well

as Indian Hotels is that demand is growing faster than supply. So, while a lot of people want to talk about pent -up demand, I w ould say pent -up demand is like three months, six months, nine months , but the reality is that although just the domestic, as foreign tourist arrival has not yet come, the domestic demand has been strong enough and is outpacing supply because not many hote ls got built in the last three years. And that imbalance in demand and supply will continue, which will help drive occupancies as well as the rates in the sector and given that we are present in 31 of the States and Union Territory of India , I think we are very well positioned to capture the benefits of that demand . And it's also based on all the guidance given by various companies, whether it's HVS or Horwath in the ir Annual Report or

Hotelivate that the demand especially in India w here 87% of our portfoli o and revenues come from , is strong, is going to stay robust .

And it is going to get boosted by three or four key factors. #1 Supply is one part of it, but the G20 this year til l October and expected to peak in September -October is going to aid the need fo r the rooms , and Food & Beverage . #2 Is the World Cup Cricket. And #3 Is that the sector , Tourism sector expects that the foreign tourist arrivals as of October will go back to the pre -COVID level which was at only 60% for last year.

So, I think the outloo k remains very positive. What can we expect from Indian Hotels with this outlook? We will continue our pace of signing. We will keep adding hotels, where we think we can create new destinations in the spirit of what Tata Group has done, what the oldest ope rating company which we are of Tata Group has done consistently over a century. And we are also pleased to say that we will be opening a minimum of 20 hotels this year. Last year, we opened 16. This year, we will open 20. We will cross the target of 200 ho tels in operation globally and get very close to having 200 hotels in operation in India. But if we were to say South Asia, we will definitely achieve that also this year. So, that's on the growth part of it.

In terms of new businesses which are very close to our heart, we did very well on incremental cash flows and incremental profitability. We did not really spend any money on growing amã or Qmin. I think this year, we will use some of our free cash flow to really scale up these businesses because of the margins that they drive , and at the same time also the other businesses that we have been guiding on, like Chambers we will be adding on that. So, Ch

ambers in Bengaluru at Taj West End will open this year. We have applied for permissions for doing Chambers in New York so really making Chambers also a global brand .

And some of our Food & Beverage brands , Food & Beverage is very strong in South Asia and Southeast Asia and we are very optimistic about growing our presence, not just with Qmin as a QSR, but some of our iconic brands . I am very pleased to announce that in the next week, we are launching House of Ming at the Taj in London, and a Bombay Brasserie at the Taj in Campton Place in San Francisco . And we are hoping to take Bombay Brasserie

as a brand to o ther parts of the world where we have the rights and we have been able to register the brands.

So, all in all, I think in all businesses, not just the Rooms business, but Food & Beverage business, which is aided very strongly this year by G20, the event, t he conferences that are happening in India, a very strong robust wedding business, scaling up new businesses, opening hotels continuously on management contracts or operating leases, slowly but steadily starting to build on our international portfolio just with the Taj brand. I think Indian Hotels is well positioned and also to give this guidance that this year, what we have seen and today being like almost four weeks into the New Year, the trend that we are seeing in terms of business that has happened also, the business on the books, we are very much in line and ahead of April of last year and expect the same thing in May. Albeit, I have to say that the visibility of long -term bookings still remains very short. So, it's very difficult to make predictions about what will happen in July, August, September, but the trend that what we are witnessing today is extremely positive, and the growth of the GDP in India, the growth of buoyancy in business, the need to -do business, airlines, travels, all the planes are full, the seats are full, so especially on the key sectors, Delhi -Mumbai, Delhi -Bengaluru , or Chennai, all the key metros, and also the upcoming new airports, we feel that the travel remains very strong, both on business and leisure, and one of the few t rends that we can highlight here is bleasure.

Now, whether it is business with leisure or leisure with business this has become a permanent trend since COVID , we are seeing no change on that one, on that front. And also, when it comes to spending money, I think it's not revenge. It's not like that what they call the 'Kal Ho Naa Ho ' factor that's not there. The main thing is that people are still saving, but they are willing to spend a bit more than they were spending in a pre -COVID time which is also assist ing not only our Rooms' demand, but especially in our Food & Beverage demand and in the Restaurants.

So, I think that's what I wanted to say about the year gone by , and the outlook that is out there . And we will continue on our journey of balancing the portfolio, not investing into single assets except for very key strategic investments like the Ginger in Santacruz or our combo development Vivanta and Ginger in Ekta Nagar which is Kevadia or where the Statue of Unity is, totaling 275 rooms. But there, we also get , we are eligible to get certain

subsidies, making the investments very feasible.
I think the outlook remains strong, and we are at the beginning of an upcycle, which has witnessed a few quarters . And we feel that Indian Hotels is very well positi oned to take benefit of this upcycle. Over to you, Giri.
Giridhar Sanjeevi : Thank you. I think Puneet has summarized it. I think we ha ve ha d a great year in terms of the overall business and as we explained, the outlook is strong. I think the core thing th at

we need to remember is that the story of hospitality is a story of

penetration actually which
means as airports come up, as the growth is happening in cities beyond the key cities actually it is really a story of penetration, which will be multi -year, and that's really the story.
We will talk about this more not just on this call, but we also have announced the Capital Market Day on the 11th of May 2023 and we will talk about it more. I think , now I will open it up for questions, actually .
Moderator Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Binay Singh from Morgan Stanley. Please go ahead.
Binay Singh: I have two questions, one on Ginger and the second one on our U .S. business. Start ing on Ginger, we are seeing good performance. Could you talk a little bit about the roadmap to 50% EBITDA margin . Is this coming from like two, three key factors that will take us from around 39% that we are at today to around 50%?
The second question on the U .S. side there in also could you talk a little bit about what's happening over there, how did the March quarter go, when do you see that business breaking even, thanks ?
Puneet Chhatwal : Ginger is something which we are very focused on. I think it's an ideal brand for a heterogeneous landscape of India and it is the fastest growing brand in terms of number of hotels, not in number of rooms, because a lot of Ginger Hotels can be 60, 80, 90 rooms. So, except for the one which we are doing in Santa cruz, i s 371 rooms because it's in Mumbai. A similar large -sized development will also be happening at Bengaluru Airport.
So, just to give you a flavor that Ginger reported revenue is around Rs. 300 crore. A hotel like Santa cruz which we own , has the potential on stabilized figure of at least Rs. 100 crore in revenue with 371 rooms . So, I think that is what makes us believe that Ginger landscape will continue to evolve very rapidly, and this is not something, which is going to happen in three years or four years from now , it's already delayed by six months to eight months because of COVID . So, it should have normally opened, but now we are opening it hopefully on the 1st of October this year.
And similarly, many other Ginger branded hotels will drive the growth and this business model . And especially what we call under the 'Lean Luxe ' because new Gingers are all 'Lean Luxe' and all the 'Lean Luxe' Hotels are operating north of 50%. We have some old portfolio, which we have to renovate, repositio n or get out of those contracts like a few of the contracts, we did not renew, which we had when we started the Ginger brand, like the Rail Yatri Niwas. So, we have given those up because they are not good for the brand today

where we have re -imagined it to. So, we expect Ginger over the next three years to go north of 50% in margins as I said in my opening remarks.
And on the U .S. side, we have renovated , basically, it's New York , San Francisco was profitable pre -COVID. It's going to get there as the market begins to evolve. On the New York, we have done very well in curtailing our losses and they have reduced to a significant level. But besides that we have r educed the cost of lease , we have renegotiated our agreement on The Pierre , we have completely revamped the banquet hall there which is one of the largest halls in that marketplace, in that micro -market place around Central Park , and it's just getting to t he finishing phase. So, we are positive about New York.
We are extremely , you did not ask this, but I will say this, on London with all the changes that we have done, including now the opening of the Chinese besides the Quilon, which we have had there as a Michelin star restaurant. Also, we opened The Chambers in London. So, a lot of investment in our key marquee assets is also helping drive performance. Of course, UK and U .S. are no

t at the pre -COVID level , they are still operating at 92%, but
we expect in the next few months for them to either get to '19 and '20 level or definitely
even exceed the '19, '20 level. So, that's a kind of upside we are also waiting for.
Binay Singh : Just one question , we get it that the business will generate an other year of very strong free cash flow. Anything that you will do differently in the coming two, three years from what we have done in the last two, three years ? And if you could also share the CAPEX number that we expect for next year?
Puneet Chhatwal : See, our CAPEX is always around , there is an operational CAPEX and there is the CAPEX in the new construction and building other businesses. So, our CAPEX figure is always around 5% to 6% of our reported revenue , and nothing is going to change on that. The re will be certain situations where we invest and in the interim, over the next 18 months to 20 months, we kind of do a sale and manage back with a long -term management contract. That is something which we will guide on during our Capital Market Day. So, on the CAPEX side that is what has helped us to get where we are today.
As an example, 24 of our Taj -branded hotels were upgraded. If I look at total number of hotels upgraded including Ginger in the 'Lean Luxe' they have upgraded more than 40 hotels, that is also driving the performance. It's not just pent -up demand and an imbalance in demand and supply. Its hotels, which needed renovation and were downgraded to Vivanta have been upgraded back to Taj and that is what has also made Taj a 100 -hotel portfolio. So, I think CAPEX is a key, but intelligent use of CAPEX is the key to driving margin and creating competitive advantage over the other brands and the competition in the mid and long term .

Moderator : Thank you. The next question is from the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar : Moving to the questions, sorry, I have four questions if I may.
#1 First of all, I just want to understand, so the government has recently announced that they want to make Delhi as an international hub. So, do you have any plans to align your growth in that part of India , Delhi, Rajasthan, Agra? Have you thought about it? Do you have any plans to grow aggressively there in case the government is successfully able to make Delhi as an international hub?
#2 Second ly I am referring to Slide #38 you have mentioned about the EBITDA margin expansion from the existing hotels and from the new hotels. So, just want to understand how long would it take for the new hotels or you can say the middle block to move to the left side of the blocks. So, I mean, what is the gestation period when the new hotels could actually generate the similar kind of EBITDA margin as good , as per your existing hotels?
#3 Third thing on the SATS , so you reported a very strong growth in SATS. I mea n, what was the driver of that growth and now, what next , where do you think the future growth could come from? I mean, do you have any , I mean any plans, anything in place which can sort of generate the similar kind of growth going ahead or is it kind of feeling now that, okay, fine, we have reached here and then this is the ceiling ?
#4 And finally, probably, if you could give us a bit more color that you have already reported more than 34% EBITDA margin in Q4 . Of course, as you rightly said the industry dynamics are very strong , demand supply is very strong, and looking at ARR and everything is going perfectly on your way. Do you think the margins could decline and then come back to your long -term target of 33% or how do you see that ? Or if that's not the case, I mean how do you think it's now rather easy to achieve your EBITDA margin for FY'26 Future Cap now which you are targeting in FY '26, in the next year itself? I mean, if you could give

us a bit more color on that. Thank you so much.
Puneet Chhatwal : A lot of questions but let me first start on a lighter note. What you said on Slide #38, in the middle, how it could move to the left , there is, from a guidance perspective, there is a mistake on that slide. The mistake is that the numbers are right, but it is not showing the return on equity or return on investment there has been no investment in Qmin or amã. This is really a clever use of the brands that we had by reimagining and repositioning them, but we have not invested money. So, like let's say on the left side, if we say we have invested a lot of money into our entry into London and U .S. and Lands End and all of the places, there is no investment that has gone into Qmin or amã or QSR or Chambers, et c,. It's just re-using the same space by renovatin g it in a normal CAPEX .

So, a lot of what you see on the left side, let's say, a Chambers and Taj Mansingh in Delhi, is driving a lot of revenue. The Chambers in the middle that you see is only the fees from new members, but Chambers and Mansingh that the revenue it is driving is on the left of the chart . And the left of the chart has investment, the middle of the chart has hardly any investment , except for asset management perspective. So, that's one.

Second is your question on growth. Delhi becoming hub, of course, Delhi is the capital of India. The state capital is Delhi , or the National Capital is Delhi and the commercial capital is Mumbai. IHCL can never have enough hotels in these two metros . And we have just signed two days ago, we have not yet announ ced, another hotel in the Delhi NCR, a Vivanta . And we are very well -positioned to add more Taj properties. But what we will not do in Delhi is do a Taj that might dilute the positioning of Mansingh or Taj Palace because we are the only brand which is pres ent with two such properties, plus a Connaught, and an Ambassador under SeleQtions in Delhi and Connaught just got added.

So, we are not going to stop here. This will keep getting added, as also you said Jaipur. In Jaipur, we have just added Taj Amer with the largest banquet hall that we will have in our Taj system , so despite having Rambagh Palace and Jai Mahal Palace and Devi Ratn and all the hotels. So, our strategy in these key markets in India is to own them. We will be the largest players in all these markets in number of hotels, not necessarily maybe in number of rooms because we are not in the business of taking rooms to a bank account. We want to cover the micro -markets and the macro -markets within these metros to the extent possible.

So, if we look at, let's say, Mumbai, we will be opening very soon this year in Vikhroli a project. We opened a Vivanta in Navi Mumbai. We have the Taj Lands End. We have the Taj Mahal Palace. We have the Taj Santacruz. We have the President. So, we have Ginge r in Andheri Teli -Gali. We have the Ginger in Mahakali. We have the Ginger in Goregaon. We are opening a Ginger in Santacruz. And the journey will not stop here because these are very important markets. The commercial capital of the country and the nationa l capital we will keep seeing more and more growth, and that was the entire purpose of creating comprehensive brand management and focusing not just on Taj, but also on other brands so we can get into the depth and the breadth of the market.

So, given this thing on the growth as well as on the other question that you said in the middle of the segment, it will also keep moving towards left as it matures , you know it takes time to mature. So, we will keep nurturing our traditional businesses and keep growing them through market share, through clever asset management . And the new businesses, we will keep scaling them up, so once they become mature, we start adding further new businesses. So, that is the strategy which

we have communicated, which we
will have also in more depth and detail during Capital Market Day.

And when it comes to margins, you know margins is a combination and I will let Giri to add to that is the operating leverage on the left side , what you see on Slide #38 and on the middle, also the ma nagement fee business, the asset -light model. So, if you look at like let's say one parameter or one variable, corporate overhead. Our corporate overhead from 8 .6% of total revenue has gone to 5.8%. Now there is no reason this will go up again , despite increase in salaries, despite increase in number of people because we are becoming more and more efficient. So, I think margins, we will definitely remain within the guidance that we have given of 33%. Q3 and Q4 will have higher margins. Q1 and Q2 will have l ower margins. So, the blend of it should always keep us in line with 33% or ahead of 33%.

Giridhar Sanjeevi : Now just building on it , I think see the heart of our strategy is the diversification on the top - line, actually. I think other hotel chains just ha ve The Rooms and Food & Beverage , which is where Analysts sort of start focusing in terms of RevPARs and all of that. I think there, I would sort of say that we have always differentiated and done better than the market in terms of RevPAR across cities actually. So, therefore, irrespective of the market, we will do better. That's number one.

Number two, the asset -light growth, which is what we spoke about on Ginger, The Chambers, the Qmin, amã, the management fees , I think they will continue to be very strong actually. And so this diversification of top -line is re ally the core to our strategy, coupled with the productivity on expenditure actually. And any margin that 33% margin that we talked about is really very healthy actually.

So, I think , we will, as Puneet just said, we will be within the guidance of 33% and we will continue to progress our strategy and execution to ensure that we have a healthy growth in

top-line, absolute EBITDA growth and the PAT growths actually. So, that's the way we look at our business.
Taj SATS, I think, has done extremely well in term s of number one , the opportunity, which is there in the Indian ecosystem with the growth in passenger traffic and the doubling of airports, which is happening , there is a huge opportunity in terms of how the growth in Flight Kitchens is happening. That's n umber one.
Number two is the whole synergy with the Tata Group in terms of Air India, AirAsia, and Vistara . So, therefore, these are opportunities where we will continue to be the beneficiaries actually.
The third one is that the growing Indian business also means that there are a lot of international flights is also going up , and we continue to take an increasing share of the international business as well, which is adding to profitability, actually. And so, we will continue to grow in terms of opening up Kitchens in new areas, like Amritsar w e was shut about five years ago , we reopened this year actually and it is already profitable, actually.

Third is productivity has gone up significantly, actually. If you take Delhi Kitchen as an example, between the pre -pandemic period and now we have improved productivity by more than 50% actually. So, I think productivity of Kitchens is also going up.
And finally, I would sort of say is that business model changes ar e coming, where our partners, SATS, is setting up a Central Kitchen in Bangalore, where I think the business model will change towards producing food in bulk and transporting to the other kitchens that we have. So, what that means is it going forward in ab out two, three years' time we will not need the big kitchens in Bombay and Delhi in terms of sizes. They will receive the food from the Cen

tral Kitchen and they will become the repackaging kitchens, which means that should also help in terms of driving cost down actually.
So, I think there are a number of factors at play which ensures that the trajectory of Taj SATS is going to be very significantly high, actually.
Moderator : Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.
Sumant Kumar : So, my question for U .S., UK business and we have seen in FY '23 occupancy is still lower , and the recovery is lower . So, can you talk about going forward can we expect the occupancy what we have seen in FY '20, say for U .S. 75%, in FY '23 we have 59% only; and UK 79% in FY '20 and we have a 71% in FY '23. So, can we reach the FY '20 level occupancy for these two geographies?
Puneet Chhatwal : Sumant, we will reach here and also Cape Town, we will do better. We can already say tha t April for London has been a very strong month, better than any April that we have seen before. So, I think also because of the coronation of the Royalty , what is happening, so there is a lot of activity in London and slowly, markets are usually efficient and they go down, but they at least come back to the level they were, but I do expect U .S. to do much better and also for London to do much better because of the investments we have made and are making in these properties , in their repositioning . And 59% occupancy for the largest lodging market in the world is a very low level. So, these markets are used to operating at 75-plus, and that's why I also feel the best is yet to come as these hotels with the income that they have in Dollars and Pounds , multiplies man ifold in Indian rupees when we report. Also, when they are not doing well, like they have not done as well in last year, they tend to understate what our normal result would have been.
So, in a way, it would be fair to say that that is a hidde n potential for us and especially even Cape Town, albeit small, but we took over 100% ownership of Cape Town at the peak of COVID. And the third wave, the Omicron started in South Africa. So, the first 6 months of last financial year were more or less like a washout for Cape Town. All these hotels should do much better in this quarter and the next quarters to come.

Giridhar Sanjeevi : Just building on it, Sumant, I think if you look at U .S. while you highlighted the occupancy of 59% I think, remember that '22/'23 was the year which was the first year after the COVID . And therefore, we were more cautious also and we drove a rate -driven strateg y the ARR did gr ew by 25% because the more you open up the hotel the cost would have gone up, so we wanted to drive the rate strategy . But now I think with the COVID behind

us I think what is happening now is that we will drive the occupancy as well. And bear in mind that the banquets did not fully kick in , in the previous year. The banquets will start kicking in fully thi s year. So, a combination of driving occupancy, banquet improvement, all of these should help, is what I would say actually .
Sumant Kumar : Talking about Rajasthan FY '20 occupancy was 52% and FY '23 was 51%. So, do you think this is a normal occupancy for Ra jasthan market?
Giridhar Sanjeevi : I think, see, what we have not seen is really the benefit of the international passenger as you know. I think Rajasthan with the palaces truly depend upon the international passenger , and I think that has not come in . And that going up should certainly help in terms of driving the occupancies in Rajasthan, actually.
Sumant Kumar : The last question, the Kolkata we have seen a significant improvement in occupancy, but rate increase is minimal compared to other markets , any specific reason for that?
Puneet Chhatwal : See, Sumant every market will not move at the same speed and pace . There are different issues i

n different markets. So, if we look at places around Kolkata, like Chia Kutir we opened in Kurseong, Darjeeling area , it did very well because that was a great place to go to, and it got very well established , similarly we will be opening this year in Gangtok, the Taj in Guras Kutir. So, there are different markets and different , and the beauty is how hedged is your portf olio. So, I think Indian Hotels, can not only by different brands, but by being present in 125 plus locations, in being all the metros but also in the Tier-1, Tier-2 cities, but more importantly having a healthy mix of resorts , you know t he number of resor ts we have, have really helped us in the last few years and we want to maintain that strategy. Sometimes, you know let's say Odisha which hosted the World Cup Hockey, was going up and maybe if there is no World Cup Hockey, it will for six weeks or eight weeks, the revenue start going down. So, there are those one -off events. There are elections. There are so many thing s that keep happening in the marketplace, but all in all, most of the metros are great. The Air Show in Bengaluru does not happen every year. One year, it takes it up. The next year, it brings it down. But generally speaking, India remains a very strong market, because the demand is stronger than the new supply that is coming in.
Moderator : Thank you. Next question is from the line of Prateek Kumar from Jefferies India. Please go ahead.

Prateek Kumar : My first question is on the supply additions , so based on pipeline dat a which you have given our room count or supply for Indian H otels growing a t 10% CAGR over the next four years. How should we understand this in context of mid -single digit supply growth for industry? We hear that some of the larger industr y peers also appear to be adding a t a good pace. So, is this like Top 10 players are adding at highe r than industry supply and smaller players unable to add pipeline?
Giridhar Sanjeevi : Yes, I think fundamentally, the question is that we are adding supply 10% every year , in the context of industry supply growing at less than 10%, his question is that , are the bigger players taking a bigger share and s o he wanted some color in terms of our supply growth versus industry supply growth , Puneet, actually that's the question.
Puneet Chhatwal : Yes, we said that we have an industry -leading pipeline and there was a time when others used to say they are larger, they are larger , those tones are gone, because nobody is signing more hotels or opening. Even the signing is not important , it's opening , that is the key. And when we said we are opening almost , we have opened 16 hotels last year and we will be opening anything north of 20 hotels this year that gives a good flavor of what is about to come , and what is about to c hange . And we see no reason about the openings slowing down because 73 hotels in various stages of development to open over the next three years is a very big number. And this does not include any possible conversions which we will get , that means existing hotels which gets re -flagged or rebranded.
So, I think we are in a very good space and that is the dominance that was needed and also a proof that why going multi -brand instead of, there was a top five , six years ago, we should be only doing Taj. Why that multi -brand strategy in a heterogeneous landscape is a big boost to us and also a big boost to the hospitality landscape in India , because we are the largest hospitality ecosystem so we have to take that leadership position, the ownership and drive these businesses forward.
Giridhar Sanjeevi : And you see Prateek the growth, the momentum is only going up. Historically, we were opening around 2,000 rooms per year. But now in '23, '24, we expect 2,300 plus rooms and nearly 3,000 rooms in '24, '25. And so therefore, this

momentum of room openings will
definitely g o up actually.
Prateek Kumar : And my second question is on ARR. So, on a standalone basis or overall in an operation basis, I mean, we ended the year on a very high base and multiple rounds of pric e hikes or ARR hikes it happened during the year, probably June then October then February. So, like because of very strong -- is it like from a modeling perspective is it like okay to assume like high single -digit kind of ARR growth for next year or maybe low-double digit?
Puneet Chhatwal : See, as long as we have good base of demand, which we have today, there is no reason why ARR should not keep growing. See, ARRs have not grown in the last 10 years. They have

only grown in the last year. So, if we took 2 012 as a base the ARR and take 2011 and 2012 as the financial year as 100 then there was a continuous decline in the ARR because of the imbalanc e in supply and demand. This has become healthy in the last year and the expectation is based on a report of I think HVS ANAROCK , that should reach at the level of 125 versus '11, '12 as a base.
So, if the market reaches 125, we are very confident of doing 130 or 135 with '11, '12 as a base, because of the power o f our brands as some of your colleagues have written also about it, but also very important is our loyalty driven revenue is increasing very much. The Tata Neu is beginning to settle down and establish and is growing . So, Tata Neu, and we are the founding member of Tata Neu, is beginning to assist us so getting base business through our normal channels, through airline cruise, through contracted business, through Tata Neu business, gives us the base so that we can indulge in better comprehensive revenue management to yield much better rates and occupancy. So, we are very optimistic on that front.
Giridhar Sanjeevi : Just one build on it Prateek, is that if you look what’s happening is that , with the rise in rates, which has happened, the rates are now settlin g down at a higher level, actually, even in the month of April. So, if you see the rates in Q1, we expect it to be better than what was happening last year in terms of Q1 , because rates have settled down actually. And as we go through the year, if you see what happened last year, the rates kept going up , and the good news is that as we go towards the second half of the year, we have the G20 in September, we have the World Cup Cricket, the momentum in terms of weddings, and all of those should actually help and with foreign travelers coming up and coming back , I think all of those should help actually . And we will continue to work on those factors.
And the other point, what we mentioned, is that you know again I re-emphasize the point that our top -line diver sification is a big thing a that will continue to play a very big role in terms of driving the profitability in the top -line, actually. And as I repeat again, the story of Indian hospitality is a story of penetration and people tend to look at -- like airl ines, actually .
Prateek Kumar : So, another question was on Tata Neu only. So, where are we in terms of our customer base on Tata Neu at the enterprise level? And I think like a steep marketing activity around Tata Neu and during IP L this year, how do we see that over FY '24?
Puneet Chhatwal : We are very pleased that this is coming as a big boost to our business. On our own, I doubt if we would have been able to develop a Loyalty Program with that kind of capital that is needed and the kind of following it can get , with Croma, with Big Basket, with Titan now coming on board there are so many other brands that I expect Tata Neu to become a very strong player in the next 12 months to 18 mon ths. And the stronger Tata Neu gets the bigger will be the benefit including t o Indian Hotels especially we have just now on -boarded also

Ginger with the technical upgrade that was needed to be linked to Tata Neu. This is only like six weeks ago.
So, I think these kinds of businesses will benefit a lot. Qmin should benefit a lot from Tata Neu; amã will benefit a lot. So, a lot of this earning and burning in various areas will happen. Of course, first the budget businesses will benefit more , and the luxuries become more aspirations, so that will take some time. But we are very pleased our loyalty base has doubled in the last 13 months.
7th of April last year was when Tata Neu was launched , so it’s not even 13 months. So, it’s a little less than 13 months. But yes, there were some startup issues which is normal when you try to combine so many companies and businesses. But we are very pleased and very optimistic about the outlook, about the contribution that Tata Neu is going to make and we work ed very closely with the Tata Digital team in making things happen and making

promotions happen , and making campaigns happen, marketing campaigns, and how to keep improving this platform, because it's a big win -win for all of us.
Giri, I answered in between. There was a question on Tata Neu. And w e have had, I said, doubled our loyalty -based active members in less than 13 months . And our loyalty -led revenue is almost 20% of the enterprise -level revenue, not the reported, but the system - wide or the enterprise -level revenue . And we remain very optimistic and very pleased with the way Tata Neu is evolving and assisting us in our business.
Moderator : Thank you. Next question is from the line of Nihal Jham from Nuvama. Please go ahead.
Nihal Jham : My first question was that given there has been such a strong s urge of domestic travel and international is still recovering , is there a case the seasonality in the industry starts getting a little more normalized or you expect that as international travel comes back, that the Q3 and Q4 quarters will still remain the biggest ones , significantly versus say the first half of the year?
Puneet Chhatwal : Nihal, I think with World Cup Cricket, with the peak of the G20 which will happen in September, October, and very strong robus t demand on weddings that is not only business that is getting booked in advance with so much of lead time. There is no reason that makes us feel today that Q3 and Q4 should not be as strong as they have been in the previous financial year. And I actually feel it will be even stronger because of these one -off events that are happening . And we, as a sector on the various platforms, that I sit on, whether hotel association or CII, etc., which I chair, the general consensus is that based on the quer ies that most of the travel agents are getting , is that the foreign tourist arrival is expected to go back to '19, '20 level as of October.

Nihal Jham : It is also in relation to, given the journey from Q4 to Q1 there is a certain percentage drop that we see. Would it be the case that wouldn't play out in the coming years as domestic tourism is strong , and travel is strong , and maybe that kind of a jump back doesn't happen , because the FTAs in Q4 were not as much. So, that demand going away is not going to weigh as much of an impact as what has been historically?
Puneet Chhatwal : Yes, you are right, Nihal. Actually, I don't know if it's a statement o r a question, but whatever it is, I agree with what you said.
Nihal Jham : The second one was that on the new initiatives , you did mention they are asset light, but you mentioned that some part of the free cash flow will be used towards them. I am assuming it will just be minimal spending or there is something more on a larger scale ?
Punee t Chhatwal : No, minimal, minimal expense. We are not looking into some big investments. But of course, these busin

esses have been done through just incremental cost and incremental revenue model. So, let's say, if you want to build 10 to 20 amã, then each amã cost Rs. 5 crore, so it's not a big amount , it's a good investment , as in five years or seven years, the cost of each of those villas will double , and we don't have to buy land , we are sitting on a lot of land banks.
As an example in Taj Exotica in Goa we have the ability to build more. There are so many other places where we have FSI available and we can build . And that we would have to do on our own so that we don't dilute, but we can also enter into some kind of development agreements with developers, builders in a sale and leaseback model. Up till now, our model has been purely fee -based model , and we have not added any kind of operating lease or ownership model on any of this. So, it's all driven by that and that's why it drive s 50% plus margins on these businesses , but if we want to scale it up, we will have to, and we want to scale it up. We will have to make some sliver is maybe the right word, sliver investments into some of these businesses , in key strategic locations, and also help on our asset management because we have the assets. We have the land banks; we don't have to go and acquire the land.
Nihal Jham : Just a final question from my side was that we see now , we are getting aggressive again on the international expansion side with the Dhaka expansion , and I am guessing all that is on management contracts side. So, just as an initiative going forward as you look at other Southeast Asian cities , and I am guessin g multiple other parts of the world, this will be mainly via MC's right?
Puneet Chhatwal : Yes, operating leases or management contracts, there is no , we are not going to enter into single asset acquisitions as we speak, unless there is one big exce ption for some reason that we don't know of today. It's like a black swan event , on the negative side. On the positive side, something comes up which makes so much sense to buy th an you will buy it, right?

So, but those are one -offs, and a normal business plan strategy which we will communicate more in the Capital Market Day. We have no plan to acquire assets.
Moderator : Thank you. The next question is from the line of Vikas Ahuja from Antique Stock Broking. Please go ahead.
Vikas Ahuja : Just one clarification, I mean what the portion Nihal asked on seasonality so from Q1 to Q1, Q4 to Q1, we normally see a drop . So, what I could make out from your statement that the operating drivers as far we have achieved in Q4 is it a possibility that we might a chieve something similar in Q1 as well? However, when we talk about the second half, there are enough levers like World Cup in there to boost it, to take it to another high levels , is my understanding correct or I have misinterpreted it?
Giridhar Sanjeevi : Vikas, I think what's happening is that the Q1 momentum as compared to Q1 of last year is very strong, actually, based on whatever we have seen in the month of April and May. So, that continues to be very strong. So, we will show some good growth in relat ion to that, so therefore, I think Q1 is going to be pretty strong. So, that's number one. Q2 visibility at this point of time is weak, but as we go into the second half of the year, weddings visibility is beginning to pick up, the G20, and the World Cup, as I said, will pick up, the foreign travelers coming in will happen actually. So, therefore, I think, if I look at this year, I think we should have a good year, is what I would say.
Vikas Ahuja : And secondly, when we talk about the U.S. business, I know you have answered that in detail , but the drop you have seen this quarter especially on sequential, is it largely on seasonality or some part of macro also played out?
Giridhar Sanjeevi : I think typically

the Q4 is actually a weakest quarter yes and for th e U.S. in particular, actually , Q4 is usually the weakest quarter and winter, it's the winter, and therefore I think banquets don't happen and the occupancies don't happen. And therefore, to that extent, I think seasonality played a very big role. But othe r than that, I think this year, if you look at it in terms of what I answered earlier, in terms of improving occupancies, driving the banquet businesses, should all help us to grow the U.S. business. If you look at the cash loss position in U.S., if you look at the exceptional statements and then stand -alone, you will notice that the pre -pandemic losses are about Rs. 69 crore and that came down to about Rs. 22 crore. And I think what we are looking at this ye ar, is to make sure that we will be cash breakeven on an operating basis. Bear in mind, in '22, '23, the U.S. was EBITDA positive actually. So, hence, I think the U.S. should do much better this year than the previous year actually. And Chambers, as Puneet also said, Chambers is coming up. So, there are a number of things that we are doing which will ensure that the U.S. does much better this year than last year.

Vikas Ahuja : And just to clarify, you said that the drop sequentially was all because of season ality and there was nothing you know macro led or cancellations ?
Giridhar Sanjeevi : Yes that is correct. I think, yes, Q4 historically is a seasonality factor because of the weather .
Vikas Ahuja : And finally, one bookkeeping, in terms of the corporat e overhead, we have seen a 300-basis point reduction since pre -COVID. Do we think there is more room there or largely we are done especially on that front?
Giridhar Sanjeevi : I think the way to look at corporate overheads is that now the corporate is now m anaging a network which is significantly higher than what it was in the pre -COVID period actually. So, therefore, while some absolute costs may go up, and rightly so because of investment in say IT or investment in marketing, from a productivity perspectiv e that 5.8% that we talked about is the kind of numbers that we are looking at. So, productivity will remain at around 5.8% of top -line. Some absolute costs may go up because of the growth in the network , which is happening actually.
Moderator : Thank you. Next question is from the line of Karan Khanna from Ambit Capital. Please go ahead.
Karan Khanna : My first question, just talking about your international expansion. So, most of your recent management contracts have been centered around the Asian cities. B ut Puneet, given your background are there any plans to enter the European market also? And second as a follow - up, how are the contracts in the international management contract structured versus the domestic market, because there you are competing with so me of the larger global hotel chains?

Puneet Chhatwal : So, our international contracts are oriented towards two things Number one, the areas where there is an Indian diaspora, and that's why Middle East has been very strong actually. Dhaka also plays to that because it's part of the subcontinent. And in the future, we do look at opportunities in say Southeast Asia, U.K ., for instance, I think we can take more hotels beyond London, for instance, in Edinburgh or in Birmingham or Glasgow , I think possibiliti es are there.
As far as Europe is concerned, there are interesting possibilities which come because of the Air India, Vistara flights which go there actually. For instance, the TCS has got significant operations. Tata Steel has got significant operations. So, there are certain cities, for instance, where a combination of Tata Group preferences as well as the flights of Air India and Vistara are going to create opportunities for say 150 -room hotel where the base occupancies can come from this business itself actual

ly. So, we will continue to explore,
Karan.

Karan Khanna : And my second question, in the last Capital Markets Day, Giri, you spoke about looking to make the corporate holding structure simpler . So, if there is any development over the last one year on the same that you would like to share?
Giridhar Sanjeevi : No, nothing, no developments and I think this is an area which we continue to work on. As you know, we have complex partnership structures in different entities and we continue to engage in terms of, with the partners in terms of possibilities. And I think we will advise as soon as we kind of have an alignment with any of these partners. I mean it's really what Oriental Hotels and Benares Hotels and PIEM , I think these are the three main entities where we need to work on. And I think we will come back, guys , we will come back, Karan, as and when we kind of have an understanding with any of these people. I think for the last six years that I have been there; I think we have all been talking actually . So, we will see.
Karan Khanna : And lastly just continuing from one of the previous participants, just talking about the Delhi micro market, Aerocity , there are a bunch of new hotels that are opening up over the next two years to three years. So, are ther e any active discussions that you are having in terms of signing management contract in that market?
Giridhar Sanjeevi : Not yet , but you know what, I think that's an area where we will continue to look, actually. And if there is a development we will advise. At this point of time, I would simply say that we are focused on where we are, and as Puneet said that those are cities, Delhi, Bombay are cities where we will continue to have significant opportunities and we will continue to expand, actually. We can't have enough in these markets, actually.
Moderator : Thank you. Next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.
Pallavi Deshpande : Just wanted to know, since you mentioned at the beginning the demand exceedi ng the supply. So, how long does this cycle run, do we have three to five years more in this cycle to run here given that we recognize it's a cyclical business? And the second question would be any guidance on ROIC, two to three years down?
Giridhar Sanjee vi: Let me answer both the questions, so the first one is that if I look at the India macro, the Indian macro with the 6% plus kind of economic growth and also the growth kind of going beyond the key cities into the interiors, I think basically means that the country is in good shape , that's #1.
#2 W ithin that, the consumption is quite , a consumption theme, I am really excited about. You may have short -term blips on consumption, you know what people have spoken about K-shaped recoveries, and all of those actually, but nevertheless, if you look at the demographics and the long -term consu mption trends, they are very intact, actually. The younger people are spending. The baby boomer equivalent in India are also spending

because they have become empty nesters actually. And longer term if you see, one of the things that they speak about in th e U.S. is that in the next few years, once the baby boomers pass there will be one big wealth transfer to the younger generation, and you will see that in India as well. Therefore, I personally believe that the long -term trends are going to be extremely st rong on consumption, actually. And therefore I think I would come back again, I repeat, is that a story of hospitality comes back to the penetration actually and hence, very confident in terms of that.

As far as the RO CE is concerned, as you have seen, ou r growth is largely coming through what you say the asset -light growth. And in terms of capital allocation strategy, we have spo

ken about it in some of our meetings. Basically, there are three or four elements to our capital allocation strategy. Number one is that we do want to maintain a certain strateg ic cash reserve for any eventualities like another COVID, GST, or demonetization, actually. And that I think, at this point of time, we are saying will be about Rs. 750 crore. That's the first part.

The seco nd part on renovations is that we have largely inten t to make sure that renovations are in line with our depreciation , that is the second part of renovation, and that also helps us in driving profitabilities because these renovations in existing properties help to drive asset management actually.

The third is the greenfield opportunities where we will either construct as Puneet was saying in terms of where we have land banks or the new projects that we have signed in Lakshadweep and Kevadia and others. So, there will be some capital which will go towards greenfield, but in greenfield projects, we are open to take projects debt especially in the new era of ESG , we will probably take some sustainable debt so that is something that we are open with , that's the third part.

And fourth, is really the dividend thing. While we have not yet announced a dividend policy linked to PAT, but you have seen that the dividend has jumped to Rs. 1.00 a share and the payout this year is approximately I think 17%, if I am not mis taken, in terms of the standalone PAT and about 15% of the consolidated PAT. So, I think the capital allocation policy will continue to be there. And hence, the reason I am mentioning this capital allocation policy is that this ensures that we use our cash well, and therefore driving up ROIC.

And of course, the other question that Karan asked in terms of simplification, as and when those happen, those also will help to drive efficiencies on the balance sheet. So, that's the way I would kind of answer. So, I think RO CEs are definitely improving and with sensible capital allocations, this will continue to do well actually.

Pallavi Deshpande : I understand on the consumption side but on the supply side, we have seen spate of, not in the five star, but more in t he four and threes, maybe where Ginger is , the spate of signing agreements by our competitors in terms of they are also going the asset -light manner and the industry seems to be heading towards that. So, just on the supply side, do we have any concerns? Is the competitive intensity increasing?

Giridhar Sanjeevi : No I think India is a very big market. With India being a very big market, I think it is not a winner -take-all market. I think what is good is that we are leaders as Puneet pointed out. We have been leading in terms of signings and openings. And I think in the three -star category, Ginger kind of category that you spoke about, the opportunities are even greater actually, in terms of supply because you don't need an outstanding location for Ginger or that category of hotels like you need in Taj , you f undamentally, you need a sensible business location, and the possibility of conversions are very much there.

See, what has happened especially because of COVID . See, I think you saw an unbranded standalone hotel, your ability to access marketing is very difficult. So, therefore, many of the smaller hotels are actually aligning themselves with one of the branded chains so the opportunities for conversion are much gr eater there. And hence, I think we don't anticipate a challenge. Of course, while the supply shortfall is there, I think of course supply shortfall will never be a perennial factor. And I think as the industry is doing well, that gives them motivation in t erms of people to start putting CAPEX and start a kind of investing and that will also happen.

Right now, of course, the new capital investment in hotels is kind of still low, bec

ause bank
balance sheets, banks are also sitting on debt with the companies a nd some of the, what do you say the extra, what you say Emergency Credit Lines , ECLGS, will kind of running out this year. But I think eventually supply will come, institutional capital and supplies will happen, and at the lower end, you will see a lot mor e conversions, and we will continue to lead, is what I would say. India is a big country.

Moderator : Thank you. Next question is from the line of Anushi Vakharia from BP Wealth Management. Please go ahead.

Anushi Vakharia : I just wanted to understand the m anagement contract a little bit better. Like in your previous conference ca ll, you had mentioned about how amã stays and sales we have a 15%

management fees or 15% fees plus a 3% marketing costs. So, can I just understand the overall portfolio level how do es this work and yes just a clarity on that?
Giridhar Sanjeevi : Yes, sure. As we have always said, if you look at the typical management contracts I think there are really three components which is really the base fee, the incentive fee, and the reimbursem ents. Between the three components, I would say it's about 6% to 7%, in terms of the total and that is the pattern which continues.

Amã is a different business where I think where these are really marketing arrangements and these are small properties actua lly. So, we do charge 15% on management fees and another 3% in terms of marketing pass-throughs so that continues. So, there is no change in any of this at all , no change at all .
Anushi Vakharia : So, this 6% to 7% fees that you have mentioned for all your properties like Taj and Ginger, whichever you open it to through the management contract model, and what is these fees based on exactly . So, I just want to understand the model a bit better?
Puneet Chhatwal : In Ginger, we do very few management contracts. We only do, we mostly do operating leases we have fully fitted leases, because Ginger in a hundred room property has a top line of say between Rs. 7 crore and Rs. 10 crore as an example. Now when you do a management contract in Ginger, what happens is that the fee is Rs. 40 lakhs, Rs. 50 lakhs; and Rs. 40 lakhs, Rs. 50 lakhs is a small fee amount in a context of a small top -line. So, what we prefer to do is to take the whole P&L, so when we take a whole P&L of say Rs. 10 crore, and even if you pay 20% in te rms of say 20%, 25% in terms of say the lease charges to the owners, the balance, you still end up making significant money. So, it is not Rs. 50 lakh that we will make we will probably take around Rs. 3 crore or so and that is really the model that we are adoptin g in Ginger, I mean that's what it is.
And other places, Taj and Vivanta, we will take management contracts, but in Ginger, we don't take, I mean except unless it's a bigger property like the one which is coming up in Bangalore Airport , Ginger is about, I think, 150 rooms plus, if I am not mistaken. There, I think we are doing, I think it's 200 rooms hotel if I am not mistaken. I think there we are doing a management contract. But other than that, we don't do management contract in Ginger.
Moderato r: Thank you. The next question is from the line of Rajiv from DAM Capital Advisors. Please go ahead.
Rajiv : On slide #37 you used to provide this fixed cost as a percentage of revenue , can you help me with that number , what is that for the full year?
Pune et Chhatwal : Fixed cost as a percentage of revenue, I don't think I have it immediately, but maybe we can take it offline and sort of talk about it. I think today, I think we are more , which slide #37, you are talking about slide #37, just a minute. So, maybe, 37 is the margin, 37 is the margin slide.
If you look at this slide, see the raw material cost is totally variable. The payroll cost is the fixed cost and that absolut

e s ums have gone up, but the productivity is being maintained.
And other operating costs as an element of both variable and fixed, because --. See fundamentally what's happening is that with the level of operations significantly g oing up,

obviously, absolute costs are going up, but within that, what we are trying to m ake sure is that our productivity is maintained. And as you see from the chart s at the end, the staff -to-room ratios are also being kind of protected without compromising service quality. So, that's the way to look at it. But if you need more color on fixe d costs, maybe you can speak to Neha and Rupesh and the team subsequently, and they will be able to clarify.
Rajiv : And Mr. Chhatwal actually mentioned about Rs. 100 crore in a stable state revenue of Ginger, Santacruz. What is the F&B to let's say room re venue ratio for that hotel as compared, I mean what you are targeting as compared to, let's say, a regular Ginger?
Puneet Chhatwal : See, Ginger will continue to be an accommodation only game . But because it's a 371 -room hotel, it will have one small banque t hall . So, which means that I don't expect a of Rs. 100 crore top -line, F&B to be more than around 20% or so, 20%, 25% as opposed to the typical 45%, 40%, 45% that we have . It will largely be accommodation driven. And since it's going to be accommod ation driven the room profitabilities are very high.
Moderator : Thank you. The next question is from the line of Nikhil Agarwal from VT Capital. Please

go ahead.
Nikhil Agarwal : Just had one question , your operating expenses have increased quarter -on-quart er, so just wanted to understand like why was that and was there some one -off or do you see this to continue in this range going forward as well?
Giridhar Sanjeevi : So, if you see the Q4 standalone number whereas the other expenses have gone up by Rs. 20 crores, also look at the top -line and standalone which has gone up at Rs. 70 crore actually. And therefore, it is link ed largely to the growth in revenue. And I think in Q3, there w ere some reversal of Rs. 5 crore on one -line so there is a little bit of a one -off, but other than that I think the increase is proportionate, it has gone up because of operations and that one one -off of Rs. 5 crore, which was reversed
Giridhar Sanjeevi : I think, if it's okay w ith you all, I would like to thank you all and conclude this conversation. As Puneet mentioned and as we have outlined on this call, I think we are coming off an excellent year in terms of all -round performance. And as we look ahead we believe that the macroeconomic conditions, the hospitality conditions in terms of demand -supply is strong, consumption growth I think all augers well. We will continue to adopt a differentiated strategy, especially when it comes to diversification of top -line and productivity and cost to ensure that we will be better than the market, our balance sheet strategy is also robust in terms of capital allocation.
So, we look forward to this, what do you say, the future with confidence. And I think Rs. 10,000 crore of enterprise reven ue, Rs. 1,000 crore of PAT, Rs. 1,000 crore of free cash flow was what we kind of demonstrated in the year that just passed. I would just conclude

by saying, 'expect more .' So, look forward to continuing the conversation. Thank you all for joining us this morning.
Moderator : Thank you very much, sir. On behalf of Indian Hotels Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Aug 2023

August 1 , 2023

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza
1st Floor, New Trading Ring, Bandra Kurla Complex
Rotunda Building, P. J. Towers, Bandra (E)
Dalal Street, Fort, Mumbai 400 051
Mumbai – 400 001. Scrip Code: INDHOTEL
Scrip Code: 500850

Sub: Transcript of the IHCL Earnings Call for the quarter ended June 30, 2023
Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the IHCL Earnings Call for the quarter ended June 30 , 2023 held on July 27, 2023.
The above information is also available on the website of the Company at:

https://investor.ihcltata.com/file s/IHCL_Analyst_Call_Transcript -Q1_FY_2023 -24.pdf

You are requested to kindly take the same on record.
Yours sincerely,

BEEJAL DESAI
Executive Vice President
Corporate Affairs & Company Secretary (Group)

Encl: a/a

"The Indian Hotels Company Limited Q1 FY 2023 -24
Earnings Conference Call"

July 27, 2023

MANAGEMENT : MR. PUNEET CHHATWAL – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , THE INDIAN HOTELS COMPANY LIMITED
MR. GIRIDHAR SANJEEVI – EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER , THE INDIAN HOTELS COMPANY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Indian Hotels Company Limited Earnings Conference Call for Q1 FY 2023 -24.
On the call we have with us Mr. Puneet Chhatwal - Managing Director and CEO, IHCL; and Mr. Giridhar Sanjeevi - EVP and CFO, IHCL.
As a reminder, all participant lines will be in the listen -only mode . There will be an oppo rtunity for you to ask questions after the management commentary . Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Puneet Chhatwal. Thank you, and over to you, sir.
Puneet Chhatwal: Good evening, everyone and thank you for joining our global conference call for Q1 '23-24.
To begin with, we are extremely delighted to inform you that Taj has once again been recognized as India 's strongest brand across all sectors for the third time by Brand Finance in last four years. This achievement is a testament to our commitment to excellence, customer centricity and innovation. We are grateful to al l our patrons and our colleagues who have made this possible. Also , Rambagh Palace , Jaipur has been rated by TripAdvisor as the world 's number one hotel in the 2023 Travelers Choice Awards. On this call, I would like to just present to us seven key takeaways from the quarter that has gone by .
So, let me start with the macro on the India story being the number one. As you all must have read IMF has recently raised India 's growth forecast from 5.9% to 6.1% citing robust growth, driven by domestic inves tment, India 's per capita GDP is expected to more than double in the next 10 years, leading to a surge in disposable income driving higher discretionary spends, which will directly benefit the travel and tourism sector. The government's focus on developing infrastructure and destinations and mission mode is yet another key positive for our industry. With more than 80 new airports expected in the next five years connectivity and thus tourism is bound to significantly improve . Hospitality up cycle continues w ith hotel demand growth continuing to outpace supply. And we believe that this is a trend that is going to stay with us at least for a few more years. Indian Hotels with industry leading growth, profitability, balance sheet strength and brand scape is well positioned to benefit from the macro and industry tailwinds.
On the number two takeaway , Indian Hotels delivers best ever Q1 , we are very pleased to share that our record performance has continued in Q1, making this the fifth consecutive quarter o ur best ever performance for IHCL. Our consolidated revenue grew 17% year-on-year to 1516 crores , we always report as a listed company our consolidated we don 't report like other global majors' system wide or what you call enterprise revenue if we had to say that then the growth would be North of 20% . EBITDA growth 13% year-on-year to Rs. 459 crore, yielding EBITDA

margin of 30.3%. More importantly, our PAT grew by 31% to 222 crores , we delivered robust performance across all our brands, and dem onstrated RevPAR growth year-on-year across our brands in the 15 % to 16% range.
The third key takeaway for us is our portfolio growth. Our growth momentum continued during the quarter. In Q1 23 -24 we signed 11 new hotels and opened five new hotels . Of the 11 hotels signed almost seven are conversions or brownfields so that you can expect these to open within a period of a maximum of 24 months. Our endeavor to maintain the space as well as the guidance that we have given, opening +20 hotels in this financial year 23 -24 stays as communicated in the past during our capital market day. We continue to envelope India and

are present in (+125)
locations across 31 states and union territories. Our diverse brand scape enables us to be present in every geogra phy, in every segment and at every price point, thus giving us greater degrees of freedom, as well as resilience.
The fourth point that I want to take up one of the favorites of my colleague, Giridhar Sanjeevi , CFO, is the diversification of top line with our new brands and businesses, as well as our asset light growth, we are embarked on a journey of diversification of top line. Our asset light businesses ha ve doubled in top line from pre -COVID times and we remain focused on scaling up the new brands, Taj SATS , has been a great success story for us. The company has recorded its best ever Q1 performance, with revenues of 205 crores and industry leading EBITDA margin of close to 25% which comes on the back of 10 percentage point margin expansion over the las t year. With 59% market share Taj SATS continues to lead the Indian airline catering segment which we also call hospitality in the skies. Our Qmin or amã brands have established a stronger customer connect and continue to scale up and as communicated on various occasions in the past this year, we are going to put a lot of emphasis in scaling up these businesses and we expect that

trend to continue over the next year also.
Ginger 's Enterprise revenue crossed 100 crores in Q1 this is also the first time and the Lean Luxe journey of Ginger is yielding results. With a proven and profitable business model Ginger is very well geared to scale up at a fast pace. An d we maintain our guidance of opening the flagship Ginger in Santa cruz in this calendar year, so the expectation is anywhere between 1st October to 1st of November depending on how long the rains and the monsoon period lasts. And we are very much looking forward to opening this property for our portfolio.
Number five is our investment in our brands , assets and capabilities . In line with our objective of long-term value creation for all stakeholders as I just now said, we continue to invest in our brands , assets and capabilities. To aid the Lean Luxe journey of Ginger we are investing in the renovation of seven hotels, which will take the Lean Luxe portfol io to 70% from the total portfolio by the end of this financial year. We have launched J Wellness Circle, which used to be previously called Ji va. As our holistic wellness brand and the reimagined value proposition aims to capitalize on the wellness mega trend. They have also reimagined and scaled up our food and beverage brands. Examples include House of Ming in St. James Court in London , Rigs in

Taj Mahal Hotel , New Delhi and we are also reimagining our Taj C lub proposition. In addition to brand building, we continue to invest in our assets which will result in not like-for-like growth. We have multiple hotels coming back online post renovations , including Taj Mahal , New Delhi which has been fully renovated or let 's say 95% renovated a part of the facade and one outlet is left and this is also happened actually in early Ma y. So, April was not the case, we got the rooms inventory back in the month of May. And then we would have fully renovated Taj Usha Kiran Palace in Gwalior which will formally open in the second half of this year. As I already mentioned, the Ginger Hotel at Mumbai Santac ruz will open also in the third quarter of this financial ye ar and we are taking various asset management initiatives in Taj West End which will further augment not like-for-like revenues.
Our new spa in Lands End with another pool and at the roof should open within the next one week. And the new chambers as a heritage block will open in Taj West End. Our food and beverage brand Loya will open its second destination also in Taj West End in the next three to four weeks. All this should further augment the not l

ike-for-like revenues . Simultaneously we
continue to build capabilities . I said brands , assets and capabilities. So, simultaneously we build capabilities to drive direct to customer business. Tata Neu has now become a strong pillar when it comes to customer loyalty with total member base of 4.6 million and 3x growth in active members since the program went live in April 2022. Our direct to customer contribution stood at a healthy 70% in Q1 23 -24.
With that I come to point number six or the six key takeaway that we have had to inform because of the L ODR is the Pamodzi and Frankford transactions. I would like to highlight here that we have not signed or acquired either any asset or signed a contract for a lease. But under the new obligations which have come into force since 15th of July are in pri nciple agreement with at the board level makes it mandatory on us to declare and that 's a declaration we have given . We will advise as and when we would be finalizing these deals and if they at all get finalized, but yes is the preliminary step towards get ting these done. Also, I would like to highlight that Pamodzi is a hotel that is managed by us for almost four decades and we know and understand the P&L and the value proposition of this hotel quite well.
Finally, Paathya our ESG Plus program recently co mpleted one year and we have achieved significant milestone so far with our core ethos of doing business the responsible way. We are on track to deliver our 2030 ESG targets. Finally, we continue to stay focused on executing our Ahvaan 2025 strategy. Thank you so much for your attention and we now open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.
Sumant Kum ar: So, in Q1 occupancy a 74.7 it seems we are in the peak season a nd we have seen in the past pre - pandemic 75% occupancy always comes in the Q3 and Q4. So, can you talk about the kind of

demand momentum we have in the current quarter and the coming quarte r, what is the level of occupancy we can see in Q3 and Q4 ?
Puneet Chhatwal: Sumant, good evening thank you . We are seeing very good momentum including in the month of July till date, I would not like to make what occupancy level we will reach , all I can say is in light of the demand outpacing supply, which was one of the key takeaway I mentioned. And

further demand boosting factors like G20, like B 20, like Miss World Beauty Contests , like World Cup Cricket, and the expectation in general of the tourism sector that the international inbound arrivals will start s lowly getting closer to the pre -COVID level. It's been far behind that level. As of October, and November, we do believe that occupancy should stay stable and the rates should not only hol d actually even increase further in the months that will come and as you yourself said that this kind of figures we were used to more in Q3. There is a general change in the hospitality landscape , in the thinking also of the travelers and India slowly beco ming more a 365 days destination then a destination from October to March that was the traditional way of looking at it .

Sumant Kumar: Okay. Now coming to other expense si de, it has increased significantly and can you talk about when we compare to Q4 or ma ybe the previous year same quarter what are the key changes , what are the key cost component we have seen a higher increase and is this momentum is going to be there for the coming quarter also , the other expense side and also employee cost side , any other accession item also in this other expense ?

Puneet Chhatwal: Sumant as we said during the capital market day , when people wanted us to the questions that came were asked always on the guidance on the margin. I would like

to go back to that and said
the management said we rather increase the top line and have a 33% under Ahvaan 2025 of a larger top line and having increased the top line on an enterprise level as I mentioned to North of 20 because, our management fee business is rapidly scaling up. But not all of that benefit comes when we report consolidated and at the same time we are also on a consolidated basis saying a 17% increase in revenue and getting us cross 1500 cr ores of consolidated revenue in first quarter which never happened in the history already last year was the highest and this year is even beaten that by 17% . I think we are in a very good space and with all the factors that I mentioned before, unless there is a black swan event anything that is beyond the reasonable control of the sector of Indian Hotels , we don 't see any reason why this buoyancy should change.

Moderator: Thank you. We have the next question from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Question was so, occupancies during this quarter both had domestic enterprise level as well as standalone level as we see and like largely stable and very strong. But the pricing for the reasons of seasonality probably has slipped by 20 % to 25% , but while we understand the seasonality is both in occupancy and pricing, but normally this is because the occupancies have remained stable why should the pricing drop by such a sharp number on a Q-on-Q basis ?

Puneet Chhatwal: You're looking sequential and not comparing the same quarter last year. Because if you were to compare the same quarter last year, there is a double -digit growth in the average room rate. And the stronger brands in our portfolio have up to 15 %, 16% so room revenue has definitely increased , the total room revenue has increased by 15 % to 16%. And it 's largely driven by the average room rate. But if you compare Q4 with Q1 that's, or Q3 with Q1 that will not work because the pricing power is the hig hest in Q3 , second highest in Q4 and third highest in Q1 . Although this year, it is quite possible that Q2 would also be very buoyant because of these one-off events which start peaking in the month of middle of August going into September. So, we should n ot compare Q3 or Q4 with the Q1 and Q2 , we should only compare Q1 with Q1 of last year. So, if I look at the Taj brand, the average rate increase versus Q1 of last year is 10%. The average rate increase in SeleQtions and Vivanta combined is 17%. And the RevPAR increase in all these three major brands is for all four is 15%, 16%. So, 15% for Taj, 16% for SeleQtions and Vivanta and 15% for Ginger .

Prateek Kumar: Right, I understand sir . But my question was like, it 's been used by industry to induce demand, is that the case because the demand is otherwise remaining stable why should the , again.

Puneet Chhatwal: Prateek , the change is what kind of business you are getting , the different quality of business that comes in the month of November and December, it is much higher paying, whether it 's because of Christmas, or it is because of New Year, or it is because of some special weddings. Now, because that 's the time you have those especially on the Hindu calendar the dates for the weddings, that 's a very different level of business, whether it 's for us or it 's for buying jewelry, or it's for other disposable income or consumption, I would call it in general is a very differen t level. And this year, some of those dates have been missing in the first quarter.

Prateek Kumar: All right, that makes sense. And just a follow up question on, like you added for like higher than double digit . Sir I was asking , in the analyst day we talked about a double -digit kind of RevPAR growth for FY 24 maybe a low double digit would we maintain that in terms of expectation for FY24?

Giridhar Sanje

evi: I think so , because if you see what we ’ve always guided, is that in the month of , as we guided in the capital market day, the RevPAR increase in this quarter has been about 11% and if you see what happens in Q2, we have the G20 starting in September so we expect you to also to show good performance, and thereafter we have the G 20, the World Cup and all of those coming through. And historically, we ’ve always seen between Q2 to Q3, there ’s been about a 30% increase in terms of how the RevPAR moves . So, I don ’t see a reason why the rates should not go up. And so, it is totally possible tha t the RevPAR growth will be a double -digit growth actually.

Puneet Chhatwal: Also important for us Prateek , is we are a high growth company today when hotels open , then you don ’t achieve the same amount of RevPAR as you have with stabilized properties. So, we have opened five hotels now, last year we opened 13 , we expect to open 20 so as a high growth

company it will dilute a bit. So, you have to look at it as a like-for-like and a not like-for-like growth. So, maybe we will also a s of next time start giving , we have it on the presentation you can see on the like-for-like it is 12%. So, which proves which is Slide #54 on the presentation. So, you can take figures from there, which is higher than the reported RevPAR growth so this is proof of what I just now said .

Prateek Kumar: Right . And my last question on your other cost as percentage of revenue in your presentation you have highlighted two third of increases is variable and mentioned few items like license fees, storage and supplies and number as a percentage has gone from 26.9 to 28.5 on an year -on-year basis. So, anything here , just to understand this better so percentage increase why is this inflation particularly been here?

Puneet Chhatwal: Some is inflation, but some is again in line with guidance with our capital market day, we are doing more marketing activities especially with new businesses, both on the personnel side, we have created a new team for new businesses and we will be aggressively marketing the se businesses going forward we have started with that already now. And it’s the right thing to do that’s what we said in capital market day that we have to look at these businesses in three years from now, five years from now. And maybe 10 years from now what is the potential and as you have all seen yourself look at the journey of Ginger where it was and where it is now. And where it is going with the opening of just let ’s say just one Santac ruz is going to change a lot. So, continuous investment in these new business is important and then we set Qminazation of Ginger, which means every Ginger will slowly g et an all-day dining, and we are already at a score of 20. All day dining, which is called Qmin, so that these brands complement each other. And a lot of those costs, whether we renovate or we do is not all capital expense, it ’s also other expenses , repairs and maintenance expense, whether you are painting a wall, you cannot capitalize the paint . So, there are such examples where we think it ’s the right thing to do, and it’s the right time to do so that we are very well positioned from a hardware , software’s and people ware perspective to take these brands , scale up these brands to the next level.

Moderator: Thank you. The next question is from the line of Achal Kumar from HSBC. Please go ahead.

Achal Kumar: My first question is about the industry su pply growth of 6.7% , as we discussed in the capital market day, I am not sure if it is possible for you to sort of break it into the greenfield, brownfield and the conversion. Also, also not too sure if you can please break it into the further category wise like what was the growth in super luxury category, luxury category , extra. That is year first question p

lease.

Puneet Chhatwal: So, we ’ll have to call some industry consulting specialist, because they track the industry wide data, we can only give you from our own perspective on how our pipeline looks like for example as I just said in my opening remarks that out of the 11 contracts signed in the first quarter seven would definitely open within the next two years. And then I can tell you under which bra nds they would open, but it ’s very difficult, we don ’t track the entire sector. All I can say to you is

what I ’ve heard from some of these big consulting groups specialists specializing in hospitality is 50% of the pipeline is not in the top 10 hotel citie s for India ’s or top 10 metros of India which are important for the hotel sector, a lot of this supply is coming from Tier -2 and Tier-3 cities. And if you have the number, this statement was made today to me by Mr. Thakar of Haworth, please feel free to co ntact him. And I ’ve taken his permission to use his name. So, you can call him and he is compiling this data. But there are others also, other consulting groups, they will give you similar story, there is another one who came out with a monthly newsletter on what ’s happening. So, they come out every month on it, but we as Indian Hotels will not keep track of the entire hotel supply in India.

Achal Kumar: Sure, that ’s fine . That’s really fair. My other question was, what kind of not sure if you can disclose sort of the kind of contribution from G 20 meetings in this quarter and have you got some kind of advance bookings or at least the discussion with the ICC regarding the booking for the Word Cup yet . Any thoughts , any color on that please ?

Puneet Chhatwal: ICC, I would not say anything, because there 's a lot of things going on. In the newspaper people writing, I don 't know whatever they are writing . What I will say is that, what i s very good for the country, what is very good for our sector, and what is very good for Indian Hotels is that we are having these two major events happening and they are definitely boosting demand whether in Q1 or Q2, this is not just the G 20 there is also a B20 then there was a tourism summit in Q1 in Goa of the B20 , so there is a lot of activity which is happening and n ot restricted to just the big G 20 under that there are many other things that are taking place and it is driving demand, and it is dri ving the positioning of India from a tourism perspective and all these pictures are showed in the rest of the world . So, these events should help in marketing India as a destination on a longer term and not just this year.

Achal Kumar: Right, fair enough . In terms of Taj SATS , you are at 59% market share , clearly you are a market leader there do you have any targets going forward, how far can you go, your EBITDA margin 24.5% so do you think with that kind of market share, do you think that 's a kind of gap n ow or you can grow further and if yes, what is the best industry , what are the best margins in the air catering industry?

Puneet Chhatwal: See in airline catering business this is very high margin, this is maybe the highest I 've seen in my career. The reason we are sharing this information is to show that Taj SATS alone in Q1 performance is doing what possibly traditionally, we would have done, in a month of a quarter on EBITDA basis, so as the entire IHCL if you go back 10 yea rs into history. So , from that perspective it is nice to see that not just a Taj brand, but also a Ginger or a Taj SATS , everyone is contributing towards the journey which we commenced in 2018, where we said we will grow our margins by 800 basis points to 25 and then we went to Ahvaan to 33 how each of these businesses is contributing. So, it's the operating leverage in our iconic traditional assets, and the fee based business and our share of profitability in busine

sses like Taj SATS . The combination of the whole is creating the sustainable profitable growth that we have guided all of you on.

Giridhar Sanjeevi: Right. So, you mean you think that this is sustainable and it would grow further ?

Puneet Chhatwal: Yes, absolutely.

Giridhar Sanjeevi: If I just build on it Achal , see if you look at the SATS business, what are the drivers of profitability so number one is , if you get more international customers in the airlines that's the driver of profitability that's number one. Number two is that , places like Taj SATS which is lot of startup businesses in places like Goa. And these startup businesses have been slow because of the pandemic and now they are coming back. Th is is the second one, third i s there are synergies that we are trying to develop between SATS and the Taj our hotels in terms of supply of basics, is the third one . The fourth is the entire non -airline business which is getting developed actually. And the fifth I would say is that the concept is changing internationally in terms of central kitchens which kind of go to sort of supply cook ed food like a biryani as an example to the different kitchens, which has just been reprocessed before supply chain. So, these are all things which are anyway happening in industry, and also of course th e entire areas of synergies with Air India and Vistara and all of those coming in, to be honest actually. And so there is a number of trends, which look very positive for the airline sector actually, for the air catering .

Puneet Chhatwal: Add to it, non -aviation catering, a lot of institutional catering is an opportunity .

Achal Kumar: Right. Fair enough . Next question is about Slide #14. So, that attracted me quite, it looks very interesting what exactly , what message are you giving on Slide # 14, for example ARRs are up sharply in your Taj and SeleQtions brand and occupancy level also up while the growth was slightly lower in Ginger. Does that indicate that ARR occupancy levels were low Q1 last year and hence the sharp increase in this or do yo u think there has been a shift in the passengers , in the customer space choice and they are ready to pay higher for even ?

Puneet Chhatwal: I will give you , I understood your question Achal s orry to interrupt you. But, when we had this quarters last year, every quarter people said it 's pent up demand. The message we are giving is, if that was pent up demand is still is a little bit pent up because it 's still going up. And we always said that the best is yet to come , we're still in the luxury sector. I was t alking to someone yesterday, our iconic assets, average rates are maybe 10 % to 20% of rates in Paris or London, or New York or Boston. You can go online and verify it. So, we provide better service, we have better quality assets we may never have 1:1, we m ay never get to 100% of those rates, but we should have the ability to charge 30 %, 40%, 50% and we 're not even at 10 %, 20%. So, that is the, the messaging here is that there is still a way up and Ginger is a bit tweak because I just know mentioned that we are converting almost 70% of our portfolio we will get into Leak Luxe . So, when rooms are out of order, it has an impact on both occupancy as well as the rate . But as and when they keep finishing, we will keep seeing this growth, although there is still a strong growth on RevPAR.

Achal Kumar: Alright. M y final question is about Ginger . How do you compare your Ginger brand alone versus Lemon Tree Hotels ? Do you think you can reach Lemon Tree; your Ginger can reach L emon Tree. So, how do you compare yourself with Lemon Tree?

Puneet Chhatwal: It depends, Lemon Tree is positioned a bit higher than Ginger. And it 's not appropriate for me to talk about another liste

d company on our call, all I can say is that Ginger growth is going to be something which you should all watch and see. And, last year was a good proof of it. And going forward we are very excited with the opening of Ginger Santac ruz which should revolutionize this kind of positioning of the brand fro m budget or cheap, how it started at Rs.999 to a smart property or a Lean L uxury kind of a property and very kind of a happening place with the Qmin all day dining. So, that's the journey we commenced on embarked on. We are almost hopeful by end of this ye ar to get 70% into it in our total portfolio. And hopefully by the end of next year 100% and then let 's see what the results show.

Giridhar Sanjeevi: And it 's a perfect brand Achal in terms of the overall growth in the economy and the consumption , because the mass travel , Ginger will benefit from the mass travel. And so we are quite excited on Ginger actually .

Moderator: Thank you. The next question is from the line of Aishwarya Agrawal from Nippon India Mutual Fund. Please go ahead.

Aishwarya Agrawal: Just want to understand the challenges associated with the ramp up in the manage d room. So, we are going to add up more than 1000 rooms every year, even more than that. So, where do you see the challenges , is it an easy thing and about the profitability on a per room basis and how that profitability can be improved?

Giridhar Sanjeevi: No, as far as the managed property growth is concerned they will continue to happen. And as we have said, we 've already signed about 11 contracts in this quarter and open five hotels. So, we will be planning to open about 20 hotels. So, we don 't see a challenge in terms of signing new contracts. I would sort of say that do not look at it in terms of managed fee f or room. Because it's coming across different brands, you need to look at we have given detail s brand wise split in terms of how the rooms are opening. So, management fee per room is probably not the way to look at it because it 's not in a single brand. If this is something if you want more details, we can talk offline in terms of talking about it.

Puneet Chhatwal: At a higher level we can say versus a couple of years ago our management fee income total is going up by 2.5x. It used to be around 215 crores a nd even in Q1 FY 20 the management fee was 47 crores and in Q1 FY 24 it's gone to 98 which is more than double , that's something which we are very pleased about and as we said Q1 and Q2 are not the strongest quarters as Q3 and Q4. So, if you look at it that way, it should increase by 2.5x versus two, three years ago.

Aishwarya Agrawal: So, in this context, what potential it stops us to ramp up even faster, these kind of rooms where you have the strong cash flows and no capital investments ?

Puneet Chhatwal: Well, nothing stops us if we would have gone faster but there was a lockdown and the re were construction stops and there was bad weather in Delhi with mandatory stops were there and then obviously people who are investing may not have been only hotel investo rs, they may have had other businesses which were impacted. So, there is some delay, but we are giving a guidance of 20 hotels a year in opening, it 's more than like 1.6 Hotels a month. So, we have to also see the company never did more than one hotel a ye ar or maximum t wo in its history till five years ago. So, that's almost a 10x increase.

Moderator: Thank you. The next question is from the line of Shalin from UBS. Please go ahead.

Shalin: So, buying hotel in Zambia and taking another one on lease in Germany , are we thinking about expanding internationally , what's the thought process?

Puneet Chhatwal: Yes, so Shalin in the Q1, we signed two management contracts in Dhaka one for Taj and one for Vivanta. Vivanta is only for Indian subcontinent. So, very much in line with ou

r strategy. Having strong presence with Taj brand in Indian subcontinent has been a part of our strategy. Pamodzi is just like we acquired at that time 100% shareholding in Cape Town which we were managing, which is turned very benefici al to us and we have paid down the debt and it was a US dollar debt. And we were having mark to market issues. So, now it has become profitable, we feel a similar opportunity exists with Pamodzi where we also have a management contract, we don 't have a shareholding. And these are in principle approval, we know the property inside out every wall, every bathroom every this thing because as I said, almost four decades, we have been running that property, we are very well established with that. And it 's alwa ys a question at what terms you agreed to things and we have in principle agreement to explore that. And we are in the process of doing so on. On Frankfurt, we always guided yourself and everybody else that we are not going to do single asset acquisitions worth $50, $100 million elsewhere in the world. That is not a part of our strategy and we want to stay true to that . The institutional capital available in Europe comes at a very different yield , at 5 %, 6%, 7% maximum, and it makes no sense to use your own capital, especially if you 're debt free. And that 's why we would enter into a lease. If, as I said, if in principle approval actually leads us that far to actually signing an agreement. So, we have taken in principle approval, it 's an ideal fit , the asset with our portfolio and it 's time that we added a hotel in UK or another part of Europe, and somewhere in Southeast Asia, because you cannot be one of the strongest hotel brand in the world or India 's strongest brand and miss some of these markets where , almost everyone flies through for a connection to US. So, you have Air India flying daily and you have Vistara flying three, four times a week. So, there is a lot of opportunity out there. Then a very strong Indian business presence , growing presence of Indian businesses in Germany unlike in the past.

Giridhar Sanjeevi: And the other thing to note Shalin is that a hotel like in Frankfurt is just about 135 rooms . It's not a 500-room property, it 's in a location where Vistara and Air In dia fly in any case, and Indian Embassy, TCS, Europe offices, it 's all there. So, you have a situation where base occupancies will come from all of these factors. And it's a legacy kind of a property perfect for a Taj kind of a brand actually. So , it's not going, it's not something and it 's not an acquisition, it 's a lease. So, hence, it 's kind of well thought through in terms of very low level of investment, and good size of property being manageable with good base occupancy. So, that's the way to look at it actually.

Shalin: No, I completely agree. And I actually do believe that you need to have a network of hotel properties, if you really want customers to come back and use it, that 's what actually the Marriott does. That's the right efficiency and the ne twork game they play. But that means that you will need to look at more such opportunities in your applied, because that will kind of brand recall, not just f or the Indian s, but even for the foreigners as well. You won 't be able to stop just at frankfurt , but you would like to think about maybe something in Switzerland.

Puneet Chhatwal: Absolutely the Indian thing we said for the base business, you have to have some form of base business. And there is enough of that available in Frankfurt or like you said yourself in Switzerland, but it will be one step at a time. This is not now that this quarter we announced Frankfurt , next quarter of Switzerland, that 's another quarter three is something else, that will not be the case, we are taking this step of enterin g into detailed negotiations after a very long t

ime for an asset and we said once we have our home front, our domestic front, absolutely firing on all cylinders then we will take selective contracts as opportunity arises. But our focus was , is and will rem ain pan India definitely in the short term.

Shalin: Right. On question Giri, on the cost side. So, we could see some of the cost going up in form of employees, as well as some of the other expenses . How should we think about it, it 's largely we have reache d the base or there is a component of discretionary angle to it because we are kind of putting it for other new businesses which may kind of taper off after some time, or you think that's going to be a sustainable cost base for next maybe two, three years at least ?

Giridhar Sanjeevi: So, as you saw two , three points here. So, number one is that from a manpower perspective, yes, there has been an increase in manpower but if you look at it, between this quarter and last year first quarter, last year first quarter the ramp up has not completely happened, because we were recovering from COVID norms . So, to that extent, there is a base adjustment which has happened between last year, first quarter and this year quarter . But manpower increase also includes for instance, some of the wage settlements which have come in. But if you look at some of the subsequent slides, whe re we have given staff to room ratios, the staff to room ratios is still below the pre -pandemic level, which means the focus on productivity continuous actually , that is point number one. On the other cost, where we have said some two thirds of the increase is largely variable costs, which is true, a license fee and NDMC goes up with the rise in revenue as an example. So, most of it is actually rising in line with the business actually, and some of the discretionary spend, that we will do, some expenses will have to invest ahead, and some

expenses we will have to pay as you go. So, some of these will be there , but nothing sort of will skew the numbers significantly . It'll all be managed in a way where the overall cost increases are kind of under control. So, that is the way you look at it. There 's nothing which is going to be unusual to sort of throw things out of gear actually , nothing at all. And very important thing Shalin, productivity is a very important thing. Take corporate overheads as an example. The same network now, kind of the same corporate overhead level, are now managing a very big network as compared to say , four, five years ago actually. So , productivity focus is very clearly there.

Shalin: Understood , fair point. Last bit any color on July, August, adding to you if you want to give?

Puneet Chhatwal: Its not a question of July, August , basically it is that the outlook remain strong, as I said in my comments, which was the comment number one, both India story with the growth in GDP corrected upwards as well as the hospitality up cycle continui ng with the demand growth, this should work well. And domestic consumption global events, as you have said in the press release and revival of international arrivals should further boost demand growth in principle because that is what it should do. So, don't see any reason why it should not keep remain strong or keep getting stronger than to be the other way around.

Moderator: Thank you. We have the next question from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal Mahesh Jham: Sir m y first question was, on this international operation process clarify this a lease agreement and not a management contract. And just in terms of, say future opportunity that you get, which of the two would be the preferred option to expand?

Giridhar Sanjeevi : Also d epends on the geography Nihal , for instance in places like Dubai, Bangladesh we prefer to take management contracts. In Europe, as Pu

neet explain ed there is an institutional ownership of what do you say the real estate, and their leasing works bett er, because as an institutional holder, which could be a pension fund, they don 't like to have people on the ir rolls actually unlikely , supposing we have a management contract in India, the people , everything in the rolls of the owner . In this case, in Eur ope with institutional ownership, the lease is a better option. And so that 's the way, so it really depends on geography circumstances .

Puneet Chhatwal: And cost of capital is very different for these funds. And also , for us, if it works out well in management contract, we 're only consolidating management fee. And this way, we get the benefit also of the top line, all we have to do is create a design and manage it so efficiently that we are also profitable.

Nihal Mahesh Jham: Absolutely . Just looking at some of the historical example, even the P&L volatility is something that is maybe a little more than what it is to even domestic operation so from that perspective you still believe lease is a better option?

Puneet Chhatwal: Yes, and no, it de pends which countries you talk about . Historical examples may be of countries where volatility levels are very high, we have to see countries which are constantly low inflation, low interest rate, there the volatility levels are not that dramatic. It might have happened like once in 50 years because of a Russia Ukraine war for some time. But generally speaking, this is not, these are not countries where you have huge ups and downs.

Nihal Mahesh Jham: Okay, sure. The second question was you mentioned about t he.

Puneet Chhatwal: Sorry, and if they have high volatility there would not be a lease, lease markets are the ones which have low volatility.

Nihal Mahesh Jham: That is helpful. Mr. Chhatwal, the second question was you mentioned about the events that ar e lined up specific interested in just understanding about the World Cup , why I 'm asking that is that this time, it obviously comes in part of our peak season. So, is it something that is beneficial if we lock up a lot of the rooms, assuming a lot of trave ling teams come in there, or how to look at this event, because not certain of how it will play out , because unlike the last time it was the offseason, this time it 's coming in the peak season for us .

Puneet Chhatwal: Should help the rates generally speaking, it should help both rates and occupancies not only the players have to stay all the people who will travel to watch certain preferred matches, and a lot of that is being written about already in the press. It should normally assist , it's not a derailleur it's an enabler.

Giridhar Sanjeevi: We all need businesses from different segments. So , all good, all of this is good actually .

Nihal Mahesh Jham: So, the cont racted rooms wouldn 't be at any kind of rate, which was in a way at a significant discount at?

Puneet Chhatwal: No, Nihal we don 't do these kinds of things. Why would it be at a significantly discounted rate? Why you asked this, I'm just trying to understand so, I can give you a more qualified and a correct or accurate answer .

Nihal Mahesh Jham: Absolutely, where I was coming from was the fact that I believe there are certain associations that you would have had signed contract, if rooms are let out say to player but there will be a certain discoun t to what the rates are in the peak season irrespective of the season. So, that is where I was coming from , that say given we are the largest brand and if say most of the stay

happens during the event in most of our properties, it is just that it may take away a lot of the
lucrative rules which will be available at that time of the year.
Giridhar Sanjeevi: No, Nihal, What's happening in Ahmedabad newspaper reports in terms of the Indo Pak match

,
rooms are going at one lakh actually . So, which means you don 't look at it when the demand in

general for a match people are traveling actually. So, hence I don 't think these will be great
overall will not be negative at all. It 'll be very positive actually.
Moderator: Thank you. The next question is from the line o f Karan Khanna from Ambit Capital. Please go
ahead.
Karan Khanna: Sir firstly earlier this week, the parent company of one of the nearest peers announced their plans
to demerge the hotel business. In light of this development, and with increased focus by t he
management team of this entity. How should one think about the competition increasing in the
management contract business and as a result, how should we think about take rates for the
management contract business is it safe to assume that rates will see some compression?
Giridhar Sanjeevi: No Karan , if you remember that management contract business is a 20-year relationship. When
we talk about these long-term relationships, people don 't enter into a relationship with a brand.
Because somebody is offering a 1% cheaper kind of take rate, actually. So , remember that , so
we don 't anticipate any take rate related challenges at all that's number one. And number two,
if you look at the way management contract growth is happening, we have 125 cities in towns.
And so there is growth all over actually , it is not a winner take all market which kind of leads to
great compression that you talk about actually, there is enough opportunity for all players to do
that. We have been leading of course in terms of our agility and the way we are dealing with
owners. And we expect to continue leading with the 35% market share in terms of what we have
so that will continue.
Karan Khanna: Sure, t hanks for the clarification Giri. S econd, talking about your international business. W here
United overseas continues to lag while St. James London has seen a significant improvement.
So, what are your expectations from these two businesses in terms of growth and margins. And
as a follow up Marriott has given RevPAR growth guidance around 6% to 11% for C Y23, would
you expect the same for your international portfolios as well?
Giridhar Sanjeevi: If you look at international portfolio, now two, there things, London obviously has done
extremely well, and London historically has done well. And it will continue to do well, especially
with the product changes, and renovations. So, we continue to do all that. So, places like London
will do very well . As far as the US is concerned. We are currently in two markets, which is New
York and San Francisco , San Francisco as a city has kind of struggled, as you know from public
reports, in terms of what 's happening there. And therefore, our property is at this point of time
being impacted because of this, but it 's one of those key cities in the US. So, we do expect that
the bottoming out has probably taken place, and therefore that should improve in any case that's
a smallish property, historically it's been about $25 million in terms of top line. Now, if you
look at New York, New York is a very good mar ket. We have seen rate increases anyway happen
there. And we continue to, it 's a lease and so overall the US market should do well, both from a
domestic tourism perspective in US banquet is very strong in our property and the international
tourists also go ing, international business and tourists going to peer also benefits and the Indian

diaspora also going to the US, they stay with us. So, longer term we are quite happy in terms of
longer -term recovery, actually.
Karan Khanna: Sure. So, last two questions from my side on the FTA recovery , in your FY 23 annual report, you
spoke about FTA reaching 80 % to 95% of pre-COVID levels in CY23

. In that context the
feedback that we are receiving is that the FTA recovery has been sluggish in June and July. So,
what are the month -on-month trends you 're seeing in terms of the actual bookings by
international travelers and the travel agents?
Giridhar Sanjeevi: If you look at the overall mix of international travelers in India, it is still under 20% actually, so
that is what is currently happening at least from our hotels perspective. But the longer -term
trends are still very medium and long term trends are very positive, because let 's be very clear
that the number of international passengers FTAs in India are about 10 millio n or something like
that which is nothing. In fact, there was a recent CBRE report, which said that by 2030 it will
more than double and by 2040 more than doubl e from that level actually, and with all the focus
in terms of the number of airports, the tourism infrastructure, government own thrust on tourism,

having all of these very positively actually, the numbers as I said are abysmally low , 10 million is absolut ely nothing actually. So, FTA thing should come back and second half should see that actually .

Karan Khanna: Sure. And finally, if you talk about Slide #54, where you highlighted that Goa and Rajasthan are among cities or other states which have seen the l owest ADR growth Y-o-Y, are these indications of any softness that you are seeing in the ledger demand because that 's also a feedback basically ?

Giridhar Sanjeevi: No, S ee we have always indicated, when people have asked us in terms of growth in ARRs , we've always indicated that the scope for increase in business ARRs is much higher. Leisure, i t will go up, but less than proportionately, and that is what we are seeing actually. But also bear in mind, the other fact , you should look at it like Rajasthan wil l not benefit from the FTA who are coming in the second half, an d FTA should improve that's number one. And number two, places like Goa are also becoming 365 day destinations actually. So, there are some fundamental differences in terms of how these market s are panning out. So, what we see a softness in ARRs is pretty much in line with our expectations actually.

Moderator: Thank you. We have the next question from the line of Nikhil Agarwal from VT Capital. Please go ahead.

Nikhil Agarwal: Sir my question was regarding the G 20 and the Cricket World Cup again, like any ballpark numbers for the full year, what kind of revenue it would generate any percentage of the top line?

Giridhar Sanjeevi: That's not the way to look at it , the way to look at it is that G 20, is a platform where there is business, which comes in during the conference periods. And there 's business which follows actually . So, that's the way to look at it.

Nikhil Agarwal: Okay . Sir, till now what has been , the response has been really good I believe it 's been generating quite a good portion of the revenue right ?

Puneet Chhatwal: As Giri said , we cannot look at it just like that it creates extraordinary demand, then in normal circumstances, that means the oc cupancies rise when the occupancies rise, your ability to charge increases, does not necessarily have to be every event although we have been doing the majority of the events for G20 and we will be doing so going fo rward for B 20 also. But even if we were not doing an event for some reason, because we were sold out and we didn 't have hall availability and the business went elsewhere . That creates high occupancy in another property , that means the other competitors or the other peers in the similar market wi ll have the ability to sell the rooms that they have to other people who need the rooms at the same time, or who need the hall at the same time. And that sort creates in general buoyancy through such events, or it 's a cricket or whatever else is happ

ening , we did last year this event, the Christian Dior collection launch at the Gateway of India. And the way the Taj Mahal Palace got showcased with all that coverage of that event across the globe, you cannot just calculate only on the value of that event. Of course, after event party was with us, most of the models and the entire team was staying with us. But also it helped our other hotel, which is the President in Mumbai. And it also had other hotels, which are not ours from other companies, because we were sorted out. So , these events whether they are happening with us or with any of our competitors, or peers or who so ever it is generally create very high level of occupancy and the high level of occupancy then starts driving the rates, and everybody tends t o benefit from it.

Giridhar Sanjeevi: And one of the comment I 'll make is that you s aw yesterday the Prime Minister inaugurating the Pragati Maidan , so with Pragati Maidan coming the Reliance Jio Convention Center in BKC, India is now getting some really world class, large convention capacity, which will help in terms of driving demand. And as we have always said , if you 've got 2000 additional rooms on top of your regular city demand, you don 't have the hotels in terms of absorbing capacity actually, those factors also play a big role in terms of driving the change.

Nikhil Agarwal: Got your point sir. And sir just one more question like I want ed to know what is the average room rate difference between the normal Ginger hote ls and the renovated Lean Luxe Ginger hotels and the Ginger hotel of the Santac ruz that is coming up?

Puneet Chhatwal: It is around 30%. The renovated and the Lean Luxe is 30% higher than the old Ginger that you know off .

Nikhil Agarwal: Okay.

Puneet Chhatwal: In certain markets like you said, Mumbai it could even be 4 0%. But that's a one off because Mumbai is very, very strong as a market in terms of occupancy and also that property will be absolute flagship.

Nikhil Agarwal: Any roundabout ARR number for that ?
Giridhar Sanjeevi: You look at the IBIS Santac ruz is possibly an indicator. Any last questions or we just .
Puneet Chhatwal: We have overshot the time.
Moderator: We have no further questions; you may go ahead with any closing comments.
Puneet Chhatwal: Thank you very much, everyone for joining. Thank you for your support and patience and also the questions that you 've been asked, and we look forward to sharing information with you at the end of next quarter.
Giridhar Sanjeevi: And in between, of course post this call if you have any further questions don 't hesitate to reach out to our Investor Relations Team we'll be more than happy to clarify anything else that you want . Thank you.
Moderator: Thank you. On behalf of the Indian Hotels Company Limited , that concludes this conference. Thank you for joining us . You may now disconnect your lines .

Call: Nov 2023

October 31 , 2023

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza
1st Floor, New Trading Ring, Bandra Kurla Complex
Rotunda Building, P. J. Towers, Bandra (E)
Dalal Street, Fort, Mumbai 400 051
Mumbai – 400 001. Scrip Code: INDHOTEL
Scrip Code: 500850

Sub: Transcript of the IHCL Earnings Call for the quarter and half year ended September 30, 2023
Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the IHCL Earnings Call for the quarter and half year ended September 30, 2023 held on October 27, 2023.
The above information is also available on the website of the Company at:

https://investor.ihcltata.com/files/IHCL_Analyst_Earnings_Call_Transcript -Q2_FY_2023 -24.pdf

You are requested to kindly take the same on record.
Yours sincerely,

BEEJAL DESAI
Executive Vice President
Corporate Affairs & Company Secretary (Group)

Encl: a/a

"The Indian Hotels Company Limited Q2 FY23-24
Earnings Conference Call "

October 27 , 202 3

MANAGEMENT : MR. PUNEET CHHATWAL – MANAGING DIRECTOR & CEO, THE INDIAN HOTELS COMPANY LIMITED
MR. GIRIDHAR SANJEEVI – EVP & CFO , THE INDIAN HOTELS COMPANY LIMITED

The Indian Hotels Company Limited
October 27 , 2023

Moderator: Ladies and gentlemen, good day and welcome to the Indian Hotels Company Limited Earnings Conference call for Q2 FY23-24.
On the call we have with us, Mr . Puneet Chhatwal - Managing Director & CEO, IHCL and Mr. Giridhar Sanjeevi - EVP and CFO, IHCL. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Puneet Ch hatwal. Thank you a nd over to you, Mr. Chhatwal.
Puneet Chhatwal : Good evening, everyone, and thank you for joining our Global Conference Call for Q2 23 -24. We have o utlined 6 key themes for the call today, and we will walk you throu gh each of these in succession.
The first one is the India story. Let me begin with the Indian growth story, which continues to remain intact. India' s per capita GDP is expected to more than double d in the next 10 years, leading to a surge in disposable income driving higher discretionar y spends, which will directly benefit the travel and tourism sector. Moreover, we have recently heard through various sources in the government of the aspiration of 7 in 7 or 7 trillion economy in 7 years, which is a kind of a possibility that has been talked about by various, as I said, dignitaries and journalists as well as consulting houses. I think the hospitality industry presents a significant potential for market penetration with just 0.1 bran ded room inventory per 1000 people as against a global average of 2.2. With the current surge in demand and a tepid growth in supply , the ongoing cycle is likely to continue in the near to midterm .
According to Hotelivate report in the next 5 years, hotel demand is expected to grow at a CAGR of 8% to 10%, while the supply growth is projected to grow at just 5 % to 6% annually. The nature of the suppl ies under development is also predominantly in the non -luxury segment with close to three -fourths of the suppl y coming up in tier 2 and tier 3 cities. The robust growth in demand is on the back of a structural sh ift in consumer 's behavioral mindset. This coupled with various other factors like government 's push for infrastructure and short -term domestic triggers like the G20, like the ICC Cricket World Cup and MICE are further boosting domestic demand.
The second theme is, IHCL continues to deliver on quarter after quarter as a record and this Q2 is our best ever Q2 and we are very pleased to share that our record performance in Q2 makes it the sixth consecutive quarter of best ever performance. Our consolidated revenue grew by 18% year-on-year to Rs. 1,481 crores and our EBITDA grew 26% year-on-year to Rs. 402 crore s, yielding EBITDA margin of 27.2%. Our bottom line grew by 37% to Rs. 167 crores and we are happy to r eport that our consolidated PAT for the first half of this financial year stands at Rs. 389 crores, which surpassed the highest pre -COVID full year PAT of Rs. 370 crores in 2006 -

2007 . On a standalone basis, I HCL has delivered a growth of 23% in revenues to Rs. 949 crores with EBITDA of Rs. 330 crores, up 39% from last year. On standalone EBITDA margin, we reported 34 .7% in Q2 FY 23-24, which marks an expansion of 4.1 % points over last year.
The third th eme we have is asset management, which is driving the operating leverage. We as management have focused very strongly on asset management initiatives as 50% of our portfolio is considered asset heav y. This is a great opportunity by developing and by execut ing on comprehensive asset management . We have been able to focus on enhancing

the performance
of our existing hotels through strategic interventions and continuous upgrade of our product . Just as a reminder, our strategy that we have outlined both under aspiration 2022 as well as Ahvaan 2025 with the ultimate objective of being the most iconic and most profitable hospitality company from South Asia, it is important for us to keep focused on asset management initiatives . Our big machines are firing on all cylinders, achieving strong growth over the previous year and I am very happy to report that Taj Mahal New Delh i, popularly known as Taj Mans ingh is back in our portfolio with the bank. It di d miss full renovation completion for the first 6 weeks of this financial year, but it has been now performing very well on a daily basis.
The next theme that I would come to the fourth one is our portfolio growth. Our growth momentum continued during the quarter. In the last quarter, we signed 6 new hotels and opened 3 new hotels. During the quarter, we signed 3 Taj Hotels in international market , one as an operating lease in Frankfurt and two hotels in Bhutan. So far, in the current financial year till date, we have signed 18 new hotels and opened 9. Our new hotels opened last quarter include Taj the Trees in Vikhroli in Mumbai, Taj Guras Kutir in Gangtok and Wow Crest IHCL SeleQtions in Indore. We will maintain this space and are well placed as we have co mmunicated and as we have guided in the past to open at a minimum of 20 hotels in this financial year. Our diverse brand scape enables us to be present in every geograph y, in every segment and at every price point, creating new itineraries and offerings thus giving us greater degrees of freedom and

resilience in our portfolio.
The next th eme is the diversification of our topline. My colleague , Giridhar Sanjeevi, our CFO often talks about the importance of the diversification of topline and with our new bra nds and businesses as well as our asset light growth we have embarked on a journey of this diversification . As we enter the next phase of growth, we are reorganizing the 3 brands or better said we have already reorganized Ginger, Qmin and Ama under a dedic ated vertical of new businesses, which is being headed by Ms . Deepika Rao - Executive Vice president and Member of Executive Committee.
Our new business es vertical clocked in a GMV of Rs. 240 crores in the first half of 23-24. Enterprise revenue of Ginger exceeded Rs. 100 crores with 24% growth over the previous year and continued reporting healthy EBITDA R margins at 37% in Q2. With a proven and profitable business model , Ginger is very well geared to scale up at a fast pace . Our Qmin and Ama brands have established a strong customer connect and continue d to scale up. The Qminazation of

Ginger that we have started with the all day dining has now scaled up quite well and we have almost 40 Qmin branded outlets which functioned as all day dining .
Taj SATS continues to be a great success story for us . Yesterday , we signed a new concession agreement for the service and the outlet in Noida International Airport, which should start operations by the end of next year . Taj SATS has recorded its best eve r Q2 performance with revenues of Rs. 213 crores and an industry -leading EBITDA margin of 24.4 %, which comes on the back of 9 percentage point margin expansion over the last year. With almost 60% market share, Taj SATS continues to lead the Indian Airline catering segment . Also, we are looking at further scaling up Taj SATS' operations besides Noida in other locations and we are very pleased that we started operations at the MOPA airport in Goa and that is beginning to stabilize also well.
Finally, I have to say there are two issues that come as themes, that are investments, investment in our brands, assets and capabilities and investing in Paathy

a . In line with our objectives of
long-term value creation for all stakeholders , we continue to invest in our brands , assets and capabilities . We have recently launched the refurbished chambers, the private membership club at Taj Lands End and yesterday opened the chambers at Taj Western in Bengaluru. Our flagship Ginger Hotel near Mumbai Airport is nearing its completion. We have guided that we should have opened Ginger already a few weeks ago, but we remain very confident that in the next 2-3 weeks , this flagship and a Trophy Ginger will be opening its doors. We have also re -imagined them, scaled up our food and beverage brands . We launched a new concept in Taj Mahal Del hi called the Captain 's Cellar, which is one of its kinds contemporary wine bar concept or as they call it in the West, a wonderful and one of its kind Vinothek .
After receiving treme ndous response in Delhi, we launched Loya in Taj West End in Bengaluru as well. Similarly, House of Ming, which opened its doors at St . James Court in London less than a quarter ago, is already trending as the number sixth restaurant in London as per TripA dvisor ranking. That takes me to invest in Pa athya, staying true to our ethos of doing business the responsible way, our ESG plus program Paathya has achieved significant milestone so far. I HCL now uses 37% energy from renewable sources and has installed 335 EV charging stations across 142 locations in India. Continuing our journey of eliminating single use plastic , IHCL installed 27 bottling plants and achieved 47% recycling of water that is used. We are well on track to deliver our 2030 ESG targets.
Final ly, simplification – that is the buyout of minority shareholding in P iem Hotels. Before concluding the call, we would like to update you that the Board has approved subject to shareholders and other regulatory approvals the buyout of additional shareholdin g of approximately 7% in Piem Hotels by way of a combination of share swap as well as cash. I HCL currently has 51.6% stake in Piem Hotels which will increase to 58.6% post the proposed transaction. This will help us further simplify our holding structure. As always, we continue to stay focused on executing our Ahvaan 2025 strategy and that focus has helped us win a lot of

accolades a lso which are not mentioned in the speech, but they range from being rated as the TripAdvisor Best Hotel of the world, that is the Rambagh Palace celebrating 50 years of Rambagh next month as well as getting rated with Conde Nast Umaid Bhawan Palace as the number one hotel and further awards with Conde Nast and Travel and Leisure, and Golden Peacock as well as CNBC, ICICI Lombard that you can all have a look as a part of our press release . Thank you so much for your attention. We now open the floor for ques tions.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of B inay from Morgan Stanley. Please go ahead.

Binay : Just two questions , firstly on the international side, we have seen the EBITDA down on a Y-o-Y basis , any comments on that , how should we see that playing out? Secondly, on the domestic side, I believe this is the time that we start to renegotiate our corporate contract for the following year, so any lead through about what k ind of RevPAR growth are we sort of looking at as we are looking into 2024?

Puneet Chhatwal : I think let us take a step back and not look at just the corporate. I think the RevPAR growth numbers are in high double digits , driven still mainly by rates, whic h should help in the profitability on the domestic front. So, I think we are very pleased to see that and with all our renovation efforts that are going in, we are seeing a huge shift in as I mentioned before, Taj Mansingh, as we speak we have shut down M

a labar, we just have opened in a soft opening phase, Usha Kiran Palace in Gwalior and whatever we renovate and comes back in its new avatar or new style usually is showing at least a doubling of revenue, but the RevPAR growth remains very strong and the bus iness o n the books is very strong, the first 26 days of October h ave been very strong and we expect this trend to continue. The very important what you touched upon is international . On the international front , as you read yourself here in the news, there are challenges in San Francisco and it may take almost another 3 to 5 quarters for San Francisco to get back to where it used to be, not as a hotel market, but with all the other things that have happened in that market from a macroeconomic perspective and a social perspective. And unfortunately both UK with our presence in London, which is doing very well, but it could do much better than what it is doing and also New York, which is not still back to the pre -COVID level, but the inflation has increased the cost. So, there are certain challenges , but we as management looked at as our hidden upside potential going forward because if they were to come back the way it used to be pre -COVID plus 10% to account for the inflation and as well as if London was to come back and with all the investments that we have made in our asset in London in terms of renovations, in terms of adding the spa, in terms of adding the chambers , in terms of adding house opening , in terms of adding the all day dining there and doing a lot of work in the Courtyard , I think we look at it as an upside potential that we have, but yes , Cape Town is doing fine , Dubai is doi ng fine , Maldives is a bit soft, Sri Lanka is on the way up, so all in all it is good , Lusaka is doing very well for us , so I think it is just really New York, San Francisco and a upside potential in London, which we are looking forward to and that will hopefully change when we present Q3 and Q4 results in the next quarters.

Binay : Just lastly, any comments on any inflationary pressures that you are seeing in the system crop up? I saw that your staff cost is up 18% , but still lagging revenue growth, but anything apart from that that you would call out could be sort of headwind to watch from a margin trajectory next year?

Puneet Chhatwal : Not really. I think , as I said, we are seeing very strong business momentum and we are also seeing very strong not like for like growth for us . I think important is as we have guided since our capital market day and in the previous quarters that we are making investments in our future , be it through comprehensive asset management , so the more you invest, the more you displace , when you displace and when things come back, it just takes time and that is one , but is taking care of not just the short term , we ar e taking care of the mid and the long term , our brandsca pe for the company as w ell as our investment in new businesses. So, as I mentioned under Deepika Rao, we have created a new organization because when we went through a pandemic, people were double -hatting and doing Ama or Qmin or other things on the side , but now there is a dedicated, focused organization with its own marketing, with its own finance, with its own sales, with its own revenue management in these three new business verticals under the leadership of Deepika Rao and of course that is an investment in our future and as we have said this quarter we have guided a bit more on Ginger , as of next quarter we will do more on Qmin, the following quarter we will guide more on Ama and we wi ll start reporting more comprehensively also on the new businesses.

Giridhar Sanjeevi : And just one other comment Binay is that if you look at the segmental growth, F&B revenue growth h as been about 10% or so in the second quarter .

We expect that to pick up as we go along. So, we don't see any stresses because of inflation, as you pointed ou t, we don't see stresses at this point of time .

Binay : And just on the occupancy, right, like in the last call, you mentioned that Goa is now 365 day destination again in Q2, we see very good occupancy level and this question has come to you many tim es in the past also that where can occupancy go to, so any comments on that?

Giridhar Sanjeevi : Number one is that you have seen that this standalone occupancy went up to 75% financially . We have seen that data in annexure actually and if you combine i t, there are two -three factors which could aid in occupancy . Number one, I would say the whole supply demand thing and you saw the chart which showed that most of the supply is actually coming not in the key metros , but in the outside of the key metros actually. So, that itself means that existing micro markets and key metros should be well protected and should benefit from rising occupancy. Secondly, all the demand factors like for instance FTA, foreign travel visitors, all that should help. So, my own sense is tha t occupancy could still go up a little bit actually. However, I think as we have always be en saying on the profitability Binay I think in the key metros, one thing we have always mentioned in the key metros in anywhere in the world, whether it is Singapore or Hong Kong or anywhere else, the hotels generally tend to do an occupancy in excess of 75 %, 75% is typically we see like in Bombay you see 85% occupancy. So, occupancies tend to be around 75% plus

actually and rest of this what really happens is that asset management helps in terms of driving profitability actually and an asset management has really helped for instance in Taj Lands End in the recent past has been running as effectively 99 % to 100% occupancy on several days negative i n terms of what you say oversold dates actually and that has fundamentally happened because the shape of the hotel currently is completely di fferen t from what it was about 18 months ago in terms of all the efforts taken , in terms of renovation, whether it is the theater, the chamber, the business lounge, the gymnasium and all of that actually. So, I think so therefore there are levers available beyon d just supply demand in terms of driving occupancy section.

Moderator : Thank you. The next question is from the line of Achal Kumar from HSBC. Please go ahead.

Achal Kunar : So, I had a couple of questions actually , so first of all, I just want to understand on this mix wherein you said that lot of capacity growth will be coming in non -luxury tier 2, tier 3 segment, so since the capacity growth will be coming there, do you expect there is the potential risk of a pressure on the pricing in those tier 2, tier 3 cities no n-luxury segment or do you see the demand growth will actually change the supply growth and hence you don't see any pressure and that means effectively the overall average AR R on the system should decline because if the mix is trending towards non -luxury segment then the ARR should decline , so how do you see that impact of the mix and how do you see the growth ?

Puneet Chhatwal : Achal, on the lighter notify answer, it seems that if you are always looking for reasons to reduce the rates an d we are hoteliers, we are always looking at reasons to increase the rate . There is less supply coming into Mumbai or Delhi or Bengaluru and the demand remains strong and the occupancy increases , our ability to charge as a sector to get Taj of which brand, whichever may be we talk about should be normally higher because the new supply is coming in tier 2 or tier 3 cities, right , so not like they are not 10 or 20 hotels coming into Mumbai , they are not 10 or 20 hotels coming into Delhi and if you have large

event halls like a Jio, like Bharat Mandapam in Pragati Maidan or like Yashobhoomi in Dwarka in Delhi . Even if you have one event which is going to host 200 0, 3000, 5000 people in a single hall and half of them need accommodation , the city will be sold out . So, I think there is a structural change that is happening and it may not bring in results tomorrow because some of these events need to be booked 9 months, 15 months, 18 months in advance , but today we have that infrastructure available and these metros will benefit significantly and if new supply additions have to come, they will take 3 to 5 years to get added and by that time the demand "in theory " should grow faster in these cities than the supply would.

Giridhar Sanjeevi : And I don't know whether you picked up the other statistics that we have put up on slide 13, which Hotelivate says that 65% of the share of luxury pipeline is with Taj actually .

Achal Kumar : Yes, I saw that actually, I was coming to slide 13 , it was a different slide, but slide 13, you have shown you presented about the AR R occupancy and RevPAR in Q2 in different segments , Taj, SeleQ tion, Vivanta and G inger , so while ARRs were up sharply 8%, 11% in Taj, SeleQtion,

Vivanta, it was up only 1% in Ginger , so just to understand the reason of such a low growth in Ginger , was it underlying trend that the prices are not going up in Ginger or is it strategically sort of you were holding prices in Ginger as to inflate the occupancy level because occupanc y in Ginger was significantly high, so is it a normal trend that pricing in Ginger may not go up sharply , what is going on there , just want ed to understand the sort of background there please if you could help?

Puneet Chhatwal : Thank you for pointing that out. It is an interesting one. See, Ginger, we have moved now 70% of Ginger portfolio has brought, renovated and repositioned and when the hotel is undergoing renovation or the inventory is not available, you don't see that change in the rate , but as we get into Q3, Q4 and Q1 in the next 9 -12 months, you wi ll see a significant increase in that rate and we did that. We did also, as I told you, Qmin rebranding and because of that, once the work is finished, they happen , you reopen the inventory , then you start seeing the impact and actually the growth in Ginger as a percentage going forward, we feel will be much higher than what you are seeing here. Here, you are seeing 14% RevPAR growth. You could see that number easily cross 20 going forward. So, because of the change in the business mix and the model which does not happen overtime, it has taken time and still 30% of the portfolio needs to be done , so maybe it will not be 100, it will be 90 % or 85% in the next few quarters, but that will start show ing results.

Achal Kumar : The other thing , I wanted to understand about the demand trend , so basically we recently initiated on US Hotel industry and we found that the COVID impact is still there, there is a lot of bleisure demand as we call it business pl us leisure , so how do you see the trend in India, do you see the COVID driven trend has completely gone or you still see bleisure demand , the people taking multiple short trips, so just want ed to understand the mix, is it how you see , now in Q2, but going forward, how do you see the demand trend please?

Puneet Chhatwal : Achal, when you have events, whether it is a Black Swan or another major event like COVID, there are certain things that change forever and I have given this example in the few quarters before also, if from 1.4 billion people in India, only 5% is relevant for our sector. When you are talking about 70 million people and from that 70 mi llion, if only 10% that means 7 million have changed their behavior pattern forever. That means they are now d oing what

you are calling bleisure combining business and leisure and spending 5 extra nights in hotels in a year, then you have 35 million room nights, which was not there before from the same people in a year. So, that is the kind of change that is not j ust relevant for India. If you look at the hospitality sector in general across the globe, the recovery has been led by domestic and these partial reasons could be risk of travel , visas, whatever else was there , but there is another reason or in India Dekh o Apna Desh , the other reason is that these are incremental room nights which were not happening before, where people were not comfortable driving themselves , they always needed somebody to drive them. Now they get into the car and drive and the numbers that I have taken is like very small base. Th is base in reality could be much higher.

Achal Kumar : My last question is around your strategy towards international , I think you recently invested in Netherland, you recently invested something in Germany, so are you strategically looking at the international markets or you remain opportunistic wherever you see the growth and potential, you just invest there and what kind of impact, international market, of course you have been facing difficulties in US, UK is d oing pretty well , so overall how do you expect, don't you think the investment in the international market could actually be a bit of a challenge initially maybe until you really settle down there?

Puneet Chhatwal : I fully agree with you. I don't disagree with you, but we have not invested in international market . We announced our hotel in Frankfurt , the investment comes from someone else, we are just signing an d operating lease, which means we are just going to pay a rent, spending some money on the Taj brand like Chambers etc ., but it pays itself faster than we think. So, our investments will be very much India centric. We do not have any strategic intent to invest in international markets on our own money , but we are very open to signing management contracts. We signed management contract in Riyadh for over 250th Hotel , in Berea Gate, we signed recently 2 contracts in Bhutan on management contract. Before that , we signed 2 management contracts in Dhaka because in the India n subcontinent , even Dhaka is very important to us for both Taj and Vivant a, but international, we will be very selective and we are very focused with Taj brand. We will keep doing 1 or maximum 2 hotels per annum, but preferably on a management contract basis and if it is a Western Hemisphere using other peoples institutional capital on a n operating lease basis where we might end up just paying for the investments in the brand or in the up trade, which is a very nominal in a small amount, we end up doing th at even in India. Our investments in the short and medium term if we do very selectively w ill be in our own home town and not outside. See, Achal, everyone is looking to invest in India . It would be foolish of us to go and invest outside.

Moderator : Thank you. The next question is from the line of N ihal Mahesh Jham from N uvama . Please go ahead.

Nihal Mahesh Jham : My first question was that , you keep giving this data of the premium that our properties have been able to achieve over and above the industry, wh ich has only increased versus pre -COVID, if I do ask you say within a specific city, what are the factors that is giving us the better pricing?

Puneet Chhatwal : Nihal, there are various factors , it depends from city to city, but generally speaking one coul d say your ability to charge is higher if the city is going through a very high occupancy and it is sold out and you know that for several years, Taj especially, which is the backbone of our company, still with other businesses being relatively either in t he infancy or

of growth phase,
Taj commands the premium because it is India's strongest brand across all sectors and it has been rated for 3 years now among the world's strongest hotel brands. So, if the occupancy levels are high and healthy, your ability to charge is higher and we are seeing that across our portfolio in a very strong way. As Giri just now mentioned, it is not just a hotel or demand coming because the occupancy size, it is your ability to charge because of the new spa in Lands End, it is your

ability to charge because we have opened a theater in the non -revenue generating space which can do previews, but people can also book it to watch cricket matches. We have completely redone the chambers out there . We have done a new lounge for our club floor there. So, all these things put together help you to charge , but of course, they also cost money and they also cost displacement as I mentioned before , but our investments in our iconic assets and our asset management initiatives are definitely showi ng a very big jump for us in absolute amounts. If you go and look at the historic performance of Indian hotels, let us say for last 10 -15 years on Q1 and Q2, y ou will see that the difference is like massive in terms of performance and that is because of al l these investments that are happening is not just you are able to charge a premium . You are able to charge a premium for a variety of reasons .

Nihal Mahesh Jham : Second question was Mr. G iri alluded to it, any specific reason this quarter there was a divergen ce between how room and F&B worked, and would that normalize in the coming quarters?

Giridhar Sanjeevi : I think it should be because F&B , you know the wedding dates are all in this quarter. So, I think that is one of the reasons why F&B was a bit more muted actually and in general I think on the longer term basis, I think there is significantly more opportunity in F&B , so you will see some of our efforts in F&B kind of paying off as we go forward.

Nihal Mahesh Jham : Final question was on , we see that we are obviously increasing your stake in one of the subsidies that we have considering JVs and associates that we currently own , is there a long term plan to maybe increase the stake or make it a full subsidy like we did with Ginger in the future?

Giridhar Sanjeevi : Obviously, those plans have been there, the intentions are there Nihal as we have always said . I think these things are not easy to come by. So, we use every opportunity which comes, whether small or big, to consolidate like in this case w e have an opportunity to take out 7% because those people wanted an exit. So, anybody wanting an exit, we will definitely use the opportunity to do. I mean this is something that we are always on the bal l in terms of driving. So, let us see where we get.

Puneet Chhatwal : And our ca shes that we have built up, we are today having already , at the end of the quarter Rs. 1,400 crore approximately cash, which keeps increasing every month. So, we don't always have to just do share swap , we can also buy, we can hav e inorganic growth, we can have simplification, we can have consolidation, we have all possible opportunities now available to us because we have no debt and we also have cash results.

Moderator : Thank you. The next question is from the line of Prat eek Kumar from Jefferies. Please go ahead.

Prateek Kumar : Sir, my question was on, you have mentioned in your presentation about the impact of events is lesser now because the overall impact is only 0.5 to 1% because of G20 or World Cup on an year-on-year basi s, we get a lot of questions that what after F Y24 into FY25 in terms of event ,

so overall, because the impact is only very minuscule as it what it appe

ars so, it is business as
usual like for FY25 for the hotel industry, right?

Puneet Chhatwal : We agree wi th you, Prateek . We not only agree with you, we strongly endorse that the hotel sector is very well positioned and all these things that you are hearing as a one off now will become almost like a habit going forward, so it doesn't matter as you know it will be again, whether it is a Hockey World Cup or it is a Cricket World Cup or it is us bidding for Olympics or these things will just keep happening. You become the fifth largest economy , you have the ambition or aspiration to become third, so all ot her things, including costs including revenues, including events, all come with it. It will not be just GDP comes; it will be a combined impact of all these things happening.

Prateek Kumar : Do you think i t generally does include the cycli cality of the sect or or will it still remain like a deeply technical sector when the downturn comes, which is still like 10 years away , but this is something which, like reduces the cyclicality?

Puneet Chhatwal : This cyclicality in the sector will always remain and we have to differentiate here on the domestic versus international front . In the domestic front because there is still so much to be done and India is expected to grow at a certain rate on GDP , the cyclicality impact should be lower than what we have witnessed in the past or alternatively the length of the cycle will start changing. Also , the way we have articulated our strategy is that we have had new businesses as well as not like for like growth based on asset light model that should help us as Indian hotels to mitigate to a great extent cyclicality going forward. So, I think today, when we were last time hit, we were at 17% EBITDA and we gave a guidance of 25% EBITDA margin. Today , we are giving a guidance of 33 and if you are hit at 33 and yo ur EBITDA margin drops by half, you are at what we wou ld have been in 17%-18%. That is the change in the business model and the change in our portfolio mix and the change in addressing all the customer touch points with different brands. Does that answer o r you are looking for something else?

Prateek Kumar : My next question is on international markets , so while you are looking at like management contracts or new models in international markets, while some of the markets impacted by global macro or other rea sons, so that is the downside in international markets, impacts such in these markets because now incrementally we are only looking at management contracts, so the take rates also are like sort of lower in the market because of problems there ?

Puneet Chhatwal : Not really, Pratee k. It is not our strategy to own single assets in international markets , it is not a part of our strategy . If we were to take sliver equity or key money or spend some money in renovation to secure a long -term contract, we are ha ppy to do that. That is like a very small amount that we talk about , but in fact hotel investments are anti -cyclical , so if the markets are down, the kind of prices you get today, you would not get otherwise, but we would use our partners in India and outs ide of India to help us do that growth , then us investing into assets that kind of capital, we don't want to block.

Prateek Kumar : So, I was asking adding the take rates which should be very similar what they are like have in India at 5 % to 7% , so even in a down market we should have a similar take rate?

Giridhar Sanjeevi : The management fees are generally quite healthy. In fact, if you see the management fees that we are from Dubai and all that very good actually and these are long -term contracts and so I think we don't compromise on take rates for the sake of getting a contract, it is not possible actually , it is not possible. We can't do that.

P

rateek Kumar : And my last question is on RevPAR growths obviously first half have been like very strong in terms of your year-on-year performance , so second -half we are getting in I think three phase because last year second -half was major records, which we had so likely double digit should continue right, as you say that RevPAR growth remains strong in the year?

Giridhar Sanjeevi : Yes, I think so. In fact, you have seen the chart that we have presented on slide 54, which shows how the RevPAR growth is about 15% in second quarter. Normally, we do see that 30% jump between Q2 to Q3 and we have business is pretty strong at this point of time. So, I don't see a problem in the overall double -digit RevPAR for the current year, not at all.

Moderator : Thank you. The next question is from the line of Lavanya from UBS. Please go ahead.

Shaleen: It is Shaleen again . So, to Giri, I was asking that you guys have 75% occupancy l evels in a weak quarter and most likely we will end the year with higher than thi s occupancy , so at what occupancy level do you think that you will start thinking about changing your customer mix and probably we will see more of, right now also it is going good , but the idea here is that , the question we get is that how much ARR can im prove from here, so where the mix is right now and where the mix can go of our customer , so any thought on near to medium term?

Puneet Chhatwal : See, it is the double digit growth. If we look at standalone, the AR R is increased by 18% and on the enterprise also by 11%. That is very healthy and RevPAR increases of like 28% on standalone and 16% on enterprise level at domestic market, right. So, we have just discussed this before this call on a very different issue an d we are not seeing any change. We are seeing this trend continuing on the domestic front. There are some challenges on the international front, but on the domestic front, Mumbai is very strong, Delhi is very strong , Goa is very strong. So, all your top te n markets in India are extremely strong and what we tend to forget Shaleen is we have been very successfully able to mitigate the impact of Nipah virus or all the landslides and flooding in Uttarakhand as well as in Gangtok, etc., s o there has been a lot o f disruption that happened, but you don't see that when you look at the consolidated picture, which shows that some of your markets are extremely strong in terms of occupancy and if your occupancy increases your ability to charge increases, yo ur more sold out dates when you had a very high occupancy dates and that is when you start charging more and more and we don't think about customer mix or change at a certain level of occupancy. We think about that and our revenue

managers have to think about that at least 5 to 6 times a day , if not every 2 hours, this is just a part and parcel of the business.
Giridhar Sanjeevi : And if I just build on that, Shaleen , I think if you look at slide 68 of our presentation, 59% and that number has actually been going up. There were not 59 pre -pandemics , it was about 52 or so. So, the transient mix will keep going up. Also remember the fact that it is not ADS and GDS. It is also about how we are investing in loyalty and all that. All that is transient , so transient proportion will keep going up. That is number one. Number two, corporate is 12% and that is deliberately so. We have discouraged a number of small corporates from getting into long -term contracts and we have actually asked them to book on the web actually, which means that we are treating them like a transient and third a s you know, we have spoken about it where we have changed the corporate contract from a fixed rate to partially to a rate which is linked to that ARR actually which means it is 25% of bar and things like that. So, those

kinds of steps we anyway
continue to take and beyond it of course as Puneet said the revenue management kicks in , you don't need the MICE because they are not really give you F&B but also rooms. So, all of those we do , you do need the Crew because they give you base occupancy . So, hence I think transient will continue to be a very important part of what drives the rates are actually and that will continue to be a very important mix element in our business actually .
Shaleen: So, I think that is what I was looking for that besides the room increase, you have a lever in terms of changing your customer mix that will inherently change or increase your ARR and that is why you guys are already ?
Giridhar Sanjeevi : We have been doing it Shaleen .
Shaleen: So, second question , so when I look at your P&L right now, I think you guys can generate Rs. 1,200 to Rs. 1,400 crores of cash flow , free CAPEX after maintenance CAPEX and that probably can grow at 15% CAGR for next, let us say 4-5 years, so that would give you something like Rs . 8,000 crore kind of cash over next 5-year time period and if let us say take Rs. 2.5 crore per room kind of a number, right . so you guys can add anything around 3 000 to 3500 rooms in a luxury segment a nd you can correct my calculation in terms of my CAPEX per room if it is low, but so on the current domestic own room, which effectively means you can increase your capacity by 60 % odd, my challenge is how are you going to do that, right, are you thinking about some inorganic actively or start looking fo r the land parcel because gestation period itself would be like 3 -4 years?
Giridhar Sanjeevi : No, I think you are right, Shaleen . There is definitely cash generation and the utilization of the cash and capital allocation is very important thing and if you look at what we are currently doing, we are definitely doing Greenfield projects, whether it is Lakshadweep or Gujarat and other places and some of these places we are not buying land. It is all lease actually which means you are not really buying land tha t is number one. So, Greenfields will continue to be an important part of how we will expand organically through adding capacity . That is number one. As far as

the inorganic is concerned, we continue to look at opportunities Shaleen , as we have always pointed out, I think the NCLT has been a very difficult way in terms of hotel properties so far actually. So, we will have to do some bilateral transactions and we continue to look at, we have got a very good business development team wh ich kind of looks at all of this and I think that ultimately what is important is not just the opportunity, but also to make sure that we pay the right price as well actually , so organic growth through Greenfield, whether it is using extra FSI available in lands to sort of build , all of those we will do Shaleen actually, I think and you are absolutely right that these take 3 -4 years to come. It is not as if it comes overnight. Inorganic is important to be able to like we talk of conversions in management co ntracts like Cidade Goa coming on stream one fine day , I think inorganic will actually give us immediate capacity , but we are on the lookout where we continue to sort of look at those opportunities provided the value, these are value accretive actually.
Moderator : Thank you. The next question is from the line of Rajiv Bharati from D AM Capital. Please go ahead.
Rajiv Bharati : Sir, my question is on slide number 69 , so you have seen the Crew business growing by 50% and earlier the contribution used to be cl ose to 3% pre-COVID if I am not wrong and now it is close to 2% now , so my question is, in terms of sensitivity of the rates which you are increasing on each segment, which is the bottom 3 segments in terms of more sensi

tive, if you take the rates
little h igher, probably we will be seeing a dropout ?
Puneet Chhatwal : No, I t hink the Crew will always be a segment which will be there in a different number of hotels

actually because revenue management is about base occupancy, which can come from Crew , it can co me from low er rated corporates and things like that and then the rest of it, the revenue management will push up rates actually. So, these are all elements of our business. You can't charge what you say the highest rate for every segment and every segment has a role to play actually. So, things like Crew will certainly continue to play a certain role in every hotel .

Rajiv Bharati : My question is on the slide you have shown a 50% tab, which the contribution there?

Puneet Chhatwal : Yes, don't look at that 50 %, our Crew share of revenue is 2%, yes.

Rajiv Bharati : My question is on the sensitivity of this segment , in terms of let us say increasing rates and they will shift to a probably lower category hotel?

Puneet Chhatwal : I think the Crew business , these businesses come at a certain rate for sure actually and they are lower rate for sure and sensitivity of the Crew rate, I don't know because these are all contracts that you enter into within Air India or Vistara and all of those actually and these a re fairly long - term contracts and there are standard ways in which people operate, there are no sensitivities sayin g that if I increase the rate, Cr ew will go away. If we don't want Crew in a hotel, we do that also. There are some hotels where we say what , we don't want Crew and we will shi ft them to

another hotel in the same city because the good news is that we have multiple hotels in the same city. I think that is the call that we can take , but I don't think we worry about sensitivity of rates to Crew business in that sense. We don't think like that.

Rajiv Bharati : And on slide 22, you have shown the operating leverage in some of your key hotels, but when we go to let us say slide 61 to 63, where you have given subsidiary wise performance and particularly for Piem, Roots and Oriental, we don't see the similar operating leverage layout in terms of the swing in EBITDA versus the swing in the topline ?

Puneet Chhatwal : Let me explain that . There are a few hotels in Piem which have been under renovation. I explained that in earlier points about displacement. So, Nasik is undergoing extensive refurbishment , so that it can get upgraded to Taj and Taj view in Agra has just finished some refurbishment and it has come back into operation and you will start seeing that impa ct of operating leverage. Two hotels out of a t otal of 6 or 7 , they create a big impact , but it is going to be positive, but maybe by the time they come back , we take also Blue Diamond in Pune, which is a part o f that portfolio also under renovation. So, there is some work to be done. As I said, we will keep investing in our assets and we are very happy with the way Taj view Agra has turned out in Piem and we are really looking forward to completing the renovation on Nasik and starting the one with Blue Diamond.

Moderator : Thank you. The next question is from the line of Ja iveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat : Sir, my first question is relating to Taj SATS, n ow given that it has been growing at a very fast clip and you also have plans of increasing operations to other locations as well , from an annual revenue run rate of roughly about Rs. 800-Rs. 900 crores, where do you see that over the next 3 years?

Puneet Chhatwal : Yes, we think that this 8 00-900 could easily grow by another 30% to 40% mainly dependent not just on airline traffic is the non -aviation business which we are considering in the new kitchen especially outside of the airport zone for cost

efficien cy reas ons and we do believe that Taj SATS is very well positioned to go beyond 1000 in the next financial year and far beyond 1000 in the following year.

Giridhar Sanjeevi : There are number of drivers here , I think number one as we talked about the increase in the number of airports and obviously these great opportunities in terms of expanding the business . Secondly, what is also happening is that earlier if there is a problem at the airport route as an example , airlines used to cater from different caterers, one in Jaipur and one in Bombay , now you see on many of those routes , there is catering from only one city, which means there is reverse catering which means i n the Bombay -Jaipur flight , the food for the Jaipur -Bombay also goes from Bombay. So, those are also happening in smaller vendors in some destinations are also not being used by airlines is the second one, the third is the non -aviation as Puneet pointed

out, fourth is the whole synergy to Air India and Vistara and all which should come in terms of developing. I think there are a number of different levers that are there which can help to grow both the topline and the bottomline in this business actually .

Jaiveer Shekhawat : And sir, what would be the current share of non-aviation business in the overall Taj SATS revenues?

Puneet Chhatwal : It is less than 10% at the moment, but our aspiration is to grow it to more than 20 over the next

3 to 5 years.
Jaiveer Shekhawat : And similarly in relation to your management fee gui dance as well , now given that again growth has been pretty remarkable on that side as well, where would your guidance stand as against what you have guided for about Rs. 550 crores by FY26 on the Ahvaan ?
Giridhar Sanjeevi : I think we will come back from the capital market .
Puneet Chhatwal : Capital market, they will guide you more on management fees, b ut we have 80 contracts in pipeline. If you take out 5 or 6 that are owned and maybe another 5 that might be leased , the rest is all management. So, the management fee income will keep growing.
Jaiveer Shekhawat : And sir, last ly on your Ginger property as well, one in terms of your renovation, what kind of a benefit are you expecting once you are done with the renovation and will we still see s ome benefit during the second half? And also on your Santa cruz property and what is going to be a pricing strategy there?
Puneet Chhatwal : Which p roperty are you seeing in Delhi?
Jaiveer Shekhawat : No, Ginger Santa cruz.
Puneet Chhatwal : Ginger Santa cruz, it is our trophy asset for that Ginger brand. We do believe that in 3 years of operation it should reach Rs. 100 crores in revenue because that is what the market is for that 371 rooms and it is a very fairly large propert y. If you are Mumbai based and you drive by , then one sees the impact it has. We are waiting for some licenses and some cleaning up of the facade and access road and as and when that happens or whether it takes 2 weeks, 3 weeks, 4 weeks , but the opening is imminent, it will definitely open in very m uch foreseeable future, I would say the foreseeable future is limited to weeks and not to months.
Jaiveer Shekhawat : Any comment on the renovation side of it? What kind of benefit should we expect in the second half? And then overall, what kind of benefit should we expect after renovation in terms o f rates that you charge in your Ginger portfolio, any indication there?

Puneet Chhatwal : For Ginger as a portfolio for renovation, we are the Ginger, what we are seeing on the Lean Lux as we call it , the Lean Lux hotels in almost all cities get north of 3 ,000 and in Mumbai and all they even get much higher rate. So, Ginger Santa cruz should operate north of Rs. 6,500, Rs. 7,000 stabi

lized rate. So, it depends on the city , it depends on the size of the property, but we are no longer into that category the way this brand was launched at Rs. 999 or the cheap kind of hotel. This is functional hotel that provides all possible services except for swimming pool and those kinds of additions , but you will have a ll day dine-in restaurant, the F&B , when we started the Ginger brand was outsourced. So, actually just the name is old, everything else is just new about Ginger . We have insourced the food and beverage , we have added meeting rooms and just be patient with us for a few weeks, we woul d like to invite you for the opening of Ginger in Santa cruz, all of you.
Moderator : Thank you. The next question is from the line of Anuj Upadhay from Investec. Please go ahead.
Anuj Upadhay : Sir, two questions , one is on your initial remarks where you mentioned that the US hotel businesses ha ve been underperforming, likely expect ed to remain stable or turn out to be a better performer after 5 to 6 quarter from here on, so exactly what gives us this confidence of t his turn around kind of a thing , is there anything happening or going to happen at a maximum level in the US or there is some change in strategy from our end tha t would lead to stabilization of the hotel ?
Puneet Chhatwal : There is a very good performance w e had in San Francisco pre -COVID, w e had turned it profitable. I t is zero debt. We own the asset. It is a relatively small size property in the middle of town , Union Square which is a great location , but the market changed . So, I don't think there is any issue in San Francisco in the mid and long term. It is a short term that city is suffering for the variety of reasons which have nothing to do just with hospitality, its own macroeconomic thing as I said . New York is New York. New York, London, Paris these are the top lodging markets of the world and we do see that there is a change and a shift that will come there and that keeps happening. These kind s of markets with one even t in New York over G20 kind, (UNGLA) the United Nations General Assembly in the mo nth of September and the whole revenue base change is there. So, all we need is a few more events like that which will come, which will happen and that will drive the change that New York is seeing. Also, the dollar has become very expensive , so travel to New York is not booming as much as it used to boom, when the dollar was weaker , so all these things play out , but I don't think anything is permanent forever, so I am not here to predict currency rates, but definitely certain things have a short -term impact and it is very important for our brand to be in New York and London and that is what differentiates us. That is what gives us the strength of playing on the same pitch as many other equivalent or important international brands in this segment play o n the global arena. You have to be in the top lodging markets of the world.
Anuj Upadhay : Secon d on the capital allocation , I know you have already answered this, what you have

mentioned is that we have multiple options as of now for the allocation like en hancing stake

across few JVs or subsidiaries, inorganic growth renovations , so looking for assets which are under SARFAESI . Barring this , do we have any other concrete plan or we have covered almost everything on today? Or is there any change in strategy t o have 55-45 manage and own property ? Are we going back to having more of an owned or managed property? Just curious t o know where exactly do we plan to allocate these particular kinds of liquid fund, which we have as on date?

Puneet Chhatwal : We are we have given that guidance under Ahvaan 2025, there is no change. Only thing is as and when we achieve the targets, the old might marginally decrease because of the growth

in the

managed portfolio , but because we are iconic and we have some of these great assets , we can't just either sell them or get out of them. Actually, they do provide us, as we said, the absolute amount of profitability is coming from these iconic assets . Like Giri just now mentioned with Land s End the way it has been performing Taj Mahal Palace in South Mumbai or now the way Taj Mansingh or Taj Palace is doing in Delhi , so we are very pleased with that. We will keep these kind of assets . Today , it represents on a total portfolio including hotels under development around 50:50, but in operation still the asset heavy side of the portfolio is higher , but with more and more openings of rooms and hotels under management contracts, we hope to have a balanced portfolio within the next 12 to 15 months in operation. We have it when we incl ude the pipeline and going forward maybe the own part of the portfolio will become let us say 45 and the manage will become 55 because with the Ginger we want to be more in operating leases, which is also considered as owned . Technically , leased hotel is a lso owned hotel. So, I think very carefully, we will manage this mix and the mix that gives us the best of absolute return, but also helps us to be a margin enhancing company.

Anuj Upadhay : And lastly, any update on the Sea Rock ?

Puneet Chhatwal : Yes, we h ave submitted the plans and we are waiting to hear. So, as and when we know we will update and if needed, we will have a separate call , but yes, we have submitted plans online now for the development.

Moderator : Thank you. The next question is from the line of Pavas Pethia from Birla Mutual Fund. Please go ahead.

Pavas Pethia : I have two questions , one is regarding this branded supply , if I look at your slide 7 where there you are saying that 5 % to 6% CAGR of growth, but if I look at the growth plans of peers, everybody is talking about double digit management contract growth , so how is this fresh supply coming for you guys when the physical asset creation is limited?

Puneet Chhatwal : We have given that guidance , we remain qu ite bullish that as of this month or next month, you can say we will be opening 1.8 hotels a month. We have 80 hotels in pipeline. If we even stopped signing any new contracts today, we would be opening 20 hotels every 12 months for the next

36 months which means 60 hotels to open. So, I think on that side our pipeline is very strong and very healthy and we expect to keep growing.

Pavas Pethia : I understand your supply graph , I have seen that you are almost doubling your management contract, but my quest ion is the fresh supply is not coming , how you are kind of ending up with the disproportionate share of the supply growth ?

Giridhar Sanjeevi : What we are saying is that we have not said that supply is not coming , I think we have said that there is a certai n pattern we a re seeing in terms of growth and eventually I think funding will start and funding has started and eventually in the next 3-4 years, the new supply should emerge . New supply takes time and bear in mind that management contracts are not signed when the property is fully ready . Management contracts were signed when the owner is kind of trying to start the design process actually and we get a share at that stage itself. So, if you look at slide 76, where we talk of the number of inventories per year, you will see 3000 rooms per year is what we have said , we will open, and it is because these contracts have been s igned today which we will open say in 2027 . So, we are signing at Greenfield before the project probably gets off the ground actually.

Pavas Pethia : And secondly, continuing with the Shaleen question, you are currently when you sign a management contract, you only capture one-fifth or one -sixth of the potential EBITD

A, w hy not

grow and sa y you have the cash flows, you have the balance she et in effect creation or acquiring some of these contracts? What you want me to do?

Puneet Chhatwal : We would consider any options that come . We are today as we said, well positioned. We don't have debt and we have cash reserves to do whatever makes sense. So, as you said, is being aggressive, makes sense on the domestic front, we will be aggressive , if it makes sense to invest in a few more Ginger properties, we will invest in it. I f it makes sense to have an iconic Taj, w e would do so like we are doing in Lakshadweep , we are building 2 Taj properties in line with the history of the company , we buil t Goa, we built Kerala, we built Andaman , so we are also building now Lakshadweep will be world class resorts. These are small , may be like total of 150 keys both of them put together or 175, but that part will happen an d it takes time to build results, takes 3 to 5 years to get into such remote locations and build the place , but once it is built and ready , then it will be fine, but it is aggressive . If you are not aggressive you will not go to these places.

Moderator : Thank you. The next question is from the line of Saurabh Patwa from Quest Investment Advisors. Please go ahead.

Saurabh Patwa : Sir, just wanted to understand your thoughts on when we get into a new CAPEX or renovation , what kind of return ratios we target?

Puneet Chhatwal : So, I think fundamentally , we look at the normal WACC , I think we look at our normal WACC normally in this industry we take about 11 .5% WACC and as long as the return continues to be

above that, we a re fine in our renovations. G enerally , there is absolutely no problem because o f renovations, what we are doing is an existing property, we are innovating for bette r returns . On Greenfield , in general 11.5% WACC is good, and we make sure that we earn better than that. So, there is no problem.

Saurabh Patwa : Sir, just wanted to understand, would you be able to share our ROCE for properties in India and properties outs ide India?

Giridhar Sanjeevi : If yo u look at our capital market -based presentation , if you look at it last May, please look at it on the website , we have clearly given the return on capital employed for domestic assets and the international assets. So, you can pick it up from there.

Moderator : Thank you. The last question is from the line of Nikhil Agr awal from VT Capital. Please go ahead.

Nikhil Agrawal : Sir, my question was on the debt side, you have reduced your debt to quite a significant extent in the first half , but your finance costs have not reduced, s o was it be cause you paid your debt towards the flag end of the quarter or is there any other element ?

Puneet Chhatwal : No, that is wrong. It is just accounting .

Giridhar Sanjeevi : I think you are getting confused with the interest on lease capitalization , so I think it is nothing else actually. Otherwise , the fina nce cost is actually negative. So, I think when you say finance cost on the P&L use, those includes the cost on lease capital .

Puneet Chhatwal : IndAS accounting standard, which change what goes above and what goes below where we don't have any debt.

Nikhil Agrawal : And sir, lastly, you said Q3 would also be a double -digit growth year-on-year given that last year Q3 was your highest ever quarter , so you are confident of getting the double digit growth in quarter 3 as well?

Puneet Chhatwal : See, Q3 is always the best quarter , was not last year. If we go back in the history, Q3 would always come out to be the best quarter and as we mentioned before, given the business on the books that we have for the month of November already, because the visibility is short and the 26 days that we have had of October, there is nothing that makes us bel

ieve that we should not have similar kind of growth that we have witnessed last year, year-on-year basis, if not higher. We even think it could be higher.

Nikhil Agrawal : Thank you , sir.

Puneet Chhatwal : Thank you, everyone. Thank you everyone who joined the call. Thank you for asking the questions that you did . For any other queries, please feel free to reach out to us in our corporate office, our Investor Relations team and we rea lly look forward to talking to all of you at the end of next quarter and our very best wishes for the upcoming festive season and hopefully use all our hotels, all our brands and Taj properties and spend all your mon eys in our restaurants. Thank you for jo ining. Thank you very much.

Moderator : Thank you very much. On behalf of T he Indian Hotels Company Limited, that concludes this conference. Thank you for joining us ladies and gentlemen , you may now disconnect your lines.

Call: Feb 2024

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Call: Feb 2024

(no extractable text — likely a scanned image PDF)

Call: Apr 2024

April 30 , 2024

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza
1st Floor, New Trading Ring, Bandra Kurla Complex
Rotunda Building, P. J. Towers, Bandra (E)
Dalal Street, Fort, Mumbai 400 051
Mumbai – 400 001. Scrip Code: INDHOTEL
Scrip Code: 500850

Sub: Transcript of the IHCL Earnings Call for the quarter and year ended March 31, 2024
Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the IHCL Earnings Call for the quarter and year ended March 31, 2024 held on April 24 , 2024.

The above information is also available on the website of the Company at:
https://investor.ihcltata.com/files/IHCL_Analyst_Earnings_Call_Transcript_Q4_FY24.pdf

You are requested to kindly take the same on record.
Yours sincerely,

BEEJAL DESAI (F3320)
Executive Vice President
Corporate Affairs & Company Secretary (Group)
Encl: a/a

"The Indian Hotels Company Limited
Q4 and FY '23 -'24 Conference Call "
April 2 4, 202 4

MANAGEMENT : MR. PUNEET CHHATWAL -- MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER -- IHCL
MR. GIRIDHAR SANJEEVI -- EXECUTIVE VICE
PRESIDENT AND CHIEF FINANCIAL OFFICER -- IHCL
ANKUR DALWANI -- CHIEF FINANCIAL OFFICER
(DESIGNATE) -- IHCL

Moderator: Ladies and gentlemen, good day, and welcome to The Indian Hotels Company Limited Earnings Conference Call for the quarter and financial year ended 31st March 2024. On the call, we have with us today, Mr. Puneet Chhatwal, Managing Director and CEO, IHCL; Mr. Giridhar Sanjeevi, EVP and CFO, IHCL; and Mr. Ankur Dalwani, CFO designate.
As a reminder, all participant lines will be in the listen -only mode, and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing sta r then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Puneet Chhatwal. Thank you, and over to you, sir.

Puneet Chhatwal : Good evening, everyone, and thank you for joining our global conference call for Q4 and FY '23-'24. Today, we would like to focus on 10 key messages summarizing our performance journey over the last financial year and expectations for the future. Firstly, achieving Ahvaan targets or achieving key Ahvaan targets ahea d of time. We embarked on a journey in 2022, wherein we set specific targets under Ahvaan 2025 strategy. We are pleased to share that we have already achieved our key objectives well ahead of time.

We aimed at achieving EBITDA margin of 33%, and we have d elivered EBITDA margin of 33.7% in last financial year. We promised a portfolio of 300 hotels and as of 31st March, we have achieved a portfolio of 310 hotels, including 90 in pipeline. Our third objective of achieving zero net debt level had been achieved long back and in fact, we have now surplus cash reserve of over INR2,200 crores. Furthermore, we have promised a balanced portfoli o and now we have achieved a 60/ 40 mix of capital light versus capital heavy assets and to s ummarize on the first point, we promised and we have delivered on all fronts.

Number two, best ever Q4 and full year financial performance. We are very pleased to share that our record performance has continued in Q4, making this the eighth consecutive qu arter of best - ever performance for IHCL. Our consolidated revenue grew 17% year -on-year to INR6,952 crores. EBITDA grew 20% year -on-year to INR2,340 crores. Yielding EBITDA margin expansion of 100 basis points to 33.7%.

More importantly, our bottom line g rew by 26% to INR1,259 crores. On a stand -alone basis, we continue to deliver stellar results with revenues growing 20% year -on-year to INR4,590 crores and EBITDA margin expanding by 200 basis points to 41.3%. Some of you would recall, pre - COVID our consol idated revenue was lower than what we had as standalone revenue in the last financial year.

That brings me to point number 3. We delivered many -fold increase in return ratios. We have delivered superior returns, both in terms of return on equity, and retu rn on capital employed in the last 6 years. For that, since we began our journey with Aspiration 2022 strategy, since '17 - '18 for that matter, our ROE has increased 7x to 14% and ROCE has increased 3x to 15% in FY '23-'24. Moreover, IHCL's EPS has increase d 11x from INR0.8 in FY 2017 -'18 to INR8.9 in FY '23-'24.

Fourth, market leadership. IHCL continues to outperform the industry on RevPAR with a premium of 65% over the competition on pan -India basis. with presence across various price points, our hotels c ommand healthy premiums over the industry in all key markets. We have around 100 hotels in the top 7 cities with diversified presence across customer segments and price points. We are well positioned to capture the surging spiritual demand with presence in 50-plus villages or spiritual destinations.

Number five, our portfolio growth. We continue to demonstrate industry -leading growth with 53 hotels and 34 hotels opened during FY '23 -'24. This is the highest in any single year done by anyone. More important ly, with 218 hotels operational and 92 in pipeline, we crossed the milestone of 300 -plus hotels portfolio.

IHCL entered into a strategic alliance with the Ambuja Neotia Group's Tree of Life Resorts offering our sales and distribution network with portfoli o of 14 resorts across the country. Just for the sake of clarity, when I said this is the highest done by anyone, it is based on organic growth, and it is based on the pan -India figures and not the global figures.

Number six, unique mix of capital heavy a nd capital light. Our current operational portfolio has a balanced mix of 60% capital light and 40% capital heavy assets. The capital -heavy portfolio drives operating leverage and has demonstrated strong growth on the top line, but more importantly, at the EBITDA level on the back of effective asset management and strategic addition of new hotels.

On the other hand, capital -light portfolio provides resilience. Our capital -light business is comprising mainly top management fees and new and reimagined busine sses currently contribute roughly 14% and to consolidated revenue and in the near future, contribution from this high -margin portfolio is expected to increase to 20% of consolidated revenue. which, in turn, will drive margin expansion for the overall busin ess.

Number seven, new brands and reimagined businesses. IHCL's new businesses vertical comprising of Ginger, Qmin, amã Stays & Trails, The Chambers and the reimagined TajSATS, reported a revenue of INR1,600 crores. At a growth of 35% over the previous year, new

businesses grew at double the pace of core IHCL enterprise, which grew at 17%. New businesses now account for 12% share of IHCL enterprise re venue, showcasing an expansion about -- of about 150 basis points from the previous year.
Now I come to TajSATS. TajSATS clocked a revenue of INR900 crores at 40% growth over the previous year with a market share of almost 60%, maintaining an industry -leading EBITDA margin of 25.5%. Ginger reported a brand revenue of INR486 crores, growing 34% over the previous year, aided by the flagship Ginger Mumbai Airport Hotel, contributing over INR25 crores in the first full 4 months of operations. amã Stays & Trail s achieved a portfolio milestone of 200 homestays, bunglows with 103 added in the last financial year. So Qmin brand also achieved a milestone of crossing INR100 crores in its GMV or brand revenues in FY '23 -'24.

Finally, IHCL will also introduce a new br and, as we announced on the last call. This is our reimagined version of Gateway, a full -service hotel offering in its new avatar in the upscale segment. This will be a similar story like the Ginger, which was reimagined in the years 2018 and 2019. The Gat eway brand rollout will commence with 15 hotels and will scale to 100 by 2030.
Number eight, strengthening competitive advantages. We remain committed to investing in our assets and building our capabilities for the future, thus strengthening our competit ive advantages. IHCL in FY '22 -'23 commenced a five-year capital deployment plan of over INR3,500 crores towards asset upgradation and select new strategic investments. This includes strengthening of our digital capabilities with new brand websites, implementation of new ERP system and data lake for advanced analytics with AI and ML capabilities. Some of these launches, especially on the new brand sites, you will start seeing from the first week of May onwards. That means in 8 days from now.
Number n ine, Paathya, our industry -leading ESG+ program. We have achieved significant milestones this year on our ESG+ program, and IHCL now uses 37% energy from renewable sources and has installed 343 EV charging stations across 142 locations in India.

Continuing our
journey of eliminating single -use plastic IHCL has installed 40 bottling plants and achieved 48% recycling of the water that is used. IHCL also partners and operates 32 skill centers today across 15 states in India.
Finally, maybe the most interesting for all of you, what can we expect going forward? And rightly, it's the number 10 on the list. We feel that the hospitality industry up cycle is expected to be a long and sustained one. Of course, every now and then, the re will be some headwinds and some drops. But eventually, nothing better than COVID can give the proof of the resilience of this sector. So accordingly, also experts like Horwath HTL have predicted that demand will grow at a rate of over 10% annually for t he next 3 to 4 years. while the supply will continue to lack demand. Most of the future supply is expected to come outside of the key markets for non - tier 1 cities.
We are very much, as IHCL in sync with what Horwath has been guiding. Within the IHCL context, we expect to deliver consistent double -digit top line growth, therefore, with sustained margins and continued portfolio growth with a target to open 25 hotels in FY '25. We had guided 20 for last fiscal. If we include Tree of Life, it's 34. If we excl ude that, it's 20 hotels open as we had guided, and we are very much confident of opening a minimum of 25 hotels, and that's the guidance we are providing.
Our new business will continue to grow also over 30% in the next fiscal, which last year was at 35%. As the base gets larger, the guidance, you can expect will be in the range of 30 now and going forward, maybe at 25%. Our focus also remains on evolving our brand scape and strengthening our competitive advantage with extremely prudent capital allocation and strategic opportunities. However, we are very well positioned with the cash position that we have with

the 0 net debt that we have to take advantage of any strategic opportunities that might come our way.
Our new dividend policy has been approved by the Board, and we have proposed to declare a dividend at a payout ratio of 20% of consolidated PAT for that INR1.75 per equity share at 175%. This is subject to shareholders' approval, as we all know. Thank you so much for your attention, and we now open t he floor for questions.
Moderator: Our first question is from the line of Binay Singh from Morgan Stanley.

Binay Singh : One clarification and one question. Just on clarification, on Slide 51, when we talk about 4% ARR growth, this I assume is including Gin ger Mumbai Airport, right, so which is why the number looks lower than what it was 2 quarters prior.
Puneet Chhatwal : One second, Binay, we are looking at it. So occupancy is that ARR -- yes, it includes Ginger Mumbai Airport . ARR growth for Standalone Q4 like for like is 8% and Revpar growth is 15%
Binay Singh : Yes, because that would have to extend diluted room rate grow th.
And secondly, just Slide 47. If you look at the Taj business, here too, we are breaking it into business, leisure and palaces. Could you, a, give us a little bit of a revenue breakdown also on these 3 segments? And question being stood at, where do yo u think you see more scope for occupancy improvement or room rate improvement among these, where do you see a pushback? And quite there's incremental opportunity to expand occupancy or room rate looks limited? So that's the second question.
Puneet Chhatwal : Binay, our -- there is a nominal increase that you expect every year, but very important for us and our portfolio is our not like -for-like growth. And with the company growing at the speed at which we are growing, also the new openings dilute that percentage is that you see.
See, it's not just the Ginger Mumbai Airport in stand -alone. But if you take the overall picture, then even if it says like -for-like, for example,

it takes 3 years normally for a hotel to stabilize
unless it's opened in extraor dinary circumstances.
So established property, let's say, like Taj Lands End and Taj Mahal Palace in Colaba will have a different kind of increase versus, let's say, we have opened Taj Trees in Mumbai. There is a ramp -up period. So with this high growth i n one way, we are doing it because you all like to see these percentages. But maybe we need to show it differently going forward, saying -- what is it for hotels that have been in operation for a minimum period of 3 years? And how does that percentage grow th look and how does the new one look?
So the new one helps you that when the headwinds come, they're all adding because most of that is on capital light. But it comes at a disadvantage that it dilutes the figures because technically, we include all hotel s, which have been in operation for a minimum period of 1 year.

Binay Singh : Yes. No, thanks for that info. I think your point is very relevant, especially when you look at the pipeline ahead also, we will see a lot more management contracts coming in. So to an extent, I think this slide, in particular, will look a little diluted. But last question, any commentary on the near-term trends. Like how are you looking at demand in this quarter April, May quarter. I understand sequentially, it is weaker more on Y -o-Y basis, how do you see?
Puneet Chhatwal : What we are saying is what we believe and we think the top double -digit growth is what we feel is going to happen now. If in one quarter is in 9% and then the next one is 11%, still the average would be 10%. So I'm not saying i t's 10%. It could be 11% and 13% or -- so I think anything which is north of 10% on an average for the year, we feel is a realistic number going forward because, again, that base has become larger.
To keep doing 18%, 20%, 22% growth is is possibly very as pirational and ambitious. It's not impossible, but it's aspirational and ambitious. So anything which is north of 10% gives us a very good platform on all metrics that we -- that I mentioned while giving those 10 important points.
Moderator: The next quest ion is from the line of Achal Kumar from HSBC.
Achal Kumar : So first of all, Puneet, just wanted to understand about MICE business. So I mean, do you think the MICE business has normalized and back to pre -COVID levels? Or you think there have been a few st ructural changes, i.e., bigger conferences, fat marriages. I mean, and -- which are significantly positive. And do you see a sustainability there? So if you could please give us a bit of a color in terms of MICE business, especially in the pre -COVID versus now?
Puneet Chhatwal : So in our estimation, the share of revenue for our MICE room business is 17%. But I think India is going through a structural change. We have not even reached 5% of the possible MICE business by jus t the addition of Yashobhoomi in Dwarka and Bharat Mandapam in Pragati Maidan and the convention center in Kolkata and the one which is ahead and are getting more close to doing well is Jio in Mumbai, right?
So I think taking the MICE out of the hotel bus iness because when you have events where 2,000, 3,000 or more people could come in, in one single hall, that kind of infrastructure never existed. So this is opening a big new opportunity. In terms of weddings, that is maybe a specialty on the Indian subco ntinent and is going to stay a very important element of the culture and of the culture of celebration or as a culture of social gathering. And we are seeing no change when it comes to weddings. There is nobody worried about going into a hall because there was COVID. I think all that fear has gone, people are back and meetings are happening in a normal way.
But what we have not yet seen is global events coming to India. We recently hosted in the month

of

February, the global conference of Coke, as an examp le, or -- 8, 9 months ago, I don't remember the exact month. We had the launch of the new Dior collection at Gateway of India. So you will start seeing -- or India will start seeing and witnessing more and more of these events.

And hopefully as the larges t hospitality ecosystem. We continue to benefit from it, and it's not a one-off like a G20 but also a G20 has created the infrastructure, which will benefit hospitality sector going forward. And, Achal, may be one simple answer here is -- not only is one b ack to what it used to be, it has improved. And when it comes to new facilities, we are not even at 5% to 10% of possible utilization.

Achal Kumar : Right. Fair enough, it was very clear. Other thing I wanted to understand, you just spoke about the Gateway hotels, and you mentioned that you will have 15 hotels and probably end up by 100 hotels by 2030, if I understood correctly. So what is the logic, I mean, why you want to have additional -- another brand? And where -- how you think you want to position it within your existing Taj, Taj SeleQtions and Vivanta and all. So where exactly you see this Gateway hotels to be placed? And what is the logic? I mean, what kind of benefits do you see? What synergy do you see? I mean...

Puneet Chhatwal : Excellent. Very go od question, Achal, I'm glad you asked it. See, Taj -- we have worked a lot on the last 5 years in upgrading and investing in Taj. And rightfully, it got acclaimed as India's strongest brand across all sectors by Brand Finance and also world's strongest ho tel brands for -- in the last 3 years. And this year, the verdict is going to come in June. Now Taj is and was always a luxury positioning, some where it got diluted for whatever reason 20 years ago, when we added -- by Taj and Vivanta and the Gateway hot el had become Taj Gateway.

So when we started the journey of Aspiration 2022, we put the Gateway brand in the drawer, and we always communicated and guided we will bring it out, a, when we have the critical mass in the brands; b,when we have clarity on the brand scape and how an evolution in India could take place; c, when we feel now is the moment and that's what we feel is now because your Tier 2, Tier 3 cities cannot afford a Taj as the cost to build a Taj and your ability to charge are not in sync.

So if you look at the press release that we have given and the destinations that we have given, doing a Taj Hotel , there would be a challenge. At the same time, we reimagined Vivanta 5 years ago, and we said Vivanta is what it was supposed to be, though we want something which is very chic, very boutique -ish, and that is not a brand that will fit into, let's say, every possible location like a Karnal or a Barnala or etcetera. So these are the Tier 2, Tier 3 cities, which are coming up very strongly.

And that's the ethos and the style of the brand is done in such a way, including its uniforms that it could not fit in, in such destinations, plus we have limited Vivanta with banqueting spaces. We don't want to have too much wedding and all that kind of busin ess because either you're a mass brand or you're a chic brand, you cannot be both.

Now selection is very easy. It's a collection of names. Names that are a brand in themselves in their relevant marketplace. For example, the President in Mumbai is a part o f sele Qtion. The Connaught in Delhi is a part of sele Qtions. The Ambassador in Delhi is a part of sele Qtion. The

Blue Diamond in Pune, the Savoy in Ooty. These are all names which are very well established over several decades, if not essentially.

So I th ink this was a gap that we had, but we had not reached 100 Taj hotels and we were not close to 100 Ginger. Now that we have crossed in the portfolio, 1

10 Taj -branded properties and
Ginger in the next few months should get close to 100, it's already at 90, is the time to launch this brand, which will be upscale, full service and a gateway to that city. It will be a very regional brand, which will have all the important characteristics of that city. So Gateway in Nasik will represent in its art work, in its s tyle, in its arrival experience in Nasik. A Bekal in Kerala will represent Kerala.

So I think this way, we go out and become a very good in a traditional world, we would say a very nice 4 -star full -service brand. And in the modern world, we would say it's an upscale full -service brand. And we are also launching it because we are very confident of getting quickly to a critical mass of 50 hotels in operation and a portfolio of 100 very soon, and we start with 15. We already start with double digit. We're no t starting with something we build one hotel at a time and it takes another 20 years to get to the 20, 30, 40 50. And that's why we have given the list in the press release of the names of the properties as well as the quarter of their opening. I hope this clarifies some bit the rest whenever you visit us in our office, we can show you on a chart.

Achal Kumar : That's very interesting. Very, very interesting. I think that's a great idea. Thank you so much for giving the clarity. My final question, if I may, please. If you could please share a bit of a plan in terms of your capex, which you mentioned that INR35 billion and you always spend INR10 billion to INR11 billion, so which means you're going to spend additional INR25 billion in the next 3 years, especia lly on the digital and IT spend.

And are you -- I mean, are you collaborating with the broad Tata Group especially in terms of airlines and they have Air India and all so I have been thinking about this. Recently, I could see very surprisingly Indigo quie tly launched a link on the website, where you can book the hotel. So do you have that kind of plan wherein you are collaborating with Air India and they can sell the holiday business wherein they can get the link. So I mean, I just want to understand your close collaboration with Tata Group and your plans on the digital IT spend, how do you see the benefits from that?

Puneet Chhatwal : We are a Tata Group company, and we always look at synergy possibilities with all group companies and not just airlines, but you're right because somehow airlines, hotels, flight catering, all this go together. So that part is there, but I think there was a lot of work to be done on Air India. They are getting close to a lot of initiatives that they have taken. And during the course of this financial year, we will try to align ourselves on strategic funds. But maybe you should be asking this question again in a couple of quarters.

But that does not mean we don't collaborate today. We do collaborate. We went out and built The Ma haraja Suite at Taj Mansingh . We do whatever we can, meals for them, we are doing

almost all meals for Vistara whatever stations we are except for Hyderabad. So there is a lot of that collaboration that is already happening. It's not that, that is not ther e.

And I think if Air India was to join the loyalty platform of Tata Neu, that would be another new game changer completely for us. So sometimes it's not direct, it could come through other companies. And at some point, I'm sure they will also join like o ther companies have. As they tend to benefit, Tata Neu will benefit and indirectly, group companies like us will benefit. So I remain extremely optimistic, not cautiously, but extremely optimistic about the synergies driven also under the leadership of our group channel.

Moderator: Our next question is from the line of Shaleen Kumar from UBS.

Shaleen Kumar : Congratulate on a good set of numbers and a good closing to t

he year. Just continuing with the
Achal's question …

Puneet Chhatwal : Shaleen, there is a lo t of disturbance.

Moderator: Mr. Kumar, if you are using the speaker mode, may we request to use the handset mode to ask the question, please. Mr. Kumar, we are not able to hear you. As the line of the current participant is not clear. Mr. Kumar, if you ca n hear me, you can rejoin the queue.

Shaleen Kumar : Am I audible?

Moderator: Yes, Mr. Kumar, if you can use the speaker -- if you can use the handset mode to ask the question.

Shaleen Kumar : Am I audible? Sorry, I don't know what's happening.

Moderator: Yes, sir . Please go ahead.

Shaleen Kumar : So I just repeat my question. So I was saying -- I think you guys are still conservative when it comes to your capex guidance, INR3,500 crores of capex in next 5 years, but you guys can be generating like INR8,000 to INR9,000 crores of free cash during that period, right? So do you think you can be a little aggressive on that front?

Giridhar Sanjeevi : Shaleen, I think the guidance of INR3,500 crores over 5 years, out of which -- we said the program started 2 years b ack. So effectively, it's about INR2,500 crores for the next 3 years. And if you look at the PY capex numbers, we've done about INR637 crores. So essentially, you're going to build on that. And I think in the last quarter, we did mention some numbers ab out where we think we'll do next year.

We think this is what we can do if -- business -as-usual of course, if there is an opportunity which come up, which Mr. Chhatwal referred to earlier, on an inorganic front then, of course, that becomes another area of sort of where capex can get deployed.

But as you see things today, INR2 500 crores of incremental capex over the next 3 years is something which we think should be possible for us to spend. And there is all 3 main areas,

which is basically renovation, whic h has been an ongoing thing we do, the new build and also
on the IT side, which is actually a very big focus for the company for this year.
Puneet Chhatwal : This and next -- next 18 months.
Shaleen Kumar : So effectively, we are saying that this is the visi bility right now. It could obviously evolve, right?
Because definitely, we will have cash to deploy?
Giridhar Sanjeevi : Absolutely. That's right.
Shaleen Kumar : Right. Second thing, I just want to understand on the current performance. I mean I saw a jump
of other expenses, right. And I think it is possible to quantify or give some suggestion on that
because then our actual EBITDA should be more than what it has been reported.
Giridhar Sanjeevi : So Shaleen, there are one -off items which we have actually men tioned in the note on the other
costs. If you see our cost structure, all the costs are actually are below as a percentage of revenue,
as you compare with previous year. The cost, it has gone up with other costs. And there are 2
elements to this. There is one-off items. And if we were to correct it for that, then the gap between
the previous and this year actually is negligible. And secondly, these costs are in the nature of
onetime and which are kind of incurred this year. And we don't expect them to be re peated next
year.
Secondly, a large portion of the increase is linked to revenues coming from licensed hotels,
where license fees have been higher. And the license fees is part of other costs because of which
the percentage is looking higher. So this is a mix effect, which would actually correct in the next
year.
Ankur Dalwani : So, just to clarify, Ankur over here. So that, you're saying that my other expense -- other
operating expense would have been similar to previous year had this one -off not been ther e?
Giridhar Sanjeevi : Yes. If one -off was not there -- the one -off was there in both the years, it's in previous year as
well as this year, we were

to correct it for the one -off. The number would be closer to 29% as
opposed to 29.2% or 28.4%, which you're seeing right now.
Moderator: The next question is from the line of Anuj from In vestec.
Anuj : Congratulations on a good set of numbers. So 3 questions. Firstly, on your new and realizing
business, especially TajSATS and Ginger which has clocked in almost 2x of growth versus a
stand -alone entity. So what has been the growth driver and are the sustainable going ahead?
Also, any new segment that TajSATS have scaled up its reach , which actually has led to set of
a robust growth and what will be your outlook for this entity going ahead?
Secondly, any impact of ongoing elections, which we a re witnessing across tier 1, 2 or 3 cities
across ARR and occupancy ? And lastly, we have already surpassed our Ahvaan target a year
ahead. So what margin portfolio addition or portfolio mix do we see or expect for next year, sir?

Giridhar Sanjeevi : Giri he re. So I think see, as far as the first question on Ginger and TajSATS are concerned, I
think there are a number of drivers. As far as Ginger is concerned, Ginger Mumbai Airport is
obviously a big driver.
The second thing is that we were upgrading propert ies from the old model to the new Lean Luxe
model that has clearly driven. And third, from an F& B perspective, we have kind of graduated
from the earlier format into Qmin actually, which has also helped in terms of growth. I think
these factors will contin ue to grow in our capital -light lease models on Ginger actually. So , we
are very excited in terms of the opportunity to grow. That is number 1.
As far as TajSATS is concerned, once again, a number of drivers, very, very clearly, the real --
the growth in the number of airports, the growth in the airline passengers, the kind of mix, which
is happening and the way we are charging our customers between meals as well as handling
charges. So I think there are a number of factors once again.
And productivity, most importantly, productivity, places like Delhi, as an example, there have
been significant productivity improvements which kind of ensure that they're able to be more
meals given the same space actually. And TajSATS will contin ue to have that momentum
completely actually.
As far as this year is concerned, I think Puneet has outlined in terms of the factors for this year.
Very clearly, I think there will be some temporary impacts in terms of elections and all that. But
otherwi se, I think we do not see given the long -term fundamentals in terms of demand drivers,
in terms of supply levels. I think we are clearly standing by the double -digit revenue growth .
And I certainly think that, see I think a lot of what has been happening is -- in the industry, is
momentum with a strategy. I think from our perspective, I think we have a solid strategy, a solid

execution. And we have a number of factors coming into play, the diversification in terms of top line, the 125 -city presence, which gives us a lot of network effects, as an example , the productivity and cost. The -- all of these are going to come together in terms of driving up performance actually. And I forgot the first question.
Anuj Upadhyay : Sorry, it was on the Ahvaan target which we have already surpassed a year ahead. So going ahead in terms of our portfolio mix, because in the last call or we actually had targets to have 65-35 kind of a ratio between asset light and asset heavy, while you're at 60-40. So going ahead what would be our target in terms of this proportional mix? And also, any target on the -- or outlook on the margin pressure would be helpful ?
Puneet Chhatwal : See, we -- as far as the growth is concerned, see, we will continue to grow. I know there's a chart where clearly, we are talking in terms of the capital light and capital heavy. I think including pipel

ine, if you see the capital heavy is 28% actually. And capital light continues to be 72%. So that is going to be the driving force, unless some new opportunities like inorganic and other things come into play, our new greenfield kind of opportunities actually, so that's the guidance.

And as far as margin is concerned, we have been very clear that the in -- margin for us is an outcome rather than a target actually. We had to give a target 5 years ago because we were at 17%. And therefore, it is important to give a target and deliver actually.
Having achieved the 33%, I think we should -- it is more an outcome. Keep as a result of the actions that we take with the leverage on the -- what do you say, operating leverage. If the margins go up, there will be an outcome actually rather than a target. So I think that's the way to kind of look at it .
Anuj Upadhyay : And just you Gateway product, again these are on the asset -light model?
Puneet Chhatwal : Yes. At the moment, the 15 that we have highlighted, they are all on asset light.
Moderator: The next question is from the line of Bharat Sheth from Quest Investment.
Bharat Sheth : Congratulations, Puneet and team. Sir my question is on -- first on this IT spend. So if they have to really look at ROI or so is it for creating more business or also including cost savings. So if you can give a little more color and how do we see its p ayback time?
Giridhar Sanjeevi : So IT spend, as you see, what we've outlined, there are 2, 3 big areas. Basically, the ERP software, which is really the heart of the financial software. We're upgrading it to a much -- the most modern software, which is for S/4HANA RISE, and we expect it to actually give us a lot of productivity gains, once it is fully rolled out across the portfolio.
And these could be things like implementing a shared service and getting cost savings as we scale up. Finally we're also doi ng a PMS upgrade, which is basically moving on a very modern -- upgrading from current PMS which we have on to a -- on cloud PMS. Again, this will go hand -in-hand with the ERP upgrade. And I think the benefit of this you will see over the next 2, 3, 4 year s because this is not something which is -- you see the benefit immediately because it's a thing about productivity and savings, which will throw into the P&L over a period of time.
And I think as an organization, we've been leaders, and therefore, for us to maintain leadership is important that we are ahead of the curve and spend on IT and productivity investments. And that is why this has been called out this year, particularly.
Bharat Sheth : One question for Puneet. Puneet, primarily our Q2 is a very so ft history. But since last year, we have seen that Q2 is a little better, I mean, over Y -o-Y or maybe a much better and decline is not to which was earlier. So how do we see the trend, I mean, a quarterly trend? And what is really playing out that all the quarter may come? I mean maybe not equal, but a decline over previous quarter is changing in the seasonality?
Puneet Chhatwal: See, there are 3, 4 things. Number one is India is now not anymore talking October to March destination. It's becoming a 12 -month destination. Number 2 factor is that companies including us, we don't wait until October to start making money. We start thinking about profitability.

Historically, 20 years ago, 25, 30 years ago, it was like this that will wait till September, October, November. So that has changed completely. I think it's true for the entire sector.
Number 3 changes, new destinations are coming up. So there was not so much airports, roads, trains, infrastructure, all the spending that is making all these destinations in India accessible.
So it's -- doesn't matter. There are -- if it is hot

, you can go to the hills. If it is cold, you can go
to the south, you can go to Goa. So India has 7,500 kilometer of coastline. It has 500 -plus beaches. It has a mountain range, which is massive. It has a spiritual destinations with almost 3 million plus possibilities of people to go and visit on spirituality. So a lot of that is changing with the affluent India, which is getting the flavor of becoming the fifth largest economy.
And if it is going to become third, so all these factors are taking short breaks, spending discretionary spend on leisure will drive the change of hospitality from a discretionary sector to a consumer sector. That's what it is in very simple terms. And that is w hat is going to change your Q1, Q2 . Q3 will remain strong with Diwali and all the wedding season and Q4 also will always be the first and second strongest quarters.
And events like IPL also help. I have to say that these events -- India becoming a sports destination, whether you have World Cup Hockey happening for women or you have Kabaddi the championship or an IPL or all these things are helping.
And at the same time, the supply is not coming at that speed at the way it came earlier. So of course, hotel s will get built, but we have a few years definitely where the demand/supply imbalance is going to stay. So all in all, this is really what is helping us from an infrastructure point of view, but also our own growth, we are adding so many hotels per month.
Now going forward, we are saying we will do more than 2 hotels a month. And if those 2 hotels are coming, majorities coming in capital light, it just keeps adding -- the flow -through becomes higher. Something we have been saying for now 5, 6 years in a row.
Bharat Sheth : Effectively, does it mean that it will improve our RevPAR for annualized -- on annualized basis from whatever was the history?
Puneet Chhatwal: Normally, it should. But as I said, at the moment, there is nothing that suggests the contrar y. And based on the Horwath HTL report, as I said in the opening remarks, the demand is supposed to grow at 10.6%, which historically grew at 6.4%. So I think that should help.
Moderator: The next question is from the line of Karan Khanna from Ambit Capita l.
Karan Khanna : I've got 3 questions. Firstly, if I look at Slide 17 of your presentation, and Puneet if you could talk more about the supply narrative because I was going through an article and effectively, if you look at the top 5 international hotel sa les and their growth aspirations for next 3 to 5 years, we're looking at close to 400, 450 hotels that are getting added , effectively 50,000 to 60,000 keys that are being added by these hotel chains. So in that context, how should we think of this narrativ e about supply remaining constrained, over 3 to 5?

Puneet Chhatwal: I would recommend very strongly to get some of these announcements made from the last 3, 4, 5 years and then compare it to reality. It's not -- it has not yet happened, right?
We have had this question since 2018 in different hospitality forums that I participate in. And in other calls, this is one of the ways of -- international way of marketing and getting the thing.
Maybe it happens, but up till now, it has not. So it's very easy to go back and check.
And I think a few days ago, there was an article in, I think, Mint, which gave the number of hotels in operation of the top players and the number of hotels in pipeline. I think that's what one has to do. And in the pipeline also, you have to keep adding because 100% of the pipeline never gets built, no matter where in the world.
So you have to look at, depending on the quality of the pipeline, a 70% to 80% number is a very strong number because something happens. Somewhere, some protest c ome, somewhere some PIL comes, somewhere some developer/promoter runs out of money or

ends up in some other
issues. So things happen in the marketplace or a flooding happens or what, a cyclone comes, things just change.
And I would say this is what we hav e been reading is thanks to a recent investment conference that happened where a lot of people came and they made these statements because India is a happening place. Everybody wants to have a share of that growth and the possibility to participate in that growth so that nobody gets left behind, and it's good competition to get, but I think the number of hotels we have in pipeline, we are way ahead of anyone.
And these are signed legal binding contracts that we announced. This pipeline is not projects whic h are under negotiation. We have another 90 under negotiation. So that is not what we thought of the number of projects you have in negotiation at that time, then the ones you actually conclude, you are very lucky if you conclude 20% to 25%.
Giridhar Sanjeevi: And the other thing, Karan, is that you should also look at the micro market set. Ultimately, hotels are a micro -market business. And if you look at our hotels in our micro market, there's effectively no new supply coming. I think that's number 1. And number 2, in all the key markets, we dominate in terms of the number of hotels as well as the price points actually. And therefore, our ability to cater to different customer segment is also very hard. So looking at supply alone as a stand -alone way of looking at it is not right. We have to integrate it with all the other factors

actually.
Karan Khanna : My second question, given the significant surge in airfares, especially post -COVID almost 40%, 50% versus pre -COVID. How should one think about the ab ility for hospitality change to continue driving ARR growth, given the ADR is also up 30%, 40% versus pre -COVID. And as a follow -up, at what point do you think international destination perhaps become more attractive or more lucrative in the context of ris ing airfares and hotel rates?
Puneet Chhatwal: I think if you look at our own portfolio, if you see the slide we put out by brand or ARR and occupancy. You will see that if you look at the Taj business hotel. That segment is a INR13,700

average ARR for Q4. And if you look at over the full year, similar numbers. So I think that we believe that there's still room to grow. And ARR is a function of demand/supply at the end of the day. And like Giri said, not only supply across the country, but what's the supply upcoming micro markets.
And if you look at the last 4 years or 5 years ARR increase, a lot of it is also because there have been high inflation in economy, which has also led to ARRs being -- that inflation being passed on to the customer. And that abili ty to pass on inflationary increase is there till the time we have a good balance of demand supply. And I think that's something which we see confident will remain in the foreseeable future.
So I think -- if you think about it more conceptually, I think t here is ability to increase ARR is still there. And of course, it'll vary from hotel to hotel. It is not going to be uniform across the market. And it will vary from -- also from segment to segment and which whether it's leisure or which brand we are talki ng about. So I think that's point one.
Secondly, I think if you look at last year's data, there's been step outbound travel from India, which has actually exceeded the pre -COVID level. In spite of that, we've had -- we continue to sort of grow and see Rev PAR go up over the last 12 months.
So I think this shows that while destinations outside India are attractive for some people. There is still enough demand in the country and whether that's business demand or leisure demand, which is kind of catering to o ur hotels.
And a couple of things which are hidden or which are some potential upside there, we s

till are
not back to our foreign inbound tourists, right? We are still I mean, the statistics is about 85% of what was pre -COVID, but that also includes the p ush we got from G20. If you were to adjust it for down -- that you're probably down to 70%, 75% of the pre -COVID level. .
So there is -- and that should actually pick up. I think if you look at, again various forecasts of that, this year itself there should be pick up and then over the next few years, we expect that to actually get to almost 27 million, 28 million tourists coming to India. And that is a big push from a -- big factor, which has helped us in sort of fill in some of our leisure properties. It's always doing well, but can obviously do better.
So I think those are the other factors you should just think about and think about ARR growth because it's not about this one quarter or the full year, but I think it's a long -term trajectory.
Giridhar Sanjeevi: Just building on what Ankur said, see we have always said that from a business ARR perspective we have enough scope because really speaking, if you travel abroad, you see for the same kind of rooms and kind of quality, I think our pricing is much lower. So I think with the growth in business, I think the potential to increase business ARR is definitely there.
On the leisure side, it represents the long -term opportunity in terms of growth. See the domestic revenue that Ank ur pointed out, is very real actually, which means that people are taking more

trips, they're taking shorter trips, and many times when people take these holidays, they're not thinking of a destination. They have teams in and they want to go to some place actually , whether driving to destinations or what .
And when you look at these 2, 3 day trips, especially what happens is that people have a wallet in mind saying that I will spend about a lakh for this trip as an example. Then it doesn't matter, Karan, in terms of whether the ARR is INR10,000 or INR12,000 actually, as long as the wallet is maintained actually.
Hence, I think -- and remember one thing, the ARR is really all about the part of the business, 47% of our business is room revenue. There's everyt hing else in terms of F&B, in terms of the asset light businesses, the banqueting, the chambers and a whole bunch of other things actually. And then I think don't look at it narrowly in terms of just ARRs and RevPARs. I think there are

multiple factors. A nd this is where I think the diversified network, the size of the network, is going to matter. If you are a 2 -hotel chain, then I think some of these factors, what you asked are very real actually.
But when you're 125 cities operating with 200 hotels, act ually, I think there's a whole bunch of network effects actually. I think these are all -- one of those factors but eventually, there are a number of, what do you say, factors which complement and supplement actually. And then you need to look at it much m ore holistically.
Karan Khanna : And then Giri, lastly, if you think of your strategy to reintroduce the Gateway brand, do you recon given the sort of INR3,500 crores gross cash on the balance sheet and the kind of free cash flow that you projected to gener ate perhaps thinking about acquiring a hotel chain, operating in Tier 2 and Tier 3 cities would have a better strategy? Or you think that building a brand or reimagining Gateway is the right way to go forward?
Giridhar Sanjeevi: I think we have just begun with 15 hotels and Gateway as we have announced. In organic opportunities is something that we'll always be looking at for the right price and value.
Puneet Chhatwal: One thing does not exclude the other. So the evolution of our brand scape is ongoing. Wha t was only known as Taj Group, see how it has evolved and we will continue to evaluate as and when opportunities arise.
Now we

have launched Gateway, but I think you're saying it's acquiring Tier 2, Tier 3 cities brand, there are not many. And there are n ot many available for sale. So if there is one, then when it's on the market, then you can be sure that we will be a candidate, which will go for it.
Giridhar Sanjeevi: The other thing, Karan, that I think with our size now, I think to some extent, we can start talking ourselves as a consumer business actually, which means that -- and the reason I'm saying that, Karan, is that ultimately, India is a heterogeneous country with different requirements, the Tree of Life caters to a certain segment, Gateway cate rs to a certain segment, which we are hitherto not able to service.

And then I think what we are doing actually is expanding the pipe, and that's the only way to look at it. And when -- we have a slide also in the presentation about not just about the num ber of hotels, not just towards serving different customers but also different price points. That also matters because the beauty of the price point thing is that it is not margin dilutive. If you go to Ginger, the ARRs may be lower, but it is margin accre tive actually. So I think you need to look at all of these factors. I think almost -- it's almost becoming like a consumer business at this point in time.
Moderator: The last question is from the line of Prashant Biyani from Elara Securities.
Prashant Biyani: Sir, between business and leisure, where do you see more scope of improvement in occupancy?
Ankur Dalwani : I mean if you see the structural trend and you pointed out the demand side that the long -term growth driver is there for both, but leisure sh ould outstrip the business side, if you look at that slide, which basically kind of gives you a sort of a clue as to where the long -term demand is going to be from -- either from leisure or business segment. I think if you look at our own hotels, you can s ee that there is occupancy for various cuts . So there is room for improvement, I guess, in both, but leisure probably can do a little bit better in terms of occupancy in the long term.
Giridhar Sanjeevi: No, I agree. I think if you look at leisure, I think if you go in the month of June, as an example, or late -- earlier June month, we have no months actually that no domestic consumers are going. And many of these destinations are obviously all around year destinations actually.
So leisure does -- and also look at our mix of business. Today, 75% of business is still in the business segment and 25% in leisure. Therefore, I would imagine that with the long -term opportunity and our presence in different leisure destinations that we have the widest presence in the leisure destinations actually. I think therefore, the opportunity in leisure structurally is much better.
Prashant Biyani: Right. And sir, in the next 3 to 5 years, which of your hotels can become as big as the big 5 machines on Slide 32.
Puneet Chhatwal: Many. So I think we are opening many big machines. If you look at the development with Bangalore International Airport, which is not own, it's a mana gement contract, but we have combo development of the Vivanta and Ginger totaling 750 rooms.
We are doing almost 300 rooms in Ekta Nagar, which is owned. We are doing a big one in Cochin Airport. We are doing just now signed and announced a Ginger Mopa Ai rport in Goa, 300 rooms. So we are doing big boxes. We are very much looking forward to as nobody asked this question today. So I will mention it as is the last one to the redevelopment of Sea Rock, which could be at least 2 of these big boxes on Slide 32, alone. So these kind of boxes, they take time. And that's why Sea Rock will take a bit of time, but it will happen.

Ankur Dalwani : And maybe some of our existing hot

els, which are concurrently loss making, potentially have
an opportunity to come into this big box. And basically, which is currently not on the slide but
could come on the slide, yes, we are able to turn on some of those hotels.
Prashant Biyani: Right. I mean, sir, just extending this -- all of these are basically in large cities and owned buy ers.
So except for Sea Rock, are we looking at adding any new large hotel owned buyers at a city
location in the Taj or -- yes, mainly the Taj brand?
Puneet Chhatwal: We are working on it. Maybe we have an answer in the next quarter or so. We are working o n a
very large opportunity in leisure segment and actually not one, we are working on 2. And let's
see which one as a company owned. So where we have the land already for almost 30 years with
us. There are some planning issues just like the Sea Rock, we ha ve 2 such large projects. and we
have to just do the building. So it's not acquisition of land and so it will be like a Ginger Mumbai
Airport, where we had the land. So it's a part of our asset management initiatives. So let's see
where it gets to. We are putting in a lot of effort there and hopefully, at least 1 of those 2, if not
both, works out in the next quarter.
Moderator: Thank you.
Puneet Chhatwal: Thank you. I'd like to thank everyone who joined the call today. Should we have more questions
or othe r people who didn't have a chance, please feel free to reach out to Giridhar Sanjeevi,
Ankur Dalwani, or myself. In the next day, we'll be happy to take any questions that you might
have. Thank you for joining in, and thank you for listening and for all yo ur support, and have a
wonderful evening.
Moderator: Thank you. On behalf of The Indian Hotels Company Limited, that concludes this conference.
Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

July 23 , 2024

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza
1st Floor, New Trading Ring, Bandra Kurla Complex
Rotunda Building, P. J. Towers, Bandra (E)
Dalal Street, Fort, Mumbai 400 051
Mumbai – 400 001. Scrip Code: INDHOTEL
Scrip Code: 500850

Sub: Transcript of the IHCL Earnings Call for the quarter ended June 30, 2024

Dear Sir,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the IHCL Earnings Call for the quarter ended June 30, 2024 held on July 19, 2024.

The above information is also available on the website of the Company at:
https://investor.ihcltata.com/files/IHCL_Analyst_Earnings_Call_Transcript -Q1_FY_2024- 25.pdf

You are requested to kindly take the same on record.

Yours S incerely,

BEEJAL DESAI (F3320)
Executive Vice President
Corporate Affairs & Company Secretary (Group)

"The Indian Hotels Company Limited
Q1 '24 -'25 Earnings Conference Call "
July 19 , 202 4

MANAGEMENT : MR. PUNEET CHHATWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – THE INDIAN HOTELS
COMPANY LIMITED
MR. ANKUR DALWANI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – THE INDIAN
HOTELS COMPANY LIMITED

Moderator: Ladies and gentlemen, good evening and welcome to The Indian Hotels Company Limited Earnings Conference Call for the quarter ended 30th June 2024. On the call we have with us Mr. Puneet Chhatwal , Managing Director and CEO, IHCL and Mr. Ankur Dalwani , EVP and CFO, IHCL.
As a reminder, all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assis tance during the conference , please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .
I now hand this conference over to Mr. Puneet Chhatwal . Thank you and over to you, sir.
Puneet Chhatwal: Good evening everyone and thank you for joining our glo bal conference call for Q1 '24 -'25. We

remain focused on delivering superior performance on the back of our strong brand equity and continued industry leadership. Let me take you through what I feel are the top 10 remarks that we want to make in this call. Number one, Taj was rated world's strongest hotel brand and India's strongest brand and we are very delighted to inform you tha t this has been done by the Brand Finance a nd this is the third time in the last 4 years Taj has been rated as world's strongest hotel brand and the fourth time is India's strongest brand across all sectors.

Therefore, Taj has truly positioned itself as t he crown jewel of India and is also running the flags high for Indian hospitality on the global stage. We are extremely grateful to our loyal patrons and dedicated colleagues who have played an integral role in making Taj the epitome of hospitality and lux ury.

With that, I move on to the second important point. This is the ninth consecutive quarter of record performance. The third Q1 in a row which is our best Q1 and that this performance has continued for us, pleases us to announce this to you. Our enterpr ise reven ue crossed the milestone of INR 3,000 crores in Q1 growing 7% year -on-year. Our consolidated revenue grew 5% year -on-year to INR 1,596 crores, EBI TDA grew 8% year -on-year to INR 496 crores yielding EBITDA margin expansion of 70 basis points to 31%.

More importantly, our bottom line tha t is our PAT grew by 12% to INR 248 crores. Our operating revenue and EBITDA showcased stronger growth at 6% and 10% respectively resulting in 100 basis points marg in expansion over the last year. On a stand alone basis, we continue to deliver strong performance with revenues growing 4% year -on-year to INR 972 crores and EBITDA margin expanding by 160 b asis points to 37.8%. Our stand alone PAT margin stood at a healthy 21.5%.

Number three, IHCL outperformed the industry despite temporary headwinds. The Indian hospitality sector faced multiple headwinds in Q1 ranging from an election period with the resulting code of conduct to extreme heat wave to fewer wedding dates as per the dates, the way they have fallen thi s year. However, IHCL's strong brand equity, customer trust and focus on performance helped us to be resilient and outperform the industry in all key markets driving a RevPAR premium well above the industry average in the domestic market.

Number four which is very much rel ated to the point number three. T he structural tailwinds are intact. That's the most important factor is that we believe that these headwinds were temporary and the long -term structural tailwinds for the sector are still intact. India cont inues to showcase strong GDP growth which when combined with a favorable demographic dividend is driving higher disposable incomes and increasing affinity for travel.

The government's continued focus on infrastructure with the Noida and Navi Mumbai Airpor ts expected to open next year. And the new convention

centers like the Bharat Mandapam should
boost MICE business going forward. With 12 more auspicious dates in July '24 to March '25 compared to same period last year, Indian weddings are expected to stage a strong comeback. The demand -supply mismatch is expected to continue in the coming years, not just in the coming quarters, but in the coming years, with industry experts expecting a 10% growth in demand versus a muted 6% growth in supply.

Number five, wh ich is very important for us is our portfolio growth. We continue to demonstrate industry -leading growth with 16 hotels signed and 6 hotels opened in Q1 '24 -25. More importantly, with 224 hotels operational and more than 100 hotels in our pipeline, we ha ve crossed the milestone of 325 -plus hotels portfolio. We are pleased to announce our entry into the new segment of Taj Branded Residences with the first one coming soon in Chennai. This is a very lucrative market segment in India with over INR 22,000 crore s of aggregate market value today and showcasing double -digit growth year -on-year. This helps IHCL further diversify our revenue streams and leverage the strong brand equity of Taj.

Number six, an interesting development, which we have been guiding that is on our new brands and reimagined businesses. IHCL's new business is comprised of Ginger, Qmin and Ama Stays and Trails continue to showcase strong growth at 37% year -on-year. Ginger grew 45% year -on-year enabled by the stellar performance of the flagship Ginger Mumbai Airport Hotel as well as a strong growth in food and beverage revenues driven by cuminization of Ginger h otels.

Most of you would recall we took a strategic decision that the all -day dining restaurants of all Ginger Hotels will be rebranded to Qmin. The reimagined brands of TajSATS and chambers also showed a strong double -digit growth. TajSATS continues to m aintain market leadership with a share of 59%, retaining an EBITDA margin of 24%. This 24% in the sector that TajSATS is operating in is considered an industry -leading margin globally.

IHCL will also introduce, as we mentioned in the last call, the re imagined gateway in Q2 of this year. Gateway will be a full -service hotel offering in the upscale and maybe even in some cases, up to upper upscale segment. The brand rollout will commence with a portfolio of 15 hotels, and we aim to scale it to 100 hotels by 2030.

Number seven, the very important factor for us, the management fee growth through capital -light strategy. As we've been communicating for the last 5 -plus years, we have had a change in our business model, and we've tried to position ourselves in a more balanced manner of capital -heavy and capital -light portfolio. Our capital light, not like -for-like growth has helped us grow our management fees by 17% from INR98 crores last year to INR 114 crores in Q1 '24/'25. We expect this growth in management f ees to sustain with higher flow -throughs to the EBITDA.

Number eight is looking ahead to the remaining year. The industry has bounced back in July from the temporary headwinds faced in Q1. Destinations like Goa, Rajasthan, Kerala, which were impacted by he at wave are now seeing growth backed by pent -up demand and key markets like Mumbai and Delhi are benefiting from resumption of economic and MICE activity. We expect a double -digit growth in FY '24, '25, as we have also guided previously. And with an expect ed 20% revenue growth, 20% plus, I would say, revenue growth in July based on business on the books as on July 17.

Overall, we remain confident to be able to deliver on our guidance for the full financial year backed by IHCL's diversified and not like -for-like revenue growth and the tailwinds for the industry. We should not forget we still have another 19 hotels to open which will add further to not like -for-like growth with the 6 that we have

opened in Q1. And actually, we did open 1 hotel
a few days ago i n Patna, the Taj in Patna. So that makes it 7 hotels already opened with 18 more to go till 31st of March.

Number nine is our focus on digital initiatives and brand and revenue -enhancing capex. We launched our new tajhotels.com website which has been well received and helped drive 150 basis points higher contribution from the website in Q1 this year compared to the same time last year. We continue to benefit from the Tata Neu Loyalty Program with 5.5 million members today 37% of our enterprise level revenue was generated by loyalty customers in Quarter 1.

Our balance sheet continues t o be healthy. That's the point # 10, on our balance sheet is healthy. Our free cash flows have tripled in Q1 at INR 146 crores when compared with INR 47 crores last year. Our gross cash reserves stand at close to INR 2,100 crores, enabling us to reinvest in brand and revenue -enhancing capex through upgradation, expansions as well as investment in new Greenfield projects. Some of the hotels with renovations ongoing were St. James in London, President in Mumbai, Taj Holiday Village in Goa and Jai Mahal Palace in Jaipur. We are about to finish the renovation in our subsidiary that is Taj Malabar in Cochin, which is an absolutely brand -enhancing property for us in that part of India.

While this all refreshes our properties in the long run, in short term, we did face temporary revenue displacements, but that's a trend, which will continue because investing continuously in an iconic brand, especially the Taj which is our major today -- as a major source of revenue as well as income is absolutely critical. Spends on IT and digital initiatives like the implementation of new ERP system and property management system continued during the quarter. We continue to evaluate several inorganic opp ortunities but will take a disciplined view about such opportunities, coupled with prudent action.

Finally, Paathya that's our ESG plus program, we continue to stay focused on achieving our stated goals under the ESG+ program, Paathya. IHCL now uses 37% en ergy from renewable sources, and has installed 343 EV charging stations across 142 locations in India. Continuing our journey of eliminating single -use plastics, IHCL has installed 46 bottling plants and achieved 42% recycling of water used in Q1. IHCL als o partners and operates 35 skill centers today across 15 states in India and the last one opened a few days ago in Bhubaneswar.

Key corporate actions and closing remarks. One is on TajSATS, the Board of IHCL has approved certain changes to the shareholders ' agreement of TajSATS Limited, which allow IHCL to consolidate TajSATS as a subsidiary in its consolidated accounts. The consolidation is expected to be effective on 1st, August 2024. This will further diversify IHCL's consolidated revenues and EBITDA.

Second, on simplification in order to simplify our operating model and holding structure, it is proposed to combine business of TIHL with St. James Hotels London through a share swap and simultaneous business transfer agreement. The transaction is expected to complete in Q3 post

closing formalities.
In summary, we expect to deliver double -digit top line growth with sustained margins and continued portfolio growth with a target to open 25 hotels in FY '25. Our new businesses will continue to grow at over 30% over the coming years. Our focus als o remains on evolving our brand scape and strengthening our competitive advantages with prudent capital allocation and strategic opportunities. Thank you so much for your attention and we now open the floor for questions.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.
Sumant Kumar : Puneet, can yo

u talk about Taj Branded Resi dents more? What are our plans a nd how are we going to do more launch in more cities?
Puneet Chhatwal : Yes Sumant Taj B randed Residences is 123 residences with another 225 -plus hotels over -- 235 rooms, I said hotels, over 23 floors a very iconic building in structure in Chennai. I think the good thing is we have not -- we've done long stay with Taj Wellington Mews, but we have not done the branded residences concept.
Basically, we get a brand fee because the Taj name is used in the sale of the flats and as well as we'll be providing service to the apartment owners when the property is up and running. That means they could use our gym, they could use our pool, they could use our restaurants, and we would provide also housekeeping services, which will be common to all.
So I think in a nutshell, this is our first venture in this kind of market space. And we will evaluate more opportunities because this is a global trend. It's been something very common in the Western Hemisphere for over two, three decades. But I think it' s slowly gaining also traction and importance on the Indian subcontinent.
Sumant Kumar : Okay. Can you talk about -- you were talking about July recovery in the business. So can you talk about how the ARR is going to grow in the month of July or August, con sidering the pent - up demand you are talking about in some market, because the market was -- because heat wave and due to general election? So have you seen some pent -up demand? Can you talk about that? And how is the ARR growth?
Puneet Chhatwal : As I said, Sumant, that the trend till 17th of July, I would have said 18th, but there was some disturbance, as you know, in the technology today globally, not just for us or our company. So

till 17th of July, what we've seen is north of -- it would be fair to say n orth of 23%, 24% increase in the top line, but assuming that there were certain special events like in Mumbai, even if we were to normalize that for the remaining 2 weeks, it would be fair to say that a 20% growth in top line is very, very visible.
Now alm ost similar amount is coming through rooms and a similar amount is coming through food and beverage. And in the rooms part, obviously, it is driven more by rates so that we can expect this to be -- in my opinion, I think this will be a historic July.
Suman t Kumar : So do you think it is going to sustain in August because there is a pent up demand in July? Double -digit growth.
Puneet Chhatwal : Every day is not a Sunday. I think what it does is it helps you start the quarter on a very good note. And we've got a very good opening. August is also trending well. September is usually a good month. So I see personally what I mentioned in my opening remarks, me and my colleagues, we have debated and discussed and researched it, in length our discussions and in detail , and we see no reason why we should not have a double -digit growth for this financial year without accounting for TajSATS as of August. If we add that, it would be a much bigger number.
Sumant Kumar: Okay. Thank you so much.
Moderator: Thank you. T he next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Good evening sir. My f irst question is on the first quarter performance of moderation because of external factors, is this like such kind of massive event ha ppens because your occupancy ...
Puneet Chhatwal : Prateek, you're not clearly audible. Prateek you are breaking up.
Prateek Kumar : So I was asking regarding -- because your occupancy seems to be like flattish maybe slightly better year -on-year. So in such k ind of environment like what you saw for various macro factors the business was impacted. So industry has to like sort of induce customers to come on board by not taking a growth and still want to maintain the balanc

e on occupancy. So how do we think about managing occupancy versus pricing in such kind of like sort of slow environment what we saw in Q1?
Puneet Chhatwal : Prateek, I have a different opinion on this. I think what we have uploaded, you will see that we

have occupancy averaging around 76% on the domestic front. In certain markets, it is in 80s like Goa, Mumbai, Delhi, in certain, it is very close to 80 like Bangalore and Kolkata and Chennai is between 75%, 78%.
And it's places which are seasonal, like Rajasthan, you don't expect very high occupa ncy, let's say, Jaisalmer, Jodhpur, these -- they tend to get very hot in the summer months. And you will see much higher occupancy in Rajasthan in between October and March, right? So it is not flattish. It is holding and being resilient at a very high le vel, is what I would say, because there was this sector, like if you look back 3, 4, 5 years ago, it was struggling to be even in mid -60s in occupancy.

So going above that number is -- and maintaining that number is good. I think more important is how are we able to increase rates in markets which are lagging behind. That is the key. And there, some of the markets, like, let's say, because of less MICE activity because of elections, some of the markets suffered on that front. But as I said earlier, a few ti mes, the first 17 days of July are showing a very strong recovery in our business on the books for the next 6 weeks is showing very, very strong demand versus the same period last year.
Prateek Kumar : Right. Sir, my question was actually, I understand that the occupancies are very strong. So highly on strong occupancy, we should be able to take a good rate hike also. But my question was that, in order to at least have that kind of occupancy which you had last year, like hoteliers management would have to li ke sort of induce customers by not having so high rates, and that's why the RevPAR gets impact in this quarter. And next quarter, maybe the occupancy automatically is improving, and that's why the rates also -- I mean no inducement actually is requi red fro m the hotel manager side?
Puneet Chhatwal : Let us take this offline because I'm not able to follow, really when your occupancy reaches 75% plus, your ability to charge becomes higher. That is why the rates are where they are and have improved. In the short -term headwinds that we had because of less MICE, because of less weddings, there was a certain impact, but those wedding dates moved to July. So that's why we are having extraordinary July.
So a year has 365 days. And we are only in the fourth month and you start seeing that these changes start leveling out. So I think it will be a strong recovery in July so that you will see both the rate and occupancy improving by a significant level.
Ankur Dalwani : Yes. And I think if you look at the data we've put out here, if you look at Slide 23, it actually gives the RevPAR by brand. And within that, we actually made the statement that if you want to adjust it for MICE which is what we were just referring to that, that's the segment which was weak in this quarter as expected, we would have actually done a very healthy double -digit RevPAR growth on overall domestic -- on overall domestic sector segment as particularly for Taj and particularly for the Taj City Hotels, the business hotels, which is where the bulk of the domestic revenue also comes from.
Prateek Kumar : Right. Okay. Sir that makes sense, sir. My second question is on like expected new capacity additions. So we have like, in the past year like heard or read about like a lot of international players wanting to scale up their presence in India, obviously, including domestic players. Is this something different versus what we saw in terms of wanting to grow in India because India is a attractive market versus what you saw in previous cyc

le, which was followed by a very high capacity growth o r is it something new which we are witnessing this time?
Ankur Dalwani : We are hearing definitely a lot of announcements, Prateek, and I think the proof of the pudding is in eating it. If you see the actual additions on the ground, they still seem to be muted. Q1 is of course just 1 quarter. But if you look at quarter 1, the i ncrease in the supply stock is about 1.4%. And if you look at the big markets, it's even lower than that. So I think it's good to see announcements, but I think to really get them to certify as to operating hotels on the ground, for

all the challenges, wh ich we have talked in the past. It's not an easy thing. So I think supply catching over demand is not a very imminent thing, which doesn't seem to be happening in the next 2 to 3 years.
Puneet Chhatwal : There is a -- another answer to this would be -- just forget hotels. I don't think there is any sector where any global major is not focusing on India as a market. For a variety of reasons that we need, whether it's GDP growth or its stability or it's the rest of the world is lagging behind or maybe a slowdo wn elsewhere. I think there's a lot of focus the way we have to look at it is a bit

more with a science and an art. If there are going to be 100 new airports that come up as an example, let's say, 50 new airports, then they will also get some hotel supply. Then if there is going to be a renaissance of train stations, there's going to be such a growth in Tier 2, Tier 3 cities.

When people announce the hotels we have to see the pipeline is it coming in the existing top 10 markets or is it coming in 10 new mar kets. And then once you adjust that pipeline, the supply growth in established and good markets which are very important for publicly listed company like us is pretty much muted is the ri ght word. Does that help answer

Prateek Kumar: Yes absolutely sir. This is all my questions. Thank you.

Moderator: Thank you. W e have the next question from the line of Shaleen from UBS. Please go ahead.

Shaleen Kumar : So might be a little long question sorry about that. So given Puneet your July comm ent, it seems like it's most likely more of a blip in the 1Q. Can I get some sense on ARR growth also, you gave us some sense on the revenue growth. But can we get some sense on ARR growth? That's first part. Should I continue with the second one?

Puneet C hhatwal : Yes. Continue your question, Shaleen.

Shaleen Kumar : Yes. So now typically, 2Q is the weakest seasonally. The way you guys have started, probably 2Q might be better than 1Q this time. I would like to understand how should I think about the cost al so, because some of the costs like hikes have also taken for you in 2Q. But if you guys are doing -- if you will have such a strong 2Q coming in, we should expect a much stronger margin than right? Is that the right understanding?

Puneet Chhatwal : On your assessment, Shaleen on Q2, basically, you have answered it what I would have answered. So you have answered for me. So Q2 will be stronger than Q1, maybe it's the best ever Q2 that the sector would have seen. At least July and part of August, we can alread y see, because half of July is behind us and the other half, we have pretty much the security. So we know that.

Then if you obviously have business driven very strongly by at least even at 50% is driven by rooms and a lot of it is driven by weddings, whic h also had good margins, then your margin should be better than July. Now where it would be in 1 month from now or in September, it's a bit too early to say.

But with whatever we know today, Q2 should come out stronger than at least for the first time since I have been giving the statement or at the same level as Q1 has been. Because there i

s

always -- the way it works is Q3 is the best quarter. Q4 is the second best Q1 the third and Q2 has lacked behind , but at this time it could be a very close finish if or maybe even Q2 could be higher than Q1. It all depends in the next 10, 15 days on th e pickup .

Shaleen Kumar : Just an addition when we'll be thinking about Q2 cost, in past 2 years there was some element of catch -up because we have not spent on probab ly some part of repair maintenance and some part of marketing. There was a catch -up happened in the past 2 years on a Q2 or on the salary levels, et c. So we saw a certain amount of growth year -on-year.

Is assumption -- is my assumption right here that we will not see similar kind of growth in the cost item this time, because it's mostly inflation -driven rather than some catch -up driven? Is that the right assumption?

Ankur Dalwani : I think on the cost side, as you see on Q1, we've actually managed costs qui te tightly. And that comes you through the operating EBITDA margin as well. I think as we focused in the quarter, I think the few things will come back as business comes back, we will see some correction or increase in the payroll cost. Also a payroll cycl e will get impacted. So -- but the overall number, as you see right now in Q1 was 29.7%. For the year, we normally do 26.5% to 27%. I think we'll be in the same sort of range for payroll.

Similarly, for some of the other big items like raw material costs, w e are in the year, this quarter was low because we are low banqueting. Because of the business not being there on the banqueting side, we benefited. I think this will kind of normalize. So I think on the cost side, there would be a few efficiency drivers, which we're going to sort of deploy, but it's not that it's going to be dramatically lower than the last year in terms of percentage of revenue. There would be some areas where we can benefit, and that's something which we're actually very actively working on right now. But I can talk about that more a bit more detail maybe in the next quarter.

Shaleen Kumar : So the last bit, so Puneet comment on 50% of revenue coming from rooms, given the occupancy are mostly the same. So ARR growth is like close to double digit for July? Is that fair assumption again?

Puneet Chhatwal : For July - let me just check with my colleagues.

Ankur Dalwani : Why don't we come back to you on that?

Puneet Chhatwal : We can come back to you, but Shaleen it's a good healthy gr owth versus July of last year. It

cannot all come through occupancy because occupancies are so high. So when we get our revenue and pick up, I have the absolute numbers in my mind, but not ARR for every city and every business.
Shaleen Kumar: No worry sir. This is eno ugh. This is helpful. Great sir. Thank you so much. That's it from my side.
Puneet Chhatwal: Thank you.

Moderator: Thank you. The next question is from the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar : So my first question is about your guidance in terms of you're guiding 10% increase in revenue despite the fact that in the mid of the year, you will start consolidating case. So I mean, it would be helpful if you could please give us a bit of a color as in how you think -- I mean, what is it that making 10% growth looks quite significantly low. But -- and then especially given that TajSATS will be...
Puneet Chhatwal : No, Achal, sorry to interrupt. This 10% is without TajSATS. I said that in my opening remarks. Guidance that we have given fo r the full year of double -digit growth, could be 10%, could be 11%, could be 12%, but definitely north of 10%. That does not include the consolidated figures of TajSATS those from August to March.
Achal Kumar : Right. And then I mean I know it's difficult, but is it possible for you to give a bit of a color when you say 10% growth? I mean y

ou must have taken some assumptions, of course which you have your own calculations, b ut what is it that is going to come from the room addition? What is going to come fro m the cuminization or Ginger whatever it is? And then what is it that you're expecting to come from higher occupancy and ARR? So I mean a bit of a color or a bit of a breakup of that 10% would really helpful if you can, please?
Puneet Chhatwal : See what we said and we will see a bit of it on the presentation is the new businesses and the reimagined business. The new bu sinesses will continue to grow N orth of 30% to 35%. That's what we've guided. That's Ginger, Ama, and Qmin w ith very high EBITDA margins. And the reimagined businesses which is TajSATS and c hambers will continue their journey also of 15% to 20% growth. Anybody's guess where it would be, but with very high flow -through.
So that is one important new component that is coming in and the rest comes in from our traditional business that is a Taj, Vivanta, SeleQtions and the reimagined gateway that will be launched. Not to forget Achal and you followed us for -- since we announ ced aspiration 2022 that our management fee income will also keep growing at a CAGR of almost 15%.
Ankur Dalwani : Other leve rs would include revenues from c hambers etc which has also grown nicely in this quarter.
Achal Kumar : Sure. That's helpful. My second question is about the trends, Puneet. So basically, recently I have been talking to some of the hotels and then some of the hoteliers, looks like while the gap between the weekend and the weekdays was squeezed when people are worki ng from home and they started clubbing work with leisure and all.
But now, of course, things are changing rapidly and looks like now the gap has been increased with the weekdays are probably less occupied than the weekends. And then while people are still spending and they'll try to find any opportunity for the long weekend and they go and stay, I mean.
So how do you see the trend at Taj and maybe different -- maybe within the Taj or different segments? And do you see that having a bit of impact because i f the gap squeezes, then of course

the weekdays would be probably more like -- so how do you see the trend with different Taj segments? And then probably, how do you see the impact on the business?
Puneet Chhatwal : I think it's fair to say that so much of work from home is becoming like a thing of the past. It's not happening the way it used to. So people could be working out of Goa, from the hotel. So I don't see that as a big issue. Important is that some of our trophy assets in the key markets like Mumba i, Delhi, et cetera, as I mentioned while answering the question that was raised earlier by your colleague from Jefferies.
Most of those key markets are performing at a very high occupancy levels. So it doesn't matter whether the occupancy is coming on a weekend or a weekday. Your ability to charge goes up if you are operating at north of 75% occupancy. So I think there the sector has demonstrated resilience definitely for us.
But I hope your comment about everything going back to what it was holds true b ecause that

would mean a significant increase in foreign tourist arrivals, because outbound from India has started. But the foreign tourist arrivals, the real foreign tourists, I'm not talking about the NRIs, is still lagging behind. And that is an importa nt segment for our palaces and our iconic assets. So we are hoping that, that will start becoming more normal as of October or November of this year.

But up until now, we have seen more of that in terms of business travel. But I can tell you that there ar e a lot of queries for delegations from heads of states, et cetera planning to visit in the second half of this year t hat we're getting in our hotels.

Ankur Dalwani : Achal, with the kind

of occupancies which we just talked about, that would mean that even the weekends are not like the reasonably healthy occupancies. So I think whether these are because of the our hotels where they're located, the way they're positioned, they're one would like to open resorts, especially the ones in Bombay and Bangalore and Delhi.

Achal Kumar : That's interesting. And my final question is about the different markets. I mean, especially, I think I was reading some of the reports, which says that the rentals in Bangalore has started falling off. And I think, of course, home rent al. So do you see any kind of changes? I mean, of course, IT corridor is quite important.

But do you see any changes in particular in Bangalore market, but in any other market in terms of how the business was doin g? And now is there any change o r do you s ee there's no change? I mean, probably the reports are more about the home rentals and that has no impact on the hotel? So how do you see in terms of -- if you talk about some of the key markets for you?

Ankur Dalwani : No, I think if you look at the data w hich we have on the Slide 37, it shows your RevPAR by cities and Bangalore in particular has actually been one of the stronger cities grown by 10% RevPAR which has really bee n on the back of higher ARR et c. So I think every real estate market will have the ir own dynamics, residential in Bangalore was -- had gone to a different status here and there that is how that is co rrecting.

But I think in general, the GCC has remained strong and therefore which is actually the key driver for our demand for our hotels. And of course, the general business activity which is kind of doing fine except for the blip we had a slowdown we had in the m onth of May and June. So I think there is no such structural trend we are seeing as far as the ARR is correcting etc especially for the big cities where we operate in.

Achal Kumar : Okay. Perfect. Thank you so much.

Moderator: Thank you. Th e next question i s from the line of Sumit Kumar from JM Financial Institutional Securities. Please go ahead.

Sumit Kumar : Hi good evening. M y question is on the portfolio pipeline. If you look at FY '26 and '27 combined, particularly for Taj in the managed hotels segment, you had roughly around 2800 to 2900 rooms coming through. So there are 3 parts to this, one is, are you sort of under riding on the fee growth b ecause it looks like almost 30% being added in the Taj portfolio alone.

Second is what is the distribution of t hese hotels? Do you think this substantial pipeline will affect or cannibalize the existing business? And what is the status of this pipeline? Are they all on track to come by time lines?

Puneet Chhatwal : We have been guiding very carefully on the pipeline , and that's why we are so close to year -on-year in terms of what we said we will open. So what we said, we opened last year also. We said we'll open 20, we opened 20 hotels. This year, we said we'll open 25. We remain confident that we will open the 25 ho tels. Now -- so the pipeline is pretty much managed, controlled and extremely tracked and extremely accurate.

Now comes to your question on cannibalization. There's no cannibalization. Suppose we opened last year the Taj Trees, in Bombay, in Vikhroli and w e opened Ginger in Santa Cruz Airport. I don't think it cannibalizes the Taj Santa Cruz or it cannibalize the Ginger Andheri, Mahakali or Teli Gali or Ginger in Goregaon.

These are all different markets within a large metro. But we're also entering new markets, like as I said we opened 2 days ago Taj in Patna. That's the capital of Bihar. And in every state capital, we want to have a Taj, we are missing only a few with the exception of maybe Northeast. Maybe that market is not yet ready for Taj. It's more for a Gateway or Vivanta. So I don't think there is cannibalizati

on of that part.

The other thing what you said is when hotels open, these 2,800, 2,900 -odd rooms don't all open on 1st of April. They come during the course of the year, and th ere is a certain start -up period. It takes 100 days to 120 days for a hotel to stabilize. And then to reach its normal operating level, it can take 2 years, it can take 3 years in some cases. You open and then you have to close like

we opened in Gangtok.
And after 10 days, there was a landslide and the occupancy fell to 0% then the hotel went and shorter and was doing like phenomenally well. And another 10 days ago, there was another land slide. So sometimes, some of these new properties are also taking a bit longer until the

infrastructure also catches up. Chia Kutir on the other hand, in the similar market has never had an issue. Since day 1, when it opened, it's been like a home run.
So I think the way to look at it is that when you add these rooms or the number of hotels in your model ling that you do or the way you project is you have to take it as operational fully after first year because not everything, as I said, will open on 1st of April. Things also open in the month of February or in the month o f March.
Ankur Dalwani : Just to add there, this is a very well -distributed pipeline between the top markets and the newer locations, which we were alluding earlier in the call. So almost half of the pipeline would actually be or may be 45% would be outside across major markets and the top 8 cities of India. So where effectively you are kind of creating a destination or there are 1 or 2 hotels we were adding to the third hotel around there. So it also creates its own demand. Some of these still would not cre ate their own demand. So I don't think there's any risk of cannibalization when the pipeline comes online.
Sumit Kumar: Sure sir. That’s very helpful. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Karan Khanna fro m Ambit Capital. Please go ahead.
Karan Khanna : Hi. Thanks for the opportunity. J ust a couple of questions. Firstly, if you were to dissect this double -digit growth aspiration that you have for rest of FY '25 further. How do you see the trends as far as t he leisure and the business markets are concerned for the rest of FY '25? And with so many visa -free and well -priced destinies now available to Indian passports, do you see outbound tourism potentially cannibalizing domestic tourism as well as for the rest of FY '25?
Puneet Chhatwal : For us, the double -digit growth has almost become like a standard. It's not aspirational. So just if we take a normal inflation increase plus the not like -for-like growth, we should get that double - digit number easily. It's not some kind of very, very difficult task out there unless something was to go wrong in a market like it went with the COVID or some event, which is beyond our reasonable control.
Whether it comes from domestic or it comes from international. I think the wa y the market moved in our sector, the most important factor still remains is, are we in an oversupplied market or is demand outpacing supply. So at the moment, the key markets that we have demand is outpacing supply. People are spending still money on leis ure. Goa still remains a favorite destination. If you even look despite the heat wave at the RevPAR of Q1, it's the highest in Goa and not in Mumbai or Delhi. So there is -- and Goa is lower than last year and still the highest. So I think it shows that th e markets have also stabilized and improved over the years. And the important thing is some new markets that will be coming and becoming more and more attractive for us, that will be the interesting watch. And if we would be presenting one slide on the top 10 or will we be adding another 10 because of the brand scale that has changed in ma

ny markets,
may be very interesting for Ginger.

We recently opened Ginger in Nagpur and it's off to a flying start. So it's as good a start as we've had with Ginger in Sa nta Cruz. Is Nagpur on our list of the markets that we showed to you, the answer is no. So I think as these quarters and time goes by, we will also keep evolving this data that we share with you, which also sometimes surprises us, because we -- when we ent ered with Ginger in Nagpur, we knew it was a good market. But if it could be that good, I don't think we expected that either from day 1.
Ankur Dalwani : And just to add to that if you look at our inventory mix was operational and our revenue mix, a large p ortion of that is actually city revenues which is really the big cities where people if they want to come to the city it is not that they will instead of coming to Bombay or they’ll say I’ll go to Bangkok or any other Asian city, holiday cities.
So those markets are basica lly meant for not necessarily only for leisure . They are transit hubs. They are meant for business interactions, they are meant for MICE activity. And those markets will continue to remain robust in spite of what has happened on outbound tourism. And if you look at last year's number, outbound tourism did exceed pre COVID numbers, but we were not

impacted by that.
Puneet Chhatwal : The other thing is what kind of hotels are also opening which is on our own balance sheet. So we are opening the Taj at Cochin International Airport in November this year. That's absolutely on track and on time. I think these are -- and then we will open in Kevadia two of the company - owned properties and we have large pro perty has already gone under construction. The ground stone -- a ground breaking ceremony has been done at the Bangalore International Airport for 750 rooms with the combo hotel of Vivanta and Ginger.
So I think that is some of those things which are very interesting for our portfolio a nd a lot of renovation happened because it's the right time to do the renovation in Q1. As I said Jai Mahal is a lease for us and that means we get the benefit of the entire revenue. It makes a lot of money, although everybo dy loves Rambagh for its iconic status. But Jai Mahal has always made 4 times more money for us as a company than the Rambagh made.
There was 30 rooms which were taken out and put under the renovation in Jai Mahal. And all this is now slowly coming back i nto operation. And Malabar the property is almost done, but not fully done. It will be middle of August when it will be fully done which has had an impact on OHL results, but as a brand it has an impact on everything including our presence in the city of Cochin.
Karan Khanna : Sure. Thanks for the detailed clarification. My second question is on the FTA front. As we understand bulk of the 10 million FTAs that you've seen in CY '19 people of Indian origin with foreign passports and most of the genuine foreign tourists, I think that's understandably a much lower number. So w hat are the trends that you're seeing in terms of the recovery as far as this segment of the FTA recovery is concerned?
Puneet Chhatwal : Karan, we mentioned that we are hoping as of October that real recovery will be soon. Also last year, the numbers were a bit weak because of India being the host country for the G20. So we had a lot of those one -off. I think we have to adjust for that statistics, not just the NRIs coming

in, but also a lot of people came because of G20. But the good news for t he sector and its resilience is that without World Cup Cricket or without G20, we are still -- and all those one -off events, which everybody spoke about last year, we are still in line or above last year.
Ankur Dalwani : Also the flight connectivity goes up . I me

an the cities are still getting connected. They're still not back to pre -COVID level. While the 2 airline groups have ordered planes they should got them on the ground. And as they come start coming up more and more direct flights between Europe and different cities of India will actually start making a lot of FTAs come in. But that's one of the biggest factor while deciding which destination to go to.
Karan Khanna : Sure. And then last question, any meaningful expectations from the upcoming budget, wh ich you think could potentially surprise the industry positively as you understand that the 18% SFB tax seems to be a bit burdensome, and hence, the industry is logging for lower rates?
Puneet Chhatwal : It will be whatever comes, we will take if something comes. Let's just hope for the best. We don't want to speculate our results call and not for the budget.
Karan Khanna: Great. Thanks and all the best.
Puneet Chhatwal: Thank you.
Moderator: Thank you. T he next question is from the line of Prateek Kumar f rom Jefferies. Please go ahead. Prateek the line for you has been unmated.
Prateek Kumar: Yes. Thank you for the opportunity. I have a couple of follow -up questions. Firstly on - can you comment on like this recently there was this UP government some tweak s in bylaws which said which we read about there like there can be like some 200,000 more hotel rooms can be expected because on the expected land area per hotel. Is this something which we are also looking at closely? Or how should we see it?
Puneet Chhat wal: Prateek, I hope India has only 200,000 branded rooms. If we can start getting 200 in UP branded rooms, I mean I don't know what -- who spoke about that. But the total branded room supply in India is equal to that of Dubai and Singapore put together. W e trying to get 200,000 rooms in one state.
Prateek Kumar : Yes. I also said it so -- but I don't know that statement said so. Maybe for the mix of branded plus non branded?
Puneet Chhatwal : No, but maybe somebody just mixed a 0 here or there. It's a typo or something like this. I wish we could grow at that kind of speed. It will be good for the sector and not concentrated in the market. If we could get 200,000 in entire India, and we had our fair share of 10%, 20%, then we would be adding 20,000, 30,000 rooms. Just total number of rooms today, right, in operation.
Prateek Kumar : Yes, exactly. That felt like a very large number. Yes. But okay. And second, just a curious question, regarding the wedding family -- Ambani family wedding this month in the city. Did that result into like all -time high rates higher than December rate or quarter 3 rates for the

industry o r is it something very similar to mega events which you saw last year as well? And similarly higher rates for the sector in Mumbai particularly?
Puneet Chhatwal : Yes. Definitely, Mumbai benefited from a large event. And while you were chatting, we just Google, you are right, that there is actually an online statement which says 200,000 r ooms in UP. So I'm sorry, I was not trying to be cynical, but it's not realistic. So it's -- for me, if it happens, very good, wonderful. I don't think it's going to happen that fast. But it does not say by which year. The only thing that article, which I just glanced through it, it does not mention the year. So if it's 200,000 rooms by India at 2047, maybe it's a possibility. And Mumbai did very well in that one -off event as a city as you ask so that we can confirm.
Ankur Dalwani : Just that these events ne ed not be one -offs there are hopefully larger and bigger weddings which are going to happen in the year. And the good par t is that we have 12 more nights which is what we mentioned earlier in the call so June, July to March. And so every quarter is actuall y positive from previously -- from previous quarter of last year.
Puneet

Chhatwal : No, sorry. I mean, this -- what Ankur meant is the same quarter of last year in terms of having 12 more wedding dates distributed over the remaining 9 quarters.
Prateek Kuma r: Okay. Great. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Rahul Jain from Phillip Capital. Please go ahead.
Rahul Jain : Good evening sir. I have a couple of questions from my side. First question is on the New York market given that our entity has definitely seen a growth in Q1 and even the EBITDA margin has improved. Could you throw some light on the performance of the recoveries in that mar ket, particularly?
Puneet Chhatwal : Rahul, very good question. Yes, we have seen better performance in New York and San Francisco is still lagging behind, but we believe this is a short -term trend, another 6, 8 months post elections in U.S. will be fine. B ut as I mentioned in my opening remarks, I will also add here that St. James Court, London which always has done very well for us.
We had some renovations ongoing there, but also U.K. had elections on 4th of July. So a lot of the activity had gone down. S o we are hoping that as of now for this quarter because every time during Wimbledon, it's all doing very well. So that's what a benchmark. Now that Wimbledon is over, let's see how London starts recovering with the new government in place. At a very high level, we thought that we don't do well. We are only talking -- still talking about 32% EBITDA margin in first quarter in London.
So let's see how that evolves. We remain cautiously optimistic on London. We will be very prudent in New York, the market where we are not able to do much in San Francisco, but thank god it's not a lease. We own the property and it's debt free. So we don't get hit as much as we would have got it if it was a lease like peers in New York is.
Rahul Jain : Understood. Sir, my second qu estion is regarding the TajSATS pitching to be opened near the Noida Airport. When will that come into operation?

Puneet Chhatwal : By March 25. I mean between March to June of next year.
Ankur Dalwani : Basically it'll come along with -- when the airport is operational, which is expected sometime towards the end of second half -- end of first half around June May -June.
Rahul Jain : Okay. Got it. And sir question three from my side is on a structural basis when we look at management fees that IHCL ea rns which is between 5% to 7% of the hotel revenue. On a structural basis in the long term, do you see that us negotiating better fees going forward? And what is the scope of this on the upside in the long term?
Puneet Chhatwal : Well, long term anything co uld be the answer, b ut what we had guided under Ahvaan we should achieve that easily Ahvaan 2025 we should achieve that 600 -plus number this year which would have been several hundred percentage points increase over the last 3, 4, 5 years. So I think that 600 for sure is in there.
Rahul Jain: Got it sir. Thank you.
Moderator: Thank you. L adies a nd gentlemen, we'll now take one last question which will be from the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar : Thank you so much for giving another opportunity. I n terms of your loyalty program I just wanted to understand if you analyze the profile and the passengers. So if you could give us a bit of a color in terms of how many passengers, how many customers are repetitive customers? A nd do you have a sort of a profiling in terms of X percentage of people or X amount of people stay

at least 10x?
So similar to what the airline does, so knowing your customer better. So do you have that kind of profiling for your loyalty members and if yo u could give us a bit of color on that, please?
Puneet Chhatwal : No, we are trying to get there Achal. As you know this number for us before joining Tata N

eu
was a little bit around 2 million. And it's already almost grown to almost triple the size. But within that, I think we had some great successes and some not such great successes. But I think the evolution of the whole program for us has been phenomenal, because the expense, the investment is going in from Tata Digital. We are just a great supporter in the first founding member, and we remain cautiously optimistic that this will keep improving.
Now the loyalty -led revenue on what you said in terms of repeat members which came from that is around 32% is the figure we have where we say that it's really a repeat customer in terms of revenue that we get. But this number is only going to keep improving. As the Tata Neu platform matures which is not even 2.5 years in operation. I think another year or so, it will mature by then.
And then we can take the full -year benefit. But whenever you want offline, if you come we will have you sit with our loyalty experts. And they can give you all exactly where it comes from, what is loyalty led, how much is coming from the app, how much is coming because it's a loyalty customer. So how many are still very much into Taj inner circle and how much revenue is generated by just platinum and gold members versus copper, which is the lowest tier. So we can

get you all that information, you can visit us 1 day in the office or we c an have a call organized for you.
Ankur Dalwani : I think also just to add overall the Tata Ne u platform has almost 80 million to 100 million customers. So the potential to expand on this number is actually pretty large.
Achal Kumar : Absolutely. No. I mean I'm actually a bit -- I have a big faith or big hopes because I know that how powerful loyalty programs can be especially from the airline it’s a very big thing, but anyway yes sure we can take offline. Thank you so much and wish good luck.
Puneet Chhatwal : Thank you.
Ankur Dalwani : Thank you.
Moderator: Thank you. I would now like to hand the conference over to Mr. Puneet Chhatwal for closing comments. Over to you, sir.
Puneet Chhatwal : Thank you everyone for joining the call, and thank you for all your questions. On behalf of my colleagues CFO, Ankur Dalwani and myself we look forward to interacting with you in -person or offline over the next months and definitely at the latest by the next call at the end of quarter 2 results. Thank you very much. H ave a wonderful evening and a great weekend ahead preferably at a Taj or any of our other properties. Thank you.
Moderator: Thank you. On behalf of The Indian Hotels Company Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Nov 2024

November 13, 2024

BSE Limited National Stock Exchange of India
Corporate Relationship Department Exchange Plaza
1st Floor, New Trading Ring, Bandra Kurla Complex
Rotunda Building, P. J. Towers, Bandra (E)
Dalal Street, Fort, Mumbai 400 051
Mumbai – 400 001. Scrip Code: INDHOTEL
Scrip Code: 500850

Sub: Transcript of the IHCL Earnings Call for the quarter / half year ended September 30 , 2024
Dear Sir,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the IHCL Earnings Call for the
quarter / half year ended September 30, 2024 held on November 7, 2024.
The above information is also available on the website of the Company at:
https://investor.ihcltata.com/files/IHCL_Analyst_Earnings_Call_Transcript -Q2_FY_2024 -25.pdf

You are requested to kindly take the same on record.
Yours sincerely,
BEEJAL DESAI (F3320)
Executive Vice President
Corporate Affairs & Company Secretary (Group)

"The Indian Hotels Company Limited
Quarter Ended September 30, 2024 Earnings
Conference Call "
November 07, 202 4

MANAGEMENT : PUNEET CHHATWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – THE INDIAN HOTELS
COMPANY LIMITED
MR. ANKUR DALWANI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – THE INDIAN
HOTELS COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to The Indian Hotels Company Limited earnings conference call for the quarter ended September 30, 2024. On the call, we have with us Mr. Puneet Chhatwal , Managing Director and CEO, IHCL; and Mr. Ankur Dalwani, EV P and CFO, IHCL. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an opera tor by pressing star then zero on your touch - down phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Puneet Chhatwal . Thank you, and over to you, Mr. Chhatwal.
Puneet Chhatwal: Good evening, everyone, and thank you for joining our global conference call for Q2 '24 -25. We are pleased to inform you that we continued our record performance for the 10th consecutive quarter, on the back of continued growth momentum and key strategic initiatives, which have been yielding results.
I'll now outline the 10 key highlights of the quarter. Number one, hospitality sector continues to

be in an up cycle. Driven by strong domestic demand, limited supply addition and favourable demographics, the hospitality sector continues to be in an up cycle. In Q2, demand grew 7% as against supply growing only at 2% versus Q2 of last year. This trend is expected to sustain in the mid - to long term, with rise in disposable incomes, addition of new tourist destinations and evolving travell er behaviors. Number two, robust performance in Q2 beats Q1 in seasonally weak quarter.

Ladies and gentlemen, for the first time, our enterprise revenue has crossed INR3,000 crores for the quarter and INR6,000 crores for the first half of the year. On a c onsolidated basis, IHCL delivered record performance in Q2, with 28% revenue growth and 270 points margin expansion as against the same period last year. Our consolidated revenue and EBITDA for the quarter, considering consolidation of TajSATS, stood at IN R 1,890 crores and INR 565 crores, respectively, with an expanded EBITDA margin of 29.9%. Our reported profit after tax stood at INR555 crores, which was also bolstered by an exceptional accounting gain.

I repeat, which was bolstered by an exceptional acc ounting gain of INR307 crores on the consolidation of TajSATS. Excluding this exceptional item, our PAT still grew by 48% to INR247 crores. IHCL's hotel segment showcased 16% revenue growth in Q2, taking the H1 revenue growth to 11%, which, ladies and gent lemen, is very much in line with our guidance for double -digit growth, which we also expect to accelerate further in the second half of the year, to which I'll come a little later towards this presentation.

Our stand -alone performance in Q2 was also the b est-ever, with 19% growth in revenue to INR1,125 crores and EBITDA margin expansion by 390 basis points to 38.6%. Stand -alone PAT grew 62% to INR254 crores, taking PAT margin to 22.6%. Number three, double -digit RevPAR growth across all brands. All our hot el brands showcased double -digit RevPAR growth on a like-for-like basis, with the iconic Taj brand delivering 13% RevPAR growth.

Taj achieved double -digit growth in average room rates. I repeat, Taj achieved double -digit growth in average room rates, high lighting the strong demand witnessed in domestic luxury travel. This strong performance helped IHCL command a RevPAR premium of 66% over the industry in the Indian market, thus maintaining the premium positioning in each of the segments we operate in. Numb er four, on track for yet another record year of portfolio growth. In the period of April to October 2024, we have signed 42 hotels and opened 14 hotels.

As guided earlier, w

e have accelerated our pace of growth, with our monthly run rate increasing to 6 hotels signed and two hotels opened till date in the current financial year. We achieved a milestone of 350 hotels portfolio, with more than 230 hotels operational and continue to expand our market share of both operational and active supply inventory. Num ber five, one of our key pillars of growth, which is capital -light growth, that has been a key margin driver. On the back of our capital -light growth strategy, our management fees in Q2 has touched INR100 crores for the first time .

This indicated an incre ase of 15% over the same period last year on the back of 11% net unit growth of managed hotel rooms. Management fee income has a high flow -through that's helping enhance the overall margin profile. Number six, new businesses shined with 47% growth in Q2. Our new businesses vertical comprising Ginger, Qmin, ama Stays & Trails; delivered a 47% growth in Q2 consolidated revenue.

This year marks the achievement of a key milestone with Ginger achieving 100 hotels portfolio, with 70 hotels operational. Ginger's consolidated revenue grew 5 6% year -on-year to INR 133 crores, while expanding EBITDAR margin to 42%. Qmin has now grown to 52 outlets. And in addition to being the F&B brand for Ginger Hotels, Qmin is now expanding to Westside stores in a shop -in-shop form at and to airports in collaboration with TFS . ama Stays & Trails continues to scale and has a portfolio of 227 bungalows today, with 116 in operations. Number seven, completion of the consolidation of TajSATS.

In line with our strategy of simplifying the holding structure, TajSATS is fully consolidated in IHCL. And this has happened for over two months in Q2. TajSATS clocked a revenue of INR254 crores, growing 19% over the previous year, with the EBITDA margin at an industry -leading 24%. TajSATS continues to lead the market with 59% share of meals served in the skies.

Number eight, brandscape expansion continues as we have done in the past. We have relaunched our Gateway brand in a fresh new avatar. Gateway is our full -service hotel brand in the upscale segment, designed to be the gateway to each destination and equipped with quality accommodations and large banqueting facilities. Gateway will help us capture the immense growth opportunities in emerging cities , in metro cities, as well as in Tier two and T ier three locations of India.

The Gateway brand has a portfolio of 22 hotels today, and we expect to scale this brand to 100 hotels by 2030. IHCL has also entered into a contract with Claridges Hotels Private Limited to license the brands, The Claridges and Claridges collection for India and Nepal. The Claridges has a strong luxury position, with marquee present in New Delhi.

Starting April 1, 2025, IHCL will manage the Claridges New Delhi as a part of this arrangement. This gives IHCL an opportunity gro w in luxury space with a differentiated offering distinct from the Taj. Further expanding our brandscape to boutique experiential stays, IHCL has entered into shareholders and a share purchase agreement to acquire 55% in Rajscape Hotels Private Limited for an investment of INR18 crores, which owns the brand Tree of Life and currently operates 17 hotels, with two in pipeline.

Number nine, our key enablers. Our Tata Neu loyalty program now has almost seven million members, with loyalty -led contribution risin g to 42% of our enterprise revenue. This number of loyalty members stood at 6.5 at the end of Q2, but is rising by leaps and bounds every day. The unwavering loyalty of our customers is visible in our increasing enterprise NPS scores, which stood at 74.9 for H1, up from 73 in the last financial year '23 -'24. We continue to stay focused on achieving our stated goals under Paathya. IHCL now uses 38% energy from renewable sourc

es and recycles 45% of water. IHCL also partners and operates 37 skill centers today across 15 states in India. And this number is rising every month. Lastly, I come to our confidence of delivering double -digit revenue growth.

Some of you were skeptical in last quarter and thought that we might change the double -digit growth guidance. B ut if you look at the numbers, you will see in the first half, which is the weaker half, we've already achieved 11% and hope to deliver on the double -digit promise on a much higher base going forward in Q3 and Q4. With 30% higher, wedding dates and increas e in foreign tourist arrivals expected in H2, we remain confident of comfortably delivering double -digit revenue growth, even excluding the positive impact of TajSATS.

I repeat, by excluding TajSATS, we still will do definitely more than 10% top line growth, whether it's 12 or 14 or 15, that the second half month by month we can tell, but this is our belief and confidence. And this is further bolstered by the sustained momentum we have witnessed in October. Some of you will recall at the call or during the call for Q1, I had mentioned a robust July growth, which could be almost 20%, which was the case. And October figures we already have, which is behind us, and we've had a 16.5% hotel segment revenue growth.

In summary, we expect to deliver strong rev enue growth with sustained margins and continued portfolio growth, with a target to open 25 hotels in this financial year, going up to 30 in the next financial year and a higher number in the years that follow, with a pipeline of almost 120 hotels. Our foc us also remains on scaling our new businesses, evolving our brandscape and strengthening our competitive advantages, with prudent capital allocation and strategic opportunities. Thank you so much for your attention. We now open the floor for questions.

Mod erator: Thank you very much. We'll now begin with the question -and-answer session. The first question is from the line of Binay Singh from Morgan Stanley. Please go -ahead.

Binay Singh: Hi, team Congratulations on a very good set of numbers.

Puneet Chhatwal : Thank you, Binay.

Binay Singh: I'll just start with October. As we recall last October, we...

Moderator: Binay, sorry to interrupt you. We are losing your audio. Can you speak to the handset, please?

Binay Singh: Yes. I think this should be much better. So as we look at this October, very good to hear the commentary. But as I recall, last October, we had the World Cup in the base. And in fact, even when we look at the wedding calendar, we understand it's more November and December heavy versus last year. So could you share a little bit about what is driving this October performance? So that is the first question.

The second one is on other expenses. Anything to call out over there? We've seen them typically rise in Q2, but anything else to call off, whic h is more specific to this Q2? And the third question is on pipeline. This time, again, we've seen that the pipeline has increased. So with that, any revision you would like to make in terms of your annual capex number or anything on that? These three questions.

Ankur Dalwani: Binay, this is Ankur. So firstly, thanks for your comments. I think on Q2, on October, you are right, we did have a World Cup in the base. So to that extent, the performance is on top of that. If we actually did not have the World Cup event, roughly, that would have contributed about

INR10 -odd crores to our previous year's number, INR10 crores, INR12 crores number. I don't have the exact number. So that would have added another, I would think, 1.5 -odd percentage to the growth.

I think the outlook for November, December continues to be strong. And with the points you mentioned about the wedding season coming up in November, and currently, the business on book

s also looks to be quite reasonably strong for us. And keep in mind this is sort of a big base & we are sort of working off. But overall, I think the momentum in October should continue, as we head to November and December. So I think that was your question on outlook for this quarter. What was your question on other expenditures . Binay, if you could repeat that?

Binay Singh: So we saw other expenses rise in quarter 2, which we have seen in the past also. But any one -off you would like to call out, anything specific to Q2?

Ankur Dalwani: No, I think if you're looking at -- I mean if you're looking at along with TajSATS consolidated numbers, that would have the impact of that coming in. But if you look at a segment report, which we give the -- if you look at the presentation on slide number 26, you will see that as a percentage of r evenues, this has actually come down from 27 -odd percent to 26%. And that is a scale which is at work here. There is actually some saving on stores and supplies over taxes. So nothing extraordinary in this. This is in line with the business growth. And ove rall, the cost control and cost focus continues to be very strong at our end.

Puneet Chhatwal: And finally, you had asked a question on the pipeline. We maintain that healthy balance of capitalizing on strategic opportunities where we can use capital. Otherwise, our focus remains on capital -light growth, especially for our new businesses and younger brands.

There is no change on that. But whatever other company -owned products are there, we are funding it from our own internal cash generation. For example, next year, we will be opening two hotels in Ekta Nagar, Kevadia, which is one Vivanta, one Ginger, or the recently opened Ginger in Santacruz, Mumbai, were all from internal accruals. There is no debt.

And we will continue to do that where it makes sense, that it's a brand -enhancing opportunity. It comes at a compelling price or is with a very good partner. Then we will do that and push especially our new and reimagined businesses forward so that they become significant contributors in the times to come.

Binay Singh: Right. No, that is very helpful. Any number we should build for investments or capex into FY '25, looking at the pipeline?

Puneet Chhatwal: Binay, no change. It stays at 4% to 5% of the revenue, is typically capital expenditure. Whatever one-offs we have been doing at some point, either we will keep them or we might do a sale and manage back on a sale and leaseback and recirculate. So there are some one -offs which might increase the total capex to 7% if we don't sell. But if we sell, then it wil l create extraordinary gain or capital gain.

So that all depends where the markets are, what kind of yields are expected, where the interest rates are. These are -- for us, there is no debt on these projects. So we are in a good position and not forced to take any kind of decision, which is not the most prudent one for the company.

Ankur Dalwani: Yes. we've said that the capex is about INR344 crores. This is actually for H1, right? INR344 crores for H1. I think -- and we overall guided for something like I NR700 crores to INR800 crores for the year. I think that is pretty much on track for this year. And I think, longer term, when we do our Capital Market Day, we'll give you more colour on that.

Moderator: Next question is from the line of Shaleen from UBS Group. Please go -ahead.

Shaleen: Hi, thanks for the opportunity and congrats on a good set of numbers. So Ankur, you just mentioned about October that there was roughly impact of around INR10 crores, INR11 crores of, I think, World Cup. Is it possible to s ubstantiate what would be the impact of G20, I think there's not much more much for World Cup, in 2Q?

Ankur Dalwani: Yes. G20 in Q2, I think it was...

Puneet Chhatwal: G20 w

as last year.

Ankur Dalwani: So you're saying if we were to adjust it, so I think...

Puneet Chhatwal: Don't go back and adjust, I think it's a good base. Hotel industry is on an up cycle, as I said. And without G20, without World Cup, we are still showing a double -digit growth. Last year, the questions were -- well, this year is G 20, World Cup, what will you do next year? Now this year, the question is, what if we remove it from the base?

I think important is the fundamentals of the demand and supply is in favor of the sector. The fundamentals of India becoming fifth largest econo my is in favor of the sector. The fundamentals of India moving towards third largest economy is in favor of the sector.

And finally, we are benefiting from strong domestic spend on leisure and on business, with the FTA, which is the foreign tourist arriva l, yet to reach the pre -COVID level. And ideally, it's pre -

COVID plus another 20% after so many years would be the right level. So we have some way to go.

And we remain fairly, not cautiously, but fairly optimistic that we are getting there on a month -by-month basis. And by the time we finish this year, we should get very close to the pre -COVID foreign tourist arrivals.

And next year, that number will be overtaken and will be ahead, which will especially benefit our hotels in strategic -- or our strategic assets, especially our palace portfolio, which is experiential for foreign tourists and obviously, for all the business events that come with it in the key metros.

Ankur Dalwani: Just one point to add to what Chhatwal just said, I mean if you look at the citywide statistics, which we put out in the presentation, it will show you that New Delhi, for example, the RevPAR has grown only by 2% That is where the base -- the G20 base has actually had an impact.

And I think that's where -- if we were to kind of n ormalize that, this would have also been pretty healthy and close to double digits. And from what we showed in Q2, which was a 16 -odd percent growth, this could have been a higher double -digit growth, essentially high teens than mid -teens.

Shaleen: Got it, sir. Got it. All right. Sir, also possible that 16.5% number, which you have given for October, any sense what is the contribution from ARR increase here?

Ankur Dalwani: ARR increase is...

Puneet Chhatwal: If you get to 16% -plus number, then your majority has to come from ARR. Because if you really look at occupancies, if your domestic occupancy is between 75% to 80%, and in key metros like Mumbai, Delhi, where it exceeds 80, Mumbai at 83, New Delhi at 84, as we've shared, and Chennai also beyond 80; then the majority of the increase will come through rate. And more than that, the occupancy is very difficult to achieve.

Shaleen: Then that means like at least close to double digits, if not more, right?

Puneet Chhatwal: We would like to say it's definitely sl ightly or marginally higher double digit.

Shaleen: Okay. That's great. That's great. And obviously, there is a World Cup in the base. Now -- and you said there is a higher wedding season in November and December -- days in November, December months. So the re's a possible acceleration from what you have seen in October. But my point is, how should we think about margin, then? Then your margin expansion should be stronger in the third quarter, given that it's largely driven by ARR.

Puneet Chhatwal: I would like to agree with you, but it makes me a bit -- makes me smile a little bit. When we first did, 6.5 years ago, the first Capital Market Day, when we announced Aspiration 2022, and we said we will go to 25% margin, then there was a lot of skeptical people who thought 25%.

Now -- then we guided in our 33, then people said, "No, no, no, you should do more." And now we are going maybe beyond 33, mathematically. So I think there co

mes a ceiling that this -- our brands, our businesses, we look at it in perpetui ty for next 25, 30, 50 years.

And more important is that even if we have the margins, the ability to invest in our businesses, new businesses, so they become a significant contributor is very important. But yes, we are looking at really industry -leading m argins, not only on a domestic basis, but on a global basis today.

Shaleen: Could -- if you deliver a high -teens growth driven by ARR, your margin will expand, unless there is a big investment you're doing, right? So I mean, obviously, so much...

Puneet Ch hatwal: I knew, at some point, you will answer it yourself. So why should I?

Ankur Dalwani: I mean the trend of operating leverage continues. I think that's something we can feel confident.

Moderator: Next question is from the line of Prateek Kumar from Je fferies India. Please go -ahead.

Prateek Kumar: Good evening, sir and congrats for great results. First question, on management fees income, which has grown probably 15% in first half year -on-year, do you see this number going at much faster rate in next ye ar and year after because of much faster growth in rooms, maybe 20% -plus kind of number? That is the first question.

Puneet Chhatwal: I think, in a high -growth business, you should not only look at the percentage amount, but the absolute amount because whe n you open so many hotels and they're in their initial startup phase and you keep adding more and more in the startup, they have not all stabilized. So I think you have to look at the balance of the percentage growth with the absolute amount.

What we used to do 6 years ago in a full year, now we are doing as a management fee income in a quarter. That's the way to look at it and not like just a percentage. But you can look at both. I'm not saying don't exclude one or only look at it from this point of view.
From our point of view, it is that this management fee income has grown 4x, and it could grow further, if there was -- at a faster rate. If there was some kind of inorganic opportunity that came up, and we had a bunch of hotels which come -- not the one which I just projected, which are already established in the market, and it's like a going concern; then the growth could be faster. But otherwise, if you keep adding new hotels, which started like 35%, 40%, 50% occupancy and at a lower rate and take three years to stabilize, then to get that percentage level higher is very difficult.
Prateek Kumar: Sure. The question is like if you see some of the other results in other sectors, including consumer and discretionary sectors, there's some undercurrent o f some kind of slowdown in consumer spending, has been observed, which is clearly not appearing like the case -- in case of hotels. So do you see any like sort of sense of -- I mean it's clearly not seen in hotels. Why is like there is a disconnect versus like some of the other sectors like sort of reporting? Or like is this really a supply -demand mismatch, which you talked about, that is helping the hotel sector in terms of the pricing?

Ankur Dalwani: I think you said it yourself because at the end of the day, hotels is a real estate business, it's all about location. And I think the fact that supply is lagging, demand is clearly evident from data you see Q1, Q2, even in a muted quarter as Q1, supply was far behind demand.
So, I think there to sort of pas s on inflation, and something beyond inflation exists in the sector. And that cycle is now not coming to an end in a hurry. So, I think that trend is also holding up. So, what you see in other consumer sectors is typically not necessarily which can be appl icable to a hotel industry because it does have its own cycle. And the visibility of that remains quite

good for the near term.
Puneet Chhatwal: If I may add to just what has been said is ultimately, even if there is a slowdown, stronger brands are able to absorb it better. So, we remain confident that, firstly, we don't see any slowdown in our sector because of the demand supply.
But even if ther e should be one, all our brands are perceived as premium and from the -- from a very reliable, and very old institution. So I think we would always have that competitive advantage over other brands. So our share -- market share would help us get through th ose situations.
Prateek Kumar: And then last question on your Goa region trend. It is like sort of negative numbers for past two quarters. Is this related to like high base again and tourist choosing foreign locations versus Goa, in this case, in leisure s egment?
Puneet Chhatwal: No. We are investing in the low season in Goa. We have renovated Holiday Village to a great extent. We have done same in Fort Aguada. So there is a lot of investment that has gone in because Goa was, if you remember, during the las t phase of COVID and coming out of COVID; the first destination and was like a cash cow.
It had a high usage, and it was time to back your winners. Goa has been a winner for us. Together with Amas, we have crossed 50 units in Goa, more than 16 hotels, our latest we've opened today under IHCL selection. So I think all in all, we are very pleased with Goa, which has -- which is a RevPAR for us north of 11,000, 12,000, maybe 14,000 for the year. So I think this is the good time period. And you will see when w e announced Q3 results, you will see a different Goa.
Ankur Dalwani: Goa, as was pointed out, has a very high base when it came out of the recovery COVID first. So I think actually consolidating is good, it is consolidating at this level. And we only see t hat taking kind of bounce back in Q3, Q4.
Moderator: Next question is from the line of Achal Kumar from HSBC. Please go -ahead.
Achal Kumar: Yes Hi. Thanks for taking my question and congratulations on the great set of numbers. I have three questions, if I may, please. First of all, going back to the RevPAR number for the quarter, so I just want to understand, and as Puneet mentions a very interesting point that you had a higher sale at luxury hotels or high end of the hotel; so is there -- I mean so do you see a bit of a switch in the consumers' behavior like they are opting more for the higher end of the hotels? Or do you see the addition to the public in that category, that brand? And on underline basis, if you

remove that impact of the better mix, on the underline like -for-like basis, how should we look

at ARR growth?
And in line with this, going forward, how do you see -- do you see any squeeze in the ARR numbers between the quarters? So quarter -to-quarter, you have different variations, right? In one quarter, you have very high ARR when you have a lot of FTAs, foreign tourist arrivals, and all. But -- so now do you see a bit of a difference -- I mean, the lower variation between the quarters in ARR? So that is my first question. Secondly...
Puneet Chhatw al: So let me just answer question by question. So there is no squeeze. There will be a further increase in rates in all our brands. And you should not underestimate, as I said earlier to Prateek from Jefferies, the power of a brand. Today, Taj brand is a portfolio of more than 100 hotels, and it is in the key destinations outside of India as well as within India.
And nobody covers like Taj does the Indian domestic front. And with all other tools that we have in place with the new loyalty program with Tata Neu to our World's Strongest Hotel Brand to India's Strongest Brand across sectors, our ability to charge is higher, our ability to attract people is higher because we provide that circuit and network.
So we not on

ly provide the typical Delhi, Agra, Jaip ur, you're also in Banaras and you're also in Rishikesh, and you're also in different kinds of locations from Kercion to Darjeeling to-- we cover Taj in a very, very strong -- or Taj covers India in a very strong way in more than 50 spiritual destinations.
So I think it's the strength of the brand, and we are still -- although we have all these brands that have come up, the majority of our portfolio or I would say, 60% -plus is still very Taj -centric. 40% would be the rest.
So within that rest, Ginger is growing very rapidly. And so on both ends, on the top of the pyramid and at a mid -market level like Ginger, which we call the Lean Luxe, both is helping us to grow in a strong way. And that is helping us expand our rate.
So if you look at Ginger, also had a growth of double digit, which was not the case before. And it is going to grow faster than what you're seeing today. So -- and Taj, obviously, leads with 13%. But every other brand, every brand that we have in our brandscape is showing a double - digit gr owth.
Achal Kumar: Right. Sorry, Puneet, I think that was not very clear. What I was trying to understand is that for IHCL itself, what I'm trying to understand is that if the ARR difference between the Q2 and Q3 was, say, 25% historically, is that 25% num ber squeezing? I mean do you think -- or is that number maintained, right?
I mean now also, we expect Q3 to be like 20% higher than Q2 or whatever. So I'm just trying to understand within the quarter for IHCL itself, do you see that the variation is narro wing? That's what I wanted to understand. Sorry, I was not clear.

Puneet Chhatwal: It's a very smart question. So you could have a point, but the -- but on the quarter -on-quarter basis, there is an increase. What has changed in the hotel landscape in the I ndian subcontinent is that you also make money in Q1 and Q2. If you were to go back 10 years ago or 15 years ago, one waited for Q3 and Q4 to make money.
But now I think everybody, every brand, every company from first April starts making money. So I thin k that change is definitely there. So if you want to do a mathematical thing, what you just now said that is that gap narrowing between the performance of Q1, Q2 versus Q3, the answer is probably yes. But does that mean it is coming at the expense of Q3? T he answer is no.
Achal Kumar: My new question was about operational efficiency. So you mentioned operational efficiencies. Just want to understand -- of course, previously, we used to look at employee per room and all. So now -- I mean, just want to unders tand that how much operational efficiencies we still have in the system.
Or do you think you've already reached at a very optimal level and we should not expect significant efficiencies going forward? I mean you've been talking about that you're not hirin g the employees while hotels are increasing, and you're having one manager for, say, two hotels or three hotels in the area or something like that. So now, if you could give a bit of color on operational efficiencies, that would be helpful, please.
Puneet Chhatwal: So firstly, I don't know who said this. We have not said we have one manager for three hotels. We have a cluster general manager who may be looking after three, has his own property, and there may be two GMs that report into cluster. And several cluster general managers could be reporting into an area director, and several area directors would be reporting into the head of operations. So that's one. Hiring had increased, it's gone very high, as the business needed that. If the business comes back in certain markets where you are driving more than 80% occupancy, that's rooms only.
And then we talk about all the wedding conference, MICE, incentives, all this kind of business,

then in order to protect your brand,

you have to provide the corresponding levels of service. So
I think more than hiring what we have also been very focused on is spending a lot of money at all levels of the organization in learning and development and the exposure of our people to best practices across the globe, higher educat ion, training. So actually, we are spending more money. But because the revenues have increased so much, as a percentage, it's not showing. Again, the same thing, you have to look at the absolute numbers.
So if you look at our presentation slide 26, you w ill see on each of the metrics, as a percentage of total revenue, it is showing less, but the absolute amount is always higher. So as the system has grown, there is one CFO, Ankur Dalwani, and there is still one CEO, myself. So whether we were 450 hotels o r for 350, that efficiency comes in for various levels and positions.
But otherwise, the number of employees in the hotel level is obviously growing as the business is growing. Sorry, it's only on the corporate overhead and also in the hotel. As the reven ue increases, the percentage increases. But the absolute amount if you see on slide 26, later or after this call, you can check; all the absolute amounts are on the up.

Ankur Dalwani: This is a high operating leverage business, as you know. So effectively, you do get the benefit of that. And the point being made in corporate overhead applies to some other part of these cost structure also, particularly payroll costs and some parts of other expenditure.
Achal Kumar: Right. Fair enough. My last question is ab out the Tree of Life. So basically, what I wanted to understand is that these guys made a loss in a year when everybody made money. It was such a strong year, and they still made losses. I mean what is your thought on that? I mean what they ill-managed or how it is? And how quickly you can turn it around?
Ankur Dalwani: So let me clarify, what you're seeing is actually the LODR filing, which is INR one crore negative of PAT. But this was taken over by Mr. Neotia's company only last year. So it was over Nove mber, December, they really took it over. So effectively, the management and our -- being part of our network only came towards the beginning of this year.
So -- and now with the ownership also -- which will come to us after the deal closes, I think this is a completely new sort of drive on this brand and in terms of expanding the portfolio of this segment. If you look at the EBITDA number, which we put out for last year, it's about INR 4 crores. And of course, once we sort of get into the -- running the b usiness, it can only go up from here.
Puneet Chhatwal: Of course, when we integrate it, Achal, we don't n eed all that structure that stand -alone Tree of Life has, right? So we will have great opportunities for the people who have been running that business . They will get larger role, responsibility. So as I said, you don't need a new managing director, you don't need a new CFO, you don't need so many others. Let the efficiencies of scale come in and big opportunities come in for all the people who are there to become a part of a larger system.
As Tata Group company, we don't go and announce like job cuts, this is not our thing. And as a high-growth company, we have so many jobs available that we are very pleased to have this brand, we are very pleased to ha ve this as a part of our brandscape. And that somebody had put in so much of effort building this brand single -handedly over a decade that we have a lot of respect for it. And that is how it caught our attention in how we can scale it to more than 100 properties by 2030 as these are small, experiential boutique properties in all kinds of destinations, which can provide that experiential stay.
Moderator: Next question is from the line of Karan Khanna from Ambit Capital Pri

vate Limited. Please go -
ahead.
Karan Khanna: Congrats on another core 2Q performance. I have three questions. Yes. Firstly, Puneet, if you can talk more about your brand licensing arrangement with The Claridges? As part of the arrangement, what sort of payout do you expect for every property under this arrangement?
And secondly, a bit more insights on the nature of agreement for managing the Delhi property? And do you also eventually see the Mussoorie and Haridwar properties falling under your management purview? And just commenting on your licensing versus buying out these brands, how would the economics be different for you?

Puneet Chhatwal: It's very much in line with our philosophy or our aspiration, ambition of being the most iconic

and most profitable company from South Asia. So most iconic means you should have the most iconic assets. And nothing gets more iconic than being in Lutyens' Delhi, which is the capital of India. And Claridges is just one roundabout away or Mansingh being one roundabout away from Claridges, is as good as it gets from a location point of view.
Then from a history point of view, it's a very well -established brand, very well -established hotel. And thankfully, the owners and us, we have a working relationship over 15, 20 years now. We are very successful with th em with Taj in Dubai. The Vivanta that is getting upgraded to Taj in Surajkund. And now the Claridges, and some of you would remember, we bought them out and took over 100% of Sea Rock. So it's a good existing partnership.
Now comes number third, is the m anagement contract as of April one for Claridges, which is a normal arm's length, simple terms, for management that we have in other contracts also. We cannot -- for confidentiality reasons, we cannot give away the terms in a call like this. When we grow t he brand together, those kind of details we will either be able to communicate in Capital Market Day or shortly thereafter because we need to take that to the next level.
First level was to get the Claridges under management agreement and get the rights t o it. Now that we have rights to it, we'll work together with the ownership group and create the entire framework on how we are going to grow and what will be each party's obligations. And we will communicate that in the right time. But at the end of the d ay, the terms of the agreement we will not disclose. But all I can say is it is in line with any other professional managed agreement or a franchise agreement for the brand name that we would do.
The new thing here is this is not a name that we own today or will own tomorrow. The name -- maybe, in long term, you never know. But as things stand today, the name will continue to be with the current ownership. That means the marks and the rights will be with them. And we will be in the asset -light growth model of getting a fee for running this business. And it will be complementary to Taj and not a little bit of Taj. That's not what we're going to do. Claridges by Taj or something like this, we don't do that. It will be -- Claridges will be Claridges.
Karan Kha nna: Great. Just a follow -up. You spoke about Sea Rock briefly as well. So are you seeing any update here moving forward? Because been some time since you last spoke on redevelopments of Sea Rock.
Puneet Chhatwal: CROC, sorry, I couldn't get the...
Ankur D alwani: Is there any update on Sea Rock?
Puneet Chhatwal: Yes, Sea Rock, we are making very good progress since I last told you also. We will also give more guidance on that. But we remain fairly optimistic that over the next 100 days, we should make a lot of progress. Not a little bit of progress, a lot of progress. That, we can also communicate with all of you.
Karan Khanna: Secondly, if...

Pu

neet Chhatwal: There are things that are happening, which are not under our control. There is the government, you need them, you need the political will, many things are needed. We are in the code -of-conduct period. There's a lot of things. This is not -- once all that is over, we'll be able to communicate.
Karan Khanna: Great. Secondly, if we talk about the corporate travel, this continues to remain at 12% this quarter as well. So how are you seeing this evolving? And as you must be in the negotiations with these corporates, what sort of a rate growth are you witnessing in these negotiations?
Puneet Chhatwal: It's dif ferent for different markets. I mean it's not that you do one contract, and it's applicable to all markets, all brands. There is an ability to charge in certain markets, and there is a certain give and take that happens in other markets. So all in all, it' s fair to assume minus the corporate contracts, in general speaking, that expectation of a double -digit growth is a fair estimate. That's in the rolling 12 months, going forward.
Karan Khanna: Sure. And then last question for you, Puneet and Ankur. You hav e about INR2,500 crores of net cash on the balance sheet, and you mentioned you will capitalize on strategic opportunities. Can you elaborate a bit more in terms of whether you'd be looking at, say, a chain of hotels or a strategic pricey asset at a marque e location if you were to do a greenfield acquisition? And whether you look at opportunities in India or broader or both?
Ankur Dalwani: So I think we've articulated this in the past. Essentially, the way we think about capital allocation is that firstly, of course, the money will go back into asset management and uptick of our own properties. And then there are inside greenfield assets, which are under construction.
And the three sort of assets which will potentially get into sort of construction phase, if I can say that they're right now under approval or development phase, this has got Aguada plateau in Goa, Shiroda land parcel, where also we have made good progress in Maharashtra. And potentially, Sea Rock also makes good progress. That could also see m oney being used up in the next -- in

the near term.
Plus, that will still leave us enough cash to look at the accretive opportunities on the M&A side.
And I think on the M&A side, we will be constructive. For example, what we've just done on the Tree of L ife, which is to add a brand, and also sort of a wide space in our brandscape, which is experiential sort of hospitality experience which we didn't have. Like that, there are other white spaces out there, which we could potentially look at bringing it unde r our fold.
One thing we will probably not do is buy something just to add rooms to our portfolio. And of course, these has to be hotels which are managed by us and not by any other operator . So I think we are open to have a discussion, and there are a lot of people who keep approaching us. Our development team is quite busy on that front.
And -- but also the other thing we would like to just say that our efforts are mostly concentrated on India and not really on overseas. Our strategy for overseas is m ore capital -light or asset -light approach, which will be a combination of management contracts or lease contract, which is a sliver of equity goes in and not a large part of capital gains committed.

So we continue to evaluate. As and when there is somethi ng getting for to update, we'll update you guys. But I think there's enough on the plate right now on our own projects, which we want to chew and make it to the -- sort of make it out to the next level in terms of actual progress on the ground.
Moderator: Next question is from the line of Meet Jain from Motilal Oswal. Please go -ahead.
Meet Jain: Hi, sir. Thanks for the opportunity. I wanted to ask regarding our international hotels. So how has bee n the performance this quarter? Last quarter, we saw some dip in the ARRs and occupancies. Can you throw some light this quarter?
Ankur Dalwani: So international hotels have done well. If you see the slide we put out in the deck, it shows that the RevPAR for internationals hotels have grown by 10%. And this is reall y on the back of a very strong performance in the peer, which has done exceedingly well. And so that's a market which is -- hotels which has actually recovered very well for us.
UK continues to do well, in line with what it was doing earlier. So I think i nternational as such is turning out to be a big positive for this quarter and for the first half. And I think that momentum is continuing in October as well. So we are hopeful that for the full year, we will do much better than last year.
Meet Jain: And an y update on the renovations? How much capex are you spending on renovation? And what's the status on some of the hotels?
Ankur Dalwani: So we've done about INR350 -odd crores of capex for the year and -- out of which, I would think, let's say, about 2/3 or let's say about INR200 -plus crores would be on capex for renovating. So that's typically how we end up spending about 60% of the capex, was on renovation. And that trend should continue at least for this year.
Meet Jain: So in terms of operational rooms, h ow much operational rooms did we have in the current quarter overall on a stand -alone basis?
Ankur Dalwani: What is the question?
Meet Jain: Number of operational rooms this quarter.
Ankur Dalwani: We can give you all that detail. I think that we can -- if you follow with the IR team, Rupesh or Neha.
Meet Jain: I just wanted to clarify, you said had already a capex of INR350 crores, and another INR200 crores is in the pipeline. So overall, FY '25, we can assume a capex of around, let's say, INR500 crores od d?
Ankur Dalwani: No, I said INR350 crores is done, out of which INR200 crores, INR225 crores is towards innovation. For the full year, we had guided earlier a capex of roughly around INR750 crores to INR800 crores. I think we will pretty much be around th at, give and take INR50 crores here and there, depending on the actual timing of money being spent and some of the money being spent on the newer projects, which are our own greenfield projects.

Moderator: Next question is from the line of Rahul Jain from PhillipCapital. Please go -ahead.
Rahul Jain: Good evening, sir. Just wanted to get a broad understanding on how the Ginger Santacruz performance has fared. And how do you see it performing in the next H2?
Puneet Chhatwal: Ginger Santacruz has been performi ng in an outstanding fashion. We expect, definitely, north of 85% occupancy for the year and a rate that we have guided of 6,500, with a decent amount of

food and beverage and also meeting room business.
So all in all, we are very pleased for very first y ear of operation for it to do that. It's also a part of our presentation on slide 11 that already in the first half, it has done a revenue of INR44 crores and an EBITDA margin, 55%. So in the first half, as we say, is the weaker half, so you can extrapolat e what it could be for the year.
Rahul Jain: Got it. And sir, secondly, on a broader level, when you look at emerging markets, how do you see the demand and supply mismatch in emerging markets versus your key markets? And what sort of an opportunity is the re in these markets for IHCL going forward?
Ankur Dalwani: I think we gave the cut -off Tier 1, Tier 2, Tier 3 cities in one of our presentations, earlier presentations, which I think was in the April deck. But basically, a lot of the new supply is actually going to come outside the top 10 markets. And this is also going to create its own demand. Let me give an example.
Several ci

ties have branded hotels or branded hotels chains do not exist, so there's only one hotel. But there is still hospitality service being consumed there in the sort of a local hotel which are unbranded or maybe a local brand is well known there. That is a shift which will happen when you have branded chains going to Tier 2, Tier 3 cities.
And I think that, that growth actually is goi ng to be much higher than the growth in, let's say, the metros or -- in terms of percentage. Also in terms of size, it'll be smaller because these are very nascent markets. But in terms of percentage, those will be probably double -digit kind of growth in t erms of demand.
Moderator: Next question is from the line of Anuj Upadhyay from Investec. Please go -ahead.
Anuj Upadhyay: Yes, hi. Thanks for the opportunity and congratulations on good sets of numbers. So two questions. One is what has actually driven the 25% kind of an ARR hike at your Mumbai circle? We also saw that Ginger, you especially mentioned, the Santacruz one performed significantly well, both in terms of margin as well as the ARR growth. So what actually is driving the growth in Mumbai area, esp ecially in the lean period?
Puneet Chhatwal: Very good question. I think very important here is that one of the main drivers of all this growth is our flagship property -- is the Taj Mahal Palace & Tower. And possibly, it has that potential to grow because for whatever reason, it was -- it is now beginning to achieve what it should have always achieved. In -- and this has really been a very strong first half for the Taj Mahal Palace & Tower.

And the outlook is stronger as we expect a lot of senior dignitar ies to come and stay like recently, we even at the President of Spain. Similarly, many other dignitaries are booked for this quarter also. So I think the performance is really driven by Taj Mahal Palace & Tower, followed by Taj Lands End. And the rate incr ease in Taj Mahal Palace & Tower is -- or RevPAR increase is almost 32%, of which the rate increase is more than 30%.
Anuj Upadhyay: And secondly, on the wedding season, so as there's 30% more auspicious day in the second half compared to what we had in th e last year. So any rough figure, which you would like to contribute that wedding season could add in terms of incremental revenue for the second half of the year? Generally, a basic guideline on that each wedding contribution on the revenue. So basically, how much would that contribute, per se?
Puneet Chhatwal: No, I don't think each wedding -- we cannot look at it that micro -level approach. But weddings was, is and remains a very important part of hospitality business for Asia in general and India in particular. And we see only more spend on weddings and not less.
And we are very pleased as a sector, firstly and then also as a company because we have all these iconic locations and maybe wonderful Instagram -able moments for any kind of wedding in any kind of setting over 125 locations that we have to offer in India. So we are very pleased with that, and each wedding increases the total revenue expectation.
Anuj Upadhyay: Okay. So fair to assume that majority of the wedding dates are largely been booked across our properties?
Puneet Chhatwal: We have our fair share of bookings. And I would not say all weddings are booked with us only, we don't have so many halls. So let's put it this way that everybody is benefiting. And because we have more hotels, so we should benefit a bit more.
Moderator: Next question is from Shaleen from UBS Group. Please go -ahead.
Shaleen: Yes. Hi, thanks again for the opportunity. Just one question, a bit of a clarification on Achal's question, which is Q2 to Q3. So your Q2 growth is like 16 -odd percent and very likelihood, we do better in Q3, then the step -up which we typically see from Q2 t

o Q3 shouldn't be materially
different, right, because your Q3 is also growing very strongly year -on-year?

Ankur Dalwani: So I think we've said in October, we did ARRs of slightly above double digit. This is obviously Y-o-Y. And I think as you said, Q3 is typically stronger than Q2, and that trend will continue. I mean you also should in mind that last year's Q3 was coming from a very smaller bas e. So to that extent, it may not be as high as last year, but it will definitely be an uptrend from Q2.
Shaleen: Yes, substantial uptrend, right, because year -on-year growth are similar for both -- or higher effect for Q2?
Ankur Dalwani: Q-o-Q growth, that 's right.

Shaleen: That's part one. Sorry, I got drop -off for like two minutes in between. Did we talk about international, how the international has done in the month of October, etc? Any color on that, U.S. specifically?
Puneet Chhatwal: The U.S. was ver y strong for us in New York. San Francisco remains challenging, so it's neutral, as good or as bad as last year. London is same level as last year. Cape Town continues to grow. Dubai has been strong. Maldives is soft, and Sri Lanka is soft. But I think for us, it's very important is the positive shift, especially in New York, which has been a drain for very long term.
Shaleen: Right. So New York is strong. That's pretty critical for us.
Puneet Chhatwal: New York is strong.
Shaleen: Right. Great. I'm tempted to ask one philosophical questions based on the answer you were giving to the previous participants, right, given the Taj Mahal Palace is such an iconic, again, it's a philosophical question, right? So do you think that -- have you ever contemplated of charging substantially higher for Taj Mahal Palace, something like a Ritz of Singapore or Claridges of London to that extent? I mean has there ever been a debate over that kind of thought process? Again, a philosophical question.
Puneet Chhatwal: Not yet, bu t thank you for planting that idea.
Moderator: Ladies and gentlemen, we'll take the last question from the line of Prateek Kumar from Jefferies India. Please go -ahead.
Prateek Kumar: Yeah. Thanks for the opportunity. Prateek again. I have just one follow -up question on new businesses. You talked about Ginger, Ama and Qmin. You talked about new scopes business for Qmin like opening airport, hotels with TFS. Can you just elaborate a bit whether the new cloud from Qmin -ization of India to new initiatives?
Also, the growth in overall businesses at 47% this quarter seems very high. Like this is -- I would imagine that's driven by across three segments. But is there general acceleration from like that 25%, 30% number, which you talked about earlier, like now this 40%-plus number?
Ankur Dalwani: So you're right that there has been acceleration from the previous numbers. And two, three reasons. One is, of course, the new openings which have happened in Ginger, which is driving amount of growth here. The Ginger Mumbai Airport, we mentioned about that contributing INR44 crores into H1. And that was not in the base to the extent we benefited.
But I think general, even on the same -store growth, there is double -digit RevPAR growth we talked about as well for Ginger. So I think the momentum for Ginger continues to be strong. We've opened a maximum number of Gingers in H1. So you've seen that data as well.
As far as Qmin's new initiatives go, those are -- I think right now, we are just very early days. We are -- this is a capital -light model for us. We really don't want to take on the obligation of putting out fixed rentals, etc. So we are doing a revenue share model, which is where we had

one good success with the Westside, and now we're expanding that partnership to other formats with Westside an

d outside of Westside with TFS.
So I think that's something which we will probably be able to give you more color as this model matures over the next few quarters. But in the sort of the brand recall and the brand sort of affinity for Qmin is very strong, and that is also benefiting Ginger, and Ginger is also benefiting because of that.
Moderator: Thank you very much.
Puneet Chhatwal: Thank you all for joining this call and for your questions, and thank you for your support , and we look forward to interacting with you. This time before the next quarter call, during our Capital Market Day, we will inform you and send you the invites by Monday next week. Thank you very much, and have a wonderful evening.
Ankur Dalwani: Thank y ou. Thank you very much.

Moderator: Thank you very much. On behalf of the Indian Hotels Company Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

January 23, 202 5

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza
1st Floor, New Trading Ring, Bandra Kurla Complex
Rotunda Building, P. J. Towers, Bandra (E)
Dalal Street, Fort, Mumbai 400 051
Mumbai – 400 001. Scrip Code: INDHOTEL
Scrip Code: 500850
Dear Sirs,

Sub: Transcript of the IHCL Earnings Call for the quarter / nine months ended December 3 1, 2024
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the IHCL Earnings Call for the quarter / nine months ended December 3 1, 2024 held on January 17, 202 5.
The ab ove information is also available on the website of the Company at:

https://investor.ihcltata.com/files/IHCL_Analyst_Earnings_Call_Transcript -Q3_FY_2024 -25.pdf

You are requested to kindly take the same on record.

Yours sincerely,

BEEJAL DESAI (F3320)
Executive Vice President
Corporate Affairs & Company Secretary (Group)

"The Indian Hotels Company Limited
Quarter ended 31st December 20 24 Earnings
Conference Call "
January 17, 202 5

MANAGEMENT : MR. PUNEET CHHATWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – THE INDIAN HOTELS
COMPANY LIMITED
MR. ANKUR DALWANI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – THE INDIAN
HOTELS COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to The Indian Hotels Company Limited Earnings Conference Call for the quarter ended 31st December 2024. On call with us we have Mr. Puneet Chhatwal, Managing Director and CEO, IHCL; Mr. Ankur Dalwani, EVP and CFO , IHCL. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pre ssing star then zero on your touch -tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Puneet Chhatwal. Thank you, and over to you, Mr. Chhatwal.
Puneet Chhatwal: Good evening, everyone, and thank you for joining our global conference call for Q3 '24 -'25.
We are pleased to inform you that we have continued our record performance for the 11th consecutive quarter on the back of continued growth momentum and key strategic initiatives.
I'll now outline like in the last few quarters, the 10 key highlights for this quarter. Beginning with number one, strong financial performance. For the very first time in history, the quarterly EBITDA of IHCL crossed INR 1,000 crores. On a consolidated basis, IHCL delivered recor d performance in Q3 with 29% revenue growth and 80 basis points margin expansion over the

same period last year. This is despite consolidating TajSATS as a subsidiary, which has lower margins than the hotel segment.
Our consolidated revenue stood at INR2,592 crores and our EBITDA margin expanded to 39.4% in Q3. Our reported profit after tax stood at INR582 crores, highest ever quarterly PAT in IHCL's history. IHCL's hotel segment showcased 16% revenue growth and EBITDA margin expansion of 230 basis points to 40.9% in Q3. Our stand -alone performance in Q3 was also the best ever with 15% growth in revenue to INR1,517 crores and EBITDA margin expansion by 240 basis points to 47.8%. Stand -alone PAT grew 23% to INR469 crores, taking PAT margin to 30.9%.
Number two, double -digit RevPAR growth. IHCL delivered 13% consolidated RevPAR growth on a domestic like -for-like basis on the back of demand continuing to outpace supply and our asset management initiatives. We have always guided and given details on all our ass ets that we are either reimagining or renovating or how we have been using capex to drive operating leverage in the owned and stand -alone portfolio.
This strong performance at IHCL command a RevPAR premium of 78% over the industry in the Indian market, th us maintaining the premium positioning in each of the segments we operate in.
Our international consolidated portfolio reported a double -digit revenue growth driven by strong performance at the Pierre in New York.
Number three is about our expansion momen tum and our growth. In Q3, we signed 20 hotels and opened 8 new hotels. In the current financial year for the period April to December, we have signed 55 new hotels and opened 20 hotels. We have set a new growth benchmark with 85 signings and 40 openings i n the calendar year 2024, taking our portfolio to 360 hotels with an industry -leading pipeline of 123 hotels as on 31st December 2024.

Fourth is our combination of capital -light growth with capital heavy, but capital -light growth being a key margin driver . On the back of our capital -light growth strategy, our management fees in Q3 was INR177 crores, an increase of 32% over the same period last year. This was driven by 13% net unit growth in hotel rooms, increase in total revenue per available room, technic al fees and new fee income streams such as brand fee.
Number five, new businesses continue to grow, and the growth in Q3 was 40% on the top line. Our new businesses vertical comp

rising Reimagine d Ginger, Qmin and amã Stays & Trails
delivered a 40% growth in Q3 consolidated revenue. As of this month, we have also completed the acquisition of Tree of Life, which will get added to the new businesses portfolio.
Ginger's consolidated revenue grew 43% year -on-year to INR157 crores, while expanding EBITDA margin by 200 basis points to 45%. We have guided previously that we expect Lean Luxe and New Ginger's to keep performing at north of 50%. And this 45% is a good proof of the formula that we have guided upon when it comes to this brand.
Qmin has expanded to 60 -plus outlets, and in addition to serving as the F&B brand for Ginger Hotels, which we also call the Qminization of Ginger has also established presence in the interim in Q3 in 2 Westside stores through a shop -in-shop format. And further, Qmin has launched operations at Chennai and Kolkata Airports in partner with TFS. Going on, amã Stays & Trails reached a milestone of 250 bungalows in portfolio with 119 in operations.
Number six, is the company's focus on cost and digital. Driven by our continued focus on cost optimization and initiatives to enhance operating leverage, the hotel segment delivered a notable improvement in operating EBITDA margins. For Q3, the operating EBITDA margin expanded by 210 basis points to 39.4%, while the 9 -month period, it grew by 220 basis points to 33%. These gains reflect the success of ongoing efforts to streamline operations, boost productivity and deliver sustainable growth.
We remain committed to our digital transformation journey. Following the successful launch of our new website for Taj Hotels in Q1, we recently unveiled the redesigned website for amã Stays & Trails. Progress is well underway on new websites for Ginger and Vivanta, which will go live in H1 '25 - '26. And additionally, significant progress is being made in upgrading our core systems including the migration to SAP for finance and HR functions and industry -leading OPERA on cloud PMS.
Number seven, on Tata Neu, our collaboration with Tata Neu, loyalty platform has now 8 million members with loyalty -led contribution in revenue rising to 40% of our enterprise level revenue. The unwavering loyalty of our customers is visible in our increasing enterprise NPS scores, which stood at 74 for year -to-date, '24 - '25, up from 72 in the corresponding period last ye ar.
On number nine, on talent. We remain committed to investing in our talent and capabilities of the future with our industry -leading cadre building and training programs. We have also launched multiple scholarships in association with global universitie s to help nurture Qmin capital for us and the sector.

Several of our middle management colleagues have completed their executive MBA recently from renowned universities in Europe our ongoing scholarship program of sending 2 executives to Business School i n France continues now in its fourth year with partnership in place for the four following years as well as sending our senior executives to IV schools for advance management programs or other alternative programs, which are relevant for their jobs and for the organization are all in place.
And not only this, we have launched a series of programs which are related to hotel development, flight from the hotel school, which we call HTP, also hotel operational training, apprenticeship programs, and they are co ntinuous -- they are witnessing a continuous investment so that we are future ready when it comes to our talent and growth of our people from within the organization.
Number nine, Paathya. We continue to stay focused on achieving our stated goals under Pa athya. IHCL now uses 37% energy from renewable sources and recycles 48% of water. We have given the guidance of 50% as a source for renewable energy by 2030, and we are already at

37% and
100% use of recycled water by then by 2030. So all these goals that we have guided on are till 2030.
IHCL also partners and operates 46 skill centers today across 20 states in India. That gets me to the final point, which is point number 10 in terms of the outlook for Q4 and beyond. We are happy to say that we find that t he Q4 is also expected to be in similar line as Q3, whether it comes on a top line growth or other metrics. And we are confident of definitely delivering on the double -digit growth that we have promised and guided the market on from the previous year.
And a lot of us would recall that in Q1, which was a little bit impacted by excessive heat and elections, there were doubts on this, but now we've had two more quarters, which have taken us far beyond that number. With large -scale events like Mahakumbh, conce rts like Cold Play and the extended wedding season in Q4, we remain confident of delivering all the metrics and the guidance that we have guided the market upon whether during our Capital Market Day or during our investor calls.
In conclusion, we expect t o deliver strong growth with sustained margins, continuous portfolio growth, continuous talent growth, continuous optimization on the cost per room basis. And with 20 hotel openings so far, we are well on track to achieve our committed target of opening 25 hotels in the current financial year, which we have also guided would go up to 30 hotels as of the following financial year. Our focus also remains on scaling our new businesses. We are spending a lot of money, as you heard on the new website of amã on th e Neu initiatives that we are building with all these new businesses.
And for several quarters in the past, we've been putting more marketing monies to grow and scale up these businesses so that they become stronger contributors to our better hedging of revenues, better hedging of profits and optimizing of our margins. They also help to evolve our brandscape, strengthen our competitive advantage with prudent capital allocation in all these strategic initiatives.

Thank you so much for your attention, and w e now open the floor for questions.
Moderator: Thank you. We will now begin the question -and-answer session . First question from the line of Meet Jain: from Motilal Oswal. Please go ahead.
Meet Jain: So my first question is regarding the occupancy in the s tand-alone business. In 2Q versus 3Q, we have seen a flat occupancy, while our ARR has grown by almost 13% Y -o-Y and significantly on a Q -on-Q basis. So just want to understand in terms of occupancy, when we see our historical trends, we see a strong occup ancy increase in 3Q versus 2Q. So can you throw some light on the flattish occupancy this quarter?
Puneet Chhatwal: I'm sorry that I wanted Mr. Dalwani to answer, but I will answer. 78% occupancy is very high. It is good that it has not gone down. If it's -- if we operate at 78 to 79 or 80, the only thing that happens is the rates will keep going up. If we go back 3 quarters or 4 quarters, the question was, this year, we have G20, we have World Cup, what will happen next year. And you'll see that there is n o change in occupancy and the rates have gone up.
And we don't expect anything to change as there are more and more business delegations coming into India. So the demand on both business and leisure remains quite robust, which will help the standalone occ upancy. And that is what is creating the higher rate, which in turn is creating higher flow -through, which is helping us get to that 47%, 48% EBITDA margin on stand -alone.

Ankur Dalwani: Yes. I think we should -- I'll encourage you to look at RevPAR rather than looking at occupancy because this is a lot of time with a strategic goal to grow via ARR rather than occupancy. And like Mr. Chhatwal said, only at levels of 80% plus for most

of the hotels, it's probably prudent to drive revenue growth through RevPA R through ARR increase, and that also increases the margin profile of the -- for the hotel. So I think this is how we look at the business and you look at it hotel by hotel.

Meet Jain: The other question is on citywide trends like in Goa. We have seen cert ain things that Goa when we look at it in terms of travel for the December month. So how was it for our hotel properties? Have you seen such kind of impact on that or because we are seeing a 2% kind of growth in citywide? .

Ankur Dalwani : So if you look at the enterprise growth, which we put out about 5% for Goa as well, I think the good thing is the growth is actually pretty spread out. It's not consolidated on one particular market. I think those markets have done reasonably well. And Goa is already opera ting at a reasonably high base. So we are okay quite happy with what's happened at the performance of the Goa hotels. There were some renovations which also got completed this quarter. So there was an impact on that, which is reflected as a consol numbers. But I think overall, if you look at various markets, they have done quite well, whether it's Rajasthan, whether it's the core markets of Delhi, Bombay, they have all done well.

Meet Jain: And are you seeing a recovery in the Bangalore market?

Ankur Dalwan i: Bangalore last year, we had high base, but this is -- this quarter, if you see, it's been a 13% growth on consol and 12% on enterprise. So it's actually done quite well. .

Moderator: Next question comes from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Congrats for the great results. My first question is on, I mean, outlook. You have suggested in Q4 being strong, I'm sure you will start having questions now for FY '26. And you have given like a 2030 outlook, which is very aff irming your double -digit trend. But any early signs you can sort of indicate for FY '26, what you're looking at based on bookings?

Ankur Dalwani: So I think we'll come back to you after Q4 results for FY '26. But I think broadly, if you think about it, Q1 has got a good wedding season this year, which wasn't the case last year. So we will see how that plays out. Let's see all the heatwave -- there's a heatwave or not because that was also a factor last time. And so in general, with the continued business de mand, which is there in the city hotels, and leisure destinations. I think the momentum continues to be strong. And there are several events which are lined up for Q4, we have listed a few of them. But I think Q1 is also looking good. You want to add anyth ing?

Puneet Chhatwal: Yes, Prateek, the supply is not going to catch up that first with the demand. So even if demand softens a bit, still, it will continue to outpace supply. That's one. Second is whether the growth is 6% in GDP, 6.5% or 5 -plus, still pre tty healthy growth. And if India keeps moving in that direction that it is moving, the hospitality sector is only beginning to write the new narrative for India at 2047. So of course, till '47, there will be some headwinds just beyond the next year and the year after that and the year after that. But in principle, the fundamentals have never been as strong as they are now.

And that is a second factor that is not going to change. But for our portfolio, very importantly, if you look at it, more than 50% of o ur portfolio is actually in the pipeline. In other words, the pipeline represents more than 50% of the hotel and operations. And with this kind of not like - for-like growth, that to almost 80% on a capital -light model, we do expect to mitigate should there ever be any softness that comes in. And also our continuous efforts on asset management of the previous question was related to Goa also. The Goa in this quarter may not show that kind of h

uge massive growth than Mumbai or Delhi might show.

But Delhi has had the renovation of Taj Mansingh behind. Whereas Goa, we are continuously investing money in Holiday Village. One third of Holiday Village is left and almost the main block of Fort Aguada So there is some displacement out there and still, we are doing so well. By doing so, we are building a competitive advantage for the future, and we are repositioning this hotel, which is which celebrated 50 years. So a hotel, which is 50 years in the market, the first luxury hotel of Goa is getting a security on its fut ure for the next few decades to come.

I think that's how we are looking at it. We are not taking just a view on a quarter or a half year or a year, rather the long -term competitive advantage. And because we have been doing it for several years now, we thi nk that we are very well positioned. And going forward, these are the

initiatives which will help us to keep having the right mix of operating leverage with margin expansion through a capital -light business.
Prateek Kumar: Right, sir. And just for some cla rification, Q4 and Q1, particularly they have like soft base, right? So we may have like an accelerated growth in the next 6 months and maybe the normalization in the later period. Is that the right understanding?
Puneet Chhatwal: No normalization. We should -- if everything stays same today, we have one more additional source, which has not kicked in the way it should have kicked in, and that is our foreign tourist arrivals. We are still at a lower end on the pre -COVID. Normally, it should in at least 120% of the pre -COVID level by now because -- we are talking about 2019, 2020 figures. And we're in 2024 ' - '25. So it should -- it's out of minus 10%, minus 15%, which is also very difficult statistics as Indian diaspora has grown very strong outside of I ndia, which may have an OCI or a PIO card.
So a lot of those arrivals are considered foreign tourist arrival, but they're not the real foreign tourists. So I think at some point, post -COVID, in certain markets, you're beginning to see the foreign tourists are beginning to travel. And at some point, those tourism -driven activities will also come to a normalization plus 10% or 15% or 20%, and that would certainly help the luxury side of the portfolio. And for us, our palaces and our presence in key gateway d estinations in India.
Moderator: Next question comes from the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar: Congratulations on a very strong set of numbers. A couple of questions. First of all, very quickly on the Q4, while you guide on the revenue side, any color on how do we see the RevPAR growth and occupancy levels year -on-year?
Ankur Dalwani: I think the same trend which we saw in Q3 in terms of high single -digit to low double -digit kind of growth on RevPAR, which is what we did in Q3. T hat trend on the domestic market should hold up. There are -- like I said, there are no -- I think on our horizon, which makes us feel that there is a dip in the RevPAR expected in this quarter. So we remain confident on that front. And -- so I think from a trend perspective, that should hold up.
Achal Kumar: Right, right. Perfect. Otherwise -- I mean, of course, we've been talking about the tight capacity and that is driving the RevPAR growth. So -- I mean, if you look at, of course, we all have started economics, there is a term called price sensitivity or demand elasticity. Now of course, -- how do you see the pricing today? I mean the pricing are already very high. Do you still share the same thoughts? Or do you think the price -- there is still a scope for the prices to go up despite the fact that the capacity is very tight, how do -- do you think the price will continue to go up? Or do you think we have very close to the peak in terms of pric

ing now, of course, the scope to play with occupancy levels?
Ankur Dalwani: So I think we talked about long -term factors in our Capital Market Day where we said the pricing today is actually not sufficient to attract greenfield sort of capacity land acquisition, which is

basically the case which continues even today. And this I'm talking about in general because obviously with some markets where we feel good, but in general, this is not resulting in a gold sort of rush in terms of supply coming up from people buying land and then putting on new assets. So I think that 's point number one.
I think the point number two is that even if you look at on a dollar per room night basis, we continue to be lower than even what we were 15 years back or 16 years back. I think that's a very important factor as you think about the ec onomics of this sector. And I think thirdly, if you look at the currency tailwinds, actually, in a way, favorable from our perspective because it makes it cheaper for people to come in and it also makes it difficult for people to go out. So I think that's another factor place to our advantage.
And at the end of the day, if people have to travel for business or for -- come to meetings in Bombay, Delhi, Bangalore, or any of the big cities. It is not an event which can be postponed forever. They may defer it, but that's really not a discretionary sort of item and that has always been the case.
In our case, as you know, actually, a large portion of our portfolio drives revenue from city hotels, which makes us much more resilient and then makes us sort of play into the tailwinds for the sector. On the leisure side, I think with the factors which Mr. also referred to arrivals and the fact that the fact that we are having the currency tailwinds now in our favor, that should also help going forward.
Achal Kumar: Actually, actually, that was my question also. I mean, I wanted to ask because I think if you look

at Delta recently reported its results, they said they talked about the currency -- favorable currencies since U.S. dollar appreciated. Have you really noticed that in terms of increasing inbound international tourism, or is that or is that just a bit of a theoretical thing as of now, and we have not seen in the numbers?

Ankur Dalwani: Yes, it's too early because this is -- the rupee movement has happened very r ecently. But it's only also one of the factors. It's not the only factor, as you know, for a foreign tourists to make a decision. But I think from a competitiveness of the sector, it only helps. I think that's the point I'm trying to make, and it will even tually also -- I mean, there are many factors which think about. This is one of the reasons -- one of the factors, which will probably help us. And it's also effectively also makes Indian domestic tourists more inclined to travel in India than going aboard .

Moderator: Next question comes from the line of Abhay Khaitan with Axis Capital. Please go ahead.

Abhay Khaitan : Firstly, I would like to congratulate you again for another strong quarter. So my question is on RevPAR growth. So I can see the quarters saw 13% growth Y -o-Y. But is it possible to see the sequential momentum of growth at RevPAR as in what was the growth in October, November and December separately because overall economic indicators have seen some weakness in the last quarter. So I just want to correlate if you see a similar trend for hotels as well?

Puneet Chhatwal: No, the growth in -- see, the growth base December is the highest. So the growth in October and November was stronger in percentage terms than in December. If I remember correctly , as the team looks for the exact numbers, I think it was like 16%, 15% and 13%.

But I would also encourage you to note that whe

n you are especially looking at India business, rooms revenue is just half of the total revenue. The other half, which has a ve ry serious impact is especially the food and beverage. We still have a lot of strong F&B business in hotels, conference business in hotels, but also we have the weddings. And especially going forward, next year will be one of those first years after 3, 4 y ears, with the number of wedding dates actually increased by 5 or 6 more days in the next financial year. So I think the -- also going forward, if we look at next year to do such high revenue with like the base that we have done this year in December, in t he percentage terms will be possibly lower than in October or November. Because it is technically always as long as I can remember, being the best month in several, several, several years.

Ankur Dalwani: Broadly, October was a lower month among the 3 month s in terms of RevPAR. I think December was second and November was the best. It's also play off when Diwali is and Dashehra is also a function of all of that. And therefore, it's -- we don't really get into monthly statistics because that's -- it's become comparisons become difficult.

Puneet Chhatwal: I think his question was more if there was some witnessing of slowdown. We have not witnessed any kind of slow down in December. Having said that, I found one new development. This, I would like to share with the -- all the people attending this call. I happen to be in Goa for the new year. And usually, Goa starts getting empty because everybody is asking about on the 2nd of Jan.

And we saw a lot of arrivals and Goa was sold out till 6th of Jan. Instead of 2nd or 3rd that it starts getting people start going back. There were a lot more check -ins happening on 1st or 2nd of Jan, maybe where people celebrated New Year at home and decided to come on 1st or 2nd, which was good for our business, because we were not e mpty on New Year's Eve, but we got 3, 4 days of extra business in Jan. So that is something new that we have not seen definitely in the previous 5, 6 years.

Abhay Khaitan: My second question is on Ginger. So we see around 29% growth in Roots revenue, but how much of it will be driven by addition of new hotels? And what -- how is the ARR and occupancy growth trending there? .

Puneet Chhatwal: See, Ginger is all of the nice turnaround stories from where it was for so many years and from where it came to beca use we reimagined it and we opened the first reimagined Ginger, and 8, 9 months later, it was COVID times. So Ginger has really -- the reimagine, Ginger has had only 2, 3 years run and properties are in different phases of renovation and refurbishment to b e upgraded to the new avatar as we call it, the reimagination.

And we expect Ginger to keep doing well, but that is true for not just Ginger, for the entire portfolio. I outlined in my opening remarks that our growth, especially not like -for-like growth,

with the hybrid of capital -light and capital -heavy model and capital -light and heavy both influencing the Ginger brand is going to help us drive growth in all our brands, but definitely after Taj, our second most important brand in the next few years to wa tch. As I've said in many previous conference calls, will be the Ginger brand.
And with the Qmininization of Ginger, that means adding an all -day dining in all Ginger properties, it has given an image uplift and also an offering which is creating a very g ood price value relationship, especially in all new Ginger hotels that are opening.
Ankur Dalwani: Yes. And just to add, I mean, a significant growth in RCL is also the Qminization point. This is what Chhatwal just referred to, that itself, we would have c ontributed almost I would think, if you look at the actual figures, it would almost be 25% of the revenue for RCL coming from F&

;B. And the room business has actually grown both on the back of RevPAR growth and new additions.
So kind of evenly split betwee n the two, maybe the new addition in Ginger is higher because it's something we turnaround can be faster. And RCL actually does not include Ginger Mumbai Airport. If you look at the consolidated Ginger revenues, it's almost 45%. And we gave that number out in the presentation as well.
Abhay Khaitan: So can we expect a similar sort of ARR growth for Ginger as we are seeing for the other brands? I mean something like a high single digit or low double digit?
Ankur Dalwani: So again, like I said, brand -by-brand strategies are different. Ginger could be occupancy driven, but RevPAR growth is again high single digit to low middle digit. And again, with within Ginger, we monitor what's called the renovated Ginger portfolio and what's the non -renovated Ginger portfo lio. And the non -renovated -Ginger portfolio will do much better than the non -renovated portion.
Moderator: Next question comes from the line of Shaleen Kumar with UBS. Please go ahead.
Shaleen Kumar: Congrats again for a pretty good set of numbers. I think I've been congratulating you for the past many quarters. And I hope this will continue. So sir, just interesting to see Qmin in Westside and Airport. What are you thinking about it? Like is there som e plans around there, you want to go out and talk into F&B or just an experimental mode right now?
Puneet Chhatwal: Not really. I think Qmin started as a brand during COVID with the home delivery. And as the business came back, home delivery was not as muc h in demand from hotels as was the case during COVID. So the the love for the brand has been immense that we have seen. And when we put it in Ginger, it was a big success. And the companies that have gone into partnership with us, TFS runs a lot of F&B in different airports on a franchise model.
So it's something that they are scaling up, which is good. So that's why you create brands so that you can leverage your brand strength and other people grow on it. And Westside side coming from within the group, o bviously, there is also a lot of love because they were all Qmin

dependent during COVID time. So there's a good memory. There's a good recall of Qmin. Then also the business model is very important. So our business model is not based on any fixed rents. So either we are getting a brand fee or a franchise fee from a franchisee like at the airport. All we are just doing a revenue share.
And we have a lot of other queries also from within the group to leverage the Qmin even more significantly, whether it's in the Taj Sats for institutional catering or it is big basket. So we are exploring as and when these things become real or this thing, we will obviously share with you, Shaleen, like in the past.
At the moment, they are still on the drawing board and the b rand in its GMV has crossed INR150 crores, and we -- it's very good because these brands have been started with 0 capital investment. And whatever we are getting is incremental and is also helping us develop good name for the brand, but also helping the image of other brands like Ginger, as I said earlier.
Shaleen Kumar: I'm just changing gear here, I want to ask one more question. Again, there a little bit more -- a bit of a fundamental question. as we're talking about RevPAR and obviously, into the stre et always have a question, can we grow RevPAR and contribute to RevPAR? But if you little beneath that...
Puneet Chhatwal: Shaleen, it's very difficult to follow you. There is -- like last quarter, we have some challenge in hearing you clearly.
Shaleen Kum ar: Sorry, sorry for that. So I was saying I just want to ask one fundamental question here. So there is a worry around RevPAR -- not worry actually. I just thought process at ho

w the -- how long can the RevPAR grow and demand elasti city, but if you go a l ittle under that, there are type of customers who we have a very low demand losses, can say they are not to the price.

So when you look at your mix of customers, transient, corporate, Do you think they can give us a scope for some changes here, right? The re is a portion of customers which continue to grow bigger and bigger so that you can easily increase your RevPAR? Can there be some structural changes that can happen over there?
Puneet Chhatwal: I'm not sure we understand, maybe we can take this offline, but all I can say is the only brand we have in the mid -market or the lower side is Ginger, all our other brands traditional ones and the new ones are in the upscale, upper upscale or luxury. There the sensitivity to pricing is lower. Even in Ginger, we're trying to give that Lean Luxe kind of feeling with the art and the design that we have put in there.
So the premiumization, I think, would be the right word. The premiumization of brands is a trend that one could say is common across sectors. It doesn't matter which sector you're in or the feeling of premiumization. And I think there, we are very well positioned because we are dealing only in the premiumization. The only brand which was not dealing with premiumization 10 years ago or 8 years ago, 15 years ago was Ginger, which we have completely changed and evolved. So I think we are very positive that the value proposition has to be there.

You must feel that you're getting value. But if you're getting it with the premiumization of the brand, this will be fine. The same is the story with Gateway. We have re relaunch the Reimagined Gateway. The Gateway that we have reimagined has nothing to do with the Gateway of past. So that -- we expect the same trend what has happened in Ginger over 3, 4 years to also h appen with the Gateway brand over the next 3 to 5 years.
Ankur Dalwani: Yes. If you look at the internal data we put out, Shaleen we put out actually in the presentation. We look at how the brands have grown over the last 5 years consistently and also quar ter-over-quarter RevPAR growth.
Shaleen Kumar: Just let me explain what I was asking. I was asking in your customer mix, like you have transient, your corporate, your leisure, right? So can we continue to see the change here? I'm like maybe leisure is on w ho are the most intensive. So you think that leisure can continue to grow faster and the proportion of, let's say, transient or corporate will shift towards more leisure or towards more MICE Do you think that way? So that was my question like how the custo mer mix will change?
Puneet Chhatwal: Towards more MICE is possible in some key markets like Delhi and Mumbai because of events that are beginning to happen in Bharat Mandapam or Yashobhoomi or Jio, we have seen when Jio has a good event or BKC is having a lot of activity, then within 5 -kilometer radius, everything is sold out. There's no rooms again. So that, I think, is just the beginning, especially for Delhi. And more such places, I think a lot of states and big convention centers, and that will attrac t business which has not yet coming into India. So there will be new events, new congresses, new big global conferences happening because there was no space to host 3,000, 4,000 people and if you have a hall, then you don't have a place to put up 3,000, 4, 000, 5,000 people or even events. So these things will evolve over the next 3, 4, 5 years.
Shaleen Kumar: Just last one, updates on Sea Rock?
Puneet Chhatwal: It's a very good question. I was wondering up until now no one has asked us about Sea Rock. We ha ve received one of the most important permission, which is called IOD, Intimation Of Disapproval . We have received that. Now the last permission that is left is the CC, which is the

Commencement Certificate . And we need an approval on the additional height that we want from the airport authorities. So basically, we think that we have got very close so that construction could commence in the second half of this year.
Ankur Dalwani: The height approval has already been received up to a certain level. Beyond t hat, you need to apply for additional height approval. So I think that's also progressed from the last time we had given an update.
Puneet Chhatwal: Which is again in line Shaleen what we had promised that by the end of the year, we will have something. And the delay was because there were things happening in the state. All have been done. So there are certain things that cannot happen in a certain per iod. And that's how we had

given that guidance, and that's where we are. I'm very happy to report that we have moved the needle in a very big way for Sea Rock. .
Moderator: Next question comes from the line of Rahul Jain with Phillip Capital. Please go ahe ad.
Rahul Jain : I just had a couple of questions for you. The first one is on how do you see the U.S. and U.K.

subsidiary performing in the rest of FY '25 - '26? Is there any demand outlook? Any significant change as the EBITDA performance for especially t he U.S. market is on the positive trend? So is there anything that you can elaborate on?

Puneet Chhatwal: Very good question, Ra hul, because we -- I think the world has had a very challenging situation with San Francisco. And we have a hotel there, The Cam pton Place, which has also been -- there was a big labor strike out there. Our hotel was not impacted, but with all the 3, 4 months of protests that were going on in that part of town. It had a serious impact on business. Then safety, security and all that has been an issue.

We have all seen it on television and news channels and in a beautiful city like San Francisco. It seems that it has settled down now, and things will start improving, which will really help us. What we can share is that yesterday, the JPMorgan conference, the annual one in San Francisco concluded. And we -- as our hotel has done marginally better than last year, which is not about how we have done, which means that the market must have done better and there was the ability to pay, whic h is very positive news for us.

Then on the second, we are hoping that this time the Q4 will be better than normal Q4. It's because of the swearing in of the new President and a lot of people would be traveling to the U.S. now or later. And then if you're going to Washington, you might combine New York with it, which brings an additional business. So you must have noticed in our Q3 and the Q2 and actually, throughout this year, we have done pretty well with Peer in New York, and we don't expect that to cha nge.

We think we'll keep doing better based on the seasonality, the quarter, the way it is. So Q4 of last year versus Q4 of this year in peer should be definitely better. But more important is San Francisco, which was struggling as a city, which none of u s would have ever thought of. So that takes care of the U.S. Then we have London. London is -- has a double impact for us. One, the market is a bit softer, as we have all read. There is a lot of new supply that has gone into London. We've still been able to hold ground because we have very strong brand equity in London, especially Indians traveling to U.K. or to London prefer to stay at the Taj. We have not seen any change in that trend. But the growth in London is not expected to be the way we would have thought maybe 6, 8 months ago for the next few months. But if we can hold our grounds, and that brings me to the second reason is we've been spending a lot of money in upgrading that asset, which has helped us to show those results with a very beautiful co urtyard with the addition of House of M

ing.

We added the chambers there. We added the new all -day dining there. So we have plans to renovate the Quilon. We have plans to increase the size of chamber. So there is a lot of activity which is happening in Lon don because it is the second, after New York and London are the 2 largest lodging markets of the world followed by Paris. So these are the top 3. So both these markets are important for our brand. And we think that in this quarter, we are in a better posit ion because of San Francisco's positivity. If London stays the same, peer keeps improving like it has done in the last several quarters than it should look better for us going forward in the next quarters.

Rahul Jain: Got it, sir. Sir, my second question i s regarding the hotel that you're opening in Uttarakhand in Q4, in the franchisee model. Is there any -- could you highlight any key differentiation from our current operating models? And how does the franchisee differentiate from what we are currently doing?

Puneet Chhatwal: So I'm glad you picked it up. So with the same group, we did the one and only franchise before, which was Pilibhit House in Haridwar . And after 6 months, they came back and said convert into management contract. However, and having said that, they are very professional and an experienced hotel group, which has given us other properties like Taj in Corbet, Pilibhit House, in Haridwar in this property. And we think as they operate only Uttarakhand, that they are very strong in that market. And we are very happy. We don't think India is really that mature to get into franchise model.

We are not -- we have never been so keen. But with an exi sting partner where we have had a relationship over so many years and a very successful one and with a common understanding and coming from the same background because they are in this business, we think it is worth trying out and they know this property, they have had it and they've been running it. So why don't give them our brand and distribution and network strength and see if this one works out better on this model than why not. But this is not a model we are going to open to every single individual ow ner. That's not...

Ankur Dalwani: It's an exception.

Puneet Chhatwal: It's an exception. And we did one for Taj, if you would remember. We did that with Chalet for

the Delhi Airport terminal linked development. We are very, very excited equally about that because you're dealing with very professional organization, another publicly listed company. They know how to work with brands. So I think the -- these are like one -offs, but we are not going in very strongly with the franchise model.
Moderator: Next quest ion comes from the line of Amit Kadam with Canara Robeco Mutual Fund. Please go ahead.
Amit Kadam : Three questions from my end. First is just one observation from the presentation, Slide number 35. I see some churning in Vivanta 's portfolio in terms of ope ration al rooms where the latest number is 3,681 versus last quarter, what we have seen almost like 4,062. Any specific reason

for this particular churn? That's question number one. Second is just like in the managed fees, we have reported other fees as INR10 crores. Can you just throw some light what is it about? So that's question two. And third is just like a in terms of as we are focusing more on managed hotels. Is there a change in the I would say, profit share in that particular maybe the percentage of revenue, what we have seen in last couple of years or may see in future ? Yes, that's it.
Puneet Chhatwal: I'm not sure if I understood all the, but I'll answer you the first one and then my colleague will answer the others is -- the first one was relate d to the Vivanta, right? We have had two hotels where a lot of inv

estment has gone in and they have been upgraded to Taj. One is Suraj kund the other Srinagar, also to get the best impact on rates and the bottom line. So there has been an extension of Srina gar with number of rooms, and Suraj kund is another one.
And also properties like Devi Ratan in Jaipur, we might say, although it was not Vivanta, it was in the right Selection s. So we have done that consistently over the last 5 years. As for whatever reasons in the past, because of financial duress or -- some of the properties were taken off the Taj network. So we got them back. We have explained that in various quarterly meets and Capital Market Day, how that has worked very well for us and for the Taj br and and in driving the right value. What was your second question?
Ankur Dalwani: We could not follow the question. If you could repeat.
Amit Kadam: The question was on -- in the managed fee section, you have reported for the quarter INR177 crores. In this particular slide only, you have reported INR10 crores as other fees, which have been observing for the first time, hence wanted some more color.
Ankur Dalwani: So this other fee is basically pertains to -- it's also operating fee, which is basically comin g from brand free. If you recall, we had announced a brand ed residence project, so we're starting to earn fee on that as well as technical fee, which we have earned from new signings. So this is -- essentially, we're just calling it out to give a little fl avor of the growth. Technical fee has always been there, but it's kind of stepped up as you've done more signings. And the brand fee is a new element, but both are expected to sort of -- they are not one -offs. So to be clear, they're not one - offs. They're expected to continue. But it will vary depending on the signings we do and the units sold by the residential projects.
Puneet Chhatwal: And how many residential projects?
Ankur Dalwani: Yes. And how and obviously, if you add to that, it will add to this.
Puneet Chhatwal: Number three, you had a third question also.
Amit Kadam: Sir, third question is a little broadish on this particular part as we are focusing more on managed hotels, what I assume -- what I understand from the business is that we take X percentage of the revenue pool for managing it. So I just wanted to know that over the years, maybe last couple of years or maybe as we sign more hotels, this X percentage has -- how it has behaved like as we're

able to leverage our brand more and able to get more X percentage of that particular X plus Y something over the year ?
Puneet Chhatwal: No, no, no. I think it's driven by market. It's driven by size. In metros, if you get 6% to 8% fees you are doing very well. In smaller hotels, if you get 7% to 9%, yo u are doing fine. If it's a franchise, you're getting 4% to 5% to 6% of total revenue, 4% to 6%, let's say, you're doing very well. When it comes to within a metro, is it airport terminal linked location? Or is it somewhere 5 kilometers from the airport.
Similarly, in city center, is it in the heart of Delhi or Lutyens Delhi, like we just did the Ginger in Chanakyapuri We got it on the lower spectrum, but we would take it because how do you get the Ginger in It's like what call a gift from heaven, falling into your lap. So even if it would have gone for another 10% lower fees would have grown for another 10% lower. So it all depends.

It's driven by brand, by the macro market, and within the macro market, what is the micro market for it and how much you are willing to do to -- based on your knowledge, what it can do for the brand. So there is no like a formula which could work for the entire portfolio and the entire brandscape. It's very different by brand, by geography and by the opportunity given the size a nd scale of the project.
Ankur Dalwani: There are no secular trends t

o show that fees is coming down or there is pressure on the fees. I think just to add, we continue to be a preferred partner of choice across owners in India. And with that is shown by th e repeat contracts we sign with existing owners.
Moderator: The last question comes from the line of Achal Kumar with HSBC. Please go ahead.
Achal Kumar: Perfect. I just had one quick question. So on the loyalty member side, of course, while the members ar e growing, just wanted to understand, do you have some kind of analysis or have you looked at how many repeat customers are you getting? And similar to what big airlines track or whatever it is that my 40% customer stay 10 nights or whatever.
So have you done some kind of analysis or some kind of spending on your know your customer basis where you can say that so the repeat customers are increasing and the number of clients they take are also increasing ? So I just want to understand any trends, a ny color on that, please?
Puneet Chhatwal: Nothing at the moment, that we have analyzed. I think we will start sharing this as of next quarter. All we can say broader trend at a large amount of success is also coming from depending on which brand. Like for Ginger, the loyalty is very important. There's a lot of repeat business and almost 40% of the enterprise level revenue of Ginger is loyalty led. So that is an extremely positive sign.
When you talk about palaces, I mean it's not really those who go and s tay in a palace in Jodhpur or Udaipur or Jaipur, they are not going there because they're getting loyalty points. If you have to stay in Ram Bagh , you stay in Ram Bagh . You stay in Lake Palace, you stay in Lake Palace. If over and above, you get some loyal ty points, it's fine, but that's not how they're going to decide the next stay because the entry point is so high.

Then when it comes to other brands, I think the good news is, it took us since the launch of Taj Inner Circle, which we had. It took us almo st 20 years to -- or 17 years to get to 2 million. And since we joined with Tata Neu, it has taken us less than 4 years to have a 4x increase in that base. And within that, also the active loyalty users, where your absolute repeat has increased by the same pace. That has increased even 5x as Mr. Dalwani mentioned.
So that part is very positive, and we are very happy with Tata Neu because this kind of know -how of digital and the kind of investment needed, we could get being a founding member of that, it wou ld have been very difficult for us to do all this on our own.
Achal Kumar: Actually, that's what -- that's what my objective was to understand that because I think these days, a lot of hotels and airlines, I think they believe that know your customer is ve ry important and that helps them a lot in the repeat business. And then secondly, of course, we had a -- people are taking a lot of short breaks as soon as you have a long weekend.
And so we are taking repeat holidays. So it was not probably was not -- it was not like whether I'm staying at Taj Palace or what, but whether I'm getting a repeat customer, whether coming people are coming again and again. I mean -- so that's what I wanted to understand how that will be...
Puneet Chhatwal: You're right, Achal, people are coming again and again, it's becoming a very strong leverage for us. And we have 8 million, we expect to get to very quickly to 10 million once we have that it becomes the largest program. It's a very strong program on the domestic front. I doub t if anyone would come close to that. So let's see. Let's see how all this evolves. It looks very, very good and very positive at the moment.
Well, thank you, everyone, for joining the call. Thank you for your questions. We look forward to further interac tions with you both offline or through other investor phones. And we look forward to

the next investor call, which we will have in the month of May this year. Thank you very much. Have a wonderful evening and a wonderful weekend.
Moderator: On behalf of Th e Indian Hotels Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2025

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SE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza
1st Floor, New Trading Ring, Bandra Kurla Complex
Rotunda Building, P. J. Towers, Bandra (E)
Dalal Street, Fort, Mumbai 400 051
Mumbai – 400 001. Scrip Code: INDHOTEL
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b: Transcript of the IHCL Earnings Call for the quarter and year ended March 31, 2025
D
ear Sir,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the IHCL Earnings Call for the
quarter and year ended March 31, 202 5 held on May 5, 202 5.
The above information is also available on the website of the Company at:
https://investor.ihcltata.com/files/IHCL_Analyst_Earnings_Call_Transcript -Q4_FY_2024 -25.pdf
You are requested to kindly take the same on record.
Y
ours sincerely,
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EEJAL DESAI (F3320)
Executive Vice President
Corporate Affairs & Company Secretary (Group)
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he Indian Hotels Company Limited Q4 2025
Earnings Call ”
May 5, 2025
MANAGEMENT : M R. PUNEET CHHATWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , THE INDIAN HOTELS
COMPANY LIMITED
MR. ANKUR DALWANI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER , THE INDIAN HOTELS
COMPANY LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the Indian Hotels Company Limited Earnings
Conference Call for the Quarter and Year ended 31st March 2025.
On the call, we have with us Mr. Puneet Chhatwal – Managing Director and CEO, IHCL; and
Mr. Ankur Dalwani – EVP and CFO, IHCL.
As a reminder, all participant lines will be in the listen -only mode, and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “ *” then “0” on your touch tone
phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Puneet Chhatwal. Thank you, and over to you, Mr.
Chhatwal.
Puneet Chhatwal: Good evening, everyone, and thank you for joining our global conference call for Q4 and FY '24-'25.
We are pleased to inform you that we have continued our record performance for the 12th
consecutive quarter , on the back of continued growth momentum and key strategic initiatives
yielding positive results.
I would now like to outline the 10 key highlights of '24 -'25:
1. Strong Industry Fundamentals :
■ Driven by strong domestic demand, limited supply addition and favorable
demographics, the hospitality sector continues to be in an up cycle. In FY '24-'25,
demand represented by room nights sold grew 6% as against supply of room nights
available, growing only under 3% versus last year for industry .
■ Strong domestic business travel demand, coupled with mega events like Mahakumbh, International music concerts like Coldplay, and a strong wedding season were the key

demand drivers this year. This trend, ladies and gentlemen, is expected to sustain in
the mid - to long term, with India's continuing to be the fastest -growing large economy
and the rise in disposable incomes , with the a ddition of new tourist destinations and
evolving traveler behaviors.
2. Strong Financial Performance:
■ On a consolidated basis, IHCL delivered record performance in FY '25 with 23% revenue growth and 140 basis points margin expansion over the previous
financial year, despite consolidating TajSATS as a subsidiary. I repeat, despite
consolidating TajSATS as a subsidiary, which has relatively lower margins than
the hotel segment.
■ Our consolidated revenue stood at INR 8,565 crores, and our EBITDA margin
expanded to 35% in FY '25. Our reported profit after tax stood at INR 1,908

crores. This number, however, includes an exceptional gain of INR 305 crores.
Excluding the same, the normalized PAT has grown by 27% to INR 1,603 crores.
■ We promised and gave a guidance of double -digit revenue growth at the
beginning of the year, and we are happy to share that we comfortably achieve the
same , despite Q1 being a muted quarter as we will all recall due to excessive heat
and the code of conduct. IHCL's hotel segment showcased 13% revenue growth
and EBITDA margin expansion of 220 basis points to 35.9% in FY '25.
■ During Q4, the hotel segment continued its strong performance , with revenue
growing by 13% to INR 2,206 crores and margin expanding to 38.5% by 230 basis points.
■ Our standalone performance in FY '25 was also the best ever with 12% growth
in revenue to INR 5,145 crores and EBITDA margin expansion by 260 basis
points to 43.9%. Standalone PAT grew 29% to INR 1,413 crores, taking PAT margin to 27.5%.
3. Double -Digit RevPAR Growth :
■ As we all know RevPAR is one of the key metrics for our sector, and IHCL
delivered 16% consolidated RevPAR growth in Q4 and 12% for the full year on
a domestic like -for-like basis on the back of demand continuing to outpace supply
and our asset management initiatives. This strong performance helped IHCL command a RevPAR premium of 73% at the enterprise level for the year over t

he
Indian industry, thus maintaining the premium positioning in each of the
segments we operate in.
■ Our international consolidated portfolio reported double -digit revenue growth ,
driven by strong performance at the peer in New York . The U.S. subsidiary
turned EBITDA positive on the back of strong management interventions over
the last 18 months.
4. Our expansion momentum continues :
■ We have set a new growth benchmark with 74 signings and 26 openings in FY
'24-'25, taking our portfolio t o 381 hotels with 247 hotels operational as on date.
Over 95%, I repeat, 95% of these signings are capital light, resulting in an
industry -leading pipeline of 134 hotels as on date. This was enabled by IHCL's
strong brand presence across market segments co upled with sustained demand
buoyancy.
■ In alignment with our strategic roadmap, Accelerate 2030, a significant share of
the signings was in Gateway and Ginger brands like we had guided, and also
reflective of the fast growing upscale and mid -scale segments in India. This year,
we continue to build scale in each of the brands with Ginger crossing a 100- hotel
portfolio and Vivanta reaching t he 50 -plus hotel mark. That is due to our focus
in building critical mass in each of our brands that we have either reimagined or launched new.
5. Capital -light growth, a key ROCE driver:

■ On the back of our capital -light growth strategy, our management fees in FY '25
was INR 562 crores, an increase of 20% over the same period last year. This was
driven by 11% net unit growth in managed hotel rooms, an increase in RevPAR,
technical fees and new fee streams such as brand fee.
6. New businesses delivering consisten t growth of 40% :
■ Our new business is vertical comprising Ginger, Qmin, Ama Stays & Trails and
now Tree of Life delivered a 40% growth in FY '25, resulting in a consolidated

revenue of INR 602 crores. New business continues to be margin accretive with a con solidated margin of 37% as against the overall consolidated margin of 35% for the company.
■ Qminized Ginger or as we call it, the Qminization of Ginger continues to be the mainstream of the new business, contributing about 95% of the new business revenue. I n the first full year of operations, the flagship Ginger Hotel at Mumbai Airport closed the year with a revenue of INR 97 crores and is expected to comfortably cross the milestone of INR 100-plus crores in this financial year.
■ Qmin on the other hand, has e xpanded to 72 outlets and in addition to service as the F&B brand for Ginger Hotels, has also established a presence in Westside stores in Mumbai and Bengaluru through a shop-in -shop format. Furthermore, Qmin has launched operations at Chennai, Kolkata and Bengaluru Airports in partnership with TFS. Ama Stays & Trails reached a milestone of 300 -plus Bungalows in portfolio with a second consecutive year of 100- plus villas signed during the year.
7. Our Continuous Focus on Asset Management and Investing for the Future :
■ We remain committed to investing in our assets and building our capabilities for the future, thus strengthening our competitive advantages. IHCL in FY '24-'25 spent over INR 1,000 crores towards CAPEX , out of which half was used for renovations, routine maintenance and very importantly, digital initiatives, while the rest half was used towards greenfield projects.
8. Tata Neu :
■ Our Tata Neu loyalty program achieved a milestone of 10 million members with points earning contribution, which is members book ing through direct channels,
rising by 43% year -on-year to INR 2,200 -plus crores. The unwavering loyalty of our customers is visible in our increasing enterprise NPS scores, which stood at 74 for '24-'25, up from 73 last year.
9. Paathya:
■ Under our ESG Under our ESG plus framework, Paathya, we marked a significant milestone in FY '24 -'25 with 51 hotel

s drawing power from clean energy sources, including 13 operating on 100% renewable energy, through a mix of on-site installations, off -site sourcing and s trategic power purchase agreements. IHCL standalone, which represents two -third of hotel consolidated revenue now uses 54% energy from renewable sources.

■ Continuing our journey of eliminating single -use plastic, IHCL has installed 64 bottling plants and ac hieved 50% recycling of water used.
10. Outlook:
■ We come to the outlook, which we feel is robust for FY '26 and beyond, and we remain confident of delivering double -digit revenue growth. With strong domestic demand, significant potential in foreign arrivals or a recovery from a pre-COVID phase of foreign arrivals and over 70-plus auspicious wedding dates, spread evenly throughout the year, we remain confident of delivering double - digit revenue growth in FY '25-'26.
■ We have begun the new financial year on a stro ng note with April 2025, consolidated revenue growing by approximately 17% over April 2024, and strong business on books for Q1. IHCL has liquidity of INR 3,000 crores, which will not only help us tackle headwinds, if any, I repeat tackle wins any kind of headwinds, if any, but will also give us an advantage for any consolidation opportunities that may arise in due course.
In summary :
We expect to deliver strong growth with sustained margins and continued portfolio growth, with a target of opening 30- plus h otels in FY '26, 3 of which will be on our balance sheet, we are well on track to achieve our committed guidance of double -digit growth. Our focus also remains on scaling our new businesses, evolving our brandscape and strengthening our competitive advantage with prudent capital allocation and strategic opportunities.
Reflective of the company's sustained financial performance, a dividend of ~ 20% of consolidated PAT amounting to INR 2.25 per share is proposed, subject to shareholders' approval.
Finally, tha nk you so much for your attention, and we will now open the floor for questions.
Moderator: Thank you very much, sir . We will now begin with the question-and -answer session. The first question is from the line of Karan Khanna from AMBIT Capital. Please go ahead.
Karan Khanna: Good evening, everyone, and thank you for taking my question. And c ongratulations to the team on a great ending to an exceptional year , and also for the growth sustaining in the current quarter

as well.
My first question is regarding greenfield hotel openings. Puneet and Ankur, you have in the past
spoken about how current economic rates are still not viable for greenfield asset development.
But if I look at recent industry reports, more than 50% of hotel signings in CY '24 were in the form of greenfields. How much headroom do you think still exists before we start seeing a lot

more conversions in the form of greenfield additions? Or rather at what rates do you think these
projects should start looking more viable?
Ankur Dalw ani: Yes. Hi, Karan, thanks for the question. W hat we have referred in the past is actually with
reference to buying out land from scratch , and actually taking approvals and going through the
whole process of setting up a greenfield. This is like a pure gr eenfield asset, which we had talked
about that in the Capital Market Day, we had said that at that time, the rates will give you an
attractive IRR.
To that extent, our thesis has not changed, because if you see whatever has been announced is
either a combination of assets where, for example, in our case, the land is coming to us in the
form of lease at attractive rates, making the proposition viable or if it is an existing parcel of
land, which is being put to use like we did in t he case of Ginger Mumbai Airport.
So, if you step back and lo

ok at the larger picture, even if you look at the first quarter for this
financial year, it is looking strong, both as far as ARRs and RevPARs are concerned, it's a good beginning. Of course, we have the benefit of a low base of last year. So as such, there doesn't
seem to be any direction to say that ARRs have peaked. T here's a good momentum which shows
up on the portfolio.
Puneet Chhatwal: I would just like to add, see, there is no 1 size fits all. The greenfield opportunities in Tier -2,
Tier-3 cities or new markets are quite interesting. For example, we are going to open this year
greenfield in Ekta Nagar Vivanta and a Ginger, both together. Now that opportunity is very interesting because of s o many visitors going to Statute of Unity every day, but also how that
Ekta Nagar is going to evolve based on the entire infrastructure development program that the government has put in place and the importance that the government has given there.
From our point of view that land came at a very compelling proposition and to build straightforward greenfield assets was at a very reasonable cost. So we expect very quick payback
of projects like this, which will definitely not exceed 7 years. If we are lucky, it could be in 4 to
5 years' time. And such projects, we will always pursue in the ethos of Tata Group in terms of
both nation building, but they are also very important in deploying our own capital and we will
keep increasing our return on capital employe d.
Karan Khanna: This is helpful. Thanks. My second question, in Slide # 26 of the investor presentation, we can
see that the share of bookings from your own website has increased by 100 bps to 15% in FY
'25. Could you highlight the savings that accrue to you from change in this mix? And what aspiration or plans that you have to increase this share going ahead? And if you can also qua ntify
what cost efficiencies do you expect accruing because of that?

Puneet Chhatwal: This number is a little subdued for last year. This number will go up because we have only
relaunched the new website of the Taj brand. And we have also done that with Am a. But almost
every 6 weeks, we will have best -in-class websites getting launched.
And we hope to get more and more traffic with the combination of the new digital initiatives as
well as Tata Neu initiatives to get more traffic through our website , and each percentage increase
or each room night that we don't have it going through there saves us anything around INR 1,000
to INR 1,500 based on the total mix. But as the growth is coming more in the upscale and mid-
scale brands, so you can safely assume around INR 700, INR 800 per booking that is channeled
directly through our website.
Ankur Dalwani: Yes.
Karan Khanna: And then lastly, on Taj Bandstand, if you can update how the construction is expected to progress
in FY '26? And as a follow -up, have you elaborated on the structure for this asset? Will it be
entirely on IHCL balance sheet? Or will you be looking to nurturing some of your existing
partnerships such as with GIC or with an external partner for this asset?
Ankur Dalwani: So the second part is easier to take. Right now, it is being planned to take this in our subsidiary
company. So not on standalone, but on a consol basis, it will be 100% owned. As of now, that's
the plan. The GIC partnership, as you know, is a partnership which actually has got over , but we
continue to be in dialogue with them if there is anything interesting which we can do together.
But for now, the plan is to do it on our balance sheet. One positive development, which is actually

likely to come up is that spur to Taj Bandstand and Lands ' End, the road from going to the ceiling is likely to get approved, which will actually get the connectivity to these hotels much, much superior than what it is today. And that's obviously something which we ar

e also tracking closely.
In terms of ap provals, we have made good progress. In the next few weeks, we expect to hear some good news in terms of the CRZ approval, which is the next milestone as far as this asset is concerned. And once that is in place, then it's then awaiting 1 final note on the height , because we already have a height approval till 145 meters, and we have now applied to take it to 165. Once that comes through, we are in a position to start construction. So somewhere latter part of this year, construction can actually start towar ds the end of the year.
Karan Khanna: Great this is helpful, I will come back…
Puneet Chhatwal: Also for a nyone else who might want to ask the same question. When we discussed this 2, 3 years ago, we said we don't have to build it on our own. With the cash that we have generated and the reserves that we have, and the expected cash that we will have, it does no t make sense to partner, but that's a very luxury position to have.

If need be, we can partner both from within Tata Group or outside Tata Group like with the GIC or anybody else or with another developer or with Tata Projects. Everything, we have all the options in our hand. But as things stand today, given the change in our position from being net debt free and generating so much cash, it makes absolute sense today to do this on our own.
Ankur Dalwani: We may derisk the project, like Mr. Chhatwal is sayi ng, we may derisk it by getting a turnkey contractor. But as far as ownership goes, it probably makes sense to at least start having it under our belt, and then we'll see how it goes.
Moderator: Thank you, sir. We'll take the next question from the line of Binay from Morgan Stanley. Please go ahead.
Binay Singh: Hi team. Congratulations on another very strong quarter. My first question is, how should we think about CAPEX next year? And what are the key areas that you would be spending it on?
Ankur Dalwani: So we have guided in the press release that firstly, in the context of the CAPEX , this year, we have spent close to about INR 1,100 crores. This is on a consolidated basis, INR 1,074 crores number, which is evenly split between greenfield and renovation and routine and digital. The greenfield also include, by the way, the money we put out for securing the FSI for Bandstand.
So that was a large portion of that CAPEX . We have in this current year, we have a few projects which are going to get to completion, E kta Nagar the 2 projects.
We also have Banaras adding brownfield expansion of 100 keys , that will also get done this year, which is being done through our subsidiary. And a few other smaller projects, which includes small in terms of outlay are also going to incur CAPEX this year. So overall, we have guided towards INR 1,200 crores plus CAPEX for the year, and we feel comfortable about that.
Given that we are also wanting to scale up assets on the balance sheet as quickly as possible. Of course, there's a physical constraint on how much we can build. And so out of the INR 1,200-odd crores, we would think almost there's also large renovations planned in some of our assets, including Taj Palace in Delhi, Fort Aguada in Goa, St. James in U.K., Taj Kolkata, so Taj Bengal.
So essentially, if you put all together, we would think about 60%, 65% of the CAPEX would get spent on renovations and digital investments , and the rest would really be going towards greenfield assets. Of course, this number will evolve, becau se it's also a function of approvals, particularly on the greenfield side.
Binay Singh: Right. And the second question is the April number that you shared about 17% growth, c ould you remind us how much of it is due to base? Because I remember May was very weak last year. So was April also very weak last year that you're seeing the 17% on that? If any breakup you

could give on what would be like a normalized run rate? And what is it because the base is very low or any thoughts around that?
Puneet Chhatwal: Binay, since the last several years we speak, we keep talking about this base and growth. It's just the demand is outpacing supply. There are more wedding dates. So April, May will be good. Of course, the base, if we look at Q1 was last year, exceptionally the weakest quarter. So the way to look at it this year would be Q1 plus Q2 combined. The same thing, as we said last year, please look at Q2 and Q1 together. So because we had a low base in Q1, the sector should definitely do a minimum of double -digit gro wth.

The question is at what level, 12%, 14%, 15%, 17%, 19%. As things stand today, year -to-date, which means 4 days of May , and 30 days of April, we are definitely at 17% plus, but that's a very high number. So if it stays like this, we are very happy. B ut things don't stay like that always, as you know. So anything which is north of 13%, 14% is a very healthy number because of the business on the books.

And in the current environment, a lot of people are not planning that far to book. So given what happe ned in the north. So there will be a bit of this, which will create a pent -up demand again for Q2 if there were some misses in Q1. But the way it has started, any of that possible miss would be more than compensated with the performance that we have seen o r we'll see in the first 40, 45 days of this financial year.

Binay Singh: Great team. That is helpful.

Ankur Dalwani: Also to add, the growth on last year, April was not that subdued. Really the quarter became subdued as we got into May and June. It wasn't as good as this April, but was a reasonably high single digit or early double -digit number, if I recall correctly.

Binay Singh: And just squeezing 1 more question on the foreign tourist arrival. Pre -pandemic, this used to be always trending up, was a good profit margin business also. I do understand in the near term, we have a little bit of border uncertainty, so it could impact tourists adversely. But is there anything that the industry or the government is doing collectively to take this number muc h higher? In fact, the slide that you talk about , the FTAs in India are lower than some of the standalone cities globally. So anything that you see in the longer run that the government and the industry is collectively doing to really push this number up?

Puneet Chhatwal: There are 2 ways to look at this, Binay. Technically now in the last few months, the number of arrivals has gone up. But just the terminology, FTA is not appropriate. So that's why when I was giving my 10 points, I called it foreign arriva ls and I missed that T, I took out that T. Because as India gains more and more relevance and importance as being the fifth largest economy and progressing towards third largest, there's more and more business interest that is getting generated from outsid e of India.

And more and more people after G20 are still traveling. It's not that G20 happened once and nobody came back. So people are coming. And the foreign companies that had business established, and I give you an example of Siemens or Bosch or whatever these are German groups or Bayer, they're all growing in size and more and more of their people from their corporate offices from Germany are coming in.

So this is a trend you will see in auto sector, you will see that in the Global capability cen ters that are being built. So that's one way to look at it that that part is happening. But when it comes to the tourism part, we have not seen us going back to what it used to be pre -COVID.

What we have done is we committed to Indian Association of Tour operators at their annual business conference last year, and we have put in as Indian

hotels, committed INR 25 crores to be spent over 3 years in helping promote India outside. We have done that at the WTM in London, most recently last week at the ATM in D ubai, and in March at the ITB in Berlin by hosting the India Day. We'll keep doing these activities.

We have made also for travel agents many other terms favorable by changing their cancellation policy , by including breakfast in the rate component , etc. So that our own community is a bit more incentivized to bring in the business. And because we are doing it, I am sure others will also follow.

At the same time, through the various other organizations like CII or HAI or FHRAI or which is the Apex body and individual associations, everybody is doing their bit to lobby with the government to get some international marketing budget , so that we can promote this wonderful culturally diverse destination to build on the soft power of brand India.

Moderator: We take the next question from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Hi sir. So I have seen Taj sets margin in this quarter is lower. So what is the key reason for that?

Ankur Dalwani: So Sumant, we put a note also explaining that basically the new contract we have signed in some of the facilities, the way they are accounting for levy change as per the new contract. Earlier it was not a P&L item. Now the levy flows through the revenue and also through the cost.

Essentially, that impacts the margin per se, because firstly, it increases your revenue without changing your EBITDA.

Also in some of the facilities, there is a levy on levy. Essentially, if it's a part of your revenue, you have to pay levy on that as well. So both of these factors actually have impacted the margin.

And if it was not for that, for example, this quarter, the margin would have been actually lower by only 0.5%. That also is explained because there were some one -offs in their P&L last year.

And if you were to knock off that one -off, which we haven't talked about it here, but it would actually be a positive quarter for them.

Overall, if you look at how we are looking at their numbers, the next year, FY '26, we expect because of this, there could be a 1% impac t on the margin, but this will also help in growth in the revenues because this levy now gets added to the revenue itself. So if they were doing 13%, 14%, they could do an additional 3% to 5% because of the levy now going through the P&L.
Sumant Kumar: So considering current scenario in international market, do you think the U.S. and U.K. business is likely to see a challenging year for these 2 subsidiaries, FY '26?
Puneet Chhatwal: No. On the contrary, see we have only 2 properties in U.S. San Francisco we nt through 2 very bad financial or 2, 2.5 very bad years. But since January, San Francisco is slowly coming back as it used to be. And on the occupancy, it has reached the level where it was. And on the rates, it's increasing by leaps and bounds.
And we d o believe that San Francisco will be a big positive surprise this year. The April was extraordinarily good for San Francisco, but that changes in that city based on the big events that they get.
In New York, our size of the hotels is not that big. These 2 hotels put together are like close to 300 rooms. But our efforts in New York, as I said, are beginning to pay off. And for the first time, P&L was EBITDA positive, and we think this journey will continue in a positive way also this year.
Sumant Kumar: Okay. So sir, in April month, you were talking about 17% growth?
Puneet Chhatwal: Yes.
Sumant Kumar: And which city has driven the growth?
Ankur Dalwani: It's actually across the board.
Puneet Chhatwal: It's across the board.
Ankur Dalwani: Domestic and in ternational. Actually, even international has done well, mid - to high teens acro

ss
the board. So I don't think it's a specific city which has given the growth. T he big cities, the metro cities continue to fire, which was expected , which is Bombay, Delhi, B angalore and even markets like Hyderabad, Rajasthan have done quite well.
Puneet Chhatwal: And the first 4 days of May have also been very good because the commercial capital, Mumbai had the WAVES event , and Delhi had some heads of states visit. And fortunately, for us, one of them we hosted.
Sumant Kumar : And majorly ARR driven?

Puneet Chhatwal: Very strong ARR driven.
Sumant Kumar: Okay. Thank you so much.
Moderator: Thank you. We'll take the next question from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Yes. Good evening, sir. Congrats on great results. My first question is on city -wise RevPAR growth, like we have stopped giving that data, but like in terms of tourist cities versus business cities. So overall, 16% RevPAR gr owth in the quarter, like how does it show up in different cities?
Puneet Chhatwal: Prateek, most of the cities are very strong. The only place which is a little bit under pressure or flat is Goa. But it's still having the highest rates or the highest RevP AR in the country, so at least for us. And if I was to take the growth in Q4 in Mumbai was 14% ; Delhi , NCR was 27% ; Bengaluru was 28% ; Chennai was 12% ; Rajasthan was also 12% ; Hyderabad, 14% ; Kolkata 26%; and also Kerala 16%.
It also depends what is the base you are coming from. So in Goa, the base was 18,000 for us. Now Rajasthan was 23,800. Hyderabad was also 19, 800. But Delhi was only 11,598, and it went to 14,700. So that's how we would like to look , because Goa during COVI D and post -COVID was still at a very high level.
And we are very pleased with the performance of all these Mumbai, Delhi, Bengaluru, all these places, we have very strong presence. The only city that we miss for us , with strong company - owned presence is P une, which is also doing strong. It is growing very strong, the Pune market.
Prateek Kumar: You also highlighted on like people or travelers are generally a bit cautious on booking in near term, immediate term. But how is this general to understand, how is this mix evolved from pre - COVID, like people wanting to book in 1 month or 3 months or 6 months in terms of industry tender yourself?
Puneet Chhatwal: Nothing the visibility. The booking window is becoming shorter and shorter. More and more people that tr avel don't make all these plans so much in advance, except for the usual. W hen you have school holidays and you have the summer vacation, the Christmas, if you take that out, the rest of the extended

weekends, et cetera, are just planned maybe sometimes ev en 24 hours in advance or 12 hours in advance, versus what we have highlighted since last 10 quarters that when people had to drive themselves during COVID, they got used to a different holiday with the family. And many of them never went back to the old w ay of using other mediums or other help to drive, they would just get into the car and drive themselves, and that is a lot. So the booking window, except for the main holiday season is becoming shorter and shorter.

Prateek Kumar: And one last question on demand trend again. Like regarding this global tariff or is there something which you envisage on, again, foreign tourist or overall business sentiment...

Puneet Chhatwal: Fortunately, nothing comes to my mind on how this sector could be impacted with tarif f. At the moment, I don't know what 1 could do is increase what GST . That they cannot, that influence cannot come from overseas.

Ankur Dalwani: Also...

Prateek Kumar: No, I meant from business sentiment...

Ankur Dalwani: Yes. In fact, the business sentiment, it could help India b

ecause it's one of the beneficiary of the tariff regime is that India has got relatively lower tariff than neighbors . And if those continue to hold, you could see more visits coming into India for doing more and more of outsourcing from here. So that's, in a way, not a negative, but definitely could be a positive also.

Puneet Chhatwal: Actually, to the other question, was Binay put in or it could be a great opportunity to channel some of the busine ss from Europe instead of going to U.S. to get them to India. The flying time is not any different. It's the same.

Prateek Kumar: Sure sir. I will come back to the queue. Thank you.

Moderator: Thank you. The next question is from the line of Sameet Sinha f rom Macquarie. Please go ahead.

Sameet Sinha : Yes. Thank you very much. A couple of questions here. First was in one of your slides where you show demand supply by city, it showed Delhi going into negative. Now did that happen at the beginning of the year? Or is that something a new development?

Puneet Chhatwal: Delhi going into negative supply.

Sameet Sinha: Supply.

Ankur Dalwani: Yes, this is more statistical. T his is STR data. So we have checked it with them, but it's not necessarily representative of the trend. Essentially, this is probably what has happened. And if you see the supply going negative, some hotels were not available. Effectively, the room nights available have gone down st atistically. But in general, if you see across the board, supply is growing in the region of 2.5%, 3%. T hat's what the trend we picked up. Some of this, I would not really read too much into the minus 1.2% number here, but that's more of a statistical number. Overall, the supply is in that zone which we mentioned earlier.

Sameet Sinha: Got it. Okay. Thank you. The second is if you look at the interplay between ARR and occupancy, can you talk about what the incremental margins are on both these drivers, ARR and occupancy?

Puneet Chhatwal: See, if the business comes through rate increase, the flow -through is very high. It could be 80%, 90% or even 100%, depends on what rates we are talking about. And occupancy driven, you'll still have the operating cost per r oom. So finding the right balance and the right mix is a good way forward.

We see that the willingness of the people to pay for premiumization in India has significantly increased in the last 2, 3 years. Previously, we spoke about a few hundred thousand pe ople today, you can easily say more than 1 million people in India are willing to pay for quality, are willing to pay for experiences and are willing to take more holidays or spend on discretionary expenses like hotels and restaurants.

As an example, it wa s unthinkable that you could have smaller restaurants. It happened in the West, but not in India so much with 10, 12 seaters sold out for 3 months before you get a table or a booking. And that, too, it's not sure because if you are not exactly filling up t he restaurant, maybe it's difficult and the kind of spend that you have in one evening out there in such places. So these are new trends that are emerging and something we, as a sector should also observe closely to see if that's what some of our places sh ould look like in our hotels in light of our asset management initiatives.

Sameet Sinha : Got it. That makes sense. A final question. If you look at your Slide # #38, where you talk about the opening schedule of the signed pipeline, have you adjusted that number downwards , you said it had gone down by like 10% or so for '26 and '27?

Puneet Chhatwal: Downward...

Ankur Dalwani: We give guidance on pipeline every quarter. And like we say , also as I put a disclaimer at the bottom saying because a lot of this is a function of approvals, et cetera, for the hotels to come up. So when we give guidance for what will open in '26 and '27, for exampl

e, on this page, it is the best available estimate we have as on date, which basically factors in what we know as to what is going to happen with the partners, particularly the managed hotels and also our own hotels.
And this, in a way, talks about the basic concept of demand-supply being in deficit , because it's very hard to put a time line on saying when will this new supply come in. And in a way, this does get updated every quarter.
Puneet Chhatwal: You have a point. Actually, we will do a better job next time on this. This is not right representation the way you have asked the question. So see, this, for example, does not i nclude anything which is a conversion. A conversion may come in, in June and may go online like we have now 2 properties which we have opened in Bangaram, totaling 112 rooms. They never hit the pipeline. They come in and then they are straight away going t o open. So like we had the Claridges.

Claridges, we signed, we announced and 4 weeks later, we opened. So a lot of this pipeline because of governance reasons, we give exactly what is there, which is signed, sealed, legally valid in doing these projection s, but this number does not include the possible delays where a project may get stuck, but also does not include many conversions like a Tree of Life, existing portfolio that came to us. It was not a lot of rooms, but it came and we took it over.
Similarly , there may be other consolidation mergers, acquisition opportunities. We can't list them here because they may not even be in negotiations. There may be no negotiations at this point of time. So we have to extrapolate based on what we know and what all co uld happen, including based on our past experience of how many conversions that you get to the right number.
Sameet Sinha: Got it. If I can just sneak in one more. Previously, you used to give the pipeline number beyond '27 as well, but it's not there. So how should we put that in our model?
Ankur Dalwani: The total pipeline is there, which is the total signed pipeline. And effectively, if you see, we have got roughly about 3,000 to 3,500 keys opening in the next 2 years, if you look at the numbers which we have put out, not factoring any potential conversions, which might happen. So essentially, between the 15,000 would get absorbed by FY '30 or FY '31 kind of a number, right, if you think about it.
Sameet Sinha: Got it. Okay. Thank you very much.
Moderator: Thank you. The next question is from the line of Ac hal Kumar from HSBC. Please go ahead.
Achal Kumar : Hi. Thanks for taking my question. So my first question was about your FY '30 target, which you gave when you're expecting revenue to double by FY '30. So on that, I just want to understand how much of t he growth you think will come from the room addition and how much from the other KPIs, other sectors, including RevPAR and all? And do you think most of the growth will be the front loaded? You already reported 23% growth in revenue this year, while the ov erall growth is like 11.5% CAGR. So do you think most of the growth will be front -loaded?
Puneet Chhatwal: Achal, are you asking us to increase the guidance across the revenue. I remember your question from Capital Market Day. See that we will be doing wha t is to be done. But your question in so far is interesting. And double -digit growth, let's say, 10% per annum for the next 4, 5 years could be the CAGR that will come. In 1 year, it might be 14% , another year might be 8% to then it's 12% and then it's 11%. These things happen in the marketplace, right? But it will remain strong. Why it will remain strong is it's also coming in new markets, which has limited supply or will not get so many additions to supply. If you looked at our presentation, we have also doubled the number of places we are present in terms of our footprint. Now that's one.

The second will come through what we said our asset management initiatives. Third comes through new hotels. So that is how we keep achieving that high number , despite our base being so high. Look at our base in Jai Mahal Palace or in Falaknuma, it's a very high base.
And on that high base to say that we'll keep having that growth in perpetuity, that means a lot of things in India and in the world have to keep working very positively. But what makes us so confident of achieving that number is our very strong , not like -for-like growth , with 130- plus hotels in pipeline, what we know today and more will keep getting added, so that we are very well-positioned to achieve the guidance that we have given. And in that guidance, Achal, if you remember, we always say we promise, we deliver. And ideally, we keep delivering a little bit more than what we have promised.

Achal Kumar : Agree on that. A gree on that part. My second question was about the rising competition.
Obviously, in any industry, if the demand is strong and capacity is tight, new players join in.
And recently, IndiGo announced to open additional 30,000 rooms by 2030, along with Accor.
On the other side, if you see the GIC is taking a bit active part, they bought 35% stake in Samhi
in 5 hotels, and they are spending almost INR 1,000 crores there. So how do you see the
competition rising? D o you think the industry is still expecting this demand versus supply growth
or the gap between demand and supply to continue for 4, 5 years? Or do you think things could
change? So how do you see the industry structure actually?
Puneet Chhatwal: See, as India gains in importance as a strong economy, more and more brands and organizations
would want to have presence in India and a strong presence. And all companies, as far as I can
see, have made big plans.
The benefit we have is we embarked on this journey some time ago. And jus t given our signings
of 74 contracts last year has given us a very big boost and an edge. And given that we are today
net debt free, having a gross cash of INR 3,000 crores and generating cash as we speak, positions
us very well to take advantage of any ot her inorganic opportunities that might come.
Now what others are doing that is their entitlement to do, but I can only say that we, as
management, this is what our thinking has been. And also very important that we are not in the
business of counting rooms only. So we have certain legacy.
We have certain commitment through our businesses to the nation, and we will keep doing what
we think is right and not follow blindly some other thing, although the consequence of all our growth is also that it is increas
ing our footprint and number of rooms, number of hotels, but that
is not our sole objective. We are going to go for profitable and sustainable value creation.
Achal Kumar : Right. Fair enough. And then my last question was about the cost efficiency. Obvious ly, you
keep rising, your room inventory keep rising , and then definitely, you'll have cost efficiency

playing around. So going back to one of the previous questions around the cost efficiency , so
how do you see the cost efficiency could play? According to your plan, do you think 1%, do you
think 0.5%, do you think 2%, the cost efficiency could continue to play? And when we talk about
the cost efficiency, especially particular this quarter, Q2, going in Q1, with lower oil price, what
kind of tailwinds you e xpect to your EBITDA margin in the next quarter?
Ankur Dalwani: Yes, Achal. Hi. So without getting specifics on margin for the quarter, if you go back to the
quarterly history of FY '25, you will see that even in quarter 1, which was the lowest quarter for
us in terms of revenue growth, we managed to tweak out efficiencies and get our EBITDA
actually growing

at close to 10%, 11% versus the revenue growth of 6%. So the endeavor here
is to keep a check on costs.
There are puts and takes on the cost side as we have expressed in the past, as we enhance our
brandscape. There will obviously be some investment we have to put back on promoting the
brands. And also as we move towards a more digital investments, which we keep doing to
enhance our competitiveness , a lot of that cost now goes through the P&L , just because the
nature of the investm ent has not changed from CAPEX to OPEX .
So there are things which take away from margin, but also create long -term value. Also, the ones
which will aid to the margin today is really the leverage we continue to get , given that a lot of
the growth is coming through ARR expansion, and that helps us in passing through any normal
inflation.
In any up cycle, we have seen that our ability to pass for the sector to pass on inflation and maybe
comfortably pass on inflation, maybe 1% to 2% over that continues to be there. But like I said,
every cycle is different. There will always be challenges, and there will always be puts and takes. So overall, we feel
comfortable about the direction we are on. And in terms of margin, there is
a positive bias, which we continue t o hold for this year as well.
Achal Kumar: Okay sir. Thank you. I will come back in the queue.
Moderator: Thank you. We'll take the next question from the line of Abhay Khaitan from Axis Capital.
Please go ahead.
Abhay Khaitan: Thank you for the opportunity. So my question is specifically on Ginger brand. So in the slides, we can see
that they have seen a RevPAR growth of 8% for FY '25. Now with new initiatives of
Ginger , and positioning it as a Lean Luxe model now, would it be f air to expect ARR growth
for this segment to be higher compared to other brands? Or do you think it is still some time
away?
Ankur Dalwani: So see, Ginger is actually very well positioned in the mid -scale segment. This is a segment which
is relatively more price sensitive as compared to, let's say, the luxury and the upscale segment.

And actually getting a 10% and an 8% growth rates on RevPAR is actually very commendable for this segment , because relatively, the growth rate in this segment is lower compared to the overall hotel segment industry, especially the luxury end of the market.
And also what will happen in case of Ginger is that there is a completion of the Lean Lux program, which will actually get done in this year, which means almost the entire inventory will be fully renovated in terms of getting it to a lean lux position, which will help us in pushing the ARRs through.
And this is actually a great segment or the brand is very well positioned to target not only consumers, but also corporate, wher e the price sensitivity is a little bit more, but there is a strong preference for them to come under the Ginger brand, because then they become part of the I HCL network , because it not only opens up them to stay in the Ginger Hotel, but next time the pers on could go and stay in a Vivanta or a Taj.
Abhay Khaitan: Got it, sir . Thanks for this. The second question is on Slide 26, you have mentioned the split of travelers , where you have mentioned 55% of demand is coming from transient. So can you please throw some light on how much of this transient would be business travelers and how much would it be leisure travelers?
Ankur Dalwani: Well, it's very hard to give that breakup. But generally, transient are people, basically where we have non- negotiated rates. T hese could be smaller corporates as well. But this would basically be people with whom we don't have a negotiated contract. T hat's how we measure that segment.
The pricing power is maximum in that segment. And therefore, we feel very comfortable with this 50%, 55% share which we have. This is something whic

h has actually been there for quite some time. It's not a new development. And this will largely be retail, but we don't really have a split about retail and corporate. We don't actually have that separately.
Moderator: The next question is from the line of Prashant Biyani from Elara Capital. Please go ahead.
Prashant Biyani : Thank you for the opportunity. Mr. Dalwani, how much of the 60%, 65% renovation cost of INR 1,200 crores can pass through P& L?
Ankur Dalwani: No, all that is renovation CAPEX . So it will all get capitalized. It will come to the P&L under the form of depreciation as and when it is completed. So obviously, first, it will get spent and then get capitalized.
Prashant Biyani : Then s ir, just a related question on margin. If most of the renovations is going through the balance sheet, then shouldn't a mid -single -digit or low double -digit ARR increase should lead us to a healthy 150 to 200 bps margin expansion?

Ankur Dalwani: Yes. Like I said, not getting into specific guidance on margin. But I've answered this question in the past. I will just repeat that there are puts and takes on the margin side. And then as the year has just started, we'll just see how the quarter goes, given that we are just seeing good momentum first quarter. We are hopeful that the positive momentum which we have seen in the fourth quarter continues.
As mentioned earlier in the call, I guess there is no pressure as such on rates, but obviously, one has to be watchful about the increasing competition , and keeping in mind if there's any impact of the global situation. As of now, for the month of April and early May, we haven't seen anything come through, but we are just watching that.
Moderator: Ladies and gentl emen, this will be the last question for today, which is from the line of Aliasgar Shakir from Motilal Oswal Mutual Fund. Please go ahead.
Aliasgar Shakir : Thanks for the opportunity, sir. You have partly answered my question. Question is on the ARR. You made a comment, sir, that Goa this year was slightly soft , because of the high base. So in that context, a couple of questions. One is, which are the regions or do you see many of the regions given that last 2 years have taken sharp ARRs would be sitting on high ARRs and probably that could have some factor , because of which our RevPAR could be at a peak level.
And the second thing is that you also mentioned that you are premiumizing a lot of your properties. So how much of this ARR could be because of upg rades and how much it could be entirely just price increases?
Ankur Dalwani: Well, on RevPARs across the cities, like was mentioned, even for this year, it's been a pretty secular growth across the cities, especially the big cities. Goa for us is on a cons ol basis is effectively very small number. So it doesn't impact the overall RevPAR numbers for us, which continues to be very healthy. If I look at the April RevPAR, it's a comfortable mid -teens a number.
So in general, in a portfolio which has close to 2 50 operating hotels, you will always have some city doing better and some city going a little weaker. So that's the way the diversification also helps us.
As far as your other point is concerned, which is how much is it on account of asset management, that's again difficult to answer. But one way to think about it is the RevPAR premium we enjoy in the market.

And if I look at the absolute RevPAR premium, which is very high, it's about 70%. So not saying
that a large portion is because of our asset managem ent, but it's a combination of a lot of things,
the asset management, also the location of the hotel, the brand name itself, the loyalty program
and the entire set of corporate advantages, which are out there, which actually attract people to

come to our h o

tels. So hard to split this into saying that this is pure industry versus pure our
competitive advantage. But all of this goes together to bring us to that kind of number.
Aliasgar Shakir : Got it, sir. This is very useful.
Puneet Chhatwal: With that last question, I would like to thank everyone who participated in the call today. Thank
you for your support. We look forward to interacting with you with the Q2 results. And any
offline questions anyone may have, please feel free to contact us or any member of our team.
Thank you, everyone, and have a wonderful evening.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of the Indian Hotels
Company Limited, that concludes this conference. We thank you for joining us, and you may
now disconnect your lines. Thank you.

Call: Aug 2025

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Call: Sep 2025

August 18, 2025
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SE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza
1st Floor, New Trading Ring, Bandra Kurla Complex
Rotunda Building, P. J. Towers, Bandra (E)
Dalal Street, Fort, Mumbai 400 051
Mumbai – 400 001. Scrip Code: INDHOTEL
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ub: Transcript of the IHCL Investors Call
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ursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the IHCL Investors Call held on
August 12, 2025.
T
he above information is also available on the website of the Company at:
h
ttps://investor.ihcltata.com/files/IHCL_Investors_Call_Transcript_12082025.pdf
You are requested to kindly take the same on record.

Y
ours sincerely,

B
EEJAL DESAI (F3320)
Executive Vice President
Corporate Affairs & Company Secretary (Group)

“The Indian Hotels Company Limited
Investor s Call”
August 12 , 202 5

MANAGEMENT : MR. PUNEET CHHATWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – INDIAN HOTELS
COMPANY LIMITED
MR. ANKUR DALWANI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – INDIAN HOTELS
COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Indian Hotels Company Limited Investors
Call. On the call, we have with us Mr. Puneet Chhatwal, Managing D irector and CEO, IHCL;
and Mr. Ankur Dalwani, EVP and CFO, IHCL. As a reminder, all participant lines will be in the
listen -only mode and there will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance dur ing the conference call, please signal an operator by
pressing star then zero on your touchtone phone . Please note that this conference is being

recorded.
I now hand the conference over to Mr. Puneet Chhatwal. Thank you, and over to you, sir.
Puneet Chhatwal: Good evening, ladies and gentlemen. Thank you for joining the call at this time. And we would like to share with you which we believe is a key milestone that we have achieved in the life cycle of Indian Hotels Company Limited. Having commenced wi th the re -imagination of our brandscape and solidifying the Taj brand in '17 -18 to a journey that is still ongoing, where we significantly scaled up Taj brand, renovated the Taj Hotels and upgraded a lot of Vivanta branded hotels, because they had gone thr ough a downgrade, because of lack of renovation monies post '26/11.
It was time to start also focusing on our second important pillar, which was Ginger. We re - imagined Ginger in 2018 -19. And then there was a certain delay for a couple of years because of COVID. And since then, Ginger became highly profitable, marching very fast towards the INR1,000 crore s revenue and more than INR350 crores in EBITDA.
Given that Ginger had also reached more than 100 hotel portfolio and given that we had zero net debt and a lot of cash, it was time to look for an inorganic growth opportunity, which could help the current Ginger portfolio as well as add new hotels on a capital -light model, so that the brand awareness of Ginger brand is very much enhanced.
And then came to t he various opportunities that we studied. Cla rks Hotels and Resorts represented a good opportunity for us, because of a shared value, shared purpose in the organization, which is 75 -year old and the management that helped create a 150 -plus hotels portfolio together with Brij and Brij rama properties.
Now what this does is it gets us 135 hotels under the Clarks brand, the majority of which will get repositioned and reimagined as Ginger hotels , totaling almost 7,000 keys in 100 -plus locations. And of these 13 5, 125 are managed properties, 10 are on a capital -light model with operating leases.
And the pipeline is extremely strong of the entire portfolio, which will be coming. As I mentioned at the outse t in a brief introduction, the four key strategic initiati ves that kind of made this as a convincing proposition for the management was, number one, Ginger brand equity amplification, which is 70% hotels in new geographies in India.
So we had the old geography where Ginger was present, then we get 70% more, which are in new areas, which is adding new dots on the map. And given the heterogeneous nature of India and rapid scaling up, this looked like a very interesting opportunity where all these hotels were

existing. And let's not forget, since the launch of Ginger, it has taken us almost 20 years to get to a portfolio which is smaller than the size of this rebranding opportunity that was available to us.
Then, of course, this leads to a leadership in mid -scale segment. Then undoubtedly, now Ginger becomes the market leader in the mid - market segment over the next 12 to 18 months. And as we continue our growth journey, this almost 250 hotels portfolio should cross 300 -plus easily over t he next 18 months or so.
Then there is a significant not like -for-like growth, and this is also he

lping us in our industry -
leading pipeline. And all this ultimately weaves in very well into our Accelerate 2030 strategy, which we have articulated in very o bjective terms to all of you. We also know that the mid -scale segment in India is fastest growing from 2014, when there was 100,000 branded rooms, the lower end was almost 40% of the total supply.
10 years later, that number went to 43. And we think that in another 5 to 6 years by 2030, this segment or this market share of this segment will definitely be closer to 50% or so. So a lot of strong growth is coming in into this segment, mainly because as India's population grows from 1.4 billion to 1.5 billion, if one-third of this population is relevant.
Then the competitiveness as well as the bigger share will come into one-third of the population, which is 500 million, assuming that one -third may not be so relevant for hotel sector, that one-third of 500 mill ion is a very, very big number. And we feel that with Ginger, we will be very well positioned to address the needs and wants of that market segment.
I think very important is also conversion to Ginger will result in unlocking synergies with the conversions of existing management contracts to revenue share, which we have successfully done with Ginger properties that we have signed or opened in the last 18 months and also unlocking synergies wherever there is a mark et overlap.
So if in a market, we already have a Ginger and by virtue of this M&A, we get more Ginger opportunities, it will create cost synergies in the existing portfolio as well as in the portfolio that is coming in. The other ways to benefit would be from our Indian hotel sales and distribution backbone, which is very, very strong, which has proven the test of time.

Also, this segment is really very interesting for loyalty, because at the upper end, at the luxury level, loyalty is not as important as the experiential or the service part is, but people do like to collect loyalty points at this level of the market. So Tata Neu will play a very important and a very big role going forward. The operational synergies, I mentioned will also be a key synergy driver. And very importantly, our procurement strength will grow by leaps and bound.
I think addition of such significant number of hotels should help Indian Hotels Company Limited in general and Ginger brand, in particular, in getting synergies in procure ment, synergies in shared services, by shared services, I mean, accounting, controlling all back - of-house operations, including IT and significantly enhancing the brand equity of the Ginger brand in India, especially with all the changes we made, includin g the all -day dining concept of Qmin being added to the existing Ginger.

And that will be the case when we transition these hotels to the Ginger brand. They will strictly follow a property improvement plan. Most of the restaurants, wherever possible, will get rebranded to Qmin and that will create and unlock value also for Qmin brand within such a large portfolio.
Therefore, we see this as a growth opportunity with almost 7,000 keys, very well fitting to the Ginger brand. And also, we have done at the sam e time, a sales and distribution agreement with the boutique luxury in terms of Brij, which is very, very appreciated in India as a unique value proposition, especially in spiritual sectors. And the Brij rama, it would be fair to say in Banaras has become a benchmark at this level of hospitality.
As we have consistently shared in various quarterly calls, we do believe that the Ginger brand with the property improvements, with the transition to Lean Luxe is very much capable of driving higher average rates, higher occupancies and most of the properties that we have opened in the recent past, like Mumbai Airport, like Goa, like Bhubaneswar , like Nagpu

r Airport, Ginger
in Sanand or Aurangabad, all drive more than 50% EBITDA, which makes us extremely confident o f repeating this performance with the Clarks portfolio also.
So having said this, the Brij has 19 hotels, of which 10 are in operation, totaling around 360 - 380 keys. And of this 10 in operation, there is another 9 in pipeline. And this will help us add or also help the owners grow the Brij brand going forward. With that, I hand over to my colleague, the CFO, Mr. Ankur Dalwani, to walk you through the arrangements of the kind of transaction structure we have entered into. Over to you, Ankur.
Ankur Dalwani : Yes. Thank you, Mr. Chhatwal. I think on the transaction structure, I think we have announced some detail of the same. Well, let me walk you through the more sort of granularity on the transaction structure. This is a total investment of INR204 crores in the two companies, ANK and Pride, and the split is, as mentioned on the slide, INR110 crores into ANK and INR94 crores in Pride.
Out of the INR204 crores, substantially almost 80% is primary investment and the balance is a small secondary investment in t he transaction, which means there is a large component sitting in the companies as capital for future growth, which will include some of the PIPs, which was mentioned earlier by Mr. Chhatwal and also for capturing the opportunity to convert potentially a large portion of current owners and the future owners in the portfolio towards from management contracts to revenue share.
Also, any future opportunity which may come up by the team can also get captured or funded by that capital sitting there. So essentia lly, a lot of the cash is basically going into the companies and enabling them and making them future ready for growth. Additionally, the two companies, ANK and Pride will also sign branding and distribution arrangements for paying fees to IHCL and this wi ll be entered into the entire portfolio, not only for the hotels which are under revenue share, but also for the hotels which are under management contract, generating incremental fee for IHCL.

Similarly, on the marketing and distribution agreement, which has already been signed with Brij Hospitality, there is an incremental fee which will flow to IHCL as part of the distribution arrangement, which has been signed up. If I quickly walk you through some of the current financials, which are in the public dom ain and some more details on that. If you see the FY '25 figures, it's about INR33 crores of top line and an enterprise revenue of close to INR300 crores. And the company has an EBITDA R of INR7 crores and EBITDA of INR3 crores. This is on the basis of current operations of the company. And essentially, if you look at the chart on the right on the slide, it kind of puts out where we think we could actually drive the business in the next 3 to 4 years and in line with the FY '30 targets, close to about INR100 crores of revenue from existing operations plus the impact of migrating the portfolio to Ginger and doing the Lean Luxe renovations in some of those.

So that should get us to about INR100 crores. Additionally, this does not capture any upside from management contracts shifting to revenue share, which could actually be close to INR50 crores to INR75 crores, which we think is a conservative number, per hotel, typically INR6 crores to INR8 crores of revenue.

So if it is basically getting 7 to 8 hotels converted, which actually should not be very difficult given that the management team currently already has a track record of migrating one hotel from management contract to revenue share, wh ich has actually added about INR4 crores of revenue in FY '26 itself -- will add INR4 crores of revenue in FY '26 itself.

So this is a conversation which we will deep dive into as we move forward in the transaction after closing the t

ransaction. If I can give you a quick snapshot of the projected financials, which has also been put out in the deck. FY '27 actually will be the first full year of sort of once the transaction is closed. And we think we can actually get closer to INR60 crores of revenues in that year and will result in overall margins coming closer to 30% on EBITDA and in IHCL consolidated EBITDA, which includes the fee we will earn from the hotels to close to INR20 crores.

Going forward to FY '30, we think we are on track -- we will be on tra ck to get to about INR100 crores of top line and generating a consolidated EBITDA of close to INR60 crores, which includes INR20 crores of fee and INR40 crores coming from the hotel. So those are the broad financials we have sort of solved for, while sort of doing the transaction. And like I said, this does not include the opportunity to convert the management contracts to revenue share going forward.

So also, I think a couple of things to note from the Ginger portfolio side, which Mr. Chhatwal also referr ed to. One was obviously the strong growth, but also the fact that most of the hotels, which have actually moved to Lean Luxe as a portfolio have a margin close to 50% plus on EBITDA and the fact that the occupancies as well as the RevPAR growth are much h igher for these hotels as compared to the industry average for this category.

So I think that's where I'll stop now and we can take questions from now.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first quest ion comes from the line of Shaleen from UBS. Please go ahead.

Shaleen: Hi, thanks for the opportunity and c ongratulations to the management for starting their inorganic journey. I've been -- you all are waiting for that and it seems like it looks like a go od deal. So one, just to understand the financials, the projected financials which you're putting out.

So if I take whatever FY '28 or FY '30 numbers, we are talking about INR40 crores EBITDA and INR20 crore s fee. So INR60 crores consol e. So is it right t o understand that, let's say, in FY '30, the INR20 crore s fee belong to us, also that 51% of that INR40 crores will also belong to us?

Ankur Dalwani: Yes, that's right. But essentially, as you know, we will consolidate the full EBITDA, not the 51%. So as far as the IHCL consol EBITDA, it will go up by INR60 crores.

Shaleen : So Ankur, the enterprise value we have given is, what, INR408 crores roughly or INR405?

Ankur Dalwani: INR204 crores of total investment side, which is about INR160 crores in primary and the rest being secondary. If we do the math on that the enterprise value is about INR240 crores.

Shaleen : So INR240 crores of enterprise value and wh atever, like FY '27, '28 or '30. So we are on FY -- I mean, on FY '30, it looks like a very good deal. But even on FY '27, we are calling out INR20 crores, so 12x EBITDA ?

Ankur Dalwani: That's right.

Shaleen : All right. Okay.

Ankur Dalwani: Basically, the transaction has enabled two things. One is obviously getting into a partnership with ANK and Pride and the promoter group there, and which will obviously enhance the portfolio itself, which is all the synergies, which Mr. Chhatwal referred to and deploying the Ginger playbook on that. And that's why the right number would be actually FY '28, because FY '27 will still be a year of transition.

But even if you look at FY '27, there is actually a trajectory for upliftment on EBITDAR margin and then consequentl y on EBITDA itself. So that is a INR10 crore s number, if you see the numbers I've given out. And then the incremental fee, which is also enabled because of the transaction. So -- and the INR10 crores is after paying the fee.

So effectively, there are some parts of the business, which are going to have, where it will obviously be an expens

e, and therefore, the EBITDA number is after the fee. And then there are, for example, Brij Hotels is actually not something which we have a stake in the company right now.
So that fee will straight away come to us. So this is -- and this is on the enterprise revenues of the company and not the top line number, which is only INR60 crores here. But if you look at the enterprise revenue, it will be much higher as is the case in FY '25 itself.

Shaleen : No, fair enough. See, if I look at even '27 or '28, the kind of growth trajectory you are talking about tripling the EBITDA in next three years. So 12x EBITDA paying is pretty good. So even if you achieve half of it, it's great. So no argument on that, just my personal view here. So all right.
Second thing, so how are we thinking about the brand here l ike why -- so a very basic question, like why would we put it a Ginger? Why would this management would like to have a Ging er and not Clarks? Like is it because Clarks is not getting enough traction? What were the possible reasons for them to move into Ginger?
Puneet Chhatwal: Shaleen, very good question. One of the reasons is traditionally, this company is known for full -service Clarks Hotel, because that's what their grandfather had created. So the iconic Clarks Amer in Jaipur and Clarks Avadh in Lucknow or Clarks Shiraz in Ag ra, etcetera. These were the five key assets. And by doing these Clarks in and Clarks suites and Clarks in and suites and Clarks, whatever, other connotations actually diluted the Clarks brand equity.
That's from their side. From our point of view, we are not interested in another new brand in mid-market until we get to 300 to 500 hotels with one of the brands. So in the mid -market, scale is very important. And just having 10, 15, 20, 30 hotels here or there, as you've seen with Ginger does not help.
It's only of late in the last 2.5 years that Ginger has pivoted, and this was another opportunity for it to go another notch higher and definitely support all our other ventures that we have undertaken and s hared with all of you like MOPA Airport, like Kolkata Airport, like opening of Ekta Nagar in the next 6 to 8 weeks, plus the opening of Bangalore Airport next year.
So all these things will give an absolute boost to the brand awareness of Ginger brand, and that's why we'd rather have it in one brand. Exactl y what we did with Taj and continue to do with Taj, make one brand clean and pure instead of being all over the place.
Shaleen : All right, sir. Just one more question in continuation is like INR163 crores primary, so --if can we understand like what's the usage of that? Will it be to uplift the current property, or it will be for the expansion, because we do not know what's the condition of these assets right now, ri ght? So just some color on that?
Ankur Dalwani: So some of it will go to -- like you know, m ost of the portfolio is actually management contracts. So the responsibility of incurring capex actually lies largely with the owners. So essentially, our approach here will be to say that there is a war chest available to expedite this upgradation.
Essen tially, this is obviously a conversation to be had once the transaction closes. But the idea is to see how can we use this capital, which is available at disposal to bring most or if not all the hotels onto the Ginger platform as quickly as possible with t he same similar sort of standard, which is deployed by Ginger Lean Luxe model so that the unlocking of value and upliftment on occupancy and ARR happens quickly.
And so that's where the bulk of the capital will go. And then the other opportunity, which is basically also which I mentioned -- alluded to earlier was the moving from management

contracts to revenue share. And typically

, this could be a couple of crores to INR5 crores kind of investment, which may happen depending on, let's say, if an owner has got -- wants to expand and he has already got the FSI in his property, but doesn't have the funds to sort of expand.
And then the conversation for moving from a management contract to revenue share becomes a much more easier conversation. So we have ident ified already about 8 to 10 properties, which we will sort of start acting once the transaction closes. So that's the second use of capital. And the third could obviously be kind of replicating the Ginger big box model, which is something which we've also -- it's been also our journey over the last 7 years, and we've realized how Ginger

Big Boxes have delivered in the last few years.
And as you know, Ginger Mumbai Airport is a classic example of delivering close to INR100 crores revenue and INR50 crores pl us EBITDA in the first full year of operations. So I think that's the third opportunity where some of the capital could go, where the management team, which is the current management team, the promoter group will continue to run the business, and it's up t o them to then source opportunities, which can fit into their sort of the kind of hotels they would want to want. So big box also opens up the third sort of use of capital.
Shaleen : Right, sir. Just last bit, you only have a Ginger in mind or do you think there is a scope for gateway as well here?
Puneet Chhatwal: There could be, Shaleen, one or the other, because we have to drive the best value. So I don't think 100% of the hotels will fit into Ginger. But we do believe that the majority -- significant majority, anything between 85% to 90% for Ginger is fine. The rest we will take a call during this period of completion of the deal and find the best value proposition. Of course, there will be opportunity for the Clarks Exotica can obviously become a gateway .
Ankur Dalwani: Or someone can be on a selection platform.
Puneet Chhatwal: Or on the selection's platform, yes. Other questions you can take offline with us later.
Moderator: Our next question comes from the line of Prateek Kumar from Jefferies.
Prateek Kumar: My first question is regarding the brand positioning overall. So while you alluded to the fact that this segment -- mid-scale segment is a growing segment, et cetera. But we have also historically said that our focus is on premium segment where ther e is lowest growth in capacity by industry peers and which will continue to benefit the pricing, etcetera and profitability. Now we are expanding significantly in mid -scale.
I understand it is management contract as a result, maybe the stakes are not as h igh in terms of the capital employed. But how do we think about your overall brand positioning as a company going forward?
Puneet Chhatwal: Sorry, Prateek, I don't understand. I think it has to be very clear that the crown jewel of our brandscape was, is a nd will always remain Taj, not only of our brandscape, but of our company and of Tata Group and of India. However, we have created a brandscape and in our endeavor to

do comprehensive brand management, one of the critical factors in mid -scale or a little b it above or below mid -scale is scaling of the brands.
That is highly critical for Ginger. It's highly critical for even our Homestay Ama or for Tree of Life. Under Accelerate 2030, we also articulated that the majority of the future growth will come through Gateway Ginger, Tree of Life. So we are absolutely in line with that, but we should not forget that the Taj is something which was and will always remain th e priority and that i s what will define our culture.
Our core values, which are common throughout the brands are based on the values of trust, awareness and joy. That's what Taj stands for. And we are definitely making far more progre

ss
with Taj. It's toda y, the size of the luxury brand is possibly among the top three in the world, number one.
Number two, Taj has been consistently rated as world's strongest hotel brand by Brand Finance and India's strongest brand across all sectors since last 5 years and 4 years on a world platform basis. So let there be and I'm very thankful to you for raising this directly or indirectly or if you meant it or not so that we have the opportunity to once more make it very clear that what defines us is Taj and that is not cha nging in the short, medium or long term.
And that -- this investment justifies. This kind of investment for a 51% stake will not justify even one Taj property. So that's the difference in scale and absolute luxury and quality.
Ankur Dalwani: Yes. I think just to add, Prateek, as you have seen from our quarterly investor deck, we have always talked about putting out capex on the balance sheet for the hotels, which we are going to develop. And this includes the three , four ones which are already in the publ ic domain, for example, the Band stand One, the Fort Aguada, next to Fort Aguada is Aguada Plateau, and also the one in Shiroda.
All these are come under the brand Taj or similar luxury brands, Taj in Ranchi. So I think that's -- it's not an either/or situa tion. I think we've talked about this in the past. It's a very heterogeneous country, and you have to -- being the market leader, you have to cater to different segments of the consumer.
And I think this is actually one of the best way to scale up Ginger, because like we've said in the past, the potential for Ginger brand or the mid -scale brand for the company is 1,000 Gingers. You cannot get there organically. It will just take too long. And make this effective and make it really happen in a practical way , this is probably the best and the most efficient way of doing it. And we are very happy that we have got a partner who actually echoes that sentiment. And so

it's actually a lot of good excitement out here on this.
Prateek Kumar: Another question is, so all the Clark Hotels in India are under these two groups and all of them will migrate to Ginger eventually? And are there more Clarks Hotels under any other group in the country, for clarification?
Ankur Dalwani: There are within the same family. This is l ike a legacy issue. They have several companies. I think almost all the asset -light hotels are actually covered in this and maybe a few assets heavy

are actually not covered in this. That probably single digit, maybe less than 10, so like 4 to 5 kind of nu mber. And this is the beginning of a relationship. So we'll see how the relationship there is going forward.
Prateek Kumar: Sure. And one question on your expanding room number of hotels, this is a great news. And so -- more like a theoretical question on management bandwidth. So does this kind of scaling of management contact -- contract, which is kind of a global module for ot her companies like Marriott, et cetera. So how should we think of management and bandwidth and the hiring, which you would re quire t o manage too many hotels?
Puneet Chhatwal: Thank you, Prateek for this question. The job done by these three young cousins and brothers was so phenomenal in making 150 hotels that, that is one of the reasons we have integrated them in the journey forward. So they will continue to drive growth and management. We will obviously give them the required support of the bandwidth that IHCL has.
And maybe a couple of our people will also go there in the management, and we will run it through a proper governance st ructure. And we have a lot of experience in doing that even with publicly listed entities. As you know, we have OHL, we have Taj GVK. We have Banaras Hotels, we have PM Hotels.
So it's in a similar kind of a way, this will be run by the c

urrent ownership. They just get diluted,
and we will give them a few of our stalwarts. And that way, the skill sets will get complemented and will not put any kind of strain on our existing talent pipeline or on our bandwidth, rather enhance it.
Because seeing these growt h opportunities, you should not underestimate how many people in the last 5, 7 years have had the opportunity to grow with us. And that means all these new brands, all these high growth of our portfolio has given a growth platform and a growth mindset to t he entire company.
So I think they are following the same formula, and we are very confident that what these people have been able to do without any capital or without any big company backing behind them that with our help, they will even be able to perfo rm at much higher level and a faster rate.
Moderator: Our next question comes from the line of Achal Kumar from HSBC. Please go ahead.
Achal Kumar: My first question is around conversions to the revenue share. You've been talking about there is an opportun ity to convert the revenue share model. Just want to understand, is it like straight away at your will, where you can convert, or is there a condition in that, how easy be it is to convert from the management contract with the venue share. So if you could please give us a bit of a color on that, that will be helpful ?
Ankur Dalwani: So Achal, thanks for the question. It's not straightforward. And that's why if you see our projections, which we gave out, we haven't really included that portion. We have just t alked about this as a potential upside. And that's the reason why we think it's real and not something imaginary is because the current management team has already demonstrated success on this

front by actually converting a hotel in Rajasthan, in Ajmer fro m a management contract to revenue share.
So it is very much a real opportunity, and it requires hotel -by-hotel discussion, because every owner will need some kind of support as he has to sort of either expand or he needs some kind of -- he's not able to sort of manage the payroll, et cetera. So this is how this typically happens.
We've also had that thing in our portfolio also in the past. So -- it will evolve over a period of time.
But we are confident that in the next -- I mean, if you look at the port folio, we're talking about 135 hotels, even if you get 10%, we're talking about 13 hotels, which can easily give you INR60 crores to INR75 crores of top line itself, right? So I think -- and then obviously, much higher contribution in terms of EBITDA as well.
So I think that's the opportunity set. And I think it's a real set, but we can only give you more

color when we sort of close the t ransaction and sit down and do a more granular exercise on the portfolio, but pretty much something which we are focused on.
Achal Kumar: Right. My second question was in terms of financials, I just want to understand because you have shown projections to FY '30, wherein you are showing EBITDA margin -- EBITDAR margin reaching 38%, while on one of the slides -- and of course, I mean, in Ginger, you generating a much higher EBITDA margin. So I mean, are you not thinking or are not expecting these hotels to r each to the current EBITDA margin you are generating in Ginger? Or how does it work like?
Ankur Dalwani: No, I think if you see first -- like I said, '27 is a year of transition. And therefore -- and then after that, it will take 1 or 2 years for the benef it of the Lean Luxe for the tips to actually sort of take effect. That's why if you see by FY '50, we are getting to a 50% EBITDA margin. And then can it happen earlier? Potentially, yes.
But it's also something which we have to get into far more granularity in terms of actually figuring out how quickly the migration happens to Ginger and the Lean Luxe implementation.

Thereis a stabilization phase in each of this, which is also the experience we have had with our own Ginger, Lean Luxe sort of inves tments, which have happened over the last few years.
Moderator: Ladies and gentlemen, we'll take the last question from the line of Karan Khanna from Ambit Capital.
Karan Khanna: Puneet firstly, if you look at the Clarks portfolio, Clarks has presence acro ss many brands, and you acquired just 3 of them. Could you highlight the thought process behind the same? And as a follow -up, will you look to acquire the remaining 49% stake in these brands at a later stage and perhaps acquire or integrate the remaining b rands in your portfolio as well?
Ankur Dalwani: Which are the -- see, actually, this Clarks brand -- these two companies have all the Clarks brands, which includes Clarks Suites, Clarks Inns, Clarks Exotica. All of them come under the -- they've kind of ru n under different brands, but it is very much part of these two companies, okay? So I think that's something which is already part of the transaction.

And over time, the whole idea is that we sort of migrate them to a sort of a brand architecture, which i s reflective of the positioning of the hotels, which is what we said 85% to 90% should be in the mid -scale category and should get to a ginger stage. The rest, depending on the brand, could be a gateway, could be a selection.
And that is to be an exercise , which we will do as we move forward. As far as the 49% goes, there is no plan as of now to purchase the 49%. We are, like I said, entering into a strategic partnership. And this is not because they are pure financial investors, they're also going to be driving the business, which is very critical for the success of this partnership that we continue with the management and they kind of integral to this transaction.
Karan Khanna: Sure. And just a clarification, Ankur, I think earlier on in the call, you men tioned that the enterprise was being valued at around INR240 crores. So help me reconcile that. If I'm looking at Slide # -- I think this is Slide #8 or 9 -- sorry, Slide #7, where you're buying 51% and investing INR204 crores. So is the enterprise value INR400 crores o r just help me reconcile that INR240 crore s number that you're mentioning earlier on in the call?
Ankur Dalwani: INR240 crores is the enterprise value. And if you look at the math, it's INR160 crores of primary, which basically goes into the company and the balance is secondary. So the money going in the company obviously increases the equity value, right, because you've put enterprise value and cash goes into the business. So if it was a pure secondary bill transaction, we would have bought the business for INR240 crores, right? Does that answer the question, Karan?
Karan Khanna: No, I think that's helpful. I think INR160 crores going into the company and perhaps INR90-odd crores for the balance.
Ankur Dalwani: INR160 crores basically sitting there, and that will unlock further value.
Karan Khanna: Sure. And thirdly, in terms of Accelerate 2030 plan where you're targeting 700 hotels portfolio by 2030. Post this acquisition, you will already be at around 530 hotels. Given this -- 550, given this -- do you see a meaningful increase in this expected hotel number and the mix of managed and owned hotels by year 2030?
And as a follow -up, with recent arrangements with Claridges, Clarks and Brij, from a more long - term perspective, is acquisition of lar ge branded managed rooms collection a strate gy that you'll actively pursue o r are you looking to acquire hotels on your own balance sheet as well?
Ankur Dalwani: Think all routes are open, because we've done -- I think the good thing is that we have the ba lance sheet flexibility to deploy it as and when opportunities come up and opportunity that makes sense. It's not about addin

g rooms. It's about like Mr. Chhatwal referred to in the beginning of
the call, it's about mid -scale leadership.
It's about brand amplification and it's about synergies which we can exploit it. So I think it's very case to case, and we continue to look at opportunities. I think the good thing, I think Shaleen referred to in the beginning is that this is, in a way, I would say, a begi nning of the inorganic journey, which I think can be very incremental to what we have been doing. And we've talked

about this optionality earlier. And I think this is, I think, a signal saying that we have now sort of taken the first step in that direction .
Moderator: Ladies and gentlemen, we'll take that as a last question. I now hand the conference over to Mr. Puneet Chhatwal for closing comments.
Puneet Chhatwal: Thank you, everyone, for joining the call, and we look forward to our next interaction post the Q2 results. Those who have any further questions can contact us offline, we'll be happy to answer whatever queries you might have. Have a wonderful evening, everyone, and looking forward to speaking to you all soon.
Ankur Dalwani: Yes, thank you very m uch.
Moderator: Thank you. On behalf of the Indian Hotels Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

"The Indian Hotels Company Limited Q2 FY'26
Earnings Global Conference Call "

November 04, 2025

MANAGEMENT : MR. PUNEET CHHATWAL – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , THE INDIAN HOTELS
COMPANY LIMITED
MR. ANKUR DALWANI – EXECUTIVE VICE PRESIDENT
& CHIEF FINANCIAL OFFICER , THE INDIAN HOTELS
COMPANY LIMITED

Moderator : Ladies and gentlemen, good day and welcome to The Indian Hotels Company Limited's Q2 FY'26 Earnings Conference Call.

As a reminder, all partic ipant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that thi s conference is being recorded.

On the call, we have with us Mr. Puneet Ch hatwal – Managing Director and CEO, IHCL, and Mr. Ankur Dalwani – EVP and CFO, IHCL.

I now hand the conference over to Mr. Puneet C hhatwal. Thank you and over to you, Mr. Chhatwal.

Puneet Chhatwal: Good evening, everyone, and thank you for joining our Global Conference Call for Q2 FY '26.

We are pleased to inform you that we have continued our record performance for the 14th consecutive quarter driven by sustained growth and strategic execution despite short -term industry headwinds. Kindly allow me to outline the 10 key highlights of the quarter.

1. This was a quarter of key milestones . To begin with :

I. We are delighted to share th at this has been a quarter marked by significan t milestones like Taj Bandstand has received all requisite regulatory approvals to commence construction and more importantly, excavation work has already started five days ago.

II. We inaugurated two new greenfie ld hotels in Ekta Nagar , which are company - owned assets, the 127 -key Vivanta and the 151 -key Ginger, both on our balance sheet. The inauguration took place on the momentous occasion of Rashtriya Ekta Divas, commemorating the 150th birth anniversary of Sardar Vallabhbhai Patel. We are happy to share that the hotels are off to a good start.

III. During the quarter, we achieved the milestone of opening our 250th hotel, which is the Gateway in Goa Palo lem.

IV. We also completed a comprehensive r enovation of the chambers at our flagship Taj Mahal Palace, Mumbai, marking its soft opening a week ago and reinforcing its legacy as India's most exclusive business club. So those were the summary of key milestones.

2. Accelerated signings and openings – IHCL continues to demonstrate industry - leading growth with 46 hotels signed and 26 hotels opened in H1 '25-'26. This includes 14 hotels onboarded on our sales and distribution platform with the Clarks and Brij Groups. With 268 operating hotels, 167 in pipeline , IHCL today is India's largest

hospitality ecosystem, spanning 200 -plus unique locations across 33 states and Union

Territories of India. We are well on track to achieve our target of opening 30 -plus new hotels in the current fiscal year.

3. Strategic partne rships – The Clarks ' transaction is progressing well. We expect to close it within this quarter and have begun integration activities. Once completed, it will add another 135 hotels to our portfolio. This transaction will make IHCL the clear leader in the mid-scale segment in India with a portfolio of over 240 hotels, giving the Ginger brand significant scale. During the quarter, we also entered into multi -hotel framework agreements with the Ambuja Neotia Group for 15 hotels across the Taj SeleQtions and Tr ee of Life brands, and with Madison Group for 10 Ginger hotels in South India. These arrangements follow a capital -light model through management contra cts and revenue -sharing leases.

4. Asset management of the portfolio – significant renovations which have been completed. We used the first half of the financial year, typically considered as a slower period for our industry, to focus on renovations and upgradation s across our key hotels. Major upgrades were completed by October across multiple properties including Taj Palace Hotel in New De

lhi, President Hotel in Mumbai, and Taj Fort Aguada. Others that saw renovation include Taj West End and also Taj Bengal in Kolkata. We expect to see the positive impact partially in Q3 and fully in Q4, both in terms of improved guest experiences and higher yields due to the upgraded product.

5. Resilient performance in Q2 – despite short -term headwinds. Our consolidated revenue grew 12% year -on-year to Rs . 2,124 crores, EBITDA grew 16% year -on-year to Rs . 653 crores, yielding EBITDA margin of 30.8% and expansion of 90 basis points, despite the full consolidation of the assets in the financials as well as asset management initiatives which I just outlined. O ur profit after tax grew by 15% to Rs . 285 crores. Hotel segment revenue and EBITDA grew by 7% and 12% respectively, driven by our tight cost management leading to a margin expansion of 140 basis points over last year. On standalone basis, revenue grew by 4%, impacted by hotels under renovation and a high base of last year. We continued to deliver strong performance at standalone EBITDA level with margin expanding by 220 basis points to 40.8%. Our standalone PAT m argin stood at a healthy 24.8%.

6. Management f ee growth through Capital Light Strategy – Our Capital Light Strategy has helped grow our management fees by 21% from Rs . 214 crores in H1 last year to Rs . 259 crores in H1 '25-'26. With strong visibility on upcoming hotel openings, we expect management fee s to continue growing at a healthy pace with strong flow - through to EBITDA.

7. New brands and reimagined businesses – IHCL's new businesses vertical comprised of Ginger, Qmin , amã Stays and Trails and Tree of Life continued to showcase strong growth at 22% ye ar-on-year. This was driven by new additions to the Ginger portfolio and higher F&B revenues from the Qminization of the Ginger brand, which means the all-day din ning inclusion of Qmin as the brand in Ginger properties. We expect these numbers to grow from 22% to 30% in the second half of this year. Qmin has now

grown to 104 outlets across multiple formats. amã Stays and Trails has a portfolio of 330-plus bungalows with 150 in operation in Tree of Life is now a 20 -plus resorts portfolio with 18 in operation .

8. With that, I move to number eight, strong balance sheet with healthy cash reserves – Our balance sheet continues to be healthy with gross cash reserves of around Rs . 2,850 crores. This is after investing Rs . 480 crores in CAPEX in H1. During the year, we opened Ginger, Ekta Nagar and Vivanta Ekta Nagar on our balance sheet, which I just mentioned and this marks another step forward in our strategy of creating new destinations and building a diversified base of owned assets. We are also looking for ward to the opening of Taj Frankfurt in the later part of this financial year. Work is also progressi ng well on the expansion of 100 -keys at Taj Ganges, Varanasi, which is expected to open either at the end of December this year or at the latest in Q4 or e arly Q4 in January next year. Further, 95 -keys at Taj Lucknow will also become operational by 2027. Both these hotels are operating already at high occupancies and strong ARR levels and are expected to be value accretive and margin

enhancing. Our upcoming key projects on balance sheet at Bandstand, Lakshadweep, MOPA , which is the airport in Goa, Aguada Plateau in Goa, Shiroda, Ranchi and Agartala will further enable us to build on our competitive advantage and reinforce IHCL's leadership in both established and emerging destinations. All of this growth is expected to be funded f rom our internal accruals only.
9. Industry leading return ratios led by focused investments – Our ROCE or return on capital employed is improved by 160 basis points year on year to 17.3% while return on equity has increased by 70 basis points to 15.5%. This sustained im

provement demonstrates the quality of our earnings and the efficiency of our balance sheet as well as the strength of our investment decisions which continue to deliver higher returns year -after-year.
10. Looking ahead how we see things going forward – IHCL remains confident of achieving its guidance of double digit revenue growth for the year driven by structural tailwinds for the industry. Supply is expected to be constrained and continue to lag demand in near future. With multiple global events and high profile diplomatic visits planned in second half of the year, continued momentum in MICE activity and a busy wedding season , outlook for H2 remains robust. Some words on P aathya, our ESG plus program or let's s ay staying aligned with our ESG++ initiative, the journey towards our 2030 targets remains on track. IHCL now uses 41% energy from renewable sources and has installed 382 EV charging stations across 168 loca tions in India.
Continuing our journey of eliminating single -use plastic :
IHCL has installed bottling plants at 74 hotels and achieved 51% recycling of water that is being used. IHCL currently partners in operating 73 skill centers across 21 states in Indi a. Since 2020,

we have trained over 35,000 youth and are well on track to reach our goal of skilling 100,000 plus youth by 2030.
In summary :
Despite the transient headwinds of Q2, we feel comfortable with the revenue outlook for the rest of the year. The long -term trajectory for the sector remains intact and we will continue to invest in our competitive advantages including physical assets, brandscap e, digitization and our people.
Thank you so much for your attention and we now open the floor for questions.
Moderator: Thank you very much. We w ill now begin with the question -and-answer session. Our first question comes from the line of Sumant Kumar from Motilal Oswal. Please go ahead.
Sumant Kumar: Hi, Puneet. Can you talk more about the forward booking? Also, how has the October month already completed and how is the forward booking for November -December?
Puneet Chhatwal: The business on the books is strong, Sumant, and there is despite a very high base of Q 3 year-on-year, we remain confident that in the future both Q3 and Q4 should witness double digit growth for us on the top line.
Sumant Kumar : And talking about subsidiar y performance, we can see the UK has done extremely good in H1 FY'26. And also, when you see the particularly in margin front, also the PM hotel has done well.
So, what about the US and we are hearing about the US entity, what we are planning to dispose .
So, assuming all the international business, US and UK, UK is doing good. So, what is the plan we have for international business?
Ankur Dalwani: Hi, Sumant. I think we give out the US numbers also on the slide. Essentially, the U OH entities, you can see th at both hotels have done well, particularly Campton, which has done very well in both Q2 and H1. So, as far as your other question about disposal or I think we already clarified that, that we feel that was speculation and as of now it is status quo as far as US assets are concerned.
Sumant Kumar : Thank you.
Moderator: Thank you. Our next question comes from the line of Karan K hanna from Ambit Capital. Please go ahead.
Karan Khanna: Thanks for the opportunity . Could you firstly just a clarification . Just a clarification. In the last call, you mentioned that when a hotel breaches the 80% occupancy mark, typically you tend to see a lot of rising power for that hotel. But if we look at slide number 29 of your presentation where Mumbai H1 o ccupancy stood at 84%, but despite that, the RevPAR growth was only 2%.

So, help us reconcile this, because if I look at Kolkata, again at 83%, you'd seen about 17% growth.

So, what's the outlook for Mumbai, let's say, for the second half of the year? And more importantly, how should we read this data, comparing it to what you said in the last call?
Puneet Chhatwal: See, what I said last call holds true even today. Last year, we had a one -off event, which created higher rates in Mumbai because of a very fam ous wedding. A lot of rooms were blocked, and that really assisted. Those one -off events will always have some impact. Same thing happened in Delhi with the UAE delegation that we had at the Taj Mahal Hotel or popularly known as Taj Mansingh. So, those one -offs will be there, but as long as they are positive is fine. And more important is that you are able to maintain both a high occupancy and a high rate, despite not having any such event and having had all the possible headwinds that I spoke about. The fi rst half of this year has seen everything possible, from a Pahalgam to Operation Sindoor, to an Iran - Israel conflict, to a flooding, landslides, airline accident etc. So, I think, all in all, that shows the resilience of the sector, driven mainly by the ke y markets of Mumbai, Delhi, Bangalore, and even Goa is coming back. So, I think the outlook remains robust, and that's how you should look at it.
Karan Khanna: So, just continuing on this slide, if we look at Rajasthan, Goa, and Kerala, and with increasing outbound travel, and perhaps many international destinations that are offering cheaper stays, do you expect some pressures on RevPARs to continue, particularly for leisure destinations going ahead, or do you see the high single -digit RevPAR growth continuing for the leisure part of the portfolio as well?
Puneet Chhatwal: I don't see anything that would suggest why that growth should slow down, because there is n ot so much new supply coming in, and demand remains strong. There is another thing which we have, in the IHCL Enterprise RevPAR , going back to your previous question . As we are growing with different brands, now every brand doesn't attract that kind of RevPAR growth. So, I think some of that we will have to look in different markets going forward, that what is the RevPAR for a Taj branded property, what is the RevPAR for a Ginger branded property, now when we will add, after completion of the Pride and this ANK group, we could get to 250 Ginger hotels, so we will have to also, as I mentioned in the previous and the quarter before that, we will give more importance and lay more stress on doing some of this growth by brands, because the Ginger RevPAR will not be anywhere close to the Taj.
Karan Khanna: Sure, this is helpful. My second question to you Puneet, now with the integration of Clarks into your portfolio, are you now seeing more inquiries or perhaps more opportunities that could emerge, let's say other smaller brands that want to partner with Taj, going forward are you seeing more discussions or perhaps more inquiries from these brands?
Puneet Chhatwal: We have not yet completed the ANK and Pride transaction, it should happen definitely before the end of this quarter, I think that's when we will start seeing that kind of traction, but very importantly once that happens and with the other hotels that we have in pipeline, which was a

part of the narrative I gave, we will see very soon, over the next 12 mont hs, 250 Ginger hotels in operation, making it the largest mid -scale brand in India.
Karan Khanna: Sure, and my last question, when we look at some of the recent industry reports, they seem to suggest that tier 2 and tier 3 markets are seeing higher supply, I think FY '25 growth was about 13%-14%, this seems like a very high number, given that it would be difficult for demand to grow at perhaps a similar number, could you share your thoughts about this, considering you have a lot of opportunities and perhaps growth both on your green

fields as well as the pipeline
that's coming in the tier 2 -3 markets?
Puneet Chhatwal: See, I will let Ankur answer, but I will just say one thing that if your base is small, the percentage of supply growth looks very large. I f Mumbai had 12 %-14% supply growth, I would be worried, if Delhi had that kind of supply growth, I could get worried, but tier 2 -tier 3 cities almost had nothing, so if you are coming from nothing and experiencing that kind of growth, it's very normal, this is how emerging markets grow, whether from an economic point of view or from a RevPAR point of view, that's how the nature is . For example, if we say we will do a top line growth of 10 %-12% and some other company, we have 268 hotels in operation and somebody else has maybe 20 hotels in operation and they say they are growing at double digits, it's not, if some small com pany adds one new hotel, suddenly the revenue goes up a lot, so that's how one has to differentiate whether it is markets or it is portfolio, at what base are you looking, the base is the decisive factor.
Ankur Dalwani: I think Karan, we have always mainta ined that the key business cities or the key markets, the supply growth is actually even less than 5% and I think that's playing out even in this year and I think even for the long -term forecast of the next 4 -5 years, you pick up any report or look at the data, it will kind of substantiate that, I think that's what really matters from a demand supply perspective, the upcoming supply or potential supply in let's say tier 2 or tier 3 markets will also pull a lot of demand from unbranded chains or which are no t part of a chain affiliate, so that's a sort of underlying trend which we see, also as far as IHCL strategy is concerned, our focus on

adding assets is more towards locations we feel where there is sustained level of demand -supply
gap and as far as the ne w markets are concerned, we have also hedged that by saying that we
look at managed hotels as an option in those markets.
Karan Khanna: Sure, it is helpful. Thank you, I will come back in the queue . Thank you and all the best.
Ankur Dalwani: Thank you , Karan.
Moderator: Thank you. Our next question comes from the line of Shaleen from UBS . Please go ahead.
Shaleen: Hi, good evening everyone. Thanks for the opportunity. So, I could see your RevPAR is very
strong, so is it fair to assume that because of the big wedding, F&B revenue was pretty high in

the bas e and that's the reason our top line growth looks a little softer and to continue the part, is
it possible to give a let's say X of Mumbai, what kind of a growth we have seen?
Puneet Chhatwal: No, Shaleen, as I mentioned, we had a significant number of hotels which were undergoing
renovations, which had an impact, but we prefer to do that in the first half, especially let's say
Taj Palace had an impact of 150 rooms, but to get, although the renovated ones a re 120, but the
ones above and below, you know, the disruption starts happening because of noise. So, having
for 7 months, 150 rooms out of operation does have an impact in a large property like Taj Palace,
but the important thing is they are all back, the y are in operation now with a renewed product,
which is as good as absolute brand new , done to the latest style and class. So, it keeps you
competitive and gets you a higher rate going forward. So, that's a conscious call we took that is
reflected in the Rs. 250 crores of investment in our own business that includes 44 rooms in
Aguada, it's a lot of rooms in a single asset.
Ankur Dalwani: I think if you were to also take into account, the high base in both Bombay, Delhi, I think if you
adjusted for that, you would be in double digits o n non-RevPAR.
Shaleen: Double digits on a like to like basis, right?
Puneet Chhatwal: It is on a like -to-like. actually the previo

us question I forgot to mention because Mumbai was
questioned with the 2% growth, but we also had 76 rooms of President under renovation.
Shaleen: Okay, got it. That explains. And if I can, a bit of elaboration on this, Ambuja Neotia it will be a
pure play management contract or there's something more to it?
Ankur Dalwani: It's pure play mana gement contract or leases. Essentially, this is a partnership with an existing
owner. It only deepens the relationship with them. So, this is a framework in which we will end
up doing either leases or management co ntracts depending on the brand.
Shaleen: Sir, any sense on what kind of revenue/ profitability we can expect from this, all these properties?
Ballpark number is also good.
Ankur Dalwani: So, as you know management contracts are very high flow through businesses with profitabilities
north of 70%. And, this will open, I mean, this will get added as we speak. So, it's part of the
pipeline as we speak. Whatever is getting signed gets added to the pipeline. But I think the point,
the bigger picture is that, this is the preferred partnership model continues to sort of grow not
only with acquisition, but also on a non -equity investment model. That's the poi nt we were trying
to make here.
Shaleen: No, absolutely. We have seen some very successful properties from this group. I believe there
are some pr operties in Darjeeling and each side and Kolkata as well from this group.

Ankur Dalwani: That's correct.
Shaleen: Okay. If you can get on a CAPEX side, like what is your CAPEX plan for next six months or
maybe beyond if you can tell us.
Ankur Dalwani: So, I think we originally guided to Rs. 1,000 crores to Rs. 1,200 crores CAPEX number. I think
we are on track for that. As you know, H1 we have done about close to Rs. 480 crores and which
includes CAPEX spent on renovations and also on the green field as sets, which is basically what
we spend on Bandstand in securing the FSI, as well as completing the Ekta Nagar, the Frankfurt
asset and some of the other projects which are sort of the early stage. So, if you look at the
overall CAPEX numbers for there, I t hink it will probably be in the 1,200 range, which is what
we originally sort of planned for. And, there could be plus minus 5% depending on when the
project sort of get to completion or if there are any delay in approval s.
Shaleen: And just last one , Anku r. Among the hotels which are renovated, how many have come back in
the number of the rooms in tier 1 market and how many will be coming back in this quarter?
Ankur Dalwani: So, I think all of them have come back with the exception of a few rooms at Taj Pa lace, which
is expected to come back in November. So, that's why when we talked about the impact of
renovations, it'd be fully felt in Q4 in terms of fully sort of renovated portfolio and there'd be
some minor impact in Q3, since October also had some reno vations getting done.

Shaleen: Possible to summarize what all have been renovated in past six months or nine months?
Puneet Chhatwal: No. So, with the exception of 20 or 30 rooms or out of 120 rooms in Taj Palace, everything else is in operation. And Fort Aguada, the inventory came back absolutely in time. All President 76 rooms are also done. One Presidential Suite is left in Taj West End . And so, there's some small, but that is always there, Shaleen. There's some little things always keep happening.
Shaleen: Sure.
Puneet Chhatwal: But the major block was Taj Palace.
Ankur Dalwani: Because Taj Palace not only impacts the floor under renovation, it also impacts the floor above , the floor below. And it's a very busy hotel. And therefore, the impact in H1 was quite magnified because of that.
Shaleen: Sure. We know the P&L is huge of that hotel. Sure. All right, sir. That's it from my side. Thank you so much

and best of luck.
Ankur Dalwani : Thank you, Shaleen.
Moderator: Thank you. Our next question comes from the line of A chal Kumar from HSBC. Please go ahead.

Achal Kumar: Thank you so much for the opportunity. First of all, just want to understand, Puneet, so now we have got so many listed hotels and everybody sort of trying to grow by any model. I mean, some of them are sort of taking hotels on lease and subleasing and som e of them are sort of owning the hotel. So in all this scenario, I mean, how do you see the competition, especially when it comes to the growth? I mean, if you go to the market and you want to grow, do you think you'll get a deal at a favorable price or fa vorable terms? Or do you think the challenges are growing and you might really find it difficult to get the hotels? I mean, how do you see the market and the competition, please?
Puneet Chhatwal: See, the market is never easy. There's nothing which is easy . So the proof is in the pudding. And I think what we have done and demonstrated how when we first met , Achal , almost 7-8 years ago from 130 hotels, how we have gone to a portfolio of the size that we have today. Right. So I think we keep signing up proper ties. We have signed almost 32 without the onboarding of Clarks and Bridge properties in the first half of this year. I mean, that's like 5 hotels a month, more than a contract a week. We have opened 2 hotels a month without the Clarks and Bridge. If we add that, we have opened almost, one hotel a week. There's 26 hotels open. So there are 52 weeks. And the first half is 26 weeks. I think that we have achieved not only because you go and you give favorable terms, it's also the power of your brands, is the power of the group we belong to, is the kind of level of ethics we maintain. I mean, there are so many compelling reasons and also our ability to also use our capital , if need be, many times we can do many things which others may not be able to do. We are also sitting on almost 3000 crore cash as we speak. So there is a lot of opportunity. This is how we were able to do an M&A activity, where you don't have to take on debt. And all the properties that we are opening, all the renovations we are doing is all from internal accruals.
Ankur Dalwani: I think it's fair to say that, Achal, just to add to that, that we announced, when we announced the ANK and private transaction, I think we did make a statement that in a wayit's the beginning of the inorganic journe y, which, I don't think it's stopping at this transaction. It'll sort of go from here and hopefully do more stuff in the coming quarters. And I mean, there are opportunities, even in this market, which are interesting and make sense for us to do.
Achal Kum ar: Right. Fair enough. That's fine. At this point, I am not sure if you can give any color, while we are talking about the class and the deal to close in this quarter. Sort of what kind of revenue in and EBITDA or what kind of profitability if you can, an y line, what are you expecting for, say for example, full year next year?
Ankur Dalwani: I think we did give some color when we announced the transaction. I think nothing has changed since then, because since we mentioned that transactions are not yet clos ed. We are in the early stages of figuring out the integration plan and we have identified , which will migrate to, to Ginger and then figuring out the best time to initiate the conversations with owners. I think the right year to look at this will be proba bly be FY28, because next year will really go under integration. And, I think also it's a function of what, how many hotels we can migrate from

management contracts to revenue share model, which is one of the things we talked about. I think medium term, we are looki

ng at about Rs. 100 crores getting added from this portfolio without doing too much heavy lifting. And if you're able to swing a few of the hotels into revenue

share model, then that could actually get, that could be on top of the 100 crore number I mentioned.
Achal Kumar: Okay, fair enough. And then coming back to slide 29, I think Puneet has explained enough, but, just to take a bit of deep dive here, I mean, so Mumbai you're at 84, Kolkata you're at 83 , and most of the cities you are at cl ose to 78 % or 80%. So now you mentioned that when hotels reach at this level, I think there is significant growth potential for the ARRs. And now just now Puneet said the last year was exceptional because we had a wedding in Mumbai. So I guess, I mean, since the rates were, so sort of since the occupancy was high, the rates must have been high. So now if your rates for last year was high, I am assuming, then your RevPAR growth was 2%. So should we assume that since the rates were already very high, we shoul d not expect significant growth in ARR from here on? And then secondly, because all these properties are all the cities in this chart showing 76 %, 78%, 80%. So how should we think about it? Going forward, do you think you can take these occupancies to 100% , 95%? Or do you think occupancies might not grow significantly, but we have the strong potential for ARRs to grow maybe 25% or something like that? So how should we sort of think about the economics here?
Ankur Dalwani: I mean, without getting into s pecif ics of each city, I think Achal , if you think about the demand supply situation, particularly in the larger cities, and you're well aware of the upcoming supply in Bombay -Delhi -Bangalore, or Calcutta -Chennai, you can actually figure, you can see the demand supply dynamics in these markets, which will point to the fact that ARR pricing power continues to be there, given the background what we have, right . So I think that's the key backdrop to think about. And even I think in this quarter, I think we ma de a note somewhere in the H1, which went away, it was basically the weaker MICE segment, which impacted the revPARs . Adjusted for those, actually, it was almost a 9 % to 10% growth. So I think it's also the quality of business, which you sometimes get, and that does get impacted by wedding dates moving from Q1 to Q2 or Q2 to Q1. And that's why looking at this on a little bit of longer time period makes sense. And in that time period timeframe, a little bit of a longer timeframe for a full year or the next 1 2 months, we don't think there's any pressure on ARRs coming up in these markets, they continue to be resilient. And it's a question of, some of the headwinds sort of getting behind us, which is already, I think we are seeing the business on books in Nove mber sector being very strong. And I mean, October had Diwali and Dussehra both out of the way. So that's in a way out of the window. And then November looks very clean and looks very strong.
Achal Kumar: Perfect. My last question is around the CAPEX . So y ou mentioned that you are investing Rs. 250 crores in renovations. Now, how much have you already completed? How have you invested in H1? And how much are you going to invest in H2 on renovations? But apart from the renovations, what is your total CAPEX you're expecting for full year this year, current financial year FY '26 and maybe FY '27, if you please guide.

Ankur Dalwani: So H1, we've said we've done about close to Rs. 475 crores, which included money spent on green field as well as money spent on what w e call routine renovations and special projects, which are basically IT -led projects. So it's about Rs. 230 crores -Rs. 240 crores which is spent on renovations, roughly equal between the two categories. And in that category, if you look at, if you look at renovation, that

would be again be like half of that number. So that's the broad picture for H1. And for the full year, we are expecting, like I said, between Rs. 1000 crores to Rs. 1,200 crores to be spent on CAPEX , because a lot of the green field pro jects will also step up now in H2.
Achal Kumar: Right, and any guidance for FY '27, please?
Ankur Dalwani: FY'27 is a little early, but I think in general, we've said over the next few years, we would spend about Rs. 1,000 crores on average. And I think tha t that is pretty much the guidance, because when we get down to budgeting, because it will be very specific to the Greenfield projects, if Bandstand is to go full steam, then we may end up spending less, more in FY '27. But you should assume anywhere betwee n Rs. 1,200 crores for next year as well.
Achal Kumar: Okay, perfect. Thank you so much.
Ankur Dalwani: But the good part is, A chal, is that even with those CAPEX , you know, our free cash flow is strong enough, the annual free cash flow is actually strong enough to take care of that. So we don't see any stress as far as balance sheet is concerned.
Achal Kumar: Right. Okay, perfect. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Sam eet Sinha from Macquarie. Please go ahead.
Sameet Sinha: Thank you. So renovations, obviously is a big part of the commentary this quarter. Can you give us a sense of once the rooms are renovated, put back into the market , what sort of ARR and occupancy uplift do you see in those properties . Second question is around amã and Tree of Life, if you look at your portfolio, these are the ones which look, in theory, look subscale. Can you

talk about the structure around them? I am trying to figure out what the margins can get to your standalone obviously, very nice at 40%. But these two, do they n eed to become much bigger to get to those sort of margin levels because of pricing power? Or do you have shared resources, so you can get those margins also up to the similar levels? And then I will have a third question later.
Puneet Chhatwal: Very good c omment, because yes, they have shared resources. They all sit in a vertical called new business. And scale is critical. We had a little slowdown in the growth of amã a few quarters ago, but the last six months have been very good. But we need to get to min imum 1 ,000 to really say that this is like a good contribution because it's all on a fee -based capital light model. We

take 15% plus 3% marketing, 15% of the topline. So that's about the amã. And Tree of Life, we will scale it up to 100 hotels. That's the guidance we have given. We stand by it. But our current focus has been more on Ginger getting it to 250 and Gateway to 100. Gateway has reached 40. But Tree of Life will keep growing. And then suddenly it will accelerate. We cannot accelerate on all brands at the same time.
Sameet Sinha: Sure. My f irst question was about renovation. Can you talk about that? How much is the ADR…?
Puneet Chhatwal: Renovations, you can easily assume that any renovations like the one in Taj Palace should give you an uplift in ADR. In the second half, the Taj Palace versus second half last year should do over all the rooms, not just the renovated rooms, an ADR which is minimum 12% to 15% higher than last year.
Sameet Sinha: That's interesting. And how about occupancy? I mean, th ese are popular hotels to begin with.
Puneet Chhatwal: Occupancy is at the same level. There is no drop in the occupancy. We are basically looking at a top line increase. That's how it works. Whether it's that one or it's President in Mumbai or We st End in Bangalore, in all the major metros or key destinations, renovations have a direct correlation with the average achieved rate and your leadership position in the market.
Ankur Dalwani: That makes sense. Final quest

ion. Can you give me the ARR and occupancy rates for the quarter?
I think what you have in the deck is primarily first half. So I just wanted to be sure I have the right numbers for the second quarter.
Ankur Dalwani: Yes, I think like I mentioned, H1 is more representative of the performa nce, but we can figure out from the numbers, the overall numbers, what would be for the Q2. For console, it's about 9% whic h you see for H1 and it was mid -single digits for Q2. That's what would be for Q2.
Sameet Sinha: Got it. Thank you very much.
Moderat or: Thank you. Our next question comes from the line of Prashant Biyani from Elara Capital. Please go ahead.
Prashant Biyani: Thank you for the opportunity. Sir, for the hotels mentioned in slide 21, what would be the year of opening for those?
Puneet Chhatwal: 21 or 20?
Prashant Biyani: 20.
Puneet Chhatwal: The first one that will open will be MOPA . That's 275 keys. And the rest is more than 3 years away.

Ankur Dalwani: Right. And for the corporate bookings, the pricing right now is still at fixed price for few hotels or it is entirely based on BAR minus certain discount?
Puneet Chhatwal: It's based on BAR.
Ankur Dalwani: With the exception of few very large accounts, we moved largely to dynamic pricing. And that's been an ongoing journey with the smaller corporate accounts or t he mid -size corporate accounts.
Prashant Biyani: Right. Sir, since it is already on BAR now, so what kind of rev bar growth do you envisage for our key hotels next calendar year?
Puneet Chhatwal: We have been saying that almost 10% is the right way to look at it. And anything which is north of 10 is what we would like to see.
Prashant Biyani: Sure. That is from my side. Thank you so much.
Puneet Chhatwal: Thank you.
Moderator: Thank you. Our next question comes from the line of Sumit Kumar from JM Financial Institutional Equity Securities. Please go ahead.
Sumit Kumar: Hi. Good evening and thanks for the opportunity. My question is also on slide n umber 28 or 29 of the PDF. If I look at the first quarter numbers, the RevPAR growth was in healthy double digits for even Chennai and Hyderabad. But it seems like they too have sort of slowed down in the second quarter. It's the general slowdown or is the re anything specific to these cities? And also for Rajasthan, the occupancy is 45. So is there something in that as well?

Ankur Dalwani: Rajasthan, this is basically what it is in H1 typically. So there's nothing unusual about that occupancy level. It's H2 when they really shoot up on occupancies. And as far as Chennai and Hyderabad market go, I think they were, even Q2 was pretty strong for them. I think with the exception of Bombay, Delhi, which were the two markets where we did have comp challenges and r enovation projects, both in these two markets. I think with these two exceptions, I think everyth ing else was pretty much to mid -single digit to double digit markets. Bangalore was healthy double digits. So was Hyderabad and so was Kerala. And some of the other markets were high single digits, which you talked about Chennai, Calcutta.
Sumit Kumar: Okay . And on the standalone numbers for H1, room revenue grew by 2%, but the RevPAR was up by 5%. I guess that's the impact of the renovation?
Ankur Dalwani: That is right.
Sumit Kumar: Okay. So that's all from my side. Thank you.

Ankur Dalwani: Thank you.
Moderator: Thank you. Our next question comes from the line of Sr eetika Ray Mohapatra from JP Morgan. Please go ahead.
Sreetika Ray Mohapatra: Thank you for the opportunity. I just wanted to understand. So all of the renovations that were planned for the year have concluded as of now. You already mentioned a couple of properties which would eventually come into the

, come into operation . So apart from those, there's nothing else pending that we need to think of in the standalone business when it comes to being out of the base?
Ankur Dalwani: I think like we said, with the exception of 25 -30 rooms at Taj Palace, which are expected to get delivered in the next few weeks, next couple of weeks, everything else is sort of out of the picture as far as the domestic market is concerned.
Sreetika Ray Mohapatra: Our second question, not related to earnings, is there's a bit of news flow around the JW Marriott Bangalore being up for sale and IHCL's involvement as part of it. So is there any M&A activity that you are looking at in the context of picking up such assets? Is this being considered?
Puneet Chhatwal: You know, we look at all opportunities that are available because of course, we have the means, we have the cash, we have no debt. If anything is value accretive, we will look at it, not of this asset in Bangalore, it could be anywhere and it could be even a new line of business. We have got used to working on a multi -brand strategy. Our brandscape is very divers e today. So people have become very experienced in doing this. So if you're adding something to a Taj brand is very easy. If you're adding something to Ginger is very easy. If you have to also start something new, a totally out of box like a Qumin or amã is also possible. So there's a lot of confidence and fortunately, since we started all these businesses, there is not even one where we have burnt cash. You know, they have all been positive from day one and we would look at any possible opportunities, whether single asset, multi -asset, small chain, medium -sized chain, that's what we did with the ANK and Pride also. So we would look at every possibility, but it has to come, i t has to integrate either with us under one of our existing brands or something new that we may start. We are not interested in owning other brands or other assets or run by other people.
Sreetika Ray Mohapatra: Thank you for that. Just to also follow up o n that , in terms of the brand growth, you did speak about, Ginger being a major focus area. So is there going to be more activity like we saw with the Clark's portfolio happen more for a particular brand, say for a Ginger, since that is a portfolio that you intend to grow quite sharply, or you have you know, ongoin g thoughts for other brands which are not as scaled up at the moment, but can get an increment.
Puneet Chhatwal: The way to look at it is a bit different. Scale is critical to brands in the positioning of Ginger. Scale is not that critical in luxury at tha t level. So we have 137 hotel portfolio. If you look on slide 9, under Taj. N ow as a luxury brand, I don't know of many brands in the world today,

maybe with the exception of two other brands, which would get to 100 plus in luxury segmentation. So, but in order to become a very strong player in the positioning of a G inger or a gateway, you need to have scale. So scale's relevance comes in, is driven by the positioning of the brands. We will always focus on a Taj. One good Taj property can give us so much mo re in fees and so much more in operating leverage if it was owned versus a Ginger, but we have also seen that one Ginger Mumbai airport can turn the fortune of a Ginger brand completely.
So that's a growth is an art and a science which is driven by geograp hy, by brand and by contract type and that's what we try to do. There is not like we will today, now we wake up and we say we will focus on Ginger for one week and then next week we go to Taj. It's not done like that.
Ankur Dalwani: And I think for Ginger also, I think for the moment we have to integrate the incoming acquisition.

So I think that's the focus for the moment?
Sreetika Ray Mohapatra: Thank you. That's all from my side.
Moderator

: Thank you. We will take the last question from the line of Vaibhav of from YES S ecurities.
Please go ahead.
Vaibhav: Hi, thanks for the opportunity. My first question was on our recent openings. We recently opened Ginger and Vivanta in Ekta Nagar. So I just wanted to check how has been the early trends in terms o f demand and where do you see the scaling up over the next two quarters? Secondly, related to for class portfolio where we have opened around 649 keys, we have tied it up with the selec tions brand. While we had earlier mentioned that most of the portfolio would be rebranded under Ginger portfolio. So just wanted to get clarity on that front. And regarding the Frankfurt property that's planned to be opened in Q4, what kind of revenue or EBITDA contribution do you expect from this property?
Puneet Chhatwal: See, the Frankfurt property will open around in March. So we will have the in the Jan call, we can give you more detail after the Q3 meeting as we will get closer to the opening. On the Clark 's part, the Clark's, the four Clark's branded hotels, which are part of UP hotels is in slide 41. It says these are UP Hotels is a listed entity, which runs these four Clark's hotels as a n upper upscale brand. They are not mid -scale. These are traditional Clark's Am er, Clark's Shiraz, Clark's Avadh . These are very iconic assets in those markets for several decades. With them, we have done a separate distribution sales and marketing agreement and that's why they are under selections brand. The ANK and Pride portfolio that has Clark's Inns, Clark's Suites, Clark's Resorts, they will be the majority of those 80 % to 90% of those will be the ones which will migrate to Ginger upon the completion of that deal, which is expected to happen before the end of this qua rter. Does that answer you r question?
Vaibhav: Yes, that makes it clear. Just regarding the Ekta Nagar properties, how has been the early demand trends?

Puneet Chhatwal: Ekta Nagar, it is too early because it's been open for a few weeks and in that there were 5 -6 very good days because of the hype around Ekta Diwas. But then there were two not so good days because of the VIP visits for the Ekta Diwas. The hotels are very good locations. So, not everybody could get there unless you had a n absolute sec urity clearance and a special color on the car. So, you could not get there. So, then on the 30th and 31st and 1st the occupancy dropped there significantly. But the general expectation from that market is that both these hotels will do very well from a le isure perspective as almost 50,000 to 100,000 people are expected every day to visit Ekta Nagar. I have been there twice and on both occasions, I saw these kinds of numbers and the queues to go up in the Statue of Unity. And there is more to do. It's not j ust the Statue of Unity. They have made a zoo, they have made a butterfly garden ; they have many, many other things, a spice garden. So, it's not just that there is a statue out there, they are building the whole infrastructure so that people have other th ings to do in Ekta Nagar. So, normally, given the size of the properties, given the positioning, it's not luxury, it's a Vivanta and a Ginger, not very large. So, I think they should do very well.
Moderator: Thank you. The line for the current participant has been dropped from the queue. So, I now hand the conference over to Mr. Puneet C hhatwal for closing comments.
Puneet Chhatwal: Well, thank you everyone for joining the global conference call today and we look forward to speaking and interact ing with you with the next quarter results in the month of Jan. Thank you and have a very good evening.
Moderator: Thank you. On behalf of Indian Hotels Company Limited, that concludes this conference. Thank you for joining us and you may now disconnect yo ur lines.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

May 14 , 2026

The Secretary, Listing Department The Manager, Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C/1, G Block
Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
Mumbai – 400 001 Mumbai 400 051
Scrip Code: 500850 Scrip Code: INDHOTEL

Sub: Transcript of the IHCL Global Conference Call (Earnings Call) for the quarter and financial year ended March 31, 2026

Dear Madam, Sir,

Pursuant to Regulation 30 of the S ecurities Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the IHCL Global Conference Call (Earnings Call) for the quarter and financial year ended March 31, 2026 held on May 11, 2026.
The above informat ion is also being made available on the website of the Company at https://ir.ihcltata.com/media/ydlpcwui/ihcl -earnings -call_q4fy26_transcript.pdf

This is for your information and records.
Yours Sincerely,
For The Indian Hotels Company Limited

Melisa Alva
Senior Vice President & Company Secretary
Mem No: A34774

Place: Mumbai

“The Indian Hotels Company Limited
Quarter and fiscal year ended 31st March 2026
Earnings Conference Call ”
May 11, 202 6

MANAGEMENT : MR. PUNEET CHHATWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – INDIAN HOTELS
COMPANY LIMITED
MR. ANKUR DALWANI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – INDIAN HOTELS
COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to The Indian Hotels Company Limited Earnings Conference Call for the Quarter and Fiscal Year Ended 31st March 2026. On the call, we have with us Mr. Puneet Chhatwal, Managing Director and CEO, IHCL; and Mr. Ankur Dalwani,

EVP and CFO, IHCL. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please si gnal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Puneet Chhatwal. Thank you, and over to you, Mr. Chhatwal.
Puneet Chhatwal: Good evening, everyone, and thank you for joining our conference call for Q4 and FY '25 -'26.
We are pleased to inform you that we have continued our record performance for the 16th consecutive quarter, driven by sustained strength in our core business whil e building scale with profitability.
Let me start with why we think this was an important year, the FY '26. We also call it the year of strengthening the foundation. It was an important milestone year for IHCL, where we built the foundation for the next phase of growth, strengthening our bran dscape, enhancing resilience, scaling our platforms and investing in capabilities that will make IHCL future -ready. Despite a year marked by multiple macroeconomic headwinds like geopolitical conflicts and weather - related disruptions, IHCL continued to de liver strong performance with consistency and discipline. This reflects the structural strength of our business model and the agility of our teams across markets.
Over the last year, we have focused on building three defining attributes of the IHCL ecosystem.
Number one, the word which I've just used often at the beginning of my speech, that is, resilience through a diversified portfolio across segments, markets and business models, allowing us to deliver consistently across cycles. I call it also resilience by brand, by contract type and by geography.
Number two is scale through accelerated portfolio expansion, strategic acquisitions and strengthening, most important, strengthening our management -led growth platform or capital - light growth. Number three, future readiness by investing in new brands, digital capabilities, refreshed assets and emerging hospitality formats that position us for long -term relevance.
Together, these three pillars have laid a strong and enduring foundation, one that now allows us to transition confidently into our next phase of sustainable growth at scale.
Now we should move to what built this foundation. Our business today is structurally more diversified with leadership positions across both luxury and mid -scale segments. Our capital - light strategy continues to be a defining competitive advantage with 68% of our operating portfolio and 93% of our pipeline under managed or asset -light formats. This enables disciplined expansion with superior returns.

Even as we invested meaningfully for future growth, we delivered EBITDA margin of 35%, reflecting operating discipline and structural efficiency. Our balance sheet remains exceptionally strong with gross liquidity of over INR4,300 crores, giving us significant flexibility to pursue both organic and suitable inorganic growth opportunities.
Over the last 3 years, we have invested over INR2,500 crores in capital expenditure to strengthen our iconic assets and enhance strategic capabilities. As we have mentioned over the last several years, asset management was, is and remains a key focus area for the asset -heavy part of our portfolio. Even going forward, we will continue to invest INR1,000 crores to INR

1,200 crores
annually to strengthen our existing competitive advantages and at the same time, build new ones.
Alongside this, we deployed over INR500 crores across four strategic acquisitions, expanding our presence into high -growth adjacencies and strengthening future revenue streams.
Importantly, our newer and emerging brands are now reaching meaningful scale and are well positioned to increase th eir contribution to enterprise revenues from the current 10%. Taken together, these actions have created a business that is not only resilient in the present, but increasingly scalable and future -ready for the opportuni ties ahead.
What are the future -ready building blocks in place? That's my point number three. Before we move into detailed performance review, it is important to highlight the structural building blocks that position IHCL for sustainable long -term growth. Over the las t few years, we have consciously built a diversified and resilient ecosystem, one that combines scale, brand strength, operational excellence and institutional capability.
Let me start with diversified brandscape. Today, IHCL has one of the most comprehensive hospitality brand portfolios in the country, spanning luxury, upper upscale, upscale, mid -scale and emerging lifestyle segments. This multi -brand architecture allows us to participate across consumer segments, travel occasions and price points.
Number two, portfolio and pipeline. With over 630 hotels, 64,000 -plus keys in the portfolio, we continue to scale with discipline through a strong mix of managed, leased and owned assets,

creating long -term visibility with capital efficiency. Along with ou r 375 -plus Ama Villas, Ama , which is our homestay brand, our portfolio has now crossed the milestone of 1,000 units when combined with 630 -plus hotels portfolio. As mentioned earlier, our pipeline remains strong at 31,000 -plus keys and continues to be lar gely capital light.

Number three, our people and our culture. Hospitality at its core remains a people -led business. Our greatest strength lies in our 50,000 -plus associates who bring excellence to life every day through trust, awareness and joy, T -A-J or what we proudly call Tajness, consistently delivering exceptional experiences across brands and markets. The trust, awareness and joy is a common culture and core values that we have put to all brands, and we don't use anywhere by Taj or a bit of Taj as a prefix or suffix in any of the brands because we do believe core values is what drives your business, which drives your resilience and which drives profitability.

Number four, owners and partners. Over the years, we have built deep and trusted relationships with owners and stakeholders across the ecosystem. Our ability to create win -win value

propositions through scalable operating models continues to drive strong signings momentum and long -term partnerships. We have now 40 -plus owners who have trusted us with more than one asset in our 630-hotel portfolio.

Number five, customer and loyalty. We continue to strengthen guest engagement through our expanding loyalty ecosystem, digital platforms and partnerships, enabling deeper customer connect, higher repeat business and improved customer value proposition. Finally, enterprise resilience. We have significantly strengthened institutional capabilities across governance, digital infrastructure, risk management and operational processes, creating a more agile, resilient and future -ready organization. Collectively , these building blocks provide the foundation for sustained growth, stronger margins and long -term value creation.

Now is the time to come to Q4 performance highlights. Let me now begin with Q4 performance highlights. On a consolidated basis, revenue for Q4 '25 -'26 grew 14% year -on-year to INR2,845 crores, EBITDA grew 15% year -on-year to INR1,

052 crores, yielding EBITDA margin of 37%.

Our consolidated PAT before exceptional items grew 14% year -on-year to INR600 crores. Our stand -alone performance in Q4 was also the best ever with industry -leading 12% growth in RevPAR.

This resulted in overall revenue growing to INR1,721 crores and an EBITDA margin expansion by 160 basis points to 49.5%. Stand -alone PAT before exceptional items grew 15% to INR569 crores, taking PAT margin to 33.1%. Other parts of our performance highlights for FY '26 is that on a consolidated basis, revenue for '25 -'26 grew 16% year -on-year to INR9,971 crores, EBITDA grew 16% year -on-year to INR3,477 crores, yielding EBITDA margin of 34.9%.

For the first time ever, we crossed milestone of INR2,000 -plus crores in profit after tax. On a stand -alone basis, revenue grew 10% year -on-year to INR5,640 crores, EBITDA grew 13% year-on-year to INR2,543 crores, yielding EBITDA margin of 45.1%, an expansion of 120 basis points year -on-year. Stand -alone PAT grew 14% to INR1,632 crores, taking PAT margin to 29%.

What is important is to step back and reflect on our growth journey over the past 4 years. We have delivered a double -digit CAGR across revenue, EBITDA and PAT on both a consolidated and stand -alone basis. This underscores the consistency, quality and the structural strength of our business model. Let me move on to the new businesses, which are at an inflection point. Our new businesses vertical comprising Ginger, Qmin, Ama, Stays & Trails and Tree of Life delivered 25% growth in FY '26. This resulted in a consolidated revenue of INR753 crores. Over the past 4 years, the new businesses vertical has delivered a CAGR of 31% growth, reflecting the strong momentum and successful scaling of our high -growth brands.

The flagship Ginger Hotel at Mumbai Airport crossed the milestone of INR100-plus crores in revenue for the first time, while delivering an industry -leading EBITDA margin of 56%. Qmin expanded its footprint to 100 -plus outlets, while Ama crossed the milestone of 375 bungalows in its portfolio with 85 villas signed during the year. Qmin also on a GMV has crossed almost INR200 crores last year.

We have never left our focus on asset management and investment. On the contrary, we remain committed to investing in our assets and building our capabilities for the future with strengthening our competitive advantages. IHCL in FY '25 -'26 spent over INR1,000 crores

towards capex , out of which around INR650 crores was used for renovations, routine maintenance and digital initiatives, while the rest half was used towards greenfield projects.
Coming on to dividend payout. Our strong and consistent financial performance has enabled us to continue enhancing shareholder returns while maintaining a disciplined approach to capital allocation. Reflective of this sustained performance, the Board has p roposed a dividend equivalent to 25% of consolidated PAT amounting to INR3.25 per equity share, subject to shareholders' approval.
This includes a one -time special dividend of INR0.50 per share to commemorate IHCL's landmark 125th AGM as well as the exceptional gains realized during the year. The proposed dividend of INR3.25 per share represents an increase of approximately 44% over the dividend of INR2.25 per share declared in FY '24 -'25. More importantly, over the last 4 years, IHCL has delivered a dividend CAGR of 48%, reflecting both the strength of our cash generation capabilities and our commitment to delivering long -term value to shareholders.
As we move now to FY '27, we do so with immense confidence and strong momentum. The foundations built over the past few years position IHCL well for the next phase of accelerated growth. In conclusion, in FY '27, we expect 60 -plus hotel openings across brands and geographies. Number two, our recent acquisitions are

expected to contribute over INR250 crores
in incremental revenue. Number three, Ginger and the mid -scale platform continue to strengthen our leadership position in a structurally underpenetrated segment.
As I mentioned on a few occasions, we expect the Ginger brand itself to have a total portfolio of 250 hotels either under development or in operation at the end of FY '27. Number four, renovated inventory across key assets is expected to create further ups ide through improved pricing power and guest experience. Finally, industry fundamentals also remain favourable , supported by resilient domestic demand and limited incremental supply across key markets.
On the outlook, as we look ahead to FY '27 and beyond, we remain confident of delivering double -digit revenue growth with sustained margins, strong cash generation and improved quality of earnings. Our ambition is not only to grow larger, but to build one of the most admired and future -ready hospitality ecosystems around the globe. With strong foundations in place, disciplined execution and a clear strategic direction, IHCL is well positioned to continue creating long-term value for all stakeholders. Thank you very much for listening, and we will now be happy to take your questions.
Moderator: Your first question comes from the line of Sumant Kumar from Motilal Oswal.
Sumant Kumar: So, can you talk on the current scenario, how the city -wise impact or any benefit of, say, lowering outbound? So how is the scenario for the hospitality industry?
Puneet Chhatwal: Sumant, just help me clarify. You mean because of the West Asian crisis or you mean because of the comments made by some leadership or by the Prime Minister or -- I can't follow because

we are having business as usual. Dubai is down. Maldives is down. London is okay and domestic is very strong. So, it's a very simple answer.
Sumant Kumar: What about the current scenario, say, in the month of, say, April and the current month, how is the business considering current scenario?
Puneet Chhatwal: The business was a bit sluggish. I would say March was a difficult month. Beginning of April was difficult. Middle of April came the stability. Since then, we are seeing strong growth. But there is months and weeks. I think it's important to state what we just said in terms of our outlook.
We remain fairly confident that we will again deliver double -digit growth between 12%, let's say, and 14% in the FY '27 fiscal.
And should everything subside in West Asian crisis, you could expect more of the figures in line with what we had in the last financial year, which was not easy either because we started with Pahalgam in April, Sindoor in May, airline accident in June. You can go on and on and finish the year with the West Asian crisis. So, I don't see any reason, especially in light of our not -like-for-like growth that we should be able to do double -digit top line growth.
Sumant Kumar: And when we see the subsidiary performance, consol minus stand -alone overall operating level, we have seen a subdued performance. So which geography has done better, say St. James or U.S., how is the performance in this quarter?
Ankur Dalwani: Ankur here, you're talking about Q4?
Sumant Kumar: Q4.
Ankur Dalwani: Yes. So , Sumant, I think Q4 kind of reflective of the full year trends, which you saw on the slide we put out. So , there was definitely impact after the West Asia conflict in the global market. So, we did see some loss of revenues in some of our hotels internationally, including London. And that's what we tried to summarize also on the slide on impact of the West Asia conflict, about INR40 crores to INR50 crores of revenue on the consol basis and almost close to INR100 crores

on an enterprise basis, which got impacted because of cancellation and reschedulement of events, which were kind of last-min

ute cancellation, which came through.
But I think the good thing about this is that domestic has been pretty resilient. And even in the month of April, domestic has actually done quite well. It's pacing quite well, keeping in mind that international travel is kind of subdued right now. So, let's just see how the quarter goes. Overall, we think double -digit growth should be possible on the line, which was just guided by Mr. Chhatwal.
Moderator: Your next question comes from the line of Shaleen Kumar from UBS India.
Shaleen Kumar: So, when I was looking at your presentation, and I was looking for the city -wise performance for FY '26, I think there's a big variation we can see like 5% to something like 15% kind of a growth, right? That's the kind of variation in FY '26. So, is there any market where you're looking that the trend will change, for instance, Mumbai or Goa? You're looking at your base is

favourable or there's something else is happening where those cities can help you achieve your double -digit growth guidance? So that's question number one.
Puneet Chhatwal: Good question, Shaleen. I think half of it you answered. Mumbai, the base is very high. So, it's difficult to get to 15% growth. But Goa, we have seen almost in the month of April north of 25% growth in all our hotels. Some have gone to 30% and beyond. So, averaging at 25%. Goa is definitely back since the last few months, March and April, and the trend is not changing. Kerala could improve and Chennai could also improve. But Delhi had a very good year last year. So, Delhi and Mumbai have a high base.
Shaleen Kumar: Okay. Actually, I thought you will say Mumbai because I think there was some renovation happening, right? So , I thought that Mumbai can...
Puneet Chhatwal: Yes, you're right. In President, we had renovations. So, President will show an exceptional gain, but Lands End has been operating consistently at 90% plus occupancy. So only rates can go up. And we have -- if we, on a very high base, if you do high -single -digit is good. If you do 6%, 7%, 8% on a 20,000 RevPAR is as good as you do 15% on a INR10,000 RevPAR.
Shaleen Kumar: Then there is actually a fundamental question because that -- why are you operating at 90%? Like I know this is a very basic question. I'm asking like why don't we see that let's increase the rate by more and maybe operate at, let's say, 80%, 85%? Or do yo u think no, 90% is better rather than keeping the rate where they are? I mean I'm asking that even 90%, you have a lot of pricing power, isn't it?
Puneet Chhatwal: Yes, I don't disagree with you, but we prefer to do both, increase the rate also and the occupancy also. So that's what we have done. If you go back 4, 5 years back or even 6, 7, if you look at the rates or the RevPAR together, it's more than doubled in ou r main hotels in Mumbai. So, we also need that because in India, you make money on food and beverage. And more of the people staying in hotels eat in hotels.
So, I think that's also important to find the right balance. Given my experience, personal experience of the West, you look more at only rate and occupancy because F&B is not profit - making in most of the Western parts. So that's a different way of looking at it.
Shaleen Kumar: Fair enough, sir. Just one last question on your guidance. Let's, if we work with even 12% for, let's say, you were able to target 12% in FY '27. How should one think about breaking that growth? I mean, how should I think about RevPAR or ARR plus occupancy plus the new asset contribution plus anything else? Is there a possibility to give a broad breakup, even a range is fine. It will help us to think and conceptualize like what kind of a growth we are looking at on various parameters.
Puneet Chhatwal: See, if we take your example of 12%, it would be fair to say that 4% to 5% will come fr

om new
businesses and not -like-for-like growth because we'll be opening 60 hotels. And then we have Atmantan, all these new businesses that we have added. If only 7% is left to come from the rest, it would be fair to say occupancies are at a very high level. So, you could have most of the growth coming, which is driven by rate only.

Ankur Dalwani: So, I think we've maintained, Shaleen, consistently that on a sustained basis, high single digits, let's say, anywhere starting from 7 -ish going up 8%, 9% depending on the hotel and the region and the quarter you pick. That's the kind of range for like. And t hen, of course, you could have

quarters when you end up doing double -digit like we did this quarter. So that is a positive surprise. We did 12% on stand -alone, as you saw from our announcement.
So that's the endeavour to push it up. But I think if you want to look at like a 1- or 2-year horizon, I think that's a safe assumption, we'll be in this mid -plus to going high -- close to high single digits. And then, of course, the good thing is our pipeline is very real. It's not a pipeline which is not converting to opening. So, you see a consistent trend of hotels moving from pipeline into openings. And then, of course, that keeps on chugging the management fee income, plus also whatever keeps coming on our balance sheet.
So Ekta Nagar full year benefit should come through. Frankfurt is a bit delayed. We expect it to open in June now. And that's also, in a way, it's good because of the situation the way it is. It also helps from that point of view. So, we'll get the benefit of that in this fiscal year. And then the rest of the hotels which will open on management contracts and the Ginger leases will add to the not -like-for-like growth.
We also have the acquisitions to hopefully fire, Atmantan, etcetera, is doing very well. And I think that -- as well as the ANK & Pride integration is going very strong. So, from a business perspective, our sort of endeavour is to ensure that we are able to integrate the brand portfolio in this fiscal year and therefore, get the benefit of that, let's say, towards the second half of this fiscal year.
Shaleen Kumar: So, sir, is it fair to assume then that 12% to 14% bridge, then a lot will basically then if we're looking at ARR from 7% to 9%, that's where the needle will move, right? So we can work with the base case of 7%.
Ankur Dalwani: Yes, that's right. I think -- these are the tailwinds and are also a little headwinds, as you know, because of the West Asian conflict. So, there is, right now, the international hotels are a little bit subdued performance. We saw that in April. And so, we are also watching the situation carefully.
We have -- fortunately, Dubai, we don't own hotels. But it's still painful to see what's happening there as well as the impact of both Indian travellers as well as transit hub, Dubai being a big transit hub impacting our hotels in London and some of the other markets.
Moderator: Your next question comes from the line of Prateek Kumar from Jefferies.
Prateek Kumar: My first question is on your foreign tourist mix. Have you seen any change in your foreign tourist mix in the past say 2, 3 months? Also, a related question is like on currency depreciation. So, this is more like a technical question. When a foreign tourist is booking on your portal, he or she will be like looking at a lower rate now with currency depreciation so sharply? Or like -- I mean, my question is regarding your rates on your portal are rupee -denominated or dollar -denominated?

Ankur Dalwani: So, they are rupee -denominated. I think that's a decision we took a few years back. So that remains the way it is. We do get the benefit of rupee depreciation in two ways. One is, of course, our int

ernational hotels translation happens at the average exchange rate for the period. And the second is, of course -- in a way, it also this -- rupee depreciating in a way makes it more expensive for people to travel abroad. So domestic tourism, and that's one of the trends we have seen both in March, April, and that I think will continue for the year. You have drive vacation, drive -to-vacation and consolidation of MICE towards domestic resorts.
I think that's a strong one, which we expect that trend to continue in this fiscal year. On your other question, Prateek, on the percentage of tourists, I think it's not moved dramatically at least for the fiscal year. As we had mentioned earlier, it's close to 30% for stand -alone is what we call foreign tourists or people who are having forei gn passports. And that is slightly lower for the enterprise because, I guess, the stand -alone has hotel in the bigger cities.
So that number is pretty much consistent for the year. We'll see the trend, how it continues. But I think the good part in all of this is the domestic tourism is holding up. The domestic travel has held up quite nicely and which is supporting us.
Puneet Chhatwal: If I may add, Prateek, the foreign tourist arrivals remains a hidden upside in perpetuity. We are all waiting for it. But one day, it will come. And it will come by leaps and bounds and then that will help us compensate. But it's at the moment challenging. The flying time is longer. But the currency, as you said, that will help in choosing India as a destination. And a lot of connectivity was happening through the Gulf with the airlines the way they are, which has also moved the pricing of the tickets very expensive on other airline carriers.
So, it should normalize. And at some point, I think we will have some good campaigns on India as a destination. And we are doing our bit, as you know, at different trade fairs and which we will keep doing. But it remains a hidden upside in perpetuity.
Prateek Kumar: Yes. My question is also regarding like has that number of 30% or slightly lower? Has that changed in like month of March, April, May?

Puneet Chhatwal: Of course. See, but there is one thing which you have to know, which has changed in India. We should not look at foreign arrivals as tourist only. I think we have to coin a new term called foreign business arrivals. Whether they come for AI Summit or they come for now the Africa Summit, which is going to happen or in September, October, we'll have again a B20 or a G20 kind of event happening. So -- the BRICS, sorry I am saying, not G20, B20, the BRICS in September, October.

So, there is a lot of these events which have moved to India as India has gained economic prominence. So, a lot of delegations keep coming. Just last week was Vietnamese delegation Head of State. And if you start from the month of Jan, you had the German Chancellor and you had the -- December, you had the British Premier, everybody has come in. And it will -- it's something which is not going to stop in foreseeable future.

So, a lot of people who come on business tend to combine other cities for business, and that is helping us. Tourist per se is on a decline and has stayed subdued to less than pre -COVID level.

Ankur Dalwani: And I think it's fair to say that there will be some impact of non -resident guests coming, numbers going down for us. But I think that's being made up at least domestically, we see our numbers in April, they've done quite well. So, I think they're being made up by both the not -like-for-like growth as well as the domestic MICE consolidation.

Prateek Kumar: Sure. One other question on domestic tourism. While you're saying fairly looking like leisure tourism is benefiting. But have you seen any changes in corporate travel slowdown or in terms of the mix of corporate versus leisure, pa

rticularly for domestic?

Ankur Dalwani: Not meaningfully impacting the numbers, Prateek. We will see how it -- we'll monitor in the sense, given what's been announced over the weekend, is there any impact. But as of now, nothing.

Moderator: The next question comes from the line of Achal Kumar from HSBC.

Achal Kumar: So first of all, just going back to your comments about the domestic travel holding up. And I guess, as Ankur rightly said, that must have been replaced by international because international people are not able to travel. So, do you see that sort of has replaced the international completely in terms of volume as well as the pricing? Of course, I believe that international tourism is sort of a high -end of the hotels -- but they stay at the high -end of the hotels. So how do you see the replaceme nt?

And now especially after today's comments from our honourable Prime Minister not to take foreign travel, do you think domestic could actually hold up well and replace the international demand pretty well. Can you please give a bit of a color on that, your thoughts around that?

Ankur Dalwani: So, you're right. I mean there was definitely some displacement. We did -- and I mentioned that in the beginning that on consol about INR40 crores, INR50 crores of impact, which obviously included some domestic impact as well as the international hotels. So, some of it has been a displacement from this quarter to maybe Q1 or Q2 depending on how things shape out. But is this going to continue is something we are also watching.

Now the impact of the recent announcement or the current announcement is something obviously not known. It could be a positive as well because it would just spur more domestic sort of activities in the country. So it's too early to react to that statement, Achal.

Achal Kumar: And especially since Mr. Modi asked for more work from home, going back to the COVID times, do you think that if there is more work from home could increase the length of the stay at your hotels? I mean is there any sort of color from your experience previ ously?

Ankur Dalwani: So yes, I mean, those are all things we will have to just wait and watch. And as to also what shape and form this gets taken ahead and how it is implemented, it's again, too premature. But I think the good thing is that the institutional memory has been bu ilt. COVID is only 4, 5 years back. So , everybody knows what to do if such a situation arises. And we will obviously figure out a way of handling that if it does come to that level.

But if it comes to that, there are various ways of figuring out whether we do more staycations, etcetera, like the same people have long stays or leisure markets can get a fillip. So, it's a little bit of a flux situation, Achal. So , it's very difficult to give an answer to you with some clarity. But I think the levers are there. The teams have seen this situation before. So, we are confident that whatever comes, whatever gets thrown at us, we'll be able to tackle it.

Achal Kumar: Okay. Fine. My second question was around the ARR growth. So, you have given the guidance

of ARR growth of 7% to 9%, say assume 7%. So, is that -- so 7%, I mean, how much of that you think could be because of the changing mix?
How much of that could be because of the revenue management? Are you doing strong revenue management and Puneet spoke about digital. So you're spending a lot -- you strengthen digital. And how much is the underlying ARR you think will grow? So can you plea se give a bit of a color breaking down your 7%, please?
Ankur Dalwani: So very broadly speaking, I think firstly, 7% to 8%, which I mentioned or 7% to 9%, which I mentioned was more on the RevPAR side. So it's a combination of occupancy and ARR and also the F&B side, so more like a total revenue type of same -store growth. Aga in, variou

s levers
exist. Revenue management is clearly a big sort of focus area for us. We have actually invested a fair bit of money behind that by getting some of the latest tools on that front.
And we are seeing some benefit of that actually already come through because what we measure very carefully is what is our RGI relative to the comp set for all the key hotels. And I think wherever we have kind of deployed these tools, you can see that actually in the RGI numbers. Now if the market itself is a bit subdued, then of course, that also shows -- that will get reflected in revenues. But I think the sort of the lead ind icator is RGI, and I think that we're happy to see that we continue to maintain the premium.
And I think this is an ongoing exercise, actually . It's hard to break down that 7%, 8% saying that how much is from absolutely revenue management and inflation. It's going to be a combination of several things: what crew business you take, what you don't, what you decline, etcetera, what kind of events are happening in the city. So, I think it's a combination of several things which actually go into that. It's more of an art rather than a pure science. So hard to pinpoint and say, okay, this is how we will dissect the 7%, 8% number.
Achal Kumar: No. I mean, you're right, Ankur. Why I asked this is because I think -- so in the PPT, you have given 2% crew business. So, I mean, at such a high occupancy level , are you going to do strong revenue management? Are you going to remove the low ARR business?
So, from that perspective, are coming through, and of course, you are spending a lot on digital from that perspective, you are thinking that what space or what sort of leeway you have to play with the revenue management and further increase ARR. And that's ex actly where I was coming from.
Ankur Dalwani: Yes. No, I think that's a good question. We have -- I mean, this is definitely an area for us to keep on improving. Not only -- I mean within this also, you could have different types of -- like MICE is one segment. You could have corporate MICE versus ind ividual MICE.

Transient, we've also got some mixture of corporate transient versus noncorporate transient. So I think those are all levers which the commercial team actually does this for a living, and they do a pretty good job of that. And you can also see on the right -hand side of the chart, how the distribution mix is also evolving with the website investment coming up, and we've seen a gain of almost 2 percentage points. So, all of these goes into getting the RevPAR’s up where they are.
Achal Kumar: Okay. My final question is around the trading in the first quarter, while you've guided for a 12% growth in revenue in FY '27, how the Q1 looks like? I mean, do you see impact in April, May going on from March? Or do you see the sort of booking levels are holding up well? And what kind of business do you see on the books at same point versus last year, please?
Ankur Dalwani: So, I think Q1 has both headwinds and tailwinds. The headwind is, of course, the West Asia conflict, which we have talked about. I think the good tailwind is that we have a good base to sort of work on. And that's particularly true for second half of May and end of -- till end of June. So, I think that will play to our strengths.
I think we should do okay overall. Of course, I think between domestic and international, domestic market will, I think, do much better than international, and that's what we are sort of observing. We think we should be above 12% for the quarter.
Moderator: The next question comes from the line of Sameet Sinha from Macquarie.
Sameet Sinha: So first, I wanted to stress test that 12% to 14%. I can imagine it's not a science, but just trying to see how you arrived at that number. Did you just take the weakness in April and kind of calibrate the r

est of the year based on that? Or are you making some assumption about the extent or the duration of this conflict? That's my first question. I guess I'll have follow -ups after that.
Puneet Chhatwal: Yes, sure. I think we have key account management. We have some corporates. We know what rates we have locked in for the current financial year. Second, we know what are the number of wedding dates, what is the business on the books.

Number three, what is our not -like-for-like growth. We are expecting to open 60 new hotels, and we have certain income from them. But more importantly, also, the 26 plus 36 hotels, which we opened in last year, they were also in their growth phase, so they have not stabilized. So , I think their returns also should increase.
So, if I take all this into consideration and then add to it, what are the other possibilities that we have in terms of other businesses, how they are scaling up, what are our initiatives. I've said it all in my opening remarks, asset management, which places are under renovation. As an example, last year, we had 100 rooms less in Taj Ganges in Varanasi. This year, we have added that. Last year, we had 2 floors less in Taj Palace, which we said to you in our previous quarterly calls.
They're all renovated. They are back. Similarly, we had 2 company -owned hotels less in Ekta Nagar, the Vivanta and Ginger. Then we have some other critical Ginger openings on capital -

light model. So, I think growth is a very important part, coupled with asset management. And then comes what everybody asked, all the analysts always ask only RevPAR.
And I've always maintained and I still say RevPAR is one very important metric, but not the sole metric. In India, RevPAR is very important because your total revenue per available room has sometimes a more significant impact, especially if it is driven a lot by, in certain quarters, a lot by the saaya dates or the auspicious dates you have for weddings and other activities.
Sameet Sinha: Got it. Okay. Then in terms of your fiscal '27 number of openings, if I'm seeing it correctly, did you reduce the number of rooms by 500 for this year?
Puneet Chhatwal: I don't know that -- once again. Ankur, would you have an idea? Did we reduce 500 rooms?
Ankur Dalwani: You're saying openings for FY '26?
Sameet Sinha: Correct, yes.
Ankur Dalwani: Yes. I think it's pretty much what we had sort of mentioned, 5,000 keys on an average per annum. So…
Puneet Chhatwal: See, these are rounded figures. They don't include any growth which is of an existing. See, last year, we added Gateway Palolem in Goa or we added Gateway in Ahmedabad. They never hit the pipeline. The time they got signed and by the time they got opened w as like a few weeks' difference.
So, there are certain properties that come in. Ones which we, from a prudence point of view, show is what we already know, which is signed and announced to the market. So, some of these may get delayed. So, let's say, instead of 5,000, maybe we open 4,500, but there could be 500, 700, 800 that may come in, which we don't know of today.
Ankur Dalwani: Yes. Because on an ongoing basis, we keep on having discussions for platform partnerships, which could easily get us, like Mr. Chhatwal mentioned, 300, 400 keys through a portfolio of partnership. We've had a few of them signed last year. And some -- I'm n ot talking about acquisition, I'm talking about partnerships. So, these are something which is a work in progress thing and can definitely make up for any shortfall that we have on the organic side.
But I think this is a fairly good number to work with, roughly 5,000 keys, give and take, 5%.
But I think the key point is that a large portion of this is management keys. And therefore, the impact on the P&L is actually very, very miniscule. And that's ac tually more than made up b

y
what the existing ones which have opened this year, would be delivering on the full year. So more than the physical keys, I think the impact on P&L is actually quite small; very, very small number.
Sameet Sinha: Got it. No, I can imagine you guys are balancing a lot of things. So , one final question. So, Puneet, as you think about -- if you look at your pipeline, I think by the end of fiscal '30, you'll probably end up at 30% owned and operated, 70% is going to be under the capital -light model.
Last time we met, which was at your Analyst Day, you had said a goal was 43% -67%, something

like that, 37% -63%. So, this number seems to have changed. So , is there going to be an update in terms of your long -term ROCEs and things based on this kind of change?
Puneet Chhatwal: Very, very good question. So , because you remind us it's time to announce our next Capital Market Day, which we will do so in the next few weeks. We were just waiting for the right moment. And now that we have completed the Brij transaction, and we are hoping to announce also that we have signed more than 30 amendments to that ANK & Pride portfolio, of which 15 should convert and open in this first quarter itself.

I think it's time for the next Capital Market Day to be announced. So, we can give you more accurate guidance because with the uncertainty around what was happening with the West Asian crisis, all the focus was there. But allow us to do that. I think it's better that what we said, we'll do 63% capital -light. And if it is mov ing towards 70% on a larger portfolio, we are obviously very pleased with it, and I'm sure you are also pleased with that.
Ankur Dalwani: Yes. I think, Sameet, just to add, I think we didn't have the hindsight of the ANK & Pride portfolio when we did the Capital Market Day. That portfolio is actually largely -- it is actually completely capital -light with the exception of very few hotels whi ch are on the balance sheet. So essentially, that has obviously made the portfolio look more capital light, but it is not at the cost of letting off any capital -heavy assets. It's actually on top of that.
Puneet Chhatwal: Just to sum it up, that is what was a very important part of our introductory remarks on building resilience and scale by brand, by contract type and by geography.
Moderator: The next question comes from the line of Karan Khanna from Ambit Capital.
Karan Khanna: Congrats on double -digit RevPAR growth during the quarter despite external headwinds. My first question to you, Puneet and Ankur, with the overall crude oil volatility and global geopolitical scenario feeding into aviation costs and broader inflation, whil e we haven't heard anything yet, but if we start seeing capacity reduction announcements by domestic carriers over the next few months and if this volatility continues, how should we think about the second -order impact on travel demand, pricing power and p erhaps even the operating margins over the next 2 to 3 years?
Puneet Chhatwal: Karan, every crisis is an opportunity. Some of the brands that you hear today were created in the worst crisis where everything came to a halt. Qmin, Ama, all these started without any upfront capital investment during COVID. And for a sector that has kind of seen zero revenue in a lockdown, I think a few shifts here and there might create opportunities even, let's say, work from home, but the home could be in Holiday Village or in Fort Aguada or in one of our Ama Homestays & Trails.
So, there is a lot of change that may happen and also may not necessarily happen because we don't know, maybe the war is called off. But we are monitoring it very closely. And one of the reasons we got to the growth in Q4 and a decent start in April and the f irst 10 days of May is we do a lot of tactical stuff. We cannot control where the market

is going, but we can control our
market share. So, we can increase our market share with the strength of our brand, with the strength of our sales and marketing ac tivities, and we have been successfully able to do that.

So, I think we remain overall quite optimistic. If a doomsday scenario comes in, then it's doomsday for all, then we figure out what we'll do. The only difference this time would be, last time when that happened, we had a lot of debt. This time, we have none, and we have a lot of cash. So, it might throw other opportunities.
Karan Khanna: And just on the comments regarding RevPAR. And if you look at FY '26, despite several one -off headwinds every quarter, you still manage 78% occupancy and 8% RevPAR growth for FY '26. But going into FY '27, where you're also talking about the industry tailw inds and also a favourable base. The 7% or 8% RevPAR guidance like -for-like, is that on the lower end because of these geopolitical uncertainties? Or are we nearing somewhere the fag end of the cycle wherein growth here on will not be pricing led, but not -like-for-like driven?
Ankur Dalwani: So, I think on cycle, you see a chart on supply. We've looked at what's got announced, what's really got built. And I think we feel reasonably certain that this is going to be a tight supply situation, at least for the reasonable future. And therefore, RevPAR should continue to sort of be inflation plus, giving it the ability to pass on costs, etcetera, and beyond that. So , I think that is the context in which we are sort of dealing.
Of course, there is -- on top of this, you have this sort of overhang of what's happening geopolitically. So, there is some -- we have tempered that outlook with what's happening geopolitically. But that's the upside also. At the end of the day, this is not going to last forever. And like we've said in our slide that it means we lost out on certain amount of reve nues, which were actually quite visible on basis the pace we had February 28, right?
So, I think that's also the upside we see that as and when things become normal, which could be this month, it could be 6 months, we don't know that. But we're well positioned to take advantage of that as and when that happens.
Karan Khanna: Sure. And then lastly, on the cancellations during the quarter, specifically on MICE business that was lost. Are you expecting this business to return over the next few quarters? Or has that gotten cancelled altogether? And also on outbound travel, which is expected to see a slowdown, are you seeing any sustained substitution of that by domestic luxury and leisure demand? And perhaps do you expect that trend to continue beyond FY '27 as well?

Ankur Dalwani: It will be a mix. All these things are always a mix. Some of that does get deferred and comes back. We postponed our own sort of conference, hospitality conference. So , some of that actually is something which gets deferred.
And of course, in hospitality, there will be some element which will be lost because nights are gone. But I think that's part and parcel of the game. So, we are sort of factoring that in as we look at the forecast for Q1 and for the year.
Moderator: The next question comes from the line of Murtaza from Kotak Securities.
Murtaza: Sir, just on some data points on Roots and TajSATS, if you could give your full year revenue and EBITDA numbers?

Ankur Dalwani: TajSATS is there in the segment, if you see the segment slide, there on Slide 26. These are impacted by -- so I would like to just clarify that some of the growth numbers you see on EBITDA, which is lower than revenue, is primarily because of the levy impa ct, which we had called out at the beginning of the year that there will be this year some impact of levy, which was accounted in a

different manner as per how the airports have now charged that to TajSATS and to every catering company. Adju sted for that, the margin actually expanded by a percentage, but the revenue growth would have been lower. It would have been more like 11%, 12% and not 16%.
Murtaza: And Roots, Ginger?
Ankur Dalwani: Yes. I think Roots also -- I mean, we have given the Ginger slide, which gives you an overall revenue of close to INR700 crores, which is effectively Roots Corporation and Ginger Mumbai Airport because the thing is Roots Corporation does not own Ginger Mumbai Airport. So therefore, from a business perspective, it makes sense now to look at Ginger consol rather than looki ng at Roots on a stand -alone legal entity. So, this has grown at about INR709 crores, which has grown nicely and maintained a very high EBI TDA margin. That's also on Slide 29 on new business.
Moderator: We will take the last question from the line of Rahul Jain from PhillipCapital.
Rahul Jain: Congratulations on a resilient set of numbers. I just have one question on the operating leverage side. The annual stand -alone portfolio, I mean, the revenue has grown high -single -digit, but we've still managed to expand our margins at a decent rate in FY '26. And FY '26 consol numbers on the margin front were relatively flattish, but we're still seeing good healthy like -for-like and non-like-for-like growth. So how do you see the margins going forward?
Do we still have room for operating leverage to play out in the system? Or is it more of a mix between the non -like-for-like and like -for-like growth?
Puneet Chhatwal: I think there is still scope for improvement. And the reason is that most of these brands, as we have said, are in an infancy phase. They have not yet scaled up. On top of that, we had high costs of acquisitions. It's not just that you acquire something, y ou have high legal fees, you have high travel costs, cost of due diligence.
So, we are very happy with the 35% margin as long as, I've said it in several quarterly calls, that we did not put any upfront capital investment with the new brands. So, we need to put enough horsepower behind them in terms of sales, marketing, talent, people to scale up that business. So that's how we are scaling up our portfolio, and we have more than increased it by 400% in the last 8 years.
And at the same time, we have more than -- at an enterprise level, we have almost increased our revenue by 300%. And by the right mix by brand, by geography and by contract type, we are getting this margin and the resilience in the margins. So, there is a little bit of an art and a science attached to it. Art is the art of growth and science is the kind of growth that you do to create that resilience in your margin and create elasticity in the portfolio by removing whatever volatility is possibl e to be rem oved in this kind of business.

Moderator: Ladies and gentlemen, we take that as our last question for today. I now hand the conference over to Mr. Puneet Chhatwal for closing comments.
Puneet Chhatwal: Ladies and gentlemen, thank you very much for joining us on this call. We are very pleased to have shared our results with you and the management summary. We look forward to interacting with you in the next fiscal and in the next quarter in a maximum of 90 days from now. Thank you very much. Everybody, have a wonderful evening. Thank you.
Ankur Dalwani: Thank you.

Moderator: Thank you. On behalf of the Indian Hotels Company Limited, that concludes this. Thank you, everyone, for joining us, and you may now disconnect your lines.